

Just Dial (JUSTDIAL)

Conference call transcripts, oldest-first. 11 call(s). Generated 2026-08-02.

Call: Jul 2022

Just Dial Limited
Q1 FY23 Earnings Conference Call

July 18, 2022

MANAGEMENT : MR. ABHISHEK BANSAL – CFO – JUST DIAL LIMITED

Justdial Limited
July 18, 2022

Page 2 of 21 Moderator : Ladies and gentlemen, good day, and welcome to the Justdial Limited Q1 FY2023 Earnings Call. At this moment , all participant s are in listen - only mode . We will conduct a question and answer session later. At that time you may click on the raise hand icon to ask a live question. Please note that this conference is being recorded. I now hand the conference over to Mr. Abhishek Bansal – CFO – Just Dial Limited . Thank you, and over to you, Sir!

Abhishek Bansal : Hi! Everyone, welcome to Justdial's earnings call for first quarter of fiscal 2023. Our operating revenue for the quarter stood at 185.6 Crores witnessing 11.4 % sequential growth and 12.2 % on a Y-o-Y basis. Our adjusted EBITDA excluding ESOP expenses stood at 11 Crores versus a loss of Rs.80 lakhs in previous quarter and a loss of 10.4 Crores in June quarter last year. Our employee ex penses have increased by approximately 33 % on Y-o-Y basis led by 45 % Y-o-Y increase in head count across sales, technology, content , marketing functions, and increments in recent quarters. Our advertising expenses stood at about 6.5 Crores for the quarter. Other income stood at negative 60 Crores during the quarter due to MTM loss on our 3 ,700 Crore s treasury portfolio due to rise in bond yields during the quarter. Yields on two to three year AAA bonds which mostly reflect the underlying of our treasury went up by 1 35 to 150 basis points on quarter -on-quarter basis during the quarter. On year-on-year basis t he same stood at about 205 to 22 0 basis points increase . With yield stabilizing treasury income should return to normalcy and in any case treasury yield should be looked at on a two to three year ba sis rather than quarterly basis. Since we typically hold our investments for three year plus period t o ensure they are tax efficient. Led by this MTM loss we had a loss of 48.3 Crores at net profit level .

Comin g to business update, we continue to focus on s elling on monthly payment plans. We signed up approximately 70 % customers on monthly plans in last quarter. Our sales head count has gone up by about 53 % on a year-on-year basis . We have seen our monetization continuously improve on month -on-month basis since last November , December and the same has started showing up in top line sequential growth as well . Our paid cam paigns grew by approximately 22 ,000 count s to a total of about 4 ,84,000 active paid campaigns. Collections stood at about 201 Crores during the quarter witnessing 12.2% sequential

growth. Deferred revenue stood at about 353.4 Crores which was up 4.5% sequentially and 15% year -on-year. Sequential growth in deferred revenue , despite focus on monthly payment plans where upfront collections are typically lower , is encouraging. The realizable value of sign ups that we did in first quarter stood at about 235 to 240 Crores. So, realizable value is essentially total money that we expect to receive in one year from both upfront and monthly plans that we sold during the last quarter . So this, as I ha ve mentioned earlier , acts as a lead indicator for us to see where our collections and future P&L revenues are headed . Our monthly ECS collection which is money re ceived from direct bank debits for monthly

Justdial Limited

July 18, 2022

Page 3 of 21 plans stood at about 33 Crores for June month versus a low of just 13 Crores in October 2021. The ramp up in sales hiring is yielding good results and we should see better monetization going forward . Overall as far as reported P& L is concerned, our sequential top line growth re

flects improvement in monetization o ver the last couple of quarters. Margins are currently suppressed because most employee costs hit our P&L immediately. As we see our top line ramp up in co ming quarters, we should see margins improving as well. Cash on investment stood at 3 ,740 Crores as on 30th June.

Coming to operating highlights. Traffic stood at about 148 million unique users for the quarter , growing 19 % on a year -on-year basis and 84% of this traffic comes on mobile platforms . Total listings in our database stands at about 32.8 million. In a nutshell the core business is clearly on a recovery path and endeavor is to get it back to pre -COVID levels of top line and profitability as soon as possible and grow thereafter. Our new initiatives are getting rolled out to users in a phase -wise manner. Focus there is to get user experience right for these products and the broadening coverage in terms of produ cts, services and geographies .

So with this update we shall now open the floor for q uestions for further discussion. Thank you.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from Vivekanand from Ambit. Please go ahead .

Vivekanand S : Hi! Thank you very much for the opportunity. I have a few questions. Starting with the bookkeeping ones. Could you give us a split of the campaigns and revenues by the top 11 cities and others, that i s one and the other bookkeeping question is the ESOP cost in the current quarter appear to be much lower than the run rate that w e were seeing in the last seven, eight quarters . So any thoughts on how we should look at this number going ahead , as well as advertising . Those are my bookkeeping ones, I want to ask a few others after this . Abhishek Bansal : Firstly on cam paigns and revenue distribution. So top 11 cities last quarter contributed about 43 % to campaigns and about 64 % to revenues. This distribution for last two, three quarters has largely been in this range . On ESOP expenses, yes, current quarter ESOP expenses are lower primarily because the expenses that are getting recognized right now are from tranches that we had allocated almost two years ago . There have not been any fresh ESOP allocations in last one t o two years and the way accounting works is that ESOP expenses tend to be front -ended. So for example if there is an ESOP scheme which lists at 25% each year, the expense booking in first year is first 25 % plus half of second 25 % plus one third of third 25 % and so on. So by the time you come to third or fourth year of ESO P

Justdial Limited

July 18, 2022

Page 4 of 21 expense recognition in P&L they sort of taper down substantially. So going forward basis whatever fresh ESOP allocations are done, these particular expenses will accordingly go up .

On advertising spends, I ast quarter we spent about 6.5 Crores. For the full year we have budgeted around 60 Crores or so. As we get into future quarters, we could have certain brand advertising and digital will anyway continue. So, there could be quarters wh ere it could be lumpy in nature. Last quarter primarily was almost fully digital in nature .

Vivekanand S : This was very useful. Just a couple of additional questions . The other question I had is with respect to your tra ffic and the content enrichment. So it seems that you have added a lot of new listings in the current quarter , much more than what we have seen in the past . So if you can just give us some color on whether these new listings are helping you get any visibility on monetization . Is this part of your content enrichment strategy or was it related to any sort of pent up or catch up as far as COVID is concerned , that is one. Second is on the A&P, you said that most of the A&P was on digital, so I a m guessing that some of the traffic that you got i

n the p revious quarter would include inorganic traffic also. Can you help us understand your traffic better and the trajectory? Thank you.

Abhishek Bansal : Firstly on content enrichment, you are right we added about 9,00,000 listings to our database. As I have mentioned in the past as well, see India overall has about 70 to 80 million SMEs out there, and we despite being the largest local search engine, we cover only 40% of the population at this point of time. In last three, four quarters the addition of fresh listings was relatively lower as there was more focus on enriching content in existing listings. Before that if you would see, we were adding about 1 million listings every quarter for a good eight to ten quarters. So this particular quarter again we have focused on broadening our coverage and once we add listings obviously those particular listings start getting prospected by our sales team and over time that aids monetization as well. It is difficult to say whether listings that got added this quarter are directly aiding monetization. To your other question on advertising spends. So, yes, there was some paid traffic that came during this quarter. Out of about 145 million users approximately I think around 15% or so would be from paid means and rest is coming organically.

Vivekanand S : Great, thank you, I will come back in the queue.

Moderator : Thank you. The next question is from the line of Pranav Kshatriya from Edelweiss. Please go ahead.

Pranav Kshatriya : Thanks for the opportunity. My first question is, we have seen a very strong employee addition in this quarter. But, if I look at the revenue productivity or the collection productivity, it seems to be significantly lower than what we had pre-COVID level. So
Justdial Limited
July 18, 2022

Page 5 of 21 should we expect that pre-COVID level productivity to be achieved in next two to three quarters or it could take longer or we should assume lower productivity of this workforce?

Abhishek Bansal : First of all we need to understand on which metric we are measuring productivity. You mentioned two metrics revenue and collection. So, firstly coming to revenues of 185 Crores. So 185 Crores revenue is getting recognized in P&L from customers whom I had sold in last three to four quarters when my sales strength was not that higher. So as a result this particular revenue divided by number of employees will not be the right indicator because this particular revenue is not really the revenue achieved by current sales force. Second as far as collections are concerned, collections of 200 Crores while they are better than revenues, they are relatively lower currently because a lot of customers are getting signed up on monthly payment plans and their upfront collections is lower. The realistic metric which we look at is, as I mentioned, the realizable value which is the expected revenue that I expect to get from sign ups that I did in this particular quarter, which stood at about 235 to 240 Crores. So that particular 235 Crores is what I will likely get over next one year from sales done by my existing sales force in last one quarter. So that will be a more relevant metric. Considering we had about 10,000 odd employees at our peak pre-COVID and now we have about 10,600 something in sales, so productivity slightly is still lower, but considering additions have happened in last three to four months, in next two to three months these particular employees will likely start getting us even better productivity. For example against 235 Crores of realizable value for the quarter my exit run rate was about 250 plus. So that way we are on a month-on-month improving trajectory.

Pranav Kshatriya : And if I look at the contribution of the monthly payment plan to the revenue, how much will that be.

Abhishek Bansal :

70% of customers that I signed up in this particular quarter came on monthly payment plans. If I were to look at distribution of my overall active campaigns of 4,85,000, there approximately 40% are on monthly plans and 60% on upfront plans. As we keep going into future quarters that 40% will keep moving up, that 40% was 32%, at March quarter end.

Pranav Kshatriya : Do you see any challenges in reaching to the pre-COVID margin, I mean, we were consistently 25% plus, minus 2% kind of a range. So is that margin possible in next few quarters or there are certain headwinds to it.

Abhishek Bansal : So definitely once we reach that kind of pre-COVID top line I think we should be reaching those kinds of margin levels. Currently margins are lower because there is a sort of mismatch between revenue recognition and salary expenses. So I think once we reach that

Justdial Limited
July 18, 2022

Page 6 of 21 230, 240 Crores range whatever incremental revenues will come in from current levels versus that pre-COVID levels a good chunk of that should directly flow to EBITDA.

Pranav Kshatriya : And should we assume the salary levels to be higher than what pre-COVID level was or we can actually go to that level.

Abhishek Bansal : Yes, salary levels would be definitely higher. Couple of reasons, one basis regular increments over the last two years' salary levels have gone up. Second every state keeps coming up with the revised wage levels for either minimum wages or other statutory

compliances. So basis that there is obviously an increase in wage levels versus pre -COVID.

Pranav Kshatriya : Last question from my side, any comment on regarding the synergies with the parent and how you are working together to build any business or anything which you can tell us .

Abhishek Bansal : As far as synergies with RRVL are concerned, we currently are sort of looking at our business in two buckets one is the core search business where the endeavor is to get it back to pre-COVID levels of top line and profitability ASAP and there is a clear visibility on the same already and then the second bucket is to add a transactional layer on the local search platform that we have. So on the second side where there is good expertise of RRVL as well we are working closely with them. So one of the products which is hyper local marketplace we have already rolled out a pilot for users in three cities Mumbai, Bangalore, Hyderabad for certain categories such as electronics, mobiles, etc. So we are working very closely with them on those particular projects.

Pranav Kshatriya : And do you think that ONDC can be of an enabler or a challenge for you in anyway.

Abhishek Bansal : Once that particular ONDC gets implemented we will have to see. Since we are just rolling out these transactional services, we will have to see how it pans out .

Pranav Kshatriya : That is it from my side. Thank you so much.

Moderator : Thank you. Next question is from the line of Ankur Jain , individual investor. Please go ahead .

Ankur Jain : Hi! Good evening everyone, thanks for the opportunity. I have two questions . One, even before Reliance Ventures, Reliance Retail came into picture into Justdial, you know I have been an investor into Justdial based on what I was hearing about JD Mart and the B2B transactions thing. I think you just explained that you also look at your business into two buckets, you look at the search, the traditional business, and then the value that you try to derive from those clients that you get through search in your B2B business or something ,
Justdial Limited
July 18, 2022

Page 7 of 21 but it has been at least seven quarters if not more and you have had pilots in three cities you mentioned . It is highly disappointing to know that your investor deck contains no info

information at all on any of such disclosures on the two segments . You are actually looking at two segments even as per the accounting standards so you have to be reporting about those two segments . I mean, you may choose to say that no we do not, but internally you are very well aware that you have to but you do not, so I would like to pick your thoughts on that . As an individual investor I find it disheartening . I put in my valuable money into it , a lot of money , based on a story but I do not get to hear an update on that story, that story is in some closed doors . Obviously not everything can be open, but there is some responsibility that the business has towards the minority shareholder, so that is one . Number two if I heard correctly you said your mark -to-market losses is about 48 Cr, if I heard correctly and also your loss for the quarter is about 48 Cr. So, if both the numbers are same are we saying that we actually did not make any money in this quarter; this was just a break even quarter. So these are the two questions I have. Thank you.

Abhishek Bansal : Quick clarification on the second point first. So mark -to-market loss during the quarter was about 60 Crores and 48 Crores was loss at PAT level. So excluding other income the overall profit was about 12 -12.5 Crores .

Ankur Jain : I thought that, sorry to interrupt you, but even the mark -to-market would be adjusted for tax now. So that is what I thought.

Abhishek Bansal : The mark -to-market would be adjusted for tax, but that tax essentially would be reversal of past gains that we would have recognized.

Ankur Jain : Right absolutely , so it will be closer to 48. If I look at it maybe 20 %, 25% tax rate, but anyway I will leave that gap .

Abhishek Bansal : Coming to your first question regarding looking at the business in two buckets and relevant disclosures for the same. So firstly see JD Mart the monetization model is subscription based listings itself. At this point of time out of the total unique users that we had for last quarter about 8% to 9% of those users came for JD Mart related new pages . Why I am referring to new pages is because as part of JD Mart what we have done is , we have essentially brought products on our platform though listings we already had . Earlier about 20%-22% of our revenues used to come from B2B related categories. At this point of time for last quarter that number stood at about 25 .5%-26%. On JD Mart the dedicated team which works on monetization for the same is now about 700-750 people which previous quarter was about 400 people. So JD Mart 's monetization works as a listing fee itself and JD Mart products are available on both JD and JD Mart platform , so that obviously gets Justdial Limited
July 18, 2022

Page 8 of 21 recognized as overall revenue. The key is that this particular platform 's monetization should

aid us with revenue growth which is happening at this point of time as can be seen with the sequential growth.

Ankur Jain : I am more worried about the disclosure about it. If you see your stock has taken a beating of more than 50 % from its peak . Well in this scenario every stock has taken a beating, but some have taken more than the others and you obviously belong to the more category. So there needs to be some introspection and some responsibility shown towards the investors who are not sitting in the boardroom discussing some secretive things . There is so much cash in the balance sheet and for eight quarters we are hearing the same story. So obviously there needs to be something shared with us.

Abhishek Bansal : So you are right, but please understand that as a management we obviously cannot simply control what happens to our stock prices. Yes, operating performance is fully in our hand which is what we are working on and I think if we continue to deliver numbers both on top

line profitability as well as new initiatives this particular current gap should ideally get bridged in coming quarters. As far as disclosures etc., are concerned, so feedback taken whatever is relevant which we should disclose we will continue to do so.

Ankur Jain : Yes, correct you cannot control the price, but maybe the introspection means that because of your silence, your complete secrecy, if I may use that word the stock has taken a beating and people are not believing in that story any longer. So that is what I meant and obviously I am not asking you to control the price which you cannot obviously. Fair enough . That is all I have.

Moderator : Thank you. The next question is from the line of Naman Jain , individual investor. Please go ahead .

Naman Jain : Abhishek I just wanted to ask a small question . I saw the pilot launch of JD Shopping . I saw that there are three categories broadly where you guys have launched products, mobiles, electronics and home and kitchen products . So what are the initial feedbacks and what is the plan to scale it up, how long are we going to take?

Abhishek Bansal : On JD Shopping as you rightly said the three particular categories have been launched. At this point of time vendors are being on-boarded in each of these categories . The key USP that we are working right now is four hour delivery and basis whatever pilot orders we have been receiving in almost 98% -99% of the cases we are able to achieve the same. Over next two to three quarters endeavor is to broaden product selection across other categories and also onboard the vendors in other cities. So we are already in the process of adding three
Justdial Limited
July 18, 2022

Page 9 of 21 more cities and sometime by the end of this particular fiscal year the product selection catalog and number of cities should be meaningful . The target is to cover almost all metros by then.

Naman Jain : On the last call we discussed about ; are we going to give discounts from the cash that we have and it was clearly mentioned that we are not in the business of attracting a customer by giving discounts. So now in these three categories I can see there are some discounts offered. So just a clarification , are these from the merchant's end or is this our company giving discount on the products.

Abhishek Bansal : So whatever discounts that you see in the platform are solely from the merchant's end while we have an advertising budget. So these days the way you look at advertising is a customer acquisition cost. So in case we think that for certain categories where we have decent margins and we can afford to pass on a part of that margins back to consumers we would look to do so. The discounts that you see currently at this point of time they are fully borne by merchants .

Naman Jain : So in that case then again two things - one is that you have allotted a large advertising budget in this year so how are we planning ? are we going to do TV commercials for JD Shopping specifically because I understand the core business anyways is doing very well and we are getting back on track and since this is a new launch are we planning to do majority of our advertising spending on this.

Abhishek Bansal : So advertising budget that I mentioned majority of that is planned for core business itself . For JD Shopping the thought process is unless there is a substantial pan India coverage and cross category coverage we would mainly focus on digital advertising because via digital you can target specific categories, specific geographies. Once we have desired user experience in place etc ., then obviously ATL campaigns will follow.

Naman Jain : And what is the targeted or a vision as to how many transactions per month do you want to reach in JD Shopping . As in some vision that may help us understand the prospect of the opportunity.

Abhishek Bansal : See this particular segment per se has a huge opportunity in terms of there is no pure play 3P marketplace currently . All SMEs dealing in products want online presence to get new

customers etc . So I would not put specific numbers in terms of what the ambitions are. I think on a month on month basis we want to see that we keep improving both the user experience side , fulfillment side and then over the next few quarters we will see how numbers , etc., pan out.

Justdial Limited

July 18, 2022

Page 10 of 21 Naman Jain : And just one more thing on this . What is going to be the plan to monetize this ? Basically is this going to be commission based on each product that we are going to make money or is it going to be a subscription based model because from other competitors I understand it is more of a commission based business.

Abhishek Bansal : At this point of time we are signing up merchants on a commission based model itself , once we have substantial traffic then other streams of revenue such as advertising etc., to can form part of revenues in this vertical as well.

Naman Jain : So it is not going to be like our core business where we have a monthly plan or something like that, it is not going to be the same for JD Shopping is it.

Abhishek Bansal : No. This will be pure like commission on every transaction.

Naman Jain : And just one small question on the cash balance that we have . So what are we planning to do with that because obviously it is a large balance that we have. Any plans to distribute it or use it for buybacks or something.

Abhishek Bansal : So, no such plans at this point of time . We have exciting products in pipeline ; we would want to spend on building those products , content enrichment, and advertising for those particular products in future. The good part is we have a core business in place which is a healthy free cash flow generating business. So we will see after maybe 12 to 18 months how the situation is. At this point of time we think our core business itself should be able to fund a good chunk of these particular new initiatives.

Naman Jain : Yes, which is why I am asking you the question? So, if your core business is able to support all these initiatives, why deploy cash at such lower returns. Why not pass it on to investors or do something better of it .

Abhishek Bansal : So some of the new projects that we have undertaken tend to be long gestation projects . There could be a situation where we think that an aggressive advertising plan could help us scale exponentially, so we want to be in a situation that we can comfortably take those decisions with cash on our balance sheet .

Naman Jain : And just one small feedback. I think it is also got to do with the previous participant who had asked the question . I think what is needed from the company is , like you did your pilot launch in three cities , if there could be some small press release or something to keep the investors updated because even I had asked in the last call when is the launch going to happen and you have mentioned end of the first quarter or maybe the beginning of the

Justdial Limited

July 18, 2022

Page 11 of 21 second quarter . It did happen then but I had to go to the app and check whether it has been done. A small press release of the updates that are happening in the company would really help keep information flow regularly to the investors.

Abhishek Bansal : Sure definitely we will do so. In this particular case simply the thought process was that we launched this particular product with a few vendors on-boarded. So we are on a day-to-day basis on-boarding more vendors and expanding the catalog. So the thought process was once we reach a certain critical mass such that people are able to

search for products in their

relevant cities it would be more prudent at that particular point of time to put out a public disclosure.

Naman Jain : And just one small clarification. So I tried ordering some product from JD Shopping but a hyper local really I thought was that it should get delivered in about three to four hours but to me on the app it showed it will be delivered by 3 pm and on the next day. So it is not really hyper local in that sense right.

Abhishek Bansal : So currently in these particular three cities there are certain pin codes where we are able to achieve that particular four-hour time frame and there are other pin codes where we are still on-boarding vendors. Once we have vendors in each category , in each pin code ultimately we will have that three to four hour delivery in each pin code . The incident that you mentioned is the exact reason that we have not been putting out a public disclosure thing that this is live. So while the platform is live to gather feedback from users who are using it , at the same time there is a content expansion that is underway.

Naman Jain : Okay point taken. Wish you all the very best for the future quarters. Hope we see the operating revenue improving with the bottom line.

Moderator : Thank you. Next question is from the line of Vivekanand from Ambit. Please go ahead.

Vivekanand S : Thank you again for the follow-up. Abhishek can you give us some color on the cash

operating cost that you foresee, the inflation that you foresee in fiscal 2023 and 2024 for the cash operating cost and secondly could you comment on the operating margins of the company if you had not been investing in these multiple new initiatives. A broad sense is good enough. Thank you.

Abhishek Bansal : Firstly on cash operating cost escalation in FY2023 -2024 is difficult to say. Having said that I think on the employee expenses clearly with overall inflation being quite high 7% to 8% on an overall basis definitely needs to be rolled out and similar could be for other expenses. On your second query regarding these new initiatives. So new initiatives about 12

Justdial Limited

July 18, 2022

Page 12 of 21 to 13 Crores of spends are actually capitalized as assets under development. So since these particular products are still in the building stage these costs do not hit our P&L at this point of time.

Vivekanand S : That is useful. Could you also comment on what portion of the new initiatives investments are hitting the P&L or is it entirely going into the assets under development?

Abhishek Bansal : So entirely it sits under development for new transaction related initiatives.

Vivekanand S : But the JD Mart costs are in the P&L right.

Abhishek Bansal : Yes, they are completely in the P&L simply because they are the revenue model is listing fee and the product had been obviously launched a long time back.

Vivekanand S : Just to recount the new initiatives apart from JD Mart which is already hitting the P&L because you have launched this product, JD Shopping, JD experts, and I believe there was some product on the real estate side am I missing something.

Abhishek Bansal : Yes, primarily these particular products JD Shopping, JD Experts. So basically products related transactions form part of shopping, services related transactions form part of experts.

Vivekanand S : Thank you and all the best.

Moderator : Next question is from the line of Anmol Garg from DAM Capital. Please go ahead.

Anmol Garg : Hi! Abhishek. Just had few questions. Firstly if you can split the advertisement cost during the quarter between the paid campaigns and the brand related advertisements that would be great.

Abhishek Bansal : So out of the 6.5 Crores that we spent almost about 5.5 to 6 Crores went as part of digital initiatives.

Anmol Garg : Sur

and secondly if you can also, give your views that if you are planning to do any acquisition related to in the JD Mart space particularly to acquire more customers or to have more value-added services.

Abhishek Bansal : No there are not any such thoughts on acquisition as of now.

Anmol Garg : Sure and thirdly just wanted to ask that largely what will be the average realization of JD Mart right now and how many will be the paid suppliers in the category and in continuation

Justdial Limited

July 18, 2022

Page 13 of 21 to the same has there been any increase in the customer acquisition cost from right now as compared to a year back. That is it from my end.

Abhishek Bansal : So average realization for JD Mart or B2B related campaigns would broadly be in the range of about Rs.20,000 per campaign on an annual basis. Regarding your question a round customer acquisition cost, customer acquisition cost currently would be bit higher versus what it was last year due to higher salary levels, but as and when the current batch of sales team achieves desired productivity once they get tenured, I think our particular cost of sales will be at par with what it was one or two years ago.

Anmol Garg : Sure and again if you can also give the paid supplier numbers in JD Mart.

Abhishek Bansal : So paid suppliers there broadly would be closer to about I think 1,00,000 or so.

Anmol Garg : Sure thanks that's it from my side.

Moderator : Thank you. The next question is from the line of Abhishek Banerjee from ICICI Securities. Please go ahead.

Abhishek Banerjee : Hi! Abhishek, thanks for the presentation. I am relatively new to the company. So might have a few basic questions. First of all I will start with the ad spends. So what did you say you had budgeted for the full year I missed that number.

Abhishek Bansal : About 60 Crores.

Abhishek Banerjee : Okay 60 Crores is full year and this would include your digital initiative which is getting some offers on your JD Shopping platform.

Abhishek Bansal : No so these particular 60 Crores does not include any customer acquisition cost or advertising spends for new initiatives. So these 60 Crores we have at this point of time year marked for core business itself.

Abhishek Banerjee : Now moving to what you spoke about monthly subscription plans. Would you please explain what the rationale is for it, I mean, did you see any liquidity concerns with your

supplier base.

Abhishek Bansal : So what typically happens is - Justdial sells its listings in two payment plans either you could pay upfront or in monthly payment plan. So for example you could either pay a Rs.4,000 down payment and sign a mandate which allows us to charge you Rs.2,000 per month on your bank account or you could directly pay us an annual subscription of Justdial Limited
July 18, 2022

Page 14 of 21 Rs.22,000 now post COVID or during COVID what has happened is some of the customers might be averse to actually shelling out the entire Rs.22,000 upfront. So we thought that okay for us it is important to sign up customers once they sign up, once they test the services, definitely they would be willing to stick around for a longer period of time plus the ecosystem is also evolving in a manner that everything is being sold on EMI plans, monthly installment plans. So that is what has made us gravitate towards monthly plans and which so far is working out pretty well.

Abhishek Banerjee : So absolutely understand that. So you basically saying that for a person who is going with the monthly plan they are actually paying Rs.28,000.

Abhishek Bansal : Over time over a period of nine to ten months they would end up paying that particular amount.

Abhishek Banerjee : Got it and what is the retention level I mean so far as a customer who is going with the

monthly plan. So what is the average realization you are getting from that in a year?

Abhishek Bansal : So average realization that we get from our monthly customer is very similar to what we would get from upfront customer. So last quarter whatever we sold on monthly plans approximately 19,500 - 20,000 annually is likely to be the annual realization. So what happens is in a monthly plan my ticket size tends to be slightly higher. So upfront plan might be say Rs.21,000 or Rs.22,000 for the year but in a monthly payment plan I am able to get them to sign up at Rs.2,000 a month which effectively is Rs.24,000 for the year. So even if the customer does not honor full payment or honors for say nine to ten months I still end up getting Rs.20,000 to Rs.21,000.

Abhishek Banerjee : Got it but I mean with the timeline what does that come, is it coming a little lower.

Abhishek Bansal : Not really so in fact in this particular case whatever are our particular monthly plans they tend to be perpetual in nature. So they get auto renewed at the end of each year. So even today we have certain customers who signed up on monthly payment plans five years, seven years ago and in fact there is zero cost of sales in those particular plans. So that time value of money relatively is not a significant factor in this.

Abhishek Banerjee : Coming from slightly different angle. So what was the annual plan cost say a couple of years back has that increased over years.

Abhishek Bansal : Annual sorry.

Justdial Limited
July 18, 2022

Page 15 of 21 Abhishek Banerjee : So the annual subscription cost that we were talking about what has been the inflation in that over the last three four years.

Abhishek Bansal : So during COVID times we had actually rolled out certain discounts to customers so the first thing that we did in the month of October, November was withdraw all those particular discounts. Our pricing varies by geography, pricing varies by category, pre-COVID if you see our realizations used to be at the peak was about Rs.18,000 per campaign annually. Right now while the P&L realization would be lower because P&L revenues as I mentioned are lower, but the realization that I am getting from customers that I am signing up right now is ballpark in the range of about Rs.19,500-Rs.20,000. So there has been a about 8% to 10% increase versus my pre-COVID peak levels.

Abhishek Banerjee : That is really good to hear. The reason why I was asking this is that while on a yearly basis when you are asked to make a payment it is actually easier to pass on inflation, whereas if you are doing it on a monthly basis. As you are saying if there is an auto debit and if you need to increase that 2,000 to say 2,500 that would require a customer approval which might be a little bit of a question mark which is what I was trying to understand.

Abhishek Bansal : So there also it is not necessary that you need a customer approval in the sense that yes, you need a customer approval but if the limit on the previous mandate is higher. So for example versus a Rs.2,000 per month plan if the limit set is Rs.3,000 per month you can actually bill post customers sent for a higher value and right now also there are 30% customers that come on upfront payment plans. Monthly payment plans are lucrative to get a new customer into the ecosystem and thereafter once customers are satisfied with the services want to take up high value plans a good chunk of them want to opt for upfront plans their renewals obviously happen with an inflation built in.

Abhishek Banerjee : Got it very clear. So is there any way of passing this thing to NBFC and taking a loan in

that sense can you facilitate that or have you done that in anyway.

Abhishek Bansal : So we provide various payment modes for example payment mode is EMI on your credit

card, EMI on your debit card . In fact those plans work in a manner that customer has to pay on a monthly basis to their respective bank or credit card whereas we get the money upfront . There in fact we incentivize by bearing that particular interest component. So we tell the customer that you will anyway pay Rs.2 ,000 per month on your credit card and you do not have to pay any extra interest as Justdial the benefit we get is we get the entire whatever Rs.22 ,000, Rs. 24000 less whatever is the interest upfront. So all those particular payment plans are being made available to our customers .

Justdial Limited

July 18, 2022

Page 16 of 21 Abhishek Banerjee : And that is accounted for in the 70 % or it is in the 30 %.

Abhishek Bansal : I will count it in 30 % because I got the money up front.

Abhishek Banerjee : Okay that was very helpful. Now moving to the new initiatives, will it be possible for you to share any of the take rates for JD Shopping and JD Experts .

Abhishek Bansal : So JD shopping take rates broadly should be , like it will be vary by category , but over all should be in the range of I think 7% to 8% depending on certain categories such as mobile phones could be lower whereas categories such as apparel etc., would be higher and in case in future unbranded products come in there obviously take rates would be higher and on the services side it is typically in the range of around 20 % or so .

Abhishek Banerjee : So in terms of services that you are providing what are the touch points that you are interacting with the customer and what are the touch points or what are the services that are helping your suppliers.

Abhishek Bansal : So while the vendors are on -boarded they are given a proper kits etc., at the time of on -boarding . We have also started some bit of training also for these particular vendors they go through complete SOPs that they need to follow while fulfilling orders . As far as user is concerned we keep them completely aware of when is the vendor likely to arrive in case of any delays or any rescheduling etc. there are particular triggers that automatically gets done via the app or there is a team that proactively reaches out and does that. So whatever a user and a vendor need to do or need to be assisted in order to fulfill that particular transaction either that is done in an automated manner by the platform or if the automated stuff is not able to assist them then there is a manual intervention that takes place .

Abhishek Banerjee : So this you were obviously talking about JD Services right .

Abhishek Bansal : Yes.

Abhishek Banerjee : So comparing with other company in what proportion of the services that an urban company gives would you be offering the entire suite or 70%, - 80% of proportion .

Abhishek Bansal : Proportion in terms of number of services or how.

Abhishek Banerjee : No I am talking about say if I want a plumber and if I am say ordering on urban company vis-à-vis if I am ordering on JD Experts will the services of Urban company be more than what you are giving or is it same .

Justdial Limited

July 18, 2022

Page 17 of 21 Abhishek Bansal : So in my assessment services would be almost the same because there is a standardized tariff card for each particular service you will be as a user informed free hand which particular provider will come to fulfill that particular transaction , you will have similar options for payment etc. The key lies in what is the value add services that we can provide . So mainly the idea is that earlier users were calling up the se particular professionals then negotiating a tariff or a rate at their particular doorstep , now everything is done by a click of a button with free information to both the user and the vendor how much needs to be charged and once

the transaction is concluded user can pay via cash on the spot or pay online and all those particular features are in place .

Abhishek Banerjee : So how many services do you have on JD Experts right now ?

Abhishek Bansal : Currently eight categories are live.

Abhishek Banerjee : And how many do you foresee in the near -term.

Abhishek Bansal : So eight would probably go to around I think 10 to 12 categories we will keep taking a look basis the idea will be to sort of master the existing set of categories first .

Abhishek Banerjee : And this is my last question on JD Shopping you mentioned 7% to 8% take rate. So for that will you help in order fulfillment in anyway?

Abhishek Bansal : We have tied up with the third party logistic service providers . We are a marketplace where vendors are listed and the logistics is also a third -party and this particular platform connects those users with the sellers , so user places an order seller is informed, seller keeps a product

ready, the third -party logistics provider goes and picks up the product and delivers it to the user.

Abhishek Banerjee : And the money is held in escrow account .

Abhishek Bansal : Yes it is held in an escrow account and once the timeline for returns or refunds are over then it is released to the merchant.

Abhishek Banerjee : Thank you so much for your time Abhishek.

Moderator : Thank you so much Sir. The next question is from the line of Swapnil from JM Financial. Please go ahead .

Swapnil Potdukhe : Hi! Thanks for the opportunity. Abhishek I just wanted to understand your strategy change . So last year same period I think we had spent a lot in during the IPL to promote our B2B JD Justdial Limited
July 18, 2022

Page 18 of 21 Mart business. This year in the last two three quarters we have significantly ramped up our sales team and I think this is the numbers that you shared you have seen significant traction in your JD Mart business or the B2B side of it . Will that be fair to say that your sales team has been able to deliver better results compared to the advertising spend that we did last year.

Abhishek Bansal : So in the advertising spend that we did almost at the same time we got hit with the second wave of COVID which further impacted SME s across B2C, B2B segments . Last two to three quarters we have spent time in terms of fine -tuning our pricing or sort of withdrawing all sort of discounts ramping up our sales force so both B2C and B2B are coming back on track but with the increasing proportion of B2B and dedicated focus via 600 plus B2B monetization team definitely these particular categories are giving better revenues .

Swapnil Potdukhe : And second is a question so we used to have around 5,35,000 campaigns pre-COVID that dropped to around 4 ,30,000 sometime in the second quarter last year. Now out of this mortality that we are seeing roughly 1 ,00,000 odd how much have we been able to recover back or how much is pending can you give some sense on that.

Abhishek Bansal : So currently we are at about 4 ,85,000 campaigns so half of the drop is sort of covered and the endeavor is that we should exit the year at our closer to our peak campaign counts . So last quarter itself we have added about 45 ,000 campaigns.

Swapnil Potdukhe : Actually my question was from the perspective like of the 1 ,00,000 th that went out of the system right. How many are part of that 45 ,000 that you added in the last two quarters and what is the potential recovery that we can think about beyond the new addition that you may have seen.

Abhishek Bansal : See we are dealing with the small and medium businesses there what happens is a particular business might be or a particular person might be doing a certain X Y Z business two years ago later they might be doing some other business and they might be advertising with us at both time periods. So

we do not directly look at it as or it is not possible to look at it as that 1,00,000 which actually went out or did not renew how many of them have come back. In any case in case of Justdial even if a customer has not renewed be it pre -COVID period or current period whatever it is, it does not mean that the customer has gone away forever. So the way Justdial has an advertising budget for example FY20 19 we spent about 65 Crores next year COVID year we spent only 6.5 Crores then again we spent about 65 Crores last year so that will be a sort of similar behavior for SME s also . Whenever they are comfortable to advertise for their particular business they would come and see whichever platforms they want to advertise and there could be periods where they may not want to do Justdial Limited
July 18, 2022

Page 19 of 21 so. So the way we evaluate is what is the total current number of active campaigns that we have.

Swapnil Potdukhe : And given that we did 22,000 additions this quarter do you think we will be able to sustain such additions in the forthcoming quarters also . Typically if I go historically so one good quarter is followed by some subdued numbers in the following quarters but it has been two consecutive strong quarters that we have and how do we think about the forthcoming quarters .

Abhishek Bansal : So as I said that the last particular quarter considering exit run rate was better versus full quarter that sort of gives us assurance that some of these particular trends should keep improving on a month -on-month basis and if we are thinking that we want to exit the year at peak campaign run rate then definitely a healthy quarter -on-quarter campaign addition is what we ideally foresee .

Swapnil Potdukhe : And just a last question . So you mentioned a 60 Crores of budget for core business A&P how can we think about the non core business investments that you are thinking about like how much should we factor in or any sense of guidance on that.

Abhishek Bansal : So that I think we are still working out that once these particular products are in a decent stage to be advertised both on digital and subsequently ATL I think we will have to wait for another probably a quarter or so before we can sort of have some clarity on how much spends we are likely to do on those initiatives.

Swapnil Potdukhe : Okay good . Thanks a lot for taking my questions.

Moderator : Thank you. The next question is from the line of Gnyan Thaker from Ashika Group. Please go ahead .

Gnyan Thaker : Thank you Sir for taking my question. I would like to have some clarification on the plan of parent entity with respect to JD's platform whether the JD platform will be integrated to the Jio Mart or any other application of parent entity .

Abhishek Bansal : Yes there can definitely be synergies or integrations. We are sort of in touch with them for example on our particular platform we have already integrated the access for Jio SIM cards . Similarly Justdial apps could get integrated with MyJio application which already has access to multiple other RIL group applications. So some of those particular integrations are already being discussed .

Justdial Limited

July 18, 2022

Page 20 of 21 Gnyan Thaker : Sir you were just explaining us with respect to the logistics third -party delivery partner. So can we understand it is like the RIL's logistic company has been used by Justdial for providing the services.

Abhishek Bansal : No these are completely third -party services such as Dunzo, Grab, Shipyard and whatever other logistics service providers that are out there who do e -commerce fulfillments for various companies .

Gnyan Thaker : Okay sure Sir thank you so much.

Moderator : Thank you. Ladies and gentlemen, we will take the last question from the line of Arjun

Ashar individual investor. Please go ahead.

Arjun Ashar : If I am audible now I wanted to know how long will we be in the pilot phase for the first three cities for JD Shopping and JD Xperts in terms of content enrichment so that we have gone wide as well as deep in various categories of contents being listed on the website on the app.

Abhishek Bansal : So in terms of JD Shopping that went live for users just about I think one month ago and we are already in the process of adding more cities. So current quarter it would get added. As far as experts is concerned those current set of services are already lies in about 10 to 11 cities.

Arjun Ashar : No I will just illustrate so for instance I visited a store like a Benzer or Amerson's on JD Shopping I see only a few categories like in Benzer you just had a shopping bags whereas it is an entire superstore or if I look up any local hardware store when do I reach a stage where I can find at least 100 to 150 SKU s of that hardware store listed on JD Shopping , when do we reach that phase.

Abhishek Bansal : So I think it will take around six to nine months for us to reach that particular stage where there is a reasonably broad selection of products and available across all major pin codes and top metros .

Arjun Ashar : And what would be our strategy to funnel users to these listings , because right now there is no awareness. If I want to buy a doorknob , many do not know that there is an option like that and then what happens is that our customers also do not have an incentive to load their entire catalog of inventory on JD Shopping . It becomes a chicken and egg kind of situation. So what is our strategy to attract new users to the website ?

Justdial Limited

July 18, 2022

Page 21 of 21 Abhishek Bansal : Couple of things one these particular products and these particular vendors will have access

via our particular home page on existing platforms. So from the shop online section users can explore these particular products. Second there is already a traffic that comes organically searching for these particular listings. So once users come for these particular listings they get to see that okay there are transactions or shopping enabled . Third there will be dedicated apps also for these particular initiatives and once we start advertising that is how more users will get to know that these particular options exist and that is how product will get scaled up.

Arjun Ashar : And the advertising will be like national campaign so there will be again hyper local advertising campaigns like in current storefronts, like how PayTM used to have these stickers on every cashier's desk.

Abhishek Bansal : In the first phase it will be digital in nature because that will help us to target certain geography, certain categories of products . Once we have a decent selection and more

geographies covered then it will be a ATL campaign. Thereafter then it can be a mix of hyper local marketing, I mean, there will be annual budget part of which will go towards branding advertising and part of it will go towards digital and other sorts of hyper local advertising .

Arjun Ashar : Sure all the best for future. That is all from my side.

Moderator : Thank you very much . Ladies and gentlemen, that was the last question. I will now hand the conference over to Mr. Abhishek Bansal for closing comments .

Abhishek Bansal : Thank you everyone for joining us . In case you have any further queries please do reach out, we would do our best to address , and that is it from our side. Thank you.

Moderator : Thank you Sir. Ladies and gentlemen , on behalf of Justdial Limited that concludes today's session. Thank you for your participation. You may now click on the exit meeting to disconnect. Thank you.

Call: Oct 2022

Page 1 of 14

Just Dial Limited Q2 FY23 Earnings Call

October 17, 2022

MANAGEMENT : MR. V.S.S. MANI – MD & CEO
MR. ABHISHEK BANSAL – CFO

Just Dial Limited
October 17, 2022
Page 2 of 14

Moderator : Ladies and gentlemen, good day, and welcome to the Just Dial Limited Q2 FY '23 Earnings Call. We have with us today on the call, Mr. V.S.S. Mani – MD and CEO; and Mr. Abhishek Bansal – CFO. At this moment, all participants are in the listen only mode. Later, we will conduct a question and answer session. At that time, you may click on the raise hand icon to ask a live question. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Bansal – CFO at Just Dial Limited. Thank you, and over to you, Mr. Bansal.

Abhishek Bansal : Hi, everyone. Welcome to Just Dial's Earnings Call for Second Quarter of Fiscal '23. Our operating revenue for the quarter stood at Rs. 205.3 crore, witnessing 10.6% sequential growth and 31.6% on a year-on-year basis. Same quarter previous year was severely impacted due to COVID. Our adjusted EBITDA, excluding ESOP expenses, stood at about Rs. 19.5 crore, representing an adjusted EBITDA margin of 9.5%.

Our employee expenses have increased by about 37% on a year-on-year basis, led by 53% year-on-year increase in headcount across sales, technology, content and marketing functions.

Our advertising expenses for the quarter stood at about Rs. 5.2 crore.

Other income stood at Rs. 56.5 crore for the quarter, partly offsetting MTM losses that we witnessed in previous quarter. Profit after taxes stood at Rs. 52.2 crore, representing a growth of 58.6% on year-on-year basis.

Coming to business update. We signed up about 71% customers on monthly plans basis, and this strategy has continued to work well for us. Second quarter collection stood at Rs. 230.5 crore, growing about 14.7% sequentially and 26% on a year-on-year basis. This growth considering high proportion of customers came on monthly plans, where upfront collections are lower, is encouraging. We have also taken price hikes in certain geographies in recent months, and sign-ups have still held up pretty well.

Active paid campaigns at the end of the quarter stood at 503,840, which was up about 17% on a year-on-year basis and 4.2% sequentially. Paid campaign addition of 20,000-plus campaigns for the quarter despite price hikes is indicative of sustained recovery, which we are witnessing post COVID impact. Deferred revenue stood at Rs. 378.6 crore, which was up 7.1% Q-o-Q and 13.3% Y-o-Y. The realizable value of sign-ups that we did in second quarter stood at about Rs. 275 crore to Rs. 280 crore. Realizable value is total money that we typically expect to receive in 1 year from both upfront and monthly plans that we have sold during the quarter.

Considering realizable value trend is significantly higher versus our collections and accrued revenue, that indicates a healthy trajectory for our core business.

Our monthly ECS collections, which is money received from direct bank debits for monthly

plans, stood at Rs. 39 crore for September '22 month versus just about Rs. 13 crore a year ago.

Just Dial Limited

October 17, 2022

Page 3 of 14

So, the ramp-up in sales hiring is overall yielding good results, and we should see even better monetization going forward.

As far as margins are concerned, they are also on an improving trajectory. Most employee costs hit our P&L immediately, but corresponding uptick in revenue recognition happens with a lag as services are rendered. So, as we see our top line ramp up in coming quarters, we should see margins improving further. Overall, cash and investments stood at Rs. 3,819 crore as on 30th September.

Coming to operating highlights. Traffic stood at 156.5 million unique users for the quarter, growing about 4.6% year-on-year. 85% traffic now comes on mobile platforms, and total listings in our database now stands at close to 34 million. Our desktop site shall see a complete revamp in coming weeks. New initiatives too are undergoing i

mprovements to enhance user experience.

Overall, the way we see it is, we see the core business coming back on track. Revenue is currently just 13% to 14% short of pre-pandemic peak levels, and paid campaigns are about 6% short, and this gap will also get bridged shortly in next 1 to 2 quarters. Basis realizable value, which is a sort of leading indicator for where things are headed, we are anyway significantly, say, 18% to 20% higher versus our pre-COVID peak levels.

So, with this brief update, we shall now open the floor for questions. Thank you.

Moderator : Thank you very much, sir. We will now begin the question and answer session. The first question is from the line of Swapnil Potdukhe from JM Financial. Please go ahead.

Swapnil Potdukhe : I have couple of questions for you. So, first one is on the collections. So, would like to understand what proportion of the total collections, new collections are we getting from B2B2C customers? And how much of that is coming from B2B customers?

Abhishek Bansal : So, Swapnil, on collections, approximately 25% to 30% is coming from B2B segment customers and rest is coming from B2C segment customers.

Swapnil Potdukhe : And the ARPUs in the B2B would be at what range versus the B2B2C?

Abhishek Bansal : So, typically, ticket size in our B2B monetization are about 10% to 15% higher versus our overall average.

Swapnil Potdukhe: And the second question is with respect to a new line item that is there in your balance sheet, basically intangible assets under development. I would like to understand what does it actually pertain to? My initial sense was that it might be related to the capitalization of certain costs related to new initiatives. So, any take on that?

Just Dial Limited

October 17, 2022

Page 4 of 14

Abhishek Bansal : Yes, you are right. So, this Rs. 22 crore of capitalization pertains to new initiatives pertaining to transaction-oriented services that we have been working on. This does not pertain to any of JD Mart or B2B related initiatives since those particular platforms are already live.

Swapnil Potdukhe : And how should we look at these expenses going forward on a quarterly basis? So, some sense on the run rate that we can expect?

Abhishek Bansal : So, first quarter, these expenses were about Rs. 12 crore and second quarter, they were at about Rs. 9 crore. So, I think these expenses as we see would sort of trend down. So, it all depends on how these particular platforms become live. If they become live even in a phase-wise manner, as and when they keep going live, the corresponding expenses get depreciated. So, overall, as far as expenditure is concerned, I think annual run rate should be similar or close to what the half yearly run rate is.

Swapnil Potdukhe : And how should we think about expensing out these like expenses?

Abhishek Bansal : So, these expenses, the way accounting works is that these are typically expensed over the useful life of that particular asset. So, we try to assess that for these particular platforms that are being created, what could be the reasonable conservative useful life, could be, say, 2 to 3 years. And in that particular period, these get amortized.

Swapnil Potdukhe : And just last one. How should we think about the A&P expenses? Last quarter, I remember, you had guided for around Rs. 60 crore of A&P expenses for the full year. But in the first half, I think that number is way too low. So, how should we go about thinking about those?

Abhishek Bansal : So, advertising spend for the first 2 quarters, you are right, they were about Rs. 11-12 crore.

So, advertising, currently, most of it, what we are doing is digital in nature. Whenever ATL campaigns kick in, they tend to be lumpy in nature. We had guided for about Rs. 60 crore of advertising spend for the full year. The way first half has panned out is that we have spent more on, say, employee expenses and

hiring our team across various functions and part of it has been offset via lower advertising.

So, for full year at this point of time, I think, could be around Rs. 30 crore to Rs. 40 crore instead of what we had previously budgeted. As and when we think we need to go aggressive on ATL campaigns, we will review the same.

Swapnil Potdukhe : And should we focus on incremental advertising next year onwards? So, like will it remain at the Rs. 35 crore to Rs. 40 crore range that you mentioned?

Abhishek Bansal : So, there could be advertising for any new rollouts that we do either pertaining to the core business or new initiatives. So, as and when those particular initiatives become fructified, we will take an adequate call.

Moderator : The next question is from the line of Vivekanand Subbaraman from Ambit Capital. Please go ahead.

Just Dial Limited

October 17, 2022

Page 5 of 14

Vivekanand Subbaraman : I hope I'm audible. So, I'll start with a few bookkeeping ones. So, could you give us a sense of the top 11 markets and rest of India campaign and revenue mix? Secondly, Abhishek, I joined a bit late, so if you already discussed the realizable value and comparison to pre-COVID levels, that would be helpful.

And if you can also briefly touch upon what is the proportion of campaigns that you signed up during the current quarter that were monthly in nature versus your overall stock of campaigns, how much is roughly? Third bookkeeping one is on traffic. How much is inorganic? So, I'll ask my other questions after these bookkeeping ones.

Abhishek Bansal : So, Vivek, first question, top 11 cities contributed about 42.5% by volumes and about 63% by revenue. Second question, realizable value trend. So, last quarter, realizable value of sales that we did during the quarter was about Rs. 275 crore to Rs. 280 crore. Pre-COVID, the peak that we had was about Rs. 235 crore to Rs. 240 crore. So, overall, about 18% to 20% higher was the realizable value for last quarter.

Third question regarding proportion of monthly campaigns. So, about 71% of the deals were signed up on a monthly basis in last quarter. Basis that as things stand, overall, about 50% of the quarter-end active campaigns are currently on monthly plans. And the same number was only about 19% to 20% a year earlier. As far as inorganic versus organic traffic is concerned, about 10% of the traffic came via inorganic route, and rest of the 90% traffic was organic or without any fee for it.

Vivekanand Subbaraman : The next one that I have is on the product road map for the projects that are under development. Could you give us a sense on when you will make these products JD Shopping, JD Real Estate live with respect to commercial launch? And could you also please give us an update on the status of the trials that are going on right now?

Abhishek Bansal : So, on the new initiatives, several pilots are in progress. We are in the process to work out a roadmap. Basically, user experience is paramount, which is being looked at across these verticals. Some of these projects tend to be long gestation projects. At the same time, we want to be sure that whatever initiatives that we are taking; they should have a long-term profitability road map in place as well.

At this point of time, the way we are looking at the business is the core business, since that is the sort of cash cow for the company, we want to get that back on track ASAP, and which is already visible. The new initiatives, we are working to enhance user experience and as and when we see some of those going to the next stage, we shall share a more detailed update.

Vivekanand Subbaraman : Just follow-up on the product road map. So, would you be able to give us a sense of where these 3 projects are, JD Shopping, JD Xperts and JD Real Estate in terms of commercial readiness? Is any one service much more advanced in terms of the rollout?

Just Dial Limited

ted

October 17, 2022

Page 6 of 14

Abhishek Bansal : So, firstly, say, in case of JD Real Estate, essentially, the thought process is that can we enrich our content by sort of creating a catalog of the agents and builders on our platform. So, earlier, if you were searching for real estate agents, we were simply giving you a list of those agents. Now the need of the hour is also to list properties be it for buying, selling or renting. So, I would classify that as catalog creation for those particular real estate-related listings.

In case of JD Xperts, there are about 9 to 10 services that are being piloted in about 10 cities. AC repair and pest control are being piloted across cities and certain other repairs and service-related categories are selectively being tried and tested. We are in the process of onboarding vendors as well. And the good part is that whatever services that are being rendered, the user rating is reasonably good. Similarly, in case of JD Shopping, we are doing certain pilots to figure out what would work best for both the users and the vendors. So, that is where these projects are.

Vivekanand Subbaraman : On JD Shopping, I had 1 question. Given that the government has recently also done trials of

its own marketplace which is ONDC, are you guys working with the m? Or is this something very different? Just to understand, it seems that the government is targeting merchants who are pretty similar to the kind of merchants that work with you?

Abhishek Bansal : So, ONDC, the way we understand is that it's not a platform that our government is creating. It's architecture, it's a process that our government is trying to put in place. So, the government is saying that on one hand, you have the buyer apps. On the other hand, you have the seller apps. So, seller apps are used to onboard a particular merchant, basically create a digital catalog of that particular merchant. The buyer apps are the front-end apps on which the user traffic is coming and user can purchase whatever goods or services they want to.

At Just Dial, we are also evaluating, integrating both as a seller side app and buyer side app. The key advantage could be SMEs who are listed on our platform, we could easily create digital catalogs for them, and it will be beneficial for SMEs because they can then enable those catalogs on any of the buyer side apps they want to.

On the other hand, SMEs who have already created their digital catalogs via any other seller apps, we would encourage them to also enable their inventory for our particular platform as a buyer app because since they have to pay commissions only on orders that are received, they have nothing to lose. So, that could basically give us a ready inventory of those particular SMEs.

So, overall, as I see, it's not about targeting our particular SME base. It is about an approach towards digitalizing as many SMEs as possible, which in fact, works well for us because the same SME can be pitched to create these digital catalogs, so digital advertising along with the capability to receive orders, both are very important for any SME in this particular Internet era.

Just Dial Limited

October 17, 2022

Page 7 of 14

Vivekanand Subbaraman : So, is there a play for you in terms of your omni product also in this? I'm just trying to understand.

Abhishek Bansal : Yes. So, the seller side app, which is the platform to create a digital catalog for any particular business. That is where this particular omni product that we have already created could come in handy. We are already studying ONDC. It's in very initial stages, the overall ONDC architecture. And I think we will sort of figure out where we fit in the entire ONDC ecosystem.

Vivekanand Subbaraman : And the last one I had, you mentioned about the focus being on getting the core business back on track. So, in collections, already, it seems like you are back. And I mean if it's

realizable

value is Rs. 275 crore, Rs. 280 crore versus, say, Rs. 235 crore, then you are definitely 17% to 20% higher than pre-COVID levels. So, when do you think, Abhishek, this translates into revenue? That's one.

Secondly, with respect to the paid campaigns. The growth we have seen has been steadily healthy in the last 3 quarters. And this quarter, we are also seeing that the yields have hardened. So, how should we think about that in the next few quarters to give us a sense of how collections could evolve?

Abhishek Bansal : So, on your first query around when does it translate into revenues. So, that trajectory is now already visible. So, if you see we are about 31% higher versus the lows of revenue that we saw post-COVID impact. We had gone down to as low as about Rs. 156 crore or so. And from there, now last quarter was at Rs. 205 crore. And so that way, whatever realizable value improvement we have been seeing over the last 2, 3 quarters, that is already percolating into better revenue. And similarly, in coming quarters also, there should be an improving trajectory. Same is also reflected in paid campaigns.

So, in fact, paid campaigns have caught up much faster versus revenue simply because in monthly plans, we are signing up much more number of customers. In coming quarters, you will even see the realization per campaign sort of inching up. So, I think overall, the way it will pan out is that collections should keep moving towards catching up with realizable value and P&L revenue will be moving up to catch up with the collections.

Moderator : The next question is from the line of Vijit Jain from Citi. Please go ahead.

Vijit Jain : Hi, Abhishek. I have 2 questions. One, is this comment on realization that you just made inching up, I'm just wondering on a like-to-like basis, when you go back to some of the and sign up some of the campaigns that you may have lost during the COVID period, are you taking price hikes there? Or this is just a matter of Tier-1 slightly coming back faster, and therefore, your realizations improving? So, I'm just wondering if there's a pricing action taken here as well? That's my first question.

Abhishek Bansal : So, on the pricing action, 2 things have happened. One, from last November or so, we withdrew all kinds of discounts that we were offering during the COVID period. So, one, that

Just Dial Limited

October 17, 2022

Page 8 of 14

is helping. Second, in recent months, we have also taken up price hikes. For example, the Tier-1 cities, we have tried to hike a price by about 12% to 15%. And despite that, our deals have sort of held up well. So, it's a combination of withdrawal of COVID discounts and now additional price increases, basis relevant geographies and categories that is into place.

Vijit Jain : And my second question is on the headcount. Obviously, a lot of headcount addition as you've also gone back into adding a lot more campaigns. Just wondering how you look at that going forward? And related question to that, what's your tech headcount right now?

Abhishek Bansal : So, on the overall headcount, majority of the additions are taking place in our sales team. So, there, since we are finding that we now have a sort of well-oiled machinery that is able to grow the number of sign-ups despite price hikes, etc., so we do intend to continue hiring, keeping, say, next 2 fiscal years in mind. At the same time, we are trying to ensure that we don't lose sight of productivity. Our cost of sales, direct cost of sales should stay well within our defined limits. And as far as overall technology team headcount is concerned, so technology team headcount is about 450 employees or so.

Vijit Jain : It's the same as a couple of quarters back, right, because that was the numbers there as well? Just trying to double-check that.

Abhishek Bansal : So, on a year-on-year basis, there is an increase of about 95 employees in that

. In recent 1 or 2

quarters, it might not have been that much increase.

Moderator : The next question is from the line of Lavanya Tottala from UBS. Please go ahead.

Lavanya Tottala : So, Abhishek, I just wanted to understand if you see any time lines for the new initiatives that are in pilot stage now. So, do you see any time line for this launch to happen completely, maybe at least for JD Xperts, which is a bit in already in 10 cities?

Abhishek Bansal : So, Lavanya, we are working internally with a certain time lines for specific categories, et cetera. But I think at this point of time, we want to ensure that we get these particular verticals, right, before we make any sort of meaningful announcement.

So, as I said that the core business is about discovery. The second new initiatives are pertaining to adding a transactional layer. Adding transactional layer has multiple elements to it. You need to ensure user experience is right. You are basically taking responsibility for the experience that is getting delivered. So, some of those particular nitty-gritties we are still figuring out. As and when there is a tangible update, we shall share the same.

Lavanya Tottala : So, even the services which we are offering now, did we expand in terms of whatever we were doing in pilot? Like previously in last quarter, how many cities? And current quarter, what's the trend in the number of cities that this pilot was going on?

Abhishek Bansal : So, certain services are live in a certain specific set of pin codes because you need to onboard merchants for each category and to cater to all the relevant pin codes. In terms of number of

Just Dial Limited

October 17, 2022

Page 9 of 14

categories, I think previous quarter, there were about 8 categories. Now there are about 9 to 10.

But I think coverage is getting expanded in terms of more number of PIN codes. So, 10 categories, 10 cities, this covers a huge proportion of the universe for on-demand home services. But within that, there are nitty-gritties in terms of how many merchants you have, how many pin codes you are catering to, what all services within a particular service you are providing and so on.

Lavanya Tottala : So, also on our core business, so you have highlighted that now the monthly plans are about 50% as compared to around 19%, 20%, which was a year earlier. How do you see this trend going ahead? Because these kind of monthly plans, which we have launched was to promote our vendors to come back onto the platform. Do you see this trend to continue? Or do you think that it will go back to what it was earlier?

Abhishek Bansal : So, for the last about 2 to 3 quarters, every quarter, we are signing up about approximately 70 - odd percent customers on a monthly plan basis. Rest of the customers, some customers have their preference, they want to sign up on full annual plans, et cetera. So, if we continue to stay on 70%, then overall active paid campaign count after a few quarters should converge with the 70% number.

Lavanya Tottala : And I just missed the number which you have given for collections. Can you just help me with that number?

Abhishek Bansal : About Rs. 230.5 crore for the quarter.

Moderator : The next question is from the line of Abhishek Banerjee from ICICI Securities. Please go ahead.

Abhishek Banerjee : So, a couple of questions from my side. Last quarter, you had mentioned that the proportion of B2B sales for you had gone up to 26%. What would it be for this quarter?

Abhishek Bansal : For second quarter also, it was close to 26%.

Abhishek Banerjee : So, any faster growth that you are seeing in the B2B segment, generally?

Abhishek Bansal : So, B2B segment is contributing to higher growth in terms of whatever realizable value that we are seeing in that particular quarter. I think there, the contribution would be around 30% or so.

But post COVID, now even the B2C segment is coming back strongly,

which again,

obviously, is a focus area for us since that is the majority revenue contributor.

We do have a dedicated 650 -, 700 -member B2B sales team, which is working on monetization.

At the same time, work is ongoing in terms of enhancing content for B2B vertical. So, overall,

yes, B2B has relatively higher growth versus B2C.

Abhishek Banerjee : And one more question, sir. What exactly is the cash in hand as of now after the raise?

Just Dial Limited

October 17, 2022

Page 10 of 14

Abhishek Bansal : Total cash and investments at the end of the quarter was about Rs. 3,819 crore.

Abhishek Banerjee : So, there was a preferential issue as well, right?

Abhishek Bansal : That happened in same quarter last year. So, before that particular preferential issue, we had about Rs. 1,500 crore cash. Preferential issue was about Rs. 2,165 crore and basis any additional accruals and mark -to-market gains, current treasury size is about Rs. 3,820 crore, Rs. 3,819 to be precise.

Abhishek Banerjee : Now if I am to see into the future, so you mentioned that you will calibrate your media spend as and when the need arises, right? So, for the new initiatives, do you see some CapEx also going out?

Abhishek Bansal : So, there is some CapEx that happens in terms of catering to any additional IT infrastructure or any additional other resources that we might need. For example, last full year CapEx was about Rs. 15 crore. But in first 2 quarters, we had about Rs. 14 crore of CapEx. So, partly, it is for new initiatives, partly it is also for the core business in which there was very low CapEx for last 3 to 4 years. So, that is how it is.

Abhishek Banerjee : Now going ahead, as you see the core business coming back strongly, do you see room for efficiencies of scale? I mean, what is the margin outlook in your mind at least?

Abhishek Bansal : So, the new salesperson that comes on board after a certain tenure, they tend to sort of reasonably show up higher productivity. So, since there has been significant hiring over the last 3 quarters, the employee costs have seen a jump immediately, while it has reflected in higher realizable value also. I think as the current staff tenures, the revenue monetization should be even higher.

Overall, over a sustained long -term period, 25% to 30% margin is where we would want to go at. And incremental margins, at that point of time, could either be deployed into additional advertising or any other initiatives. So, we'll take a call at that point of time. Today, if I were to look at my margins, this is the money that I'm collecting or versus even the realizable value, they are already at a very healthy level.

Abhishek Banerjee : So, when you mean over the medium term, you mean the next couple of years, I'm guessing?

Abhishek Bansal : Yes. So, I think fiscal '24 will be a relatively stabilized year in terms of we would have come out of the COVID impact, plus we would have had done a good chunk of our hiring already, and that particular sales force would have started to become tenured.

Abhishek Banerjee : And your new initiatives will obviously, at least to begin with, be margin dilutive, right? And the pilots that you were planning were supposed to happen, I like, I think, by Q4 of this year. So, is there any change in that? Or I mean, are you sticking to that ruling, especially in JD Mart alone?

Just Dial Limited

October 17, 2022

Page 11 of 14

Abhishek Bansal : So, some of the new initiatives, the Rs. 22 crore that we spend that anyway is sort of capitalized, so that has not been denting our particular margins. In fact, this intangible enables us to see a clearer picture for our core business. We'll continue to sort of invest in these particular pilot projects.

The pilots are happening on a day -to-day basis. So, some of the best way to do pilots in these particular products is to make them live see what is the user experience for employees

that are

using the service, external users that are using the service, and that is how you sort of keep improving. And once it is stabilized, then you work towards scaling traffic. So, that is what the thought process would be. At the same time, we would want to ensure that we don't want to run a business where for next 5 years, we don't have any sight of profitability or profitable growth in place.

Abhishek Banerjee : Absolutely. That makes perfect sense.

Moderator : Mr. Banerjee, sir, sorry to interrupt, but for any follow -up questions, may we request you to rejoin the queue, please. Thank you. The next question is a follow -up from the line of Vivekanand Subbaraman from Ambit Capital. Please go ahead.

Vivekanand Subbaraman : Just a couple of follow -ups. So, one, on the employee side. So, prior to COVID, you had around 13,000 employees, but now it's 15,000. So, Abhishek, is it possible to help us with a

bridge in terms of the additional headcount that has been added? Where has that or rather what projects are they assigned to? Secondly, how are you thinking about the productivity metrics for employees across businesses?

Abhishek Bansal: So, firstly, when we had 13,000 headcount pre-COVID, we had about 9,800 employees in sales function, which today stands at about 11,300. So, a 1,500 addition in that is in directly sales function for the core business versus overall 2,000 delta, which is 15,000 less 13,000. Rest of the 500 employees are part of the addition is on the technology team, part is in content team, and certain other specific teams for new initiatives.

As far as KPIs, etc., are concerned, anyone on the core business side, obviously, on the sales side, it directly relates to how monetization and profitability is panning out. For newer initiatives, it is linked to a rollout of new features, users rating for those particular new features and so on. So, for new initiatives, they are primarily linked to the ramp-up of product rollout and for existing life products, it is primarily as far as possible linked to revenue and profitability.

Vivekanand Subbaraman: A follow-up. So, the 1,500 people added in sales, those people are largely for the core business, right? Is that how one should think about it?

Abhishek Bansal: They're completely for the core business.

Just Dial Limited

October 17, 2022

Page 12 of 14

Vivekanand Subbaraman: So, in a way, Abhishek, if I were to look at, let's say, the realizable value of the collections, which is around 15%, 20% higher versus COVID, your sales headcount has moved up similarly. Is that a fair way to see things in terms of productivity?

Abhishek Bansal: So, it has moved up similarly. The way I look at it is that while a majority of this particular sales team has come on board in the last 6 to 9 months, as soon as these particular sales employees cross, say, a 12 to 14-month tenure, their output productivity improves even further. So, while I have already received 15%, 20% higher output compared to 15%, 20% higher manpower addition, going forward, I should sort of get benefits of operating leverage in terms of this existing sales team becoming tenured in nature. So, the average tenure of existing 11,300 employees would be lesser versus 9,800 employees that I had at the time of pre-COVID. So, as and when this 11,300 average tenure goes up, that should aid my monetization even further.

Moderator: The next question is from the line of Abhishek Banerjee from ICICI Securities. Please go ahead.

Abhishek Banerjee: Just a couple of more questions from my side. So, in terms of employee productivity, what is it with respect to pre-COVID right now? Is it at 80%, 90%? Or have you already reached 100% of employee productivity?

Abhishek Bansal: So, Abhishek, the way we look at employee productivity is, we look for at a certain tenure what is the productivity. So, for a like-for-like comparison, the sa

me tenure folks are already

higher versus the pre-COVID levels. However, considering we have a good chunk of employees in a lower tenure bucket, that is why overall cohorts productivity might be lower versus pre-COVID?

Abhishek Banerjee: So, can you give me that number, that overall average number, so that I get a handle on how that will impact margins?

Abhishek Bansal: So, the way we look at it is we look at gross cost of sales, which is revenue less direct salaries and incentives that we pay to our sales employees. Pre-COVID, that used to be about 40%, 42%. And currently, equivalent number is about 45%, 46% or so. Having said that, the way productivity is panning out, we should be at even better or lesser cost of sales versus where we were pre-COVID?

Abhishek Banerjee: So, at least a 300, 400 basis point margin improvement coming just from there?

Abhishek Bansal: Yes, it should be even higher. Or the other way to look at it would be that today's quarterly cost structure is showing as Rs. 205 crore as top line, but the same cost structure is bringing in Rs. 230 crore of collection, and the same cost structure will likely generate Rs. 275 crore to Rs. 280 crore of collections in future. This Rs. 275 crore to Rs. 280 crore is the realizable value of sales that I did in last quarter. So, versus about, whatever Rs. 180 crore odd cost structure I had, say, Rs. 185 crore, Rs. 186 crore, Rs. 186 crore should not be benchmarked to Rs. 205

Just Dial Limited

October 17, 2022

Page 13 of 14

crore, it should be benchmarked very theoretically to, say, Rs. 275 crore or worst case, Rs. 230 crore of collections that I got during the quarter.

Abhishek Banerjee: Absolutely clear. Very clear, very clear. Just 1 last question on the new initiative side, which I was trying to ask that. So, most of the new initiatives which you are going to do is going to be on the hyper local B2B side, right? At least that is how you perhaps look, right? So, my understanding is these kind of businesses, it is generally gross margin accretive from day 1. I

mean it is gross margin positive on day 1, right? So, is that understanding correct?

Abhishek Bansal : Can you elaborate further that how do you conclude that these are margin accretive from day 1?

Abhishek Banerjee : So, I mean gross margin positive. So, you will not make sales which actually cost more to deliver than what your customer is paying.

Abhishek Bansal : So, it depends, my top line would be my commission revenue, right? So, my top line would not be the entire transaction value from the platform since I'm an agent, I'm not a principal.

Abhishek Banerjee : Yes. So, you will be supplying the logistics services, right? So, that will be a cost for you.

Abhishek Bansal : Yes, that will be a cost, but you are right that in case of overall unit economics, for example, if I have a 8% commission, whatever spend that I would want to do should ideally fall in that 8% commission bucket.

Abhishek Banerjee : From day 1. That's all I was trying to understand.

Abhishek Bansal : That is how ideally it would be. But honestly, the ecosystem is such that portals are spending much higher to get that 8%, which is what we want to not do because for others who have done that even for last 10 years, they are still struggling with profitability. So, we want to be cautious on how we tread path for these transactions.

Abhishek Banerjee : Absolutely. And probably that explains the delay in those things actually coming up, right?

Abhishek Bansal : Yes, definitely. So, we want to be sure that, okay, it is very easy to scale some of these things, right? So, you can scale up. But at what cost is the key question.

Moderator : The next question is a follow-up from the line of Abhishek Banerjee from ICICI Securities.

Please go ahead.

Abhishek Banerjee : Is there any update on the integration with the pay rent on Jio platforms?

Abhishek Bansal : So, we

are working with overall RRVL team, firstly, to get our strategy piece right. Second, as far as integrations are concerned, some integrations have already taken place with Jio being integrated with our particular app. Efforts are underway to also place JD app as part of various platforms that they have, for example, MyJio and any other similar platforms.

Just Dial Limited

October 17, 2022

Page 14 of 14

Abhishek Banerjee : And any inter linkages between the Jio partner app with JD because that is also a B2B -centric platform or Jio business for that matter?

Abhishek Bansal : So, I wouldn't say anything sort of crystallized at this point of time. As and when there is any specific update for the same we shall share.

Moderator : The next question is from the line of Vijit Jain from Citi. Please go ahead.

Vijit Jain : Abhishek, I just wanted to clarify on the comment you made about revenue less direct expenses, including incentive. I just wanted to rehear the numbers you used. Because you mentioned, I think, 45% as the gross margins pre-COVID and 40% right now. Is that understanding correct?

Abhishek Bansal : No. So, 45% is my current gross cost of sales, which used to be 40% pre-COVID. So, gross margin currently is about, say, 55% versus it used to be, say, 60% earlier. And this 55% should surely cross 60% levels in coming quarters as and when my existing sales force gets tenured.

Vijit Jain : So, when you do this, you are basically just including the direct sales force expenses within your personnel expenses? That's the broader metric.

Abhishek Bansal : So, primarily salaries and incentives that I pay to my sales employees and any other small direct costs that might be there.

Moderator : As there are no further questions, I would now like to turn the conference over to Mr.

Abhishek Bansal for closing comments. Over to you, sir.

Abhishek Bansal : So, in case you have any further queries, please do reach out. We would do our best to address.

Thank you so much for joining, and best wishes for the upcoming festive season. Thank you.

Moderator : Ladies and gentlemen, on behalf of Just Dial Limited, that concludes this conference. Thank you for joining us, and you may now exit the meeting. Thank you.

Call: Jan 2023

Page 1 of 16

Just Dial Limited Q3 FY23 Earnings Call

January 16, 2023

MANAGEMENT : MR. V.S.S. MANI – CEO & MD
MR. ABHISHEK BANSAL – CFO

Just Dial Limited
January 16, 2023

Page 2 of 16

Moderator: Ladies and gentlemen, good day and welcome to the Just Dial Limited Q3 FY '23 Earnings Call. At this moment, all participants are in a listen -only mode. Later, we will conduct the question -and-answer -session. At that time, you may click on the raise hand icon to ask a live question. Please note that this conference is being recorded. We have with us today, Mr. V .S.S. Mani, CEO and MD, and Mr. Abhishek Bansal, CFO.

I now hand the conference over to Mr. Abhishek Bansal, CFO, Just Dial Limited. Thank you, and over to you, sir.

Abhishek Bansal: Thank you, moderator. Hi, everyone. Welcome to Just Dial's Earnings Call for Third Quarter of Fiscal '23. Our operating revenue for the quarter stood at INR 221.4 crores, witnessing 7.9% sequential growth, and 39.3% on year -on-year basis. Y -o-Y growth being higher due to COVID -impacted quarters in last fiscal, our adjusted EBITDA, excluding ESOP expenses stood at INR 29.4 crores representing an adjusted EBITDA margin of 13.3%.

Our employee expenses have increased 29% on year -on-year basis, led by 39% year -on-year increase in headcount across sales, technology, product, content and marketing functions. On a sequential basis, employee expenses were relatively controlled at 3.3% Q -o-Q increase versus headcount increase of about 2.2%. Our advertising expenses for the quarter stood at about INR 5.7 crores.

Other income stood at INR 71.3 crores for the quarter. Last year same quarter had lesser other income due to rising bond yields impacting MTM gains in that quarter. Profit after taxes stood at INR 75.3 crores, representing a growth of 288% on Y -o-Y basis and about 44% on a sequential basis.

During the quarter, we signed up about 66% customers on monthly plans and 3Q collections stood at about INR 245 crores, which was up 6.3% sequentially and 63% on year -on-year basis. Monthly ECS collections, which is money received from direct bank debits for our monthly plan customers that contributed about INR 124 crores, almost half of our quarterly collections, and the same witnessed about 9.7% quarter -on-quarter growth.

Active Paid Campaigns at the end of the quarter stood at about 522,000 which was up 19.3% Y-o-Y and 3.6% sequentially. Paid Campaign addition of about 18,000 campaigns for the quarter despite a festive quarter which tends to be a bit softer, suggests a healthy trend. Deferred revenue stood at about INR 402.4 crores, which was up 6.3% sequentially and about 23.6% year -on-year. Overall ramp -up in sales hiring is yielding good results and we expect momentum to very well sustain in fourth quarter as well.

As far as margins are concerned, they are also on an improving trajectory. As we have mentioned earlier, most employee costs hit our P&L immediately, but corresponding uptick in revenue recognition happens with a lag as services are rendered. With top line growth coming back, operating leverage benefits are also visible with margins expanding. Cash and investments stood at about INR 3,934 crores as on 31st December.

Coming to operational highlights, traffic stood at 156.8 million unique users for the quarter, growing 9.8% year -on-year. About 86% traffic comes on mobile platforms. However, with our new website, which has significant changes over the previous version going live, desktop traffic too should see uptick going forward. Total listings in our database stands at a staggering 35 million as on December end. Several user -friendly features are getting added to our platforms, which should help improve user engagement going forward.

Overall, as we see, we see the core business coming back on track. Revenue and paid campaigns are now very close to pre-COVID levels and the gap should get less shortly as we have mentioned in the last couple of quarters too.

Just Dial Limited
January 16, 2023

Page 3 of 16

Our realizable value, which is money that we expect to receive in next one year from sign-ups that we did in last quarter, was again healthy at about INR 260 crores, INR 265 crores, a slight sequential impact due to festive month which was anyway expected. So overall, top line has decent visibility of growth since collections at INR 245 crores are higher than revenue and the realizable value is higher than current run rate of collections.

With this broad update, we shall now open the floor for questions and further discussions.

Thank you.

Moderator: We have a first question from the line of Amarnath Bhakat from Ministry of Finance of Oman.

Amarnath Bhakat: I just wanted to do, this cash level which you are holding at the moment, close to INR 4,000 crores, what's the plan for this utilization? Because your capex requirement anyway is very less. How this cash is going to be utilized? Any plan for it?

Abhishek Bansal: So Amarnath, the INR 3,900 crores cash we have on our books, out of this approximately INR 1,500 crores we had prior to our strategic tie-up with the Reliance Group, and another INR 2,165 crores got infused as part of that particular strategic deal. At this point of time, one, we are focusing on our core business which anyway is free cash flow generating. At the same time, there are certain new initiatives that we are pursuing. As you would appreciate, we operate in a very disruptive sector so to say. A part of this particular cash could get utilized in future towards promotion of our new initiatives or if any other inorganic opportunities come along. At this point of time, we are ensuring that we get our core business back on track and utilization of this particular cash on the balance sheet, obviously we will take stock as our new initiatives unfold.

Amarnath Bhakat: Your company, yes, as you correctly said also, this is a cash generating company. So the utilization of the cash for your core business is really very limited, and after the Reliance Money came into the business, and these are -- it's become a kind of an investment company that managing the treasury, getting the return, which is much lower than your business returns. Actually, it is hampering your return on capital employed on an overall business basis. So even if your business is growing high, because of that cash level, your ROC is getting contracted a lot. So unless you find out certain fruitful way to utilize this cash, maybe an inorganic or whatever company thing here, this will become an overhang for your return on capital, isn't it?

Abhishek Bansal: So yes, you are right that at this point of time, the major chunk of cash that sits, that earns about whatever 7%, 7.5% yield. So at this point of time, as I said, there are certain new initiatives in pipeline. Once we proceed it over next few quarters, the company could re-assess the best utilization of this cash. At this point of time, we are ensuring that we don't do anything silly with this cash, so to say. And at the same time, whatever returns could be maximized on this particular treasury in the safest possible manner that is being done.

V.S.S. Mani: If I could add to this point, Abhishek?

Abhishek Bansal: Yes. Please go ahead.

V.S.S. Mani: Yes. So when we were doing the deal last year with Reliance, we were around that time, we were just limping back from COVID-related disruptions, but our goals are much more ambitious and Reliance, with the Reliance strategic investment, our idea is to enter into many value-added fields. So though we felt at that time there is a need for capital and that that's all the money was infused into the company.

But this quarter, if you see the last quarter, our strategies have yielded good results. We decided to focus on our core business which is local search, because it was mission critical for us to put our systems in place to overall see performance take off, because we have been

highly profitable company. Yes, you are right, when, with all this new money into the company, there is going to be a challenge on return of capital, but then you don't want to make hara-kiri by throwing that money into some random business to acquire something.

Just Dial Limited
January 16, 2023

Page 4 of 16

I strongly feel with my 20 years, 25 years of experience in this business, the core business has tremendous strength and is a high cash flow, free cash flow business, and if we just stay focused for the next couple of quarters, we will see a huge return on existing -- I mean a huge return in terms of profitability. Yes, it'll be no maybe measurable to the capital that we have,

then we kind of rethink on our strategy, not rethink, fine-tune and see what are the new opportunities. That's how we are thinking right now. This is important to keep our customers happy, the advertisers happy. As you can see this quarter, we have grown our customer base by 25% from last year and overall the businesses is in the right trajectory. These are technical points that you raised, but I would say gradually we'll address these issues. It's better to have a lot of cash in the books, than have debt in the book.

Amarnath Bhakat: So, both the sides, two months is not good that is what things are happening. Other side, when we have seen the company has too much of cash that is a problem and too much cash without 7%, 8% yielding when the business is having 25% kind of ROC is just diluting your ROCE.

Anyway, so I have this two more strategic question.

Operational things is very clear from your presentations, as well as the business understanding.

I have two more strategic questions. One is, see, you are developing so many products, two or three products are on the line, which might be implemented or commercialized maybe another two, three quarters down the line. I'm just trying to understand, the product what you are developing, it is already there in the market in some form, whether it is travel related, whether it is business to business related, whether it is some product, it's already there in the market. I'm just trying to understand what Just Dial is trying to do to differentiate its product from what already in place, whether it is Google for search engine, whether it is IndiaMART for the B2B business, whether it is travel-related hundreds of different kinds of platforms are there. So are you doing something which will differentiate yourself, so the people who will come to you not to others?

V.S.S. Mani: Okay, so let's understand our business. Our business is to help small businesses get customers.

Okay. Which has been for the last 25 years and how we have been doing it? We are giving that one point access to prospective users, who are buyers, who could find and discover and eventually find the right vendor for what they're looking for, and thereby we have been benefiting. So that model cannot change, that remains that, so Just Dial will continue to be a platform, which will generate quality leads for businesses.

A big differentiator between us and other players is, in our case when a small and medium businesses or any businesses or service whatever acquire customers, that customer brings to them, there is a lifetime value opportunity with that customer. Other than most other platforms where the customers are owned by the platform, these businesses happen to be just suppliers. So that, and if you think about every small business want to become a medium size business and medium size business wants to become a large size business one day. So they have to continue to have their own customer base and grow that base. So Just Dial plays a very important role in that.

Now, for an overall user experience, we may have to mimic some of the product features which are there in various verticals. Because as a horizontal, Just Dial give a unique proposition, which is that

you can find local vendors in your neighborhood vendors for your products and services that you're looking for, in most cases you will find names that are familiar to you and you will get far more satisfied buying from those familiar names.

And now that the price difference is narrowing down between online and offline and all that, then the obvious loyalty or rather not the loyalty, the faith is more on local vendors that I know of. But if I have a platform like Just Dial through which I can access those vendors and as a user, I am saying, I would prefer that. Now why, oh well, in that access, should that have the ability to transact on, should that have ability to fix an appointment on time, so that have an ability to place an order online, that's all have to be done, only then the platform becomes relevant.

Just Dial Limited

January 16, 2023

Page 5 of 16

So whatever we are doing in terms of product improvement, features and all that, is only fine-tuning to make it up to date. The basic principle of being a bridge between the buyer and the seller remains and our job is to continuously help small medium businesses grow their customer base, but in that process, if there are requirements to have certain features, that is what we are working on.

Amarnath Bhakat: So this association with the Jio, the market looking at Just Dial is not just a Just Dial, at the moment we are all looking at the Just Dial as a part of the Reliance Group. Now Jio is with his vast kind of a network which they already built across India, how does that is coming to Just Dial, are there strategic things which will give them a competitive edge over any other competitors available in Indian market? This is exactly my question, as I just tried to hint directly to the point, how that Jio association, now Jio is your owner of the company.

V.S.S. Mani: Right.

Amarnath Bhakat: Of course, when Reliance buy something, they doesn't buy it for a small thing, they buy

something for a huge kind of an growth outlook for it over a longer period of time, just trying to understand how that is a competitive advantage for you?

V.S.S. Mani: Okay. So first is, there are certain natural things that come with the Jio partnership. Jio happens to be the largest cell phone provider in the country, almost in numbers. Now, we, the business contact details, the business data that comes to Jio directly flows onto Just Dial, that's further strengthening our database in terms of listing small, medium business from the length and breadth of the country. Then the second thing is, if you look at it, there are retailers which are Jio partners. They also automatically come to our platform and thereby, we are able to enrich our content as well as our vendor based. Then the third of course integrating Jio, Reliance per smart stores platforms and all that.

But let us tell you, the original thinking behind this strategy was how to get there was a kind of a regulatory thing that was happening, where actually the government wanted to differentiate between a platforms which is what you call third -party marketplace, different from first -party marketplace. Now somehow that regulatory reform has not happened right now. So we have plans in place, where the original plan was Just Dial becomes the third -party marketplace, which is like the vendors are any of the local dealers and local manufacturer, whatever it is and you directly as a customer buy from those pick and choose of vendors and the other model was like a warehouse -based model where it was first -party marketplace, basically you then directly buy from a Reliance, JioMart or Amazon and whatever it is.

So that -- since that change has not taken place and there is no immediate plans to do that, we said we would rather focus on our core business. More particularly because core business was really hurt, but yes, you will see in due course of time what you said pr

ecisely will happen.

The big plans. The big picture, we know it's not going to be a small business, but with the right time, this will happen.

Moderator: We have a next question from the line of Nikhil Choudhary from Nuvama.

Nikhil Choudhary: Congrats on good numbers. So just one thing I want to understand, especially related to intangible under development, how that is progressing, are we still capitalizing at the same run rate and how long do we plan to do that, is it going to be in next FY '24 as well? And when do we expect that our capitalization to hit our income statement, basically when we are thinking of monetizing those assets, also the JD Experts, JD Commerce and JD Mart? So just want to understand the dynamics of that particular part?

Abhishek Bansal: So Nikhil, the capitalization during the quarter was about INR 5 crores, taking the total capitalization to about INR 27 crores. Now, these projects, the way it works is that they are built in a phase wise manner and as and when a particular phase gets completed, that particular phase starts getting depreciated in P&L over the estimated useful life of the asset. At this point of time, I think sometime in possibly in say first quarter of next year, some of these particular

Just Dial Limited

January 16, 2023

Page 6 of 16

existing capitalizations should start getting expensed over useful life of whatever two to three years.

Moderator: We have our next question from the line of Mohit Motwani from Nuvama.

Mohit Motwani: My question, Abhishek is on the paid campaign's addition, you have been doing a lot of good paid campaigns due to the monthly payment plans. Now I just wanted to understand, are there any three to four verticals which are actually helping you to grow your paid campaigns very healthily? Are there, two, three verticals that you want to call out? Just wanted to get some insights on that.

Abhishek Bansal: So Mohit, paid campaigns even historically for us no single vertical so to say, contributes more than 4% to 5% of revenues. And even now in terms of recovery that we are seeing, it is extremely broad based. So paid campaigns and realizations are hardly 2%, 3% short of pre - COVID peak numbers and that gap should get bridged very shortly. And the good part is that both geographically as well as in terms of type of businesses, there is a broad -based recovery.

Mohit Motwani: One more question, just wanted to understand the paid campaigns that you have added in the last few quarters, which were mostly on monthly, 70% were on monthly. What kind of renewals have you seen in these additions? Can you give some color on that?

Abhishek Bansal: So most of these particular monthly plan sign -ups that we do, they in a way sort of get auto renewed. At this point of time, of the overall total paid campaign base that we have, now about 55% of those particular paid campaigns are monthly plan basis. In fact, the key advantage with monthly plan is that it obviously is much more affordable to the customer, there is a every month payout that happens instead of a chunky pay out and that is how it works.

Moderator: We have our next question from the line of Rishit Parikh from Nippon India.

Rishit Parikh: Sure. I just had two, three questions. Abhishek, just wanted to understand when, so we've hired a fair bit of people in the last I think three to four quarters, right, especially in the sales side,

right. So just wanted to understand three things there. One, what are the hiring plans? Second, how do we measure the productivity of these employees, and essentially do you think we are operating at an optimum level in terms of productivity or there is more to be done going forward and hence employees will be more productive going forward, and we don't need to hire as much? And then I have a follow-up.

Abhishek Bansal: So on hiring plans, you would see that the first three quarters, or maybe

say first two quarters

of this year, the majority or bulk of sales hiring happened. Last particular quarter overall headcount of the company has increased by only 2.2% only. So I think the way we are looking at it is that since there is more reception of our particular product even after taking bit of price hikes, so we would want to sort of in a calibrated manner keep hiring, keeping next two to three fiscal years in mind.

Having said that, the current sales trend that we have, for the same tenure, productivity levels are already higher versus pre-COVID productivity levels, but the staff that got hired in last two to three quarters, they would definitely start yielding much better results after they become, say six to nine months tenured. So for next couple of quarters, two, three quarters, whatever internal targets that we have, the existing sales strength itself should be able to cater to it. But since we are seeing decent uptick in terms of productivity, so we might want to continue hiring at a calibrated pace, not as aggressive as we did say in last three to four quarters.

Rishit Parikh: Just wanted to sort of understand on the outlook perspective which, what you see in a market, right, is there over let's say a two-year period, three-year period, do you think you can continue the same pace of paid listing addition or this is just some of the one-off gains that you lost in COVID and that's come back?

Just Dial Limited

January 16, 2023

Page 7 of 16

Abhishek Bansal: If you see now for last sort of three, four quarters, three quarters, so we have been adding 18,000 to 20,000, 21,000 paid campaigns every quarter. In the current running quarter, we intend to take our monthly plans from even 70% to 80% or even higher.

The idea is to make it as affordable as possible for the SMEs and the way you can say that in our mutual fund industry, you have that SIP book, in a similar way we would want SMEs to sort of see their particular INR 1500, INR 2,000 spend on Just Dial as a mandatory spend for their particular business. And since we are seeing --

Management: Plus. Yes. Go ahead, go ahead. Continue.

Abhishek Bansal: And since we are seeing a positive response on that, I think paid campaigns growth should keep trending upwards. And again, going forward, whatever revenue growth that we will target, internal target would be half of the growth should materialize from paid campaigns growth and rest half we should be able to take corresponding price hikes. That is what demonstrates the true potential of the product.

Management: So you have to understand, the opportunity is different post-COVID. Post-COVID, small businesses and medium businesses are now realized digital first should be the strategy, not like traditional media, traditional platforms are now getting second priority. So hence that priority shifting to digital first, we are going to be one of the beneficiaries, that's because of that we are able to price it better and we are likely to get more number of customers or advertisers.

So, this probably explains you that in the next probably couple of years, we see continuous growth both in the number of customers and unique customers and as well as average ticket size.

Rishit Parikh: Can I ask one more question or should I get back in the queue?

Management: Sure. Go ahead.

Rishit Parikh: Just on the newer initiatives, right, I think so can you just help us understand where the progress is today broadly and is there a timeline that is sort of useful for us to monitor the progress or the launch deadlines, let's say over a year or two-year period? Again, I'm not asking for a specific quarter, but again anything just to understand, how should we look at it?

Management: So JD Experts, the pilot has been very successful. We are all set to accelerate, probably hopefully by the end of next quarter we should be in full-fledged access by people

, users from

multiple cities. Regarding JD Mart, there are certain important feature development and all that being done and this renewed focus from the management team and you will see that fruits of that also shaping up around the same time.

As for JD Shopping is concerned, as I explained to you, that project we didn't want to prioritize although we've invested a lot of money into it and we continue to capitalize it, we just want to delay the launch. Because there is no immediate urgency to get that rolling, which is the shopping thing, because of the 3P, 1P marketplace confusion that existed before, it's no more

there. So as a Group, as a Reliance company we said like let's Just Dial focus on all the core services and B2B activities, then look at Shopping as a last priority.

Abhishek Bansal: Also, just to add one point here, on JD Shopping, the way ecosystem is shaping. So suppose you sell a INR 100 product on your platform, your commissions broadly are in the range of anywhere 7% to 8% on an average depending on which category you operate in. Now we did certain pilots and ideally as a business I would want all my expenses, including my performance, marketing spend or any adve rtising spend to be curtailed in that 8%, so that over the long run, it becomes a healthy unit economics business.

Just Dial Limited

January 16, 2023

Page 8 of 16

At this point of time, for us, that seems sort of difficult basis whatever pilots we have done and we see that others in the industry are al so obviously unable to operate on a positive unit economics. So consciously we want to be sure that we don't end up spending, you can spend tons of money at the end of day, you will not have that much sticky users. So we want to be sure that we keep improv ing our platform and at the right time do those particular spends to scale up traffic. So I thought we'll add this.

Management: That's right.

Moderator: We have a question from the line of Vivekanand Subbaraman from Ambit Private Limited.

Please go ahead. Mr. Subbaraman, please unmute your audio and go ahead. Please unmute your microphone from the toolbar. Since there is no response, we'll move on to the next question from the line of Hemal S, an Individual Investor. Please go ahead.

Hemal S.: I just have two quick questions, maybe I just joined the call late, maybe you already addressed it, what is the total collection every quarter you used to give the collection amount, what was the collection amount this quarter?

Abhishek Bansal: It was INR 245 crores.

Hemal S.: And what was it last quarter?

Abhishek Bansal: Last quarter was about INR 230 crores and same quarter last year was INR 150 crores.

Hemal S.: So, quarter -on-quarter I'm seeing like active paid campaigns and growth slowing down. Is that a concer n for you or is it just the seasonality is or is that not a concern for you?

Abhishek Bansal: So we added about over 18,000 campaigns. And as I mentioned in my opening remarks as well, October which was a typical festival month, so there part of the additions that were lesser than say 20,000 run rate was attributable to that particular month. So overall, the exit run rate was quite healthy. I think as we go into future quarters, we should continue to see healthy additions.

Management: So festive seaso ns like Dussehra and Navaratri, Dussehra, Diwali is usually the lowest -ever month for Just Dial in the 12 -month calendar year, so that's when both acquisition of customers and revenue dips, but then it picks up. Usually the March, the last quarter is the b est quarter.

Hemal S.: And thank you for that clarification. One more is, when you say revenue fall into the way you would explain two quarters back is, what do you see this year is generally what you should expect six months down the line, is that still a ccurate? Is that my understanding accurate?

Management: It was actually a 12 -month down the line,

I think. Abhishek, go ahead.

Abhishek Bansal: Yes, so INR 402 crores is advances that I have received from my customers for which services are yet to be rend ered. So this INR 402 crores, the average amortization schedule could be say around eight to nine months. Over next eight to nine months, this INR 400 crores will get accrued. Having said that, in those eight to nine months, I will also sign -up customers a nd get collections, a part of it would obviously get accrued in that period also.

So this quarter's INR 221 crores, part of it came out of unearned revenue as on 30th September and part of it came from fresh collections that I received during last particul ar quarter itself.

Hemal S.: And absolutely final, since we have such a large cash amount, what is an average yield that we should expect for FY '24? Like I know it's published, but I'm asking --

Just Dial Limited

January 16, 2023

Page 9 of 16

Abhishek Bansal: About 7.3%. So portfolio's yield to maturit y at this point of time is around 7.3% -- 7.2% to 7.3%.

Hemal S.: And we can say the duration around five years, is that what you are saying?

Abhishek Bansal: No, so we operate at a duration of about 3, 3.2 years, primarily because all mutual fund investme nts become taxes efficient as soon as three years are crossed.

Moderator: We have our next question from the line of Vivekanand Subbaraman from Ambit Private

Limited. Please go ahead.

Vivekanand Subbaraman: I have two sets of questions. One is on operational numbers and financials. So Abhishek, I need your help on the split of the revenue and campaigns, top 11 versus the rest of the market.

That's one. Second, if you would help us with the A&P and the guidance for '23 and '24?

And last financial question is on the estimated realizable value of collections, being now that a 70% of the collections are for company campaigns, how do I make it equivalent to what you were quoting pre-COVID?

Last question is on the slide that you have put this time on enhanced analytics for customers.

So here, what exactly are you doing and where have you progressed in this regard? And how will this help you in your business and monetization? Thank you.

Abhishek Bansal: Okay. So Vivek, on your first query, top 11 cities, they contributed about 62% to revenue and 42% to paid campaigns. So essentially ticket size in Tier 1 is higher than Tier 2, Tier 3. That is why higher contribution by value lesser by volumes. A&P guidance in a steady state, we would want to spend say around 6% to 7% of our top line on advertising spends. This particular year, we spent more on ramping up our particular sales teams, etcetera.

A part of those spends got offset by lesser A&P spends. Having said that, pre-COVID we used to get about 158 million to 160 million quarterly users with about INR 18 crores of quarterly spend. Right now last couple of quarters has been at about 156 million or so, with just about the INR 5 crores, INR 5.5 crores of quarterly spend. So net-net A&P spends can be ramped up at any point of time. For next year as I said that I believe budget in something around 6%, 7%.

On your third question around the estimated realizable value, so last quarter it was about INR 260 crores, INR 265 crores, very slightly short of the INR 270 crores the previous quarter. The way we look at realizable value is that, this is my current estimation, this is the amount of money that I should ideally be receiving in next one year from my customers and this we keep back testing over our historic data. So whatever I had estimated last year same quarter, I did almost end up receiving that much amount over the next 12 months.

Pre-COVID this used to be peak of about INR 235 crores or so. So we are about broadly 15% to 18% higher versus pre-COVID levels, certain months are even higher versus -- 20% higher versus pre-COVID.

On your query around enhanced analytics,

so when we run campaigns for our customers, we

try our best to give them visibility on how their campaign is performing. So they get visibility in terms of their listing showing up, searches happening for their particular specific listing, for their category, clicks happening, calls coming to them, request for quotes going to them.

So this particular analytics section gives them complete visibility on how their campaign is performing on a monthly basis, etcetera. So we have added new features such as giving SMEs ability to sort their particular leads by relevance, sort their leads by recency, trying to give them as much control as possible on their particular campaigns, so they can make best use of whatever visibility that we provide them.

Just Dial Limited

January 16, 2023

Page 10 of 16

And over time, this simplicity and being able to track performance of their campaign directly correlates with how my renewals pan out, how my customers perceive ROI from my platform.

Vivekanand Subbaraman: Just one follow through. So the realizable value of collections is INR 260 crores to INR 265 crores in 3Q, would you be able to help us with the number for the last 12 months, because this migration to monthly packages has been underway since the COVID recovery. I'm just trying to understand, because the reported numbers are still lower than COVID, but in FY '24 you might suddenly have a sharp jump in revenue basis, what you just commented right now?

Abhishek Bansal: So for first nine months of this year, first three quarters realizable value was broadly around INR 765 crores to INR 770 crores. I tend to give a range because it's an estimate. So INR 765 to INR 770 crores and the same for first three quarters of last year was about INR 435 crores to INR 440 crores.

Vivekanand Subbaraman: INR 435 crores to INR 440 crores. So, is this...

Abhishek Bansal: It's because last year obviously there was significant impact of COVID in first one or two quarters.

Vivekanand Subbaraman: So essentially, Abhishek, if we end up with realizable value of collections broadly similar to what we saw in 3Q, is it fair to assess that the fiscal '24 revenue number will be INR 770 crores -plus INR 260 crores, so around INR 1,000 crores? I'm just trying to understand, because the percolation to revenue has been difficult for us to model?

Abhishek Bansal: So technically, if I were to understand, see, whatever I will sell in next particular quarter, those customers will pay me the signed amount over a period of the next 12 months. And whatever that particular money comes in will get accrued over their respective tenures. So it might not one-on-one correlate. So the first nine months amount, yes, with great certainty, I can say that,

yes, that will surely get accrued as revenue in fiscal '24. For last three to four months, a part of it could spill over.

Moderator: We have a next question from the line of Rupesh Tatiya from Intelsense Capital.

Rupesh Tatiya: So my first question sir is, do you have a margin guidance for us, in FY '24 or when we can get back to pre-COVID margins, and how do we get there?

Abhishek Bansal: So in terms of, we do not per se provide a specific margin guidance, but pre-COVID, we used to operate at around 25% to 28% margins. We are obviously coming out of this particular COVID impact in terms of our top-line trying to catch up with the pre-COVID numbers. As far as expenses are concerned, we have already made significant investments in terms of ramping up our particular sales team. So I think next year same quarter or thereabouts we should be on a quarterly basis be coming closer to pre-COVID type of margin levels or could be slightly earlier as well.

Rupesh Tatiya: The second question I have is like, I think the pre-COVID your active campaigns were around 520k, and I think we've reached that number in this quarter. And this might be the easy

part,

whatever we lost, some of our customers were impacted in COVID, they are now coming back. So and you have done so much hiring and so much investments into the business, right. And you are now saying that will grow, pretty much will add 20,000 pretty much every quarter more or less and plus you will continuously grow now for next six to eight quarters. So can you give some second level details around that? Because till here, I think the journey at least was relatively easy in my mind. How do we go from here from 520k to 700k in next six to eight quarters?

Abhishek Bansal: So let us look at it slightly from a top down perspective. So India broadly business ministries estimates itself has about 60 million, 65 million small and medium businesses and other 15 million to 20 million could be freelancer such as gym instructor, yoga teacher, swimming

Just Dial Limited

January 16, 2023

Page 11 of 16

coach, etcetera. They are not technically SMEs, but they are potential listings for us. So broadly the universe could be say 80 million listings.

Now post-COVID, I would argue that against this particular 80 million listings, for sure 1% of this particular universe should surely be at least advertising on a platform such as Just Dial, that itself translates to say 800,000. My database at this time is about 35 million listings. In a steady state, we think that 5% of the database should surely be our particular paid subscribers. So that way that translates to huge opportunity numbers in terms of a 1 million-plus or close to 1.5 million to 2 million subscribers. So there is no dearth of opportunity per se.

Good part is that COVID in itself has made SMEs realize that they need to be present on online platforms from there, from where they could get their particular business to get discovered. During COVID, SMEs which had some online presence could still cater to getting some particular consumers, but ones who were completely offline, they do realize that the way it is important to have an Internet connection for your business or telecom connection, similar way, you need to be present on an online platform, plus the average ticket size of INR 18,000 to INR 20,000 that we charge annually, that overall we feel is very-very affordable for any small and medium business, it's not an amount which will pinch any particular SMEs' affordability.

Rupesh Tatiya: Another part of the question is, you have talked about price hikes and whatever your first batch of monthly customers maybe they have now, I don't know 18 months old, or maybe more than 12 months old, what kind of price hikes we have been able to get there? Or if you can talk about behavior of this cohort in terms of I mean they are going into longer plans or they converted into ECS, what services they are using if you can give some color on that cohort, for example?

Abhishek Bansal: So even today or even before we adopted this particular aggressive monthly plan strategy, we still had a good chunk of customers who have been paying us on monthly plan basis for last several years. Why I'm emphasizing this particular point is that for me, it is important that a particular customer should keep paying me on a month-on-month basis. I am not that obsessed about getting that extra 10%, 12% price hike from that particular customer. In any case for a digital advertising platform, there will be customers who might choose not to renew on an immediate basis, etcetera. So whatever new customers that are coming in, they tend to obviously face price hikes. Customers who have paid in lump sum, whenever their next renewals are due, they also obviously face price hikes. So overall, the target is that part of the growth on the overall cohort basis should come via price hikes that we can take. So I am not that worried about whether a customer who signed up 15 months ago and they are happily paying me INR 2,200 a month, whether I should

Id work to get INR 2,400 out of that particular customer or not.

Rupesh Tatiya: What kind of price hikes we do, like 5% or 10%, 15%, is it? What kind of price hikes...

Abhishek Bansal: So there are two types of listings that we sell. One is the premium listing, other is the non - premium listing. Premium listings have the top six positions. So, if you are searching for a dentist in Ba ndra West, the dentist coming on top, they have typically blocked that inventory for the entire tenure. So if 100 searches are happening, their name will come on top position in all 100 searches. Post those premium listings, rest of the customers get visib ility in proportion to the money being paid by them. There is no fixed position.

Now in premium listings, there is a scientific way by which price hike gets percolated. So the way it works is that, for categories which are seeing growth in traffic, part of the growth in traffic gets percolated as price hike every month. So whenever a particular customer comes up for renewal, at the end of their particular tenure, they see a certain price hike. This particular model also helps us to reduce prices in those ca tegories which are not in demand. So that way if a particular category is seeing say 10% drop in traffic, we are happy to pass or reduce prices by 6% or whatever part of that growth or de -growth.

Just Dial Limited
January 16, 2023

Page 12 of 16

On the non -premium listings, we take price hikes from time -to-time, which is where we took about 12% to 15% price hike, sometime in second quarter of this particular year.

Rupesh Tatiya: Then one small question, in terms of sales employees, can you talk about, I don't know capacity utilization? I know you say that some of these people will start contributing nine months forward, but in terms of capacity utilization might not be the right word. But you get what I'm asking?

Abhishek Bansal: So the way we evaluate is, we look at something known as gross margins or gros s cost of sales, which is nothing but direct costs associated with sales, such as salaries and incentives that way to our sales employees. So at this point of time, we are operating at about 47%, 48% being our cost of sales and pre -COVID during our best mo nths, we used to operate at about 40% or so.

Now this 48% obviously is higher, partly because there is a significant hiring that has happened. So, on the financial side, I would obviously want this 48% to go towards 40% and at the same time as far as potential in terms of output or productivity is concerned, definitely on a overall basis, there is still potential to improve their particular producti vity by 20%, 30%, if not more.

Rupesh Tatiya: And then the final question, sir, is in terms of competitive positioning post the acquisition by Reliance Group. I mean can you give some color on in certain areas, we have got, maybe some areas there where we were trying to work really hard in the past, but we weren't able to get success, now with the help of Reliance, in some of these areas, we are becoming leaders. And then what are some areas where there are still areas of improvement, if you can talk about competitive landscape post Reliance takeover?

Abhishek Bansal: So there instead of specific areas, our strength is in being a horizontal. So the key strength of the platform is the one place where one platform which connects all these small and medium businesses in India. You search for any particular category, you will surely find relevant results. The depth and breadth of results is far superior on the platform. Over last few quarters and in coming quarters what you will see, the same set of database will have much richer content in terms of you being able to see deals and offers being offered by some of these particular businesses, their particular tariff cards, menus, catalogs, basically a much more curated content which will enable users to take much be tte

r decisions, which particular SME to avail services from and so on.

So overall, instead of pre -Reliance or post -Reliance, I would say that as far as core business is concerned, that is more to, the strength lies in being more horizontal, very well oiled sales machinery, the network that we have PAN India. In terms of newer initiatives, which pertain to adding a transactional layer, both on the services side, as well as on the product side, that is where we are working closely with the Reliance team and those particular initiatives are underway.

Moderator: We have our next question from the line of Amarnath Bhakat from Ministry of Finance of Oman.

Amarnath Bhakat: Just two small again the strategic follow -up questions on this. After Reliance get into your business as a promoter, now is there any strategical change happened in the business? Now, they came and show off their way of looking at the business might be different than the Just Dial working before that. So if you can help us to understand, is there any major strategic outlook change after the Reliance comes to the Board?

Abhishek Bansal: So, in terms of the strategic change, I would say that the key priority was that we had two

successive years of COVID impact in terms of say, our top line going down by about 30%, 32% versus pre-COVID levels and the clear strategic discussion that we had was that, how can we in this particular fiscal '23 itself quickly bounce back to pre-COVID levels.

Just Dial Limited

January 16, 2023

Page 13 of 16

So, while the P&L revenue will take another quarter whatever to catch up, but we have been able to the fact that we've been able to cross pre-COVID levels of realizable value, collections at INR 244 crores are anyway higher versus INR 235 crores of pre-COVID revenues.

Amarnath Bhakat: Sorry. Abhishek, I'm not looking at the operational factors. See, whether Reliance is there or not there, the operational recovery post-COVID it is event to be bound to be happened, that is just a matter of time whether six quarter or eight quarter, or two years or three years. I'm just trying to understand from a strategic point of view?

The way the company was working before Reliance came in and after the Reliance took over the majority stake, of course there must be something strategically outlook change, that okay, now the new promoter came, they want that business to be run in a little different way or something in a new direction, I'm just trying to understand that is there any directional change happened in the company, after the Reliance came into picture, not the operational part of it?

Abhishek Bansal: Okay. So as I mentioned earlier, the directional change primarily is to say that this particular platform is a search discovery-based platform, can we add a transactional layer, because things are obviously moving online. Having said that, those particular transaction layer, we are also very clear that we should not be doing something which just results in building off for money, because something does not seem to have unit economics in the long run.

So some of our newer initiatives are clearly an outcome of those particular strategic discussions, which are to say that add a transactional layer such that SMEs which were getting discovered through the platform earlier, can interactions between the user and that SME also get routed via the platform itself.

Amarnath Bhakat: So, it is more of an integrated approach rather than a piecemeal approach, probably because now you wanted to have an app which integrated its nature from top to bottom. So once the SME comes into your platform, they will start from searching up to the end of payment and delivery?

Management: Right.

Abhishek Bansal: Yes. So, in certain categories up to till the end. In certain categories, it could be enabling digital payments. So even if there is a transaction happening in an offline

store, can the

payment be collected via a particular platform? So yes, that is how it is.

Amarnath Bhakat: Is there any change in the top management or the organization structure after this deal happened? Any new management staff I am talking about the top management staff either came in or came out or somebody is about to come in, something like that in the top management? I'm talking about CEO, CEO minus one.

Abhishek Bansal: So at management level, there haven't been any changes. At Board level, we recently inducted two new Directors, which were announced as part of last Board meet.

Amarnath Bhakat: Okay. So management was as it is, as it was before this acquisition took place?

Abhishek Bansal: Yes. Even as part of our discussions, Reliance Group was very clear that they would want the existing management itself to take over and keep running the business, which is how it has panned out.

Amarnath Bhakat: Okay. And last piece of it, a bit operational, now the hiring spree in the last few quarters is suddenly seriously accelerated, of course we all understand that at some point of time the return will come and it is fixed expenditure for which the operating leverage will play out at some time.

Just Dial Limited

January 16, 2023

Page 14 of 16

Just trying to understand, why that was so much of recruitment happened almost in a one quarter or two quarter rather than on a staggered manner as and when the business recovered and as and when the operating leverage from the existing staff are getting factored into the P&L and the balance sheet?

Abhishek Bansal: Okay. See, let us understand, when I hire say 100 sales employees, they take anywhere around, say, four to six months to start producing some decent revenue and they reach their particular peak productivity in say 12 months' timeframe. Now, if I were to follow this particular approach to say that, okay, I will hire 500 people, I will wait for them to become optimal at the end of nine months, 12 months, I would unnecessarily end up losing time.

So what we did was, once we fine-tuned our strategy to say that okay we will aggressively focus on selling monthly payment plans, we saw productivity of existing team itself was ramping-up, that is when we went about aggressive hiring. That aggressive hiring also in my view already was done in a staggered manner. It was not one particular single quarter where we hired. We hired over last four quarters, so that was already phased out.

Amarnath Bhakat: So as an investor, so probably we should read into it that as a management, you are confident that even if the hiring spree was accelerated in the last three, four quarters, the utilization maximization will eventually happen and the idleness of the existing staff will not hurt your margin profile going ahead.

Abhishek Bansal: Yes, whatever is the cost structure -- see whatever people I hire, their salary costs have already hurt the P&L, so to say. Now going forward, whenever the top line starts to show up in P&L, those margins should automatically see expansion. Internally, the way I look at it is, the INR 190 crores cost structure that I have today on a quarterly basis, on P&L basis it shows up as INR 221 crores of top line.

But for me, that INR 190 crores fetched me INR 245 crores of collections and INR 265 crores of realizable value. So, in a way that particular margin profile is already better versus what gets reported. P&L margin is obviously with a lag, that INR 221 crores is coming from customers whom I had sold in last three to four quarters, but my costs are already getting amortized on a monthly basis.

Moderator: We'll take our last two questions. We have a question from Vivekanand Subbaraman from Ambit Private Limited. Please go ahead.

Vivekanand Subbaraman: Just one question. Abhishek, have you spoken about this, the headcount that you have deputed to some of

these projects that are under development, just to unpack the headcount question better?

Abhishek Bansal: So the headcount attributed to some of these projects, that is not very high at this point of time, would be say sub 200 or so, but I'll have to check on exact numbers.

Vivekanand Subbaraman: And are these staff members fungible in terms of -- can they be reassigned to, for example, JD Shopping, you guys took a call that perhaps the regulation and the extent of cash burn needed, doesn't entail a very aggressive or so -- are you reassigning these people to the core business itself, is that how you are carrying it out?

Abhishek Bansal: Yes, that is very much fungible. That straight away proof is that this particular quarter, while total headcount addition was 300 employees, my sales count addition is already 600. So some of those particular employees, we found it prudent to reshuffle and reassign to our core business.

Vivekanand Subbaraman: And last quarter, I believe you had mentioned that you have around 600, 650 people in JD Mart, is that the same or have you added anymore people?

Just Dial Limited
January 16, 2023

Page 15 of 16

Abhishek Bansal: So that stands at broadly around 750 or so at this point of time.

Moderator: We'll take our last question from Sarang Sanil from RW Investment Advisors.

Sarang Sanil: Congrats on a good set of numbers. So a couple of questions. Could you give a breakup of revenue and paid campaigns into Tier 1 and 2, 3?

Abhishek Bansal: So Tier 1 cities contributed about 62% to revenues. And the paid campaigns, they contributed about 42%.

Sarang Sanil: Okay. So that's broadly the top 11 cities? Is it?

Abhishek Bansal: Yes, top 11 cities.

Sarang Sanil: Okay. Understood. Okay. Sir, one thing I don't understand is that, so I posed as a seller and I experience, so I tried calling JD and everything, so I tried with multiple cities and a minimum subscription cost for a city called Coimbatore, which could probably Tier 2, Tier 3 city, the minimum subscription was INR 3,000 and some place like Bangalore, the minimum subscription was INR 4,000 per month. Okay. I don't understand how annually it turns out to be INR 20,000 -- INR 18,000 to INR 20,000 on paper, while when we annualize the monthly thing, it is around INR 45,000 to INR 50,000, right? So is it because lot of people are dropping out?

Abhishek Bansal: Okay. So couple of points there. One, the average ticket size that you see is on a blended basis for Pan India and Tier 1 cities typically are about 30%, 35% higher, whereas the other smaller cities are at a lower price point. Secondly, this particular pricing also tends to be customized at a category level. So no, not all customers across the city will face a similar pricing. So once our particular feet on street comes up, they understand what are your keyword requirements, which all geographies you want to target, basis that they propose the relevant pricing.

Sarang Sanil: Understood. So could you give us an average ticket price of Tier 1 city or Tier 2, 3 city?

Abhishek Bansal: So as I said that in the case of -- let me check, I don't have it really. Tier 1 cities versus the

average, it is about 30% higher.

Sarang Sanil: Right. No, on absolute terms?

Abhishek Bansal: Absolute, I will have to check, it should be around INR 26,000, INR 27,000 or so.

Sarang Sanil: Okay. So that's like roughly INR 2,000 per month.

Abhishek Bansal: Yes, INR 2,200 per month on an average.

Sarang Sanil: For a Tier 1 city, right. Okay. Sir, a follow-up on the same, sir what is the percentage of overall paid campaigns, stay for a year or more on an average?

Abhishek Bansal: What percent of, sorry?

Sarang Sanil: Of the overall paid campaigns, say we have about 5.2 lakh, right. So how many of them actually stay for a year?

Abhishek Bansal: So historically, the churn rate that we have had, which we s

ee as, if hundred customers signed

up today, how many go into year two, exactly one year down the line, that is around 55% retention, say around 40%, 42%, do not go into year two. Having said that in our particular case, which we have discussed multiple times in the past as well, a particular customer wanting to pause their campaign after a period of one year does not mean that they have churned out for life.

Just Dial Limited

January 16, 2023

Page 16 of 16

Advertising tends to be a slightly discretionary spend where a person might think that, okay, let me pause the campaign for three months, see how my business is doing, three months later or six months later, they might want to come back into the paid ecosystem with higher or lower spends. So the way we look at it is, I mean overall any particular customers that we are signing up other than, okay, just after one year, how many are going to year two or not. For example, during the COVID period, customers who churned out that particular year who did not renew, a good chunk of them are coming back into to the paid ecosystem today.

Sarang Sanil: Also, one more thing. So from my experience, you don't give any discounts for customers paying upfront annual fee, right. Why is this so? Say a B2B be a player like India MART, it really gives out a discount for paying upfront?

Abhishek Bansal: Okay. So, this was an intentional strategic call that we took. We did use to give some particular discounts for upfront payments. As I've been saying, cash discount which sounds logical difficulty as well. But then what we realized was, in those particular situations at times there tend to be bit of miss commitments, because the sales person is wanting to get the lump sum money upfront.

So we said that we anyway as an organization are keen to sign-up as many customers on a monthly plan basis. We actually do not want customers to pay up on a lump sum basis upfront. We want those particular customers to pay us on a monthly basis and keep paying us for a longer time frame. So that is the reason we decided that, okay, let us withdraw those particular discounts on upfront plans. Having said that, our particular branches do have discretion to run some short-term offers that they might want to do, which is a key feature in any business.

Moderator: I would now like to hand the conference over to Mr. Abhishek Bansal for closing comments.

Abhishek Bansal: Thank you everyone for joining us. In case you have any further queries, please do reach out to us. We will do our best to address and that's it from our side. Thank you.

Moderator: Thank you, sir. On behalf of Just Dial Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Apr 2023

Page 1 of 18

Just Dial Limited Q4 FY23 Earnings Call

April 18, 2023

MANAGEMENT : MR. V.S.S. MANI – CEO & MD
MR. ABHISHEK BANSAL – CFO

Just Dial Limited
April 18, 2023

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to the Just Dial Limited Q4 FY '23 Earnings Call. At this moment, all participants are in the listen-only mode. Later, we will conduct a question and answer session. At that time, you may click on the raise hand icon to ask a live question. Please note that this conference is being recorded. We have with us today, Mr. V.S.S. Mani, MD and CEO and Mr. Abhishek Bansal, CFO from Just Dial Limited. I now hand the conference over to Mr. Abhishek Bansal, CFO from Just Dial Limited. Thank you, and over to you, sir.

Abhishek Bansal : Thank you, moderator. Hi, everyone. Welcome to Just Dial's Earnings Call for Fourth Quarter of Fiscal '23. Our operating revenue for the quarter stood at INR232.5 crores, witnessing 5% sequential growth and 39.5% on a year-on-year basis. Year-on-year growth seems higher due to COVID impacted quarters in last fiscal year, fiscal '22. On a per day basis, Q-o-Q revenue growth stood at 7.4% in last quarter. Our adjusted EBITDA, excluding non-cash ESOP expenses, stood at INR35.6 crores, representing an adjusted EBITDA margin of 15.3%. Our employee expenses have increased 29.2% on a year-on-year basis, led by about 37% increase in average headcount for the year. Last year, we have done primarily recruitment in our sales, technology, product and content teams. On a sequential basis, employee expenses were relatively controlled at just 3% Q-o-Q increase with headcount remaining almost flattish. Our advertising expenses for the quarter stood at about INR6 crores.

Other income stood at a normalized level of INR74.2 crores for the quarter. Profit after taxes stood at INR83.8 crores, representing a growth of 278% on Y-o-Y basis due to low base effect and 11.3% on a sequential basis. For full year, revenue grew 30.6% year-on-year to INR845 crores. EBITDA margin, excluding ESOP expenses, stood at 11.3% for the year. Overall, as you see, fiscal '21 and fiscal '22 were impacted for us due to COVID, but the business has been able to bounce back very strongly this year.

In fiscal '23, our projections stood at almost INR945 crores, representing about 44% year-on-year growth. We sold about 68% of our contracts on monthly plans this year, as a result of which, monthly ECS collections have witnessed very strong growth. Our March month ECS collections from customers stood at about INR45 crores, which was just about INR26 crores a year ago. This essentially demonstrates that we are exiting the year on a relatively strong note. As far as margins are concerned, they are also on an improving trajectory. And as we have mentioned earlier, most employee costs hit our P&L immediately, but corresponding uptick in revenue recognition happens with the lag as services are rendered. So while reported EBITDA stood at INR96 crores for the year excluding ESOP expenses, there was a INR100 crores difference between accrued revenue and collections for the year. As and when revenue catches up with collections, margins will see expansion, which is also visible on Q-o-Q basis. Deferred revenue was also very healthy at all-time high of about INR438.2 crores, growing 29.6% on a year-on-year basis and 8.9% sequentially. This was led by strong 4Q collections, Just Dial Limited

April 18, 2023

Page 3 of 18

which were about INR268 crores, up about 9.5% sequentially. Active paid campaigns at the end of the quarter stood at 538,000 approximately, which was 16.6% year-on-year and 3.1% sequentially. Overall, cash and investments stood at INR4,067 crores as on 31, March. Coming to operating highlights. Traffic stood at 159.3 million unique users for the quarter, growing 10% year-on-year. 86% traffic comes on mobile, and mobile traffic is growing at about 13% year-on-year. Total listings now stand at about 36.5 million. Both desktop and mobile platforms are

seeing a revamp and several user-friendly features are getting added as we speak.

Overall, if I were to summarize, FY '23 was a very healthy recovery year for us. Our assessment is that we are exiting the year on a strong footing on most parameters, for example, traffic is close to pre-COVID peak levels, have been higher also, but current traffic came in at almost 65% lesser spend versus pre-COVID advertising run rates. Paid campaigns have surpassed pre-COVID levels as well. Most of the top line driving parameters such as collections, the deferred revenue are all quite healthy.

Pre-COVID, we used to get just about INR20 crores, INR21 crores on a monthly basis from our monthly plan customers. But that, as I just mentioned, stood at INR45 crores for the exit month. Margins on reported basis are in mid-teens. But with respect to collections, they were still 25%+ in fourth quarter. Our endeavor this year would be to build on a strong base, which is laid down in fiscal '23.

With this update, we shall now open the floor for questions for further discussions. Thank you.

Moderator: We have our first question from Vivekanand Subbaraman from Ambit. Please go ahead.

Vivekanand Subbaraman: Hello. Thank you so much for the opportunity. So I'll start with the bookkeeping questions. So could you help us, Abhishek, with the split of the paid campaigns by top 11 cities versus the non-top 11 cities and the revenue split, that's one.

Secondly, Abhishek, I think in an interview today on television, I think you mentioned a little bit about JD Mart and its progress. Could you help us understand the journey of JD Mart? I mean, it's been almost three years since launch, what does it contribute to revenue? What is the percentage of manpower there? What is the realization? And obviously, also in terms of, let's say, if you are able to quantify the operating margins there or any other qualitative aspect, that would be very helpful? Thank you.

Abhishek Bansal: So, Vivek, on your first question regarding Tier 1 versus rest of the cities, so Tier 1 cities contributed about 61% to revenues and about 41% to paid campaigns. So essentially, our ticket size in Tier 1 is more than twice of what we have in Tier 2, Tier 3 cities. On JD Mart, the platform is shaping up well. The way we look at it is B2B segment now contributes over 26% of our overall revenues versus three years back, this contribution was just about 20% - odd or so. In terms of traffic as well, these particular categories now get almost 10% of our overall traffic. And in order to monetize this segment better, there is a 700-750 member dedicated team that is working on monetizing these B2B categories.

Just Dial Limited

April 18, 2023

Page 4 of 18

Even going forward from next two years to three years, I think this particular segment should be the key driver for growth for us because in B2B segment, most of the SMEs do require a platform such as ours to get -- to reach out to customers pan-India.

Vivekanand Subbaraman: Okay. This is very helpful, Abhishek. Just a couple of follow-ups on JD Mart. So, when you say 26% of revenue, this is exit or is it fiscal '23? That's one. Secondly, could you give us any color on the realizations on the JD Mart side? And also, when I look at similar web, right, it shows that the traffic doesn't seem to be very big in JDMart.com. Perhaps you are getting still a lot of traffic in these categories on Justdial.com. So could you help us understand this better? And also, when you say that this is going to be a key driver, how is it that you will drive revenue growth here? Is it going to be getting more SMEs to pay for JD Mart, or is it going to be getting more revenue from the existing ones who are already paying you? If you could help us with some of these things, that will be helpful?

Abhishek Bansal: So the 26% revenue contribution is for the full year. The exit run rate would

be probably 0.5%

or 1% higher. As far as realizations are concerned, realizations on the B2B side broadly should be I think, 10%, 15% higher versus the rest of the paid subscription business that we have. Coming to your point on traffic, see, the way we look at this particular traffic is that pages

which are specific to JD Mart, all the B2B pages, which could be a product page for a particular B2B digital catalog or specific results page, those particular pages are available both within Justdial ecosystem as well as the new JD Mart ecosystem. For a merchant signing up a B2B listing, it does not matter to them whether a particular inquiry was generated from Justdial or JD Mart. Justdial has a very strong SEO recall, SEO rankings. So it makes sense for us to leverage those particular rankings for even B2B-related pages. So overall, we look at it on a combined basis that out of the 159 million users that I'm getting, on a combined basis, about 10% of the traffic came for these B2B related pages.

Vivekanand Subbaraman : Make sense. Thank you so much. I'll get back in the queue.

Abhishek Bansal : Thank you.

Moderator: Thank you. We have a next question from Nikhil Choudhary from Nuvama. Please go ahead.

Nikhil Choudhary: Yes, Abhishek. So I have a couple of questions. One is regarding the contribution of B2B, which is already at 26%. So what is your expectation going forward, or what kind of contribution it can become in the next couple of years?

Abhishek Bansal : So Nikhil, good part this year was that there was relatively broad-based recovery and even the B2C side of categories had a very strong rebound in our 50% year-on-year collections growth. B2B segment is having a relatively higher growth. This 26% over the next two to three years, our assessment is it could go towards, say, 33% to 35% or so. But we'll obviously keep assessing this each quarter, each year as it passes by.

Just Dial Limited

April 18, 2023

Page 5 of 18

Nikhil Choudhary: Sure, Abhishek. Second is in the interview in the morning, you mentioned about your collection margin hitting 25%. So I just want to understand what would be the time line basically in terms of its conversion and its impact we can fully see in our financial?

Abhishek Bansal : So I think pre-COVID, we used to be at a sustainable sort of 25% -plus kind of margin, and we exited last year at about 15% -odd margin. So I think next year, same time, we are targeting that we want to be at that pre-COVID margin levels. As I mentioned during my interviews as well, the accrued revenue for the year stands at INR845 crores and my total operating expenses of INR758 crores. In reality, they actually fetched me INR945 crores for the year. So while P&L revenue recognition will catch up with collections, I think in another three to four quarters, that catch-up should happen.

Nikhil Choudhary: Okay. Understood. Just one more on bookkeeping side, Abhishek. Tax rate since last three quarters has been relatively low, what is the reason for that? And what would be the normalized tax rate going forward? That's it from my side, Abhishek. Thank you.

Abhishek Bansal : Okay. So on our operating income, we attract a complete 25.2% tax rate. There are one or two deductions that we get. Effectively, it should be around 24%, 24.5% or so. Having said that, in a year, if operating income is on the lower side, those reductions result in a much lesser operating tax rate. But for next year onwards, I think 24%, 25% should be the tax rate on operating income and other income so far used to attract about 12% to 13% tax rate. So as you know, that taxation norms have changed from 1st of April, the treasury, that is already invested the gains that will get realized out of these investments should on an average get taxed at 12% to 13%, assuming we are holding them for three years, wherein it will be taxed at 20% with indexation.

Nikhil Choudhary: Okay, Abhishek. Understood. Thank you so much. Good luck for next year.

Abhishek Bansal : Thank you.

Moderator: Thank you. We have a next question from Swapnil Potdukhe from JM Financial. Please go ahead.

Swapnil Potdukhe: A couple of questions. One, on your headcount change. So what we noticed that your sales headcount has come off quite recently on a sequential basis. Was that a particular effort that you took to save on cost, or have you reached the required number of people to ensure that you can continue to grow at a certain growth hereon? What was the reason, basically?

Abhishek Bansal : So Swapnil, on headcount, fourth quarter typically sees lesser hiring because primarily there is a chunk of hiring that we directly do for the freshers from campuses and those joining that typically during the first quarter or so. So fourth quarter has relatively muted hiring. That is why you see that dip of around 250 -300 employees in sales, but that is just an aberration. This year, the increase in manpower was significantly higher, which has yielded this particular growth as well. Going forward, there will be hiring but will be relatively calibrated.

Swapnil Potdukhe: Will it be possible for you to quantify that, like versus the current year may be?

Just Dial Limited

April 18, 2023

Page 6 of 18

Abhishek Bansal : So probably, I mean, it could be around, say, overall basis, 8% to 10% at best. And there will be that whatever hiring that we have done in the last two to three quarters, we get them to desired productivity levels and thereafter reassess that, what kind of hiring we need to do for growth in later half of fiscal '24 and even fiscal '25.

Swapnil Potdukhe: Got it. And second question is on your sequential paid campaign additions. Now if I see over the last five quarters, your number has come off in this quarter, if I were to just compare that with the numbers that you were adding. So is that to say that the easier part is done now and here on the paid campaign additions will come to a normalized rate, which was seen at the time of -- just before the start of COVID?

Abhishek Bansal : Okay. So see, sequential trend in paid campaigns, I don't think so we should look at it in that much granularity that we were adding 18,000 and that has come to 16,300. Overall, on a broader picture, if you see for the year as a whole, it was decent, this particular 30% revenue growth was late as about 17%, 18% growth via realizations and rest via paid campaigns. Fourth quarter has lesser working days compared to third quarter. So those things can play a bit of a role in terms of volume count. For next year and the coming years, overall, we would look at growing our top line, let's say, half of the growth materializing from addition of paid campaigns and rest half by realizations. There is nothing to say that easy growth has already come in and now it will be a previous sort of levels and so on.

Swapnil Potdukhe: But with the base of 76,000 additions in this year, will that be possible to achieve?

Abhishek Bansal: Yes, definitely. So I would say that we are now at a level where we were pre-COVID. Ideally, this particular business should be at a much higher level. Even from a top-down perspective, India has about 65 million small and medium businesses, another 10 million to 15 million could be freelancers, so a universe of, say, 75 million to 80 million businesses. Why should 1% of the population at least not be spending on digital advertising? 1% is a very conservative number, which comes to 800,000. So that way, this is not about opportunity size, etcetera. So the numbers that we have 538,000, etcetera. I mean, there can very well be a growth on these particular numbers for coming several years.

Swapnil Potdukhe: Got it. Just one last question, if I can also squeeze in. Any update on JD Xperts? Last time, I think you had mentioned that the pilot

was successfully conducted, and you're expecting a full-fledged launch in the next quarter. So any update on that?

Abhishek Bansal: So JD Xperts, in terms of user experience, things are getting fine-tuned. Now for whatever bookings that we are accomplishing the cancellation rates, which were about 35%, 36% two quarters ago have come down to almost about 20% levels. 91% of the bookings are happening are being fulfilled on time. The average rating that we get from users for services rendered is 4.7 plus. So, this way, user experience at least is quite well established. And going forward, we shall look to scale up transactions for JD Xperts during first half of fiscal '24.

Swapnil Potdukhe: Is JD Xperts by any chance supporting your realizations improvement? How do you report that in your...?

Just Dial Limited
April 18, 2023

Page 7 of 18

Abhishek Bansal: At this point of time, there is no revenue contribution of JD Xperts that gets recognized as revenue and financials.

Swapnil Potdukhe: Got it. Thanks a lot for those answers. Good luck.

Abhishek Bansal: Thank you.

Moderator: Thank you. We have our next question from Darshil Zaveri from Sapphire Capital. Please go ahead.

Darshil Zaveri: Yes. Hi, thank you so much for taking my question. And congratulations on a great set of results. So, sir I would just like to ask, I think we are back to a pre-COVID level, so, kind of whatever our growth ambitions was they would have been gotten delayed by two years. So, what trajectory do we see over the next two, three years? Will we be able to grow at 30%, 40% growth rate? That was my first question.

Abhishek Bansal: So, Darshil, you are right. COVID did set us back by almost about two years. But the good part is that this particular year, First, in a single year, we were able to grow several of our top line parameters by 45% to 50%. Second, the exit run rate is much healthier versus where it was pre-COVID. So, as I mentioned in my opening remarks, we used to get about INR20 crores, INR21 crores from our ECS, monthly ECS customers way back in March '20.

But I exited March '23 at INR45 crores. So, basis that overall, fourth quarter collections were, say, about INR268 crores. And pre-COVID run rate was about INR235 crores. So, on that basis, we are already about 17%, 18% higher versus pre-COVID levels. Since we have been able to achieve such strong growth in one particular year. We do think that we will be able to have sustainable growth in coming years. Now in quantifying the same, whether that will be 20%, 30% or whatever, that we will have to see as we go along.

Darshil Zaveri: Okay, sir. So sir, with regards to margins, I think our target, would be to go back to pre - COVID levels. So would that be a linear type of growth where we could see quarter -on-quarter improvement? Or would it come after a jump when we hit a certain benchmark revenue level?

Abhishek Bansal: So, the way revenue recognition works for us is that if I pick up a contract of, say, INR24,000 from a customer. The revenue recognition is on a daily basis for say, INR24,000 divided by 365. Most of my expenses, they tend to be front ended. So, if I have ramped up my hiring, most of my employee expenses hit my P&L in that very month, which is why this particular year, my reported margins are relatively on a lower side. So, as and when revenue recognition keeps improving in future quarters, margins should keep expanding. So, you could take cue from last two to three quarters the kind of sequential improvement we have been able to demonstrate. Similar sort of trend should continue in future quarters, assuming we are able to grow our sales in a similar fashion.

Darshil Zaveri: Okay. Sir, and if I may ask one more question regarding top line. Sir, do we face any seasonality in our top line? Or would we be able to see a kind of Q -on-Q increase?

Just Dial Limited

April 18

, 2023

Page 8 of 18

Abhishek Bansal: So, typically, fourth quarter tends to be relatively stronger for us; first quarter, slightly softer, primarily reason being that historically, March month, which is the year -end month, has seen surge of customers who have signed up and year -on-year, their renewals keep coming in. So, slight seasonality is there. Otherwise, there isn't much of a seasonality, though at a specific category level, there could be. For example, in first quarter or summer months, there would be customers for AC repairs kind of categories who could be signing up, in wedding season, it could be related categories and so on. But since overall revenue base is very diversified across categories there isn't much of a seasonality that way .

Darshil Zaveri: Okay. I think that helps me a lot. Thank, you sir. And all the best.

Abhishek Bansal: Thank you.

Moderator: Thank you. We have a next question from Darshit Vora from RoboCapital. Please go ahead.

Darshit Vora: Good evening. So, my question is quite simple, actually I just need a basic ballpark view of revenue and margin guidance going in FY '24 and '25?

Abhishek Bansal: So, Darshit, in terms of explicit guidance, we do not issue a particular guidance. But I think some of our parameters should be able to give some cues on where things could be headed. For example, as I mentioned, against INR845 crores of revenue, we had about INR945 crores of collections. The realizable value, which is the amount of money that I expect to receive in next one year. From sign -ups that I have done in the last year, that stood at broadly about INR1,000 crores or so. My deferred revenues stood at INR438 crores. And that has been growing at 30% year-on-year. So, basis this, there could be, I mean, there should be healthy revenue growth next year.

As far as margins are concerned, they should see sequential improvement. And the target would be to exit next year or even earlier at about pre -COVID margin levels. And in case there is scope for additional margins, we would take a call whether we would want to deploy those incremental margins towards advertising to grow the user base, which would aid monetization in future years.

Darshit Vora: Okay. All right. Thanks so much.

Abhishek Bansal: Thank you.

Moderator: Thank you . We have our next question from Vijit Jain from Citi. Please go ahead. Mr. Vijit Jain? Since there is no response, we'll move to the next question from Vivekanand Subbaraman from Ambit. Please go ahead.

Vivekanand Subbaraman: Thank you so much for this follow-up opportunity. Abhishek, could you talk a little bit about the INR30 crores intangible assets under development money that was spent in fiscal '23?

Could you give us some colour on how much got spent in Xperts, shopping and other discretionary projects and how to think about this number getting operationalized in the P&L?

Just Dial Limited

April 18, 2023

Page 9 of 18

Abhishek Bansal: So, Vivek, we had about INR30 crores spend towards these particular newer initiatives. And this particular development happens in our phase -wise manner. Most of these particular developments for the first phase are coming to end. So, I think sometime during the next or subsequent quarter, they should start getting capitalized. So, basically, they should move from intangible assets under development to capitalized assets. And thereafter, they would get

depreciated over the useful life of these platforms, which could be broadly around two and half to three years.

Vivekanand Subbaraman: Great. This is helpful. Thanks a lot.

Abhishek Bansal: Thank you.

Moderator: Thank you. We have a next question from Ruchi Mukhija from Elara Capital. Please go ahead.

Ruchi Mukhija: Yes. Abhishek, since you last spoke about this, has there been any strategic discussion on the use of cash?

Abhishek Bansal: So Ruchi, right now, the INR4,050 crores

treasury is deployed in safe instruments. They yield about 7.2%. There is no explicit thought process right now on utilization or disbursal of this particular cash. The idea is that the macro environment remains uncertain. We operate in a very disruptive sector, so to say. So, there could be opportunities in future either on the organic side, for example, some of our newer initiatives. They might require part of the cash, though our core business itself throws sufficient free cash flows. Or the way environment is panning out, there could be some inorganic opportunities as well. So, having said that, there are no incremental discussions over the last quarter regarding this particular usage of cash.

Ruchi Mukhija: Got it. Secondly, we used to see a seasonality for your advertisement spend, which used to fall more in the Q1 or June quarter. Do we expect the similar to happen this year? Have you started some new advertising plans for this quarter?

Abhishek Bansal: So, advertising spends, in the past, it has seen seasonality whenever we have done typically TV advertising because that tends to be lumpy in nature. Last year, bulk of the advertising was digital in nature. So, that was quite smoothened out. For next year, we could, we think INR35 crores, INR 40 crores we are earmarking for digital and related initiatives. In case we assess that we need to spend more either for new initiatives or otherwise for the core business. We will assess at that point of time. So, as of now, I would not build in any particular seasonality for advertising spend.

Ruchi Mukhija: Got it. And then last bit, Abhishek, we know that, I mean, Just Dial has started integration process with ONDC. Does that have any overlap with some of the new initiatives that Just Dial is pursuing?

Abhishek Bansal: So, with ONDC, the integration, etc., is in relatively initial stages itself. We do understand that ONDC as an architecture is still getting finalized. Some particular partners have come in onboard as buyer apps and some have come in as seller apps. Our core strength historically has been service-oriented categories. So, we would see how this thing pans out. And what role we Just Dial Limited

April 18, 2023

Page 10 of 18

can play either as a seller side app, wherein we can onboard vendors whose digital catalogues we could create. Such that those vendors could sell online via any of the buyer side apps that are out there but it should not conflict so to say, with any of our existing initiatives.

Ruchi Mukhija: Okay. Let me add more details around this. As you said, you have strength around the service categories. Do you see or when we see having some kind of play in JD Xperts, at least at the concept level?

Abhishek Bansal: So, my limited understanding is that ONDC plays a role more on the product side, wherein if you are selling a particular product, you have a flexibility to sell via any particular consumer app, front-end app. And you also have the flexibility to choose any logistics partner for fulfilment of those. On the services side, I don't think so at this point of time ONDC shall play that significant role.

Ruchi Mukhija: Thank you, Abhishek.

Abhishek Bansal: Thank you so much.

Moderator: Thank you. We have our next question from Lavanya Tottala from UBS. Please go ahead.

Lavanya Tottala: Thanks for the opportunity. Hi Abhishek, so most of my questions are answered. I just wanted to understand your view about the incremental paid campaigns increase given the macro environment, which is making it a bit difficult for SMEs. So how do you see the incremental increase in next year FY '24 specifically?

Abhishek Bansal: So Lavanya, while you rightly pointed out the macro remains challenging. But the good part for our particular business is that post-COVID, most SMEs have a realization that if they have even INR10,000 to spend for advertising, they should ideally

spend on some digital initiatives rather than any traditional media or so.

And our particular subscriptions are quite affordable at just average ticket size of INR18,000 per annum. So to that extent, so far, we have been able to grow our campaigns in the last 3 to 6 months as well when these macro challenges have been unfolding. We'll see how things proceed. But at this point of time, I think we are fairly confident that we should be able to still

manage this macro and be able to grow both our campaigns as well as realizations for next year's growth.

Lavanya Tottala: Okay. So I mean, just wanted to make my understanding clear, even the exit rate in the month of March and April, more or less, the situations are not that bad as one would assume, right?

Abhishek Bansal: So March historically has been a seasonally strong month for us and this year was quite strong, like it used to be pre-COVID. April, it is still very early days, first 2 weeks itself. And in our business it's not possible to ascertain just on weekly trends whether there is softness or not. So far I do not see those concerns.

Lavanya Tottala: Okay. Got it. So I just have missed this part - B2B contribution is 26%. And within that, JD Mart, what will be the proportion of JD Mart?

Just Dial Limited

April 18, 2023

Page 11 of 18

Abhishek Bansal: So when we refer to JD Mart, we are essentially referring to the B2B side of the business. So 26% of our overall revenue came from SMEs who deal in B2B-related categories.

Lavanya Tottala: Yes. Out of that, how much is through Just Dial and what will be the share of JD Mart, the direct hit?

Abhishek Bansal: So there is no segregation that happens. So when a particular ball-bearing manufacturer signs up with us, that particular amount results in services being rendered across my -- all platforms, be it JD, JD Mart, be it the mobile platform, desktop platform, voice platform. There is no platform-wise segregation of that revenue.

Lavanya Tottala: Okay, Got it. And on the ad spend that you have mentioned INR35 crores, that's for the full year, which you have earmarked? Or...

Abhishek Bansal: Yes, for the full year fiscal '24.

Lavanya Tottala: It's the overall ad spend? Not just...

Abhishek Bansal: So this INR35 crores, INR40 crores we have earmarked primarily for the core business itself. For other initiatives, that will have to be looked at separately.

Lavanya Tottala: That you are planning any time soon in the next coming 1, 2 quarters for JD Mart or JD Xperts specific advertising in coming few quarters?

Abhishek Bansal: So as and when we have more clarity on the same, we shall share. So immediately, I think in next or the ongoing quarter, there is unlikely to be a meaningful stand on the same.

Lavanya Tottala : Got it. Thank you so much.

Moderator: Thank you. We have our next question from Abhishek Banerjee from ICICI Securities. Please go ahead.

Abhishek Banerjee : Hi Abhishek, thanks for the opportunity. Obviously, a great set of numbers. Just wanted some clarity on your plans for JD Mart going ahead. So you gave some details on how the transaction level KPIs have turned out for JD Xperts. Can you give something similar for transactions that are happening in JD Mart?

Abhishek Bansal: So Abhishek, JD Mart is also a paid subscription basis model. The key difference versus the core Just Dial platform is that JD Mart is focused towards B2B and search for JD Mart originates primarily as a product-based search. So earlier on Just Dial, you would search for, say, coffee machine manufacturers. But in case of JD Mart, you would specifically search for coffee machines, you will get various products out there.

And from there, you navigate to the specific merchant and then get in touch with that particular vendor. In essence, both are primarily lead generation models. In B2B, many of the user requirements are customized

in nature; buyer and seller need to agree on delivery terms, payment terms, quality of the product associated, etcetera. So to that extent, the key difference,

Just Dial Limited

April 18, 2023

Page 12 of 18

as I said, it is about the products being brought. These products have been brought in on JD also in those B2B listings, and there is a dedicated platform, JD Mart as well.

In terms of numbers, I think we have about 6.5 million -7 million businesses which qualify for these B2B categories. And out of those, for about 1 million listings, we have catalogs on our platform. Those catalogs are being enriched on a day-to-day basis. And B2B categories currently contribute about 10% to our overall traffic that we get in any quarter.

Abhishek Banerjee : Understood. So you will not be getting into the ordering and fulfillment part of the value chain with JD Mart?

Abhishek Bansal: See, the ordering and fulfillment part in case of B2B primarily happens for bulk purchase of, say, branded goods itself. So you need, say, 10,000 pieces of 100 ml Dettol hand sanitizer.

Yes, those particular transactions can take place. But that, again, is a low-margin e-commerce

business. For us, the low-hanging fruit is to grow our revenues from the subscription business on the core B2B side, wherein we are able to get quality buyers for sellers listed on the platform.

Abhishek Banerjee : Got it. And then JD Shopping is going to get even more defocused from here on?

Abhishek Bansal: So again, in JD Shopping, as we briefly discussed last quarter as well, the key thing that we are evaluating is the kind of unit economics that can be there. So we did certain pilots. But clearly, if we are making 7% to 8% margin, the ecosystem is such that there is no way we can even break even on those particular orders in near future or maybe in a couple of years. The approach that we intend to take is slightly different. Use JD shopping also as a lead gen vehicle, wherein we bring in our concept of, say, reverse auction, where if a user is willing to buy a Samsung mobile phone, the user is able to get quotes via our platform from local vendors.

And in case a user likes a particular quote, they could use our particular payment solution to make online payment also to that vendor. We pass on that particular order to that particular merchant. The merchant can either do their delivery on its own or they can even avail third-party logistics, which are integrated with our platform. The difference in this approach versus a conventional e-commerce or an inventory-led model is that in this particular case, the fulfillment is primarily being handled by the merchant. But we believe that this particular model will be much better in terms of unit economics. So that is how we are looking at this point of time.

Abhishek Banerjee : Yes, Understandable. But at the same time, that would also mean you would have limited control on quality?

Abhishek Bansal: So you are right. See, one approach could be that, okay, if you want to have absolute control on quality that would require a significant amount of investments. And not just that, we have seen that user behavior in India is not that loyal. So even if I were to give a great user experience, I need to be very competitive or lower in terms of pricing as well, which could consume a huge amount of cash. So since our strength historically has been services, within Just Dial Limited

April 18, 2023

Page 13 of 18

services versus products, I would try to scale up on services bit first and then possibly see how to play the product side.

Abhishek Banerjee : Understood. And just one last question. On spend on JD as well. So you mentioned that now you are almost ready to ramp up JD Xperts. So any indication on the timing? And exactly what -- so would it mean that you're going to do a lot of advertising? Or does it still require more

operational pieces to be put in place before you can really ramp it up to a pan-India level?

Abhishek Bansal: So there are two parts to it. One is the platform becoming commercially live. That should happen over the next 3 to 4 months. The second part is ramping up transactions for that particular vertical. Now we are also conscious of the fact that from the same set of categories, we are even today earning a decent subscription revenue as well.

So while there would be a bit of cannibalization as we ramp up those particular transactions, so we will assess that at what point of time we want to deploy advertising money to ramp up those transactions. So that will communicate as and when we crystalize our advertising plans for the same. But in terms of platform becoming commercially live with the majority features that should happen in another quarter or so.

Abhishek Banerjee: Thank you Abhishek.

Moderator: Thank you. We have our next question from Raghav Behani from Citi. Please go ahead.

Raghav Behani: Yes. So last 3 years, based on B2B going from 20% of revenues to 26%, it implies B2C is down 20% over FY '22/'23. Given you have also taken some price hikes of 10% during this period, paid campaigns must be further down? That's my first question.

Abhishek Bansal: So you mean paid campaigns on B2C side?

Raghav Behani: Yes.

Abhishek Bansal: So paid campaigns on B2C side, out of the 5,38,000, yes, B2C side would be bit down versus pre-COVID levels that would have been offset partly by B2B campaigns. Having said that, B2B, the contribution is more from the realization side rather than the campaign side, because historically, our B2B realizations were very close to B2C, whereas the thought process was that once we have a dedicated platform in place, we should be able to monetize much better on the B2B side from the same customer.

Raghav Behani: Okay. And also one follow-up question. So in the balance sheet, I see that the other current liabilities is up INR100 crores year-on-year. Any reason behind this sharp increase?

Abhishek Bansal: So the deferred revenue, which increased by INR100 crores, we collected INR945 crores and we consumed INR845 crores of revenue. That incremental INR100 crores is what sits as deferred revenue on the balance sheet.

Raghav Behani: Okay, sure. That answers my question.
Just Dial Limited
April 18, 2023

Page 14 of 18

Moderator: Thank you. We have our next question from Rupesh Tatiya from Intelsense Capital. Please go ahead.

Rupesh Tatiya: Most of my questions have been answered. My first question is what is the number of paying subscribers on JD Mart?

Abhishek Bansal: So number of paying subscribers on JD Mart should broadly be, I think, in the range of about 120,000 or so, though I don't have the exact figures. But I think about 20%, 22% of the overall paid subscribers would be for B2B-related categories.

Rupesh Tatiya: Okay, okay. So this number I had for Q1, which was around 1 lakh. So now you're saying 1.2 lakhs.

Abhishek Bansal: Broadly anywhere between 110,000 to 120,000 or so.

Rupesh Tatiya: Okay. And then my second question, sir, is this -- I mean JD Xperts, what is kind of like revenue of the, let's say, largest player in the industry? And what kind of revenue you expect to do in, let's say, '24 and then '25?

Abhishek Bansal: So the biggest vertical player in this particular segment, as I know they do anywhere about, I think INR350 crores to INR400 crores, though there is an overseas contribution also they have.

But I think more importantly, they also spend INR800 crores to INR900 crores to get that revenue. So this is the kind of mismatch that exists in the ecosystem right now in which we keep grappling with. The pricing for most of these services are at very healthy levels. For example, our haircut is at INR299, I don't think there is scope to increase prices.

And the top

segment of population, which wants to avail these services, a good chunk of them are already using these services. So in light of that, we have to see that while revenue is one part of it, how much do we spend to get that revenue? We are very clear that while we want to do investments, but just putting money after something which is clearly negative unit economics, that is not prudent in the long term, which is what the entire ecosystem also, I think, is realizing over the last 12 to 15 months.

Rupesh Tatiya: Okay understood. Thank you. Thank you, sir.

Moderator: Thank you. We have our next question from Sarang Sanil from R W Investment Advisors. Please go ahead.

Sarang Sanil: Hello sir, am I audible?

Moderator: Sir, your volume is little low.

Sarang Sanil: Hello, am I audible?

Moderator: Yes sir, please go ahead.

Just Dial Limited

April 18, 2023

Page 15 of 18

Sarang Sanil: Now, okay. Hi, good evening. So I would like to know what is the gap between the deferred revenue growth and revenue growth on a sequential basis. Deferred revenue grew about 9% while the revenue grew about 5% while we are also moving towards higher monthly packages.

So is there any accounting policy that is driving this or something else that I should know of?

Abhishek Bansal: No, so last particular quarter we collected INR268 crores from our customers and we rendered services amounting to INR232.5 crores. So deferred revenue is nothing but the increase in collection less the amount consumed. So that is what resulted in that INR35 crores, INR40 crores increase in deferred revenue.

So there is no accounting policy change. It is straightforward. Whatever money that comes in that is in deferred revenue and whatever is existing deferred revenue part of it gets represented as revenue in coming quarters.

Sarang Sanil: Okay, so it is not because we are moving to more multi-monthly plans, right?

Abhishek Bansal: So whether I sell a subscription as INR2,000 a month or I upfront collect INR24,000 for the year, the revenue accrual remains the same. So it will be on a INR24,000 divided by 365 basis.

So revenue is basically what is the worth of each day service that I am providing to a customer.

Whether I collected monthly or I collected upfront that does not impact revenue recognition.

Sarang Sanil: On the deferred revenue side?

Abhishek Bansal: Yes, it will impact on the deferred revenue side because in upfront mode that adds to deferred revenue. But now the monthly ECS has become so healthy that despite selling about two thirds of our subscription on monthly plans, still we were able to have INR268 crores of collections for the quarter.

Sarang Sanil: Sure. Sir, another question. So you were citing about JD Shopping that the unit economics is

not working. So what is our plan with the new JD Homes while other players in the space are just burning a lot of cash and we are entering right now. What is the plan right there?

Abhishek Bansal: So in JD Homes or JD Real Estate, the key thought process is that in a n erstwhile ecosystem, our user was coming to our platform and searching for estate agents or property dealers. Now as a user, I want to be able to search for properties as well.

So if I want to search for a two bedroom apartment in Malad West, I should be able to see those two bedroom apartments and then navigate to the vendor. This philosophy is similar to what we have adopted in B2B as well. That you first search for a product and then navigate to the seller of that particular product.

So the idea is simply to give a better user experience, where user sees what is their requirement and then gets connected to the seller instead of connecting with four or five sellers and then figuring out that these four are not suitable for me and this one suits my requirement.

Sarang Sanil: But are the competitor space as in tense ?

Just Dial Limited

April 18, 2023

Page 16 of 18

Abhishek Bansal: So the competitive space is intense but for me the way I look at it is that if I am earning INR20 crores from this vertical, can I make a n attempt to make INR40 crores - INR50 crores from this particular vertical? And from that perspective, that is profitable revenue from that vertical and we do think that will materialize with these particular product changes that we have done.

Sarang Sanil: Sure. In order to gain more market share, we won't be burning a lot of cash, right? Just for the sake of getting more market share there, right?

Abhishek Bansal: We haven't done it for the past 14 years, so I think one can assume that, that will not be the philosophy going forward as well.

Sarang Sanil: Sure. So a couple of more questions. So any expected campaign addition for next year? So last quarter when we came in, when it had 18,000 marks, the commentary was that it was a festive quarter and that's why the muted paid campaign addition and this quarter we see 16,000, right?

So any expected paid campaign addition for next year? Could we do 20,000 per quarter?

Abhishek Bansal: Okay, let me put it this way. See the total active paid campaigns are 5,38,000. 1% of 5,38,000 itself is say 5,300 campaigns. So falling short or being excess by 2,000 or 3,000 campaigns doesn't really matter much in the broader scheme of things. What exactly matters is that okay, for fiscal '24, overall how much revenue growth will we be able to get and what will that be distributed across campaigns and ticket size?

It can be very easy to possibly not take price increases or even slightly reduce prices and that 20,000 can be even 25,000. But whether it will result into overall collections revenue growth or not, that is what is the key question.

Sarang Sanil: Right, yes. Understood. So the next question on JD Pay, any transaction details that you can provide us, how much of the total transaction goes through JD Pay?

Abhishek Bansal: So JD Pay is in very nascent stages. We are in the process of enabling UPI transactions, etcetera. So at this point of time, I think it won't be meaningful to discuss quantum of transactions on that.

Sarang Sanil: Got it, sir. And the final question is about productivity of sales force. So when we see pre - COVID, campaigns for employees was much higher to what it is right now or what has been for the last four, five quarters. So any targets that you would, have going forward?

Abhishek Bansal: So the way we look at this particular metric is overall cost of sales. So our cost of sales pre - COVID used to be at about 40 odd percent or so. That currently stands at about 46% - 47% or so. So there is a significant amount of hiring that has happened. Endeavour this particular year would be to bring this particular cost of sales back to 40% - 42% kind of levels.

Sarang Sanil: Got it. Okay. Understood, sir. Thank you and all the best.

Abhishek Bansal: Thank you.

Moderator: Thank you. We have our next question from Mohit Motwani from Nuvama. Please go ahead.

Just Dial Limited

April 18, 2023

Page 17 of 18

Mohit Motwani: Hello. Hi, Abhishek. Thanks for the opportunity. Just one question for my end. So, you spoke about increasing the productivity of the higher sales force recently that you have hired in the last few quarters, right? And you did about INR260 crores in collections. So just wanted to get your thoughts on, if they improve the productivity, what kind of big collections do you expect from the current sales force that you have? Meaning that, they would be able to contribute to the growth in addition to the new sales force that you will hire in the coming quarters? I just wanted to get a sense of that. Thank you.

Abhishek Bansal: So when we talk about productivity, we essentially mean that, okay, the same sales person, if they were getting me INR100,000, how much extra money

that I can get? Whether that extra money is coming via additional campaigns or via ticket size increases, that is a relatively secondary factor. So INR945 crores we did for the full year.

And the sales headcount is, I think, higher versus pre-COVID levels by probably 1,500 or so. So the idea would be, can we get another 10% sort of revenue with productivity improvement in the existing sales force itself? And thereafter, whatever is the additional growth that we want to do for the year and coming year, part of it will require additional manpower.

Mohit Motwani: All right. Thank you so much.

Abhishek Bansal: Thank you.

Moderator: Thank you. We will take a last question from a connection as HS SA-self. Please go ahead with your question.

HS SA: Hello. Hi, can you hear me?

Moderator: Yes.

HS SA: I just have one quick question. What is the realizable value for quarter 4? You gave it for the year, but I do not know for the quarter 4 itself.

Abhishek Bansal: It should be about INR270 crores to INR280 crores.

HS SA: Okay. So, obviously you had mentioned last quarter was 265 as I understand, and you said it was a relatively weaker quarter. But do you feel that the realizable value given your current manpower has it flattened or do you expect this to further grow quarter-on-quarter towards like whatever benchmark of the next 10% or 20% that you have? Or is this now you feel it is flattened given this employee base?

Abhishek Bansal: See, the realizable value, let us understand, it is an estimate that I do versus my historical trends to assess that what is the money that I expect to receive over the next one year. So, that estimate obviously keeps getting revised every particular quarter. So, last quarter did have a sequential improvement and there is scope for these particular realizations to further improve as and when the existing sales force becomes more tenured in the system.

Just Dial Limited

April 18, 2023

Page 18 of 18

HS SA: Okay. And an absolute final question for me. Thank you for that. And the employee cost this year was around INR65 CR. So, you believe that next year would it be wise to say INR70 crores to INR72 crores would be what you would be looking at? Would it be a fair number for me to take?

Abhishek Bansal: You are considering it on a monthly basis or how you are taking it?

HS SA: I am sorry, annually?

Abhishek Bansal: So, annual was about INR650 crores.

HS SA: Yes, sorry about that, INR650 crores yes. And so, would that be INR720 crores, would that be a fair number to take?

Abhishek Bansal: So, I think yes, 10% to 12% increase on overall employee expenses could be the case.

HS SA: Okay. Thank you. That's all from my side.

Moderator: I will now like to hand the conference over to Mr. Abhishek Bansal for closing comments.

Over to you, sir.

Abhishek Bansal: Thank you everyone for joining us. In case you have any further queries, please do reach out. We would do our best to address and that is it from our side. Thank you.

Moderator: On behalf of Just Dial Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2023

July 20, 2023

To
BSE Limited
Department of Corporate
Services
Listing Department
P J Tower, Dalal Street,
Mumbai - 400001
Scrip Code: 535648 National Stock Exchange of
India Limited
Listing Department
Exchange Plaza, Plot no. C/1,
G Block, Bandra -Kurla Complex,
Bandra (East), Mumbai - 400051
Scrip Symbol: JUSTDIAL Metropolitan Stock Exchange
of India Limited
205(A), 2nd Floor,
Piramal Agastya Corporate Park,
L.B.S Road, Kurla (West),
Mumbai - 400070
Scrip Symbol: JUSTDIAL

Dear Sir/Madam,

Sub.: Transcript of Earnings Call on Financial Results for the first quarter ended
June 30, 2023

In continuation of our letter dated July 11, 2023 and July 17, 2023 and pursuant to
Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, we are enclosing herewith the transcript of the Earnings Call held on
Monday, July 17, 2023, at 6:00 p.m. for discussing operational and financial performance of
the Company in the first quarter ended June 30, 2023 and the same is available on the
Company's website at <https://www.justdial.com/cms/investor-relations/earnings-call-transcripts>

We request you to take the above on record.

Thanking You,

Yours truly,

For Just Dial Limited

Manan Udani
Company Secretary

Encl: as above

Page 1 of 16

Just Dial Limited
Q1 FY '24 Earnings Conference Call
July 17, 2023

MANAGEMENT : MR. V.S.S. MANI – MD & CEO

MR. ABHISHEK BANSAL – CFO

Just Dial Limited
July 17, 2023

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to the Just Dial Limited Q1 FY '24 Earnings Call. At this moment, all participant lines are in the listen -only mode . Later , we will conduct the questions and answer session. At that time, you may click on the raise hand icon to ask a live question. Please note that this conference is being recorded.

We have with us today, Mr. V.S.S. Mani, MD and CEO; and Mr. Abhishek Bansal, CFO from Just Dial. I now hand the conference over to Mr. Abhishek Bansal, CFO. Thank you and over to you, Sir.

Abhishek Bansal: Hi, everyone. Welcome to Just Dial's Earnings Call for First Quarter of fiscal '24. Our operating revenue for the quarter stood at INR247 crores, witnessing 33.1% growth on a year -on-year basis and 6.2% sequentially. This growth is primarily driven by healthier collections witnessed during FY '23. Last year, full year collections grew about 44.3% year -on-year and second half collections had grown about 56% year -on-year.

Our adjusted EBITDA for the quarter stood at INR36.3 crores for the -- representing a margin of 14.7%. Our employee expenses have increased 22.6% on a Y-o-Y basis, led by about 9% increase in headcount, revenue -linked incentives and partly due to increments. We have taken certain measures to keep employee costs under check. And as you can see, headcount has been flattish over past 3 quarters. Other expenses have anyway been well controlled as they declined about 2% on a year -on-year basis. We expect employee cost as a percentage of revenue to moderate going forward, and overall, we should see improvement in margins as we move in further quarters for the year.

Our advertising expenses for the quarter stood at about INR5.4 crores. Other income stood at INR81.4 crores for the quarter versus a loss of INR60 crores in same quarter last year since increase in bond yields had impacted MTM treasury gains in that quarter. Profit before taxes stood at INR106.1 crores, growing 10.6% sequentially. Effective tax rate stood at 21.4%, which was higher since bulk of our treasury MTM gains are currently short -term in nature and hence, provisioning for taxes happens at short -term capital gains slabs. Profit after -taxes stood at INR83.4 crores versus INR48.4 crores loss in same quarter last year.

We continued our focus on monthly plans as we sold about 68% of our contracts on monthly plans this quarter. Our monthly ECS collection from our customers now stands at about INR47 crores a month versus INR33 crores an year ago. Deferred revenue was also very healthy at all-time high of about INR450 crores, growing 27.5% year -on-year. Active Paid Campaigns at the end of the quarter stood at about 548,000, which was up 13.4% year -on-year. March tends to be the strongest month for us followed by a slightly weaker April, but despite that, quarter has seen sequential 10,000 net campaign additions, which is quite reasonable.

Recent month June has shaped up pretty well. Overall, cash and investments stood at INR4,159 crores as on quarter end. Coming to operational highlights. Traffic trends have been quite impressive, thanks to recent revamp of both our mobile and desktop platforms and addition of lot of rich content on our search pages. Total traffic stood at 171.4 million unique

Just Dial Limited
July 17, 2023

Page 3 of 16

users for the quarter, growing about 16% year -on-year and 7.6% sequentially. Mobile traffic stood at 146.5 million users, growing about 17.5% year-on-year.

The notable part in traffic is pre -COVID, when we had peak traffic of about 160 million

quarterly users, approximately 45 million to 50 million users

came on account of our paid

marketing efforts. We were spending about INR15 crores, INR16 crores a quarter at that time.

In the most recent quarter, we spent just 1/3 of that amount, and out of 171 million users, around 150 -plus million came organically.

So organic, what we call as free traffic has been growing very healthily for us, which is a positive. For our core business, it has always been that traffic leads monetization, and we are confident that recent traffic trends should be supportive of monetization growth in coming quarters that coupled with cost controls should result in healthy profitability, which is our key objective to have sustainable and profitable growth in overall business.

With this quick update, we shall now open the floor for questions and further discussion.

Moderator: Thank you very much. We have a question from Vivekanand Subbaraman from Ambit Private Limited. Please go ahead.

Vivekanand Subbaraman : Thank you so much for the opportunity. Let's start with a few housekeeping questions. So Abhishek, could you help us with the split of revenue in your top 11 markets -- revenue and campaigns, top 11 markets versus the rest of the country? That's the first one. Secondly, would you be able to comment on the ESOP provisions included in the employee cost? Was that the reason why it was a bit bumped up during the current quarter? That's from the housekeeping side. And just to confirm on the A&P side, I heard INR4.5 crores. Is that correct? So that's my set of questions on housekeeping. Maybe you can address these first before I get into some of the others.

Abhishek Bansal: So, Vivek, on your first question around revenue split, so that stands at around 60:40 now. Top 11 cities contribute about 60% to revenue with volume contribution standing at 40% and vice versa for non-top 11 cities. ESOP provisioning for this quarter, it was marginally negative about INR40 lakhs negative on account of certain ESOPs lapsing during the quarter.

Advertising spend, it was about INR5.5 crores -- INR5.4 crores for the quarter.

Vivekanand Subbaraman : Helpful. So, thanks for sharing the revenue split as well. So, this quarter, we are seeing that, again, the non-top 11 markets seem to be growing very, very fast and that's where the recovery has been very strong compared to your pre-COVID level. So, I mean almost 2x of pre-COVID from the markets outside of top 11 markets. So, Abhishek, just to understand this further, how much more next do we have to monetize the non-top 11 markets, the brand that we have perhaps in the non-top -- markets outside the top cities?

And there's also very healthy campaign momentum in these markets if I compare it to pre-COVID levels. Could you help us understand this better, because I think in top 11 markets, it seems that your revenue recovery is not that strong, but in non-top 11 markets, you're really

Just Dial Limited

July 17, 2023

Page 4 of 16

breaking away from what you were doing pre-COVID, and what are the factors that have led to this?

Abhishek Bansal: So, Vivek, to answer your question, if we were to split out, 33% revenue growth on a year-on-year basis for this quarter, there is a healthy growth in top 11 markets as well. So top 11 markets broadly would have grown about 25% year-on-year and the non-top 11 markets would have grown about 46%, 47%. So definitely, non-top 11 on a growth basis doing better versus top 11, but that is also because of the base effect.

In fact in top 11 cities as well, our particular realizations have been improving both on year-on-year as well as sequential basis. In Tier 2, Tier 3 cities, whenever we enter a city, we enter with a very entry-level pricing, let's say INR750 or INR999 a month and at this point of time, Tier 2, Tier 3 realizations are about 45% of Tier 1. So, there is a significant scope for Tier 2, Tier 3 to catch up with Tier 1 cities in terms

of realizations.

Having said that, even if we were to look at overall realization which is just about INR1,500 per campaign per month, that is highly affordable for any SME. So not that in Tier 1 cities, the average ticket size is so high that it would be unaffordable, but yes, Tier 2, Tier 3 cities are growing at a faster pace at this point of time, which has been the case for past several quarters that we have been gaining in market share overall.

Vivekanand Subbaraman: Helpful, very helpful. Just my last question is on the new initiatives, particularly the ones that were under development like JD Xperts or JD Shopping, JD Real Estate, some of these initiatives that you had planned to like foray into and focus on verticalization or content enrichment. Could you give us an update on some of these initiatives and where they stand right now?

Abhishek Bansal: So, these initiatives around, say, either exports or shopping, which were primarily around adding our transactional layer for either products or services. So, the platforms as such are

ready, we have the capabilities to be able to either get products delivered or get services fulfilled. But at this point of time, as we have mentioned in past quarters as well, we do realize that in order to scale up transactions, there needs to be a significant money that needs to be given to both the vendor side as well as the user side.

And these platforms since they would likely have negative unit economics for a reasonable period of time, at this point of time, the focus is on core business to generate healthy free cash flows, and, as I said, the platforms are ready, we would look to scale them up at an appropriate time.

Moderator: Thank you. We have our next question from the line of Naman Jain, an Individual Investor.

Please go ahead.

Naman Jain: Congratulations, Abhishek, for good set of numbers. I have a couple of questions. One is in regards to the continuation of previous question. So, you mentioned that the platforms are ready for JD Shopping or JD Xperts. So, the cash that we have on books, are we planning to

Just Dial Limited

July 17, 2023

Page 5 of 16

utilize and conserving it for those platforms or do we have other growth opportunities in mind to utilize this cash? That is one. And second question is in regards to the EBITDA margins. I understand that we are close to 15% right now, and by the end of the year, we intend to be close to 25%, which we were during pre-COVID times. So, what is the roadmap to reach there?

Abhishek Bansal: So Naman, on your first question regarding the INR4,160 crores cash that we have on books.

So yes, it could get utilized for either any organic or possibly inorganic opportunities in future, but honestly, on the inorganic side, nothing on the table as of now. Even on the organic side, the way ecosystem is that, even if I were to pump in INR200 crores, INR300 crores or whatever crores of money, we are finding that as soon as you stop that advertising or incentives, the transactions drop drastically, be it for any particular platform.

And for us, we have a very healthy core search business where we do think there is a good runway for generating year-on-year sustainable top-line growth at decent margins. So, the idea is that the treasury is optimized to earn about 7 quarters free tax deal at this point of time. We will take a call what best to do about this cash in future quarters.

On your second question regarding EBITDA margin. So, 15%, the margin that you see, that is the P&L EBITDA margin for, say, INR247 crores revenue that we booked. But as you would recall last year, say, full year, we collected INR945 crores, with recent quarters at about INR260 crores, INR270 crores. So, on a cash basis, anyway, the business is already at 20% plus margins.

So as we move in future quarters and those collections translate into P&L accrued revenue, that should

aid margins, at the same time, the cost control initiatives that we have taken, we don't expect our cost to go up. Conversely, we are taking steps to sort of optimize or even reduce some of these costs. So, a combination of these should help us reach those pre-COVID margins in another 2 quarters to 3 quarters.

Naman Jain: Okay. And just a follow-up on this, Abhishek. So basically, the cash that we have on books is close to INR4,160 crores, while you mentioned that pumping in INR300 crores, INR400 crores of cash wouldn't really help the business because as soon as you stop doing that, the users or the transactions would drop off. But it's a sufficiently large amount of purpose that we hold and the core business should be able to aid any requirements of cash for other businesses of the company. So, with this such large purpose, any plans of distributing it back to the shareholders? That is one. And second on the margin front as well. So, the employee cost in the last quarter was on the higher side. So, any particular reasons for that?

Abhishek Bansal: So Naman, on distributing cash at this point of time, we haven't taken any specific decision or discussions have not been initiated around that. As we move into future quarters, we would see whether to return it back to shareholders, and if so, what could be the most tax efficient way to do so or whether the cash could be deployed for any other value attractive opportunities.

Just Dial Limited

July 17, 2023

Page 6 of 16

On employee cost, this particular quarter, there are some, as I mentioned, part of the employee cost increases revenue-linked itself. So, the way incentives get recognized in P&L is, it is in proportion to the revenue that we accrue. So, part of the increase is due to that. Secondly, there are certain increments that are due in this particular quarter. And so, these are some of the key reasons for sequential employee cost increase.

Moderator: We have our next question from the line of Keval Ashar from DSP Asset Managers. Mr. Keval Ashar, kindly unmute your microphone and go ahead with your question. Since there is no response, we'll move on to the next question from Lavanya Tottala from UBS.

Lavanya Tottala: Hi Abhishek, congrats on a good set of numbers. So, my question is on sequential -- if you see the deferred revenue trend, there is some moderation, like earlier last 4 quarters, we were growing at 5% to 6%, but this one is a bit slower. So, anything specific or did you see more slowdown this quarter, how do you see it going ahead in the next couple of quarters?

Abhishek Bansal: So, Lavanya, deferred revenue could be -- the addition is basically whatever excess cash that we collect in that quarter versus the revenue that we accrue. March quarter Q4 typically tends to be the strongest quarter for us led by a strong March month, and subsequently the year starts with a slightly weaker April. So that is the key reason that sequentially deferred revenue has slightly lesser increase. In fact, historically, we have even seen deferred revenue dip sequentially in first quarter. So, the better way to look at it would be that year-on-year, there was a healthy increase and collections year-on-year had about 27%, 28% increase for first quarter.

Lavanya Tottala: Okay. So, this should pick up from this, this is only the seasonality which impacted this quarter then?

Abhishek Bansal: Yes, that should be the case.

Lavanya Tottala: Okay. And on the employee cost which you are mentioning in the earlier question. So do you expect anymore increments which are leftover for coming quarters or most of the increments for the year is done in Q4 and Q1 other than the revenue linked thing...

Abhishek Bansal: So, there could be a bit of increments coming during the third quarter, but the way we are planning at this point of time, that should not have any meaningful increase in costs.

Lavanya Tottala: Okay. So -- and on the, I mean, sales strength increase plan, this quarter, I mean, broadly, the sales strength has been flattish, but we saw increment in cost. So, sales strength increase, how you're planning, the next year?

Abhishek Bansal: So overall, sales headcount, we had significantly ramped up during the first 2 quarters of last year and 2 quarters, 3 quarters prior to that. For this year, last 2 quarters, 3 quarters have been flattish, and I think for next 1 to 2 quarters, we are not expecting a meaningful increase in sales headcount. As we move towards the end of the year or say second half of this particular year, we will take a call on having higher manpower, keeping next year's monetization objectives in mind.

Just Dial Limited

July 17, 2023

Page 7 of 16

Lavanya Tottala: Got it. One last question from my side is that in the first question, you were talking about top 11 and other cities. So just for basic understanding, did our presence or presence in number of PIN codes increase as compared to pre-COVID in terms of other cities like Tier 2 and Tier 3 as compared to pre-COVID, like our presence?

Abhishek Bansal: See, in terms of presence, I think whatever areas Pan India are meaningful from a traffic perspective or presence of SMEs perspective, we like by and large cover most of them. The only key difference could be that there could be a geography, basis the strength of -- or the count of businesses present in that geography, we might require, say, 20 feet on street, but pre-COVID, I might be having, say, just 10 feet on street, now I might have increased it to 14, 15. So those kind of increases could have taken place. But there won't be many geographies where we were not present at all, say, pre-COVID and now we are monetizing those.

Moderator: Thank you. We have our next question from Swapnil Potdukhe from JM Financial. Please go ahead.

Swapnil Potdukhe: So, a couple of questions. First on the paid subscription growth. So, this quarter, we had around 10,000 additions Q-on-Q. And now in the context that we have around 550,000 paid suppliers. So, this works out to around less than 2% growth. And if I were to amplify that, that would be like less than 10% growth for the full year.

Now would it be fair to say that this would be the growth trajectory that would continue to see in the near term or there any plans to increase that growth? Because if I were to put it simply, 8% to 10% growth in suppliers, plus a few some bit of a relation growth would ensure that you would add best grow at a mid-teens. But is there any of incremental revenue possible, incremental revenue growth possible? That's my first question.

Abhishek Bansal: Swapnil, paid subscription additions of 10,000 sequentially. As I mentioned in my opening remarks as well, we need to look at it in the context that March typically tends to be strong month for the company. Hence, our particular subscriptions are bunched up in that month. And April slightly stands on a weaker note. So, annualizing sequential growth rate would not be appropriate. Overall, as can be seen, there was a very healthy jump in realizations over last 2 to 3 quarters. So, I think overall for a full year basis, if you're targeting, say, 20% plus growth, it

would be a reasonable healthy mix of both paid campaign growth as well as ticket size growth.

Swapnil Potdukhe: Would it be possible for you to share the breakup of realizations growth and volume growth that you're targeting for this year, let's say?

Abhishek Bansal: See, realization growth, as I mentioned that in Tier 2, Tier 3 cities, there are certain cities, which were at, say, INR1,000 a month, where we have taken pricing to INR1,250 a month.

Similarly, another INR250 increase in erstwhile INR1,250 per month kind of cities. So while that may translate to, say, 25% growth in Tier 2, overall, the idea is as I said anyw

here

between, say, 12% to 17%, 18% average growth on the ticket size, which is doable considering my average INR1,500 per campaign per month ticket size is highly affordable and rest due to paid campaign growth.

Just Dial Limited

July 17, 2023

Page 8 of 16

Swapnil Potdukhe: So actually, that's exactly my point, right? You're suggesting like on the lower end, the realizations growth will be around 12%, whereas your full year collections growth target is 20%. So that leaves out just 7%, 8% growth -- paid supplier growth. And that's why I'm trying to understand like realistically, what are you guys targeting to grow and how much paid supplier additions do you intend to do each year going forward?

Abhishek Bansal: Okay. So let us understand how this exactly works on the ground. So, suppose I have a geography, I do not give my geography a target that okay, you have to grow your paid subscriptions by X percentage and ticket size by Y percentage. The way in reality it works is that I might target that this particular geography needs to grow, say, 30% year-on-year in its revenue, that particular geography might decide that for us, it is -- since we have not taken price hike for last 6 months, 9 months, we can take 20% price hike, for the first couple of months, the paid subscribers might stay flattish or even might dip a bit and then they could grow back again such that at the end objective of 30% is met.

So, the first target is revenue growth and that comes as a mix of ticket size as well as suppliers, rather than saying that okay, I'm targeting only 12% on the lower end for realization and that leaves only 7%, 8% for collections that is not how it is. Another way to look at it would be last year, during the full year, we grew our collections by about 44% though we were coming off a lower base of post-COVID impact. The second half collections grew about 56%, 57% year-on-year.

So, if we were standing in first half last year, no one would have anticipated that okay, second half could witness so much growth, if we were to just try mathematically extrapolate basis, campaign growth and ticket size growth. So overall objective is top line should grow at 20%, 25% on a sustainable basis, and that should be a reasonable mix of ticket size growth and campaign growth. There could be certain quarters or even 1 or 2 years where one might surpass the other, but overall, both factors would contribute to this top line growth.

Swapnil Potdukhe: Got it, Abhishek. And my second question is on the capitalization of cost towards new initiatives. Would it be possible for you to share the numbers that you have been capitalizing this for the last 1 quarter or 2 quarters?

Abhishek Bansal: So, from this particular quarter, the new initiatives are now getting depreciated. So, whatever, about INR30 crores which was intangible assets under development, they have now shifted to fixed assets and there was just about INR 1 crore of capitalization or whatever intangible assets under development cost for this particular quarter. From coming quarters, there would not be any intangible assets-related cost that would be hitting at this point of time.

Swapnil Potdukhe: Will it be fair to say that your focus on new initiatives has come down drastically given the market scenario now and that is also leading to this lower capitalization?

Abhishek Bansal: So, we had planned new initiatives in a couple of phases. The first phase was primarily about getting the platform ready in all respects so that it can fulfill whatever transactions flow through the platform. Since those objectives have been achieved, those platforms now stand

Just Dial Limited

July 17, 2023

Page 9 of 16

capitalized, that is shifted to fixed assets. For subsequent investments, we would like to wait and watch. We would want to get our core business very much on a healthy trajectory, which we are seeing.

And we would look to pump in funds for new initiatives as and when we think it is appropriate to scale up transactions for these verticals.

Swapnil Potdukhe: Right, Abhishek.

Moderator: Thank you. We have our next question from Srini Koganti, an Individual Investor. Please go ahead.

Srini Koganti: Yes, Mr. Abhishek. I think most of my question was answered. So, my question was, what is the sales growth rate that we can expect? It looks like you're saying 20% to 25% top line growth is what we target. Is that accurate?

Abhishek Bansal: Yes, that is what we would be targeting on a sustainable basis for the business.

Srini Koganti: Got it, okay. And my second question is, out of the new initiatives that you have started, which one is showing any traction or any promise, I mean, is it too early to talk about or do you see any signs of good traction in any of the new initiatives?

Abhishek Bansal: See, as I mentioned, at this point of time, the focus is on getting core business on a steady growth path. Having said that, within the 2 initiatives that we have taken, the experts, which is transactions for services, that would align with our core strength, considering 2/3 of our revenue comes from service-oriented categories versus JD Shopping, which is more on the product side. Having said that, there are organic transactions that happen through these particular platforms. But in order to boost those particular transactions, we need to actually, incentivize users and vendors, which we think we will do as and when we think the ecosystem is such that there can be visible unit economics in medium-term.

Moderator: Thank you. We have our next question from the line of Abhishek Banerjee from ICICI Securities. Please go ahead.

Abhishek Banerjee: So, see, the core business performance, I can understand right, the margins are likely to go up. That is understandable. But what I'm finding a little difficult to really wrap my head around is the fact that last call, you sounded pretty enthusiastic about JD Xperts, and you also mentioned that possibly the launch is going to be in 3, 4 months' time. But today, you sound obviously a lot less enthusiastic about it. So, what really changed?

Abhishek Bansal: So, Abhishek, it's not about enthusiastic versus less enthusiastic. I think the way ecosystem is shaping up in last 6 months to 12 months and which we would have hoped for it to shape up for last several years as well, that business ultimately needs to be done for profits. I might do a big bang, INR1,500 crores advertising and say that the platform is launched, et cetera, etcetera. But 2 months down the line again, I will be answering myself where is the cash flow or what is the unit economics in some of these.

Just Dial Limited

July 17, 2023

Page 10 of 16

So, what we have taken a call is that, yes, the platforms are fully ready, technologically, product-wise, we have all the capabilities. For example, in Xperts, we have delivered over 100,000 bookings in last 3 to 4 quarters, which is a very substantial number. But whether we think that to earn INR100, we should be spending INR200 on each transaction, at this point of time, we don't think that makes business sense.

So, it's just a sort of wait and watch. We are anyway making tweaks to the platforms, keeping them optimal basis the user feedback, etcetera. But the significant spend to ramp up transactions that we will reassess when we think we should be spending.

Abhishek Banerjee: Understood, but -- okay, okay. If you can give me some numbers, which helps me understand this better. So, what is your CAC for the JD Xperts business as of now?

Abhishek Bansal: Yes, at this point of time, these particular platforms have been launched only as a pilot or a beta stage. So, it won't be appropriate to evaluate any of these numbers. But broadly the platform typically has, say, on the monetization side,

it's 20%, 25% take rate that you can

typically expect. And on the cost side, the biggest cost is the advertising cost or the cost that you incur to get user to do first time transaction, second time transaction and so on. On top of it obviously, you will have overheads in terms of building and maintaining that platform, fulfillment charges, etc.

Abhishek Banerjee: Understood. But when it comes to advertisement, right, you have an asset where people anyway would come to, maybe search for a carpenter. So why did you not use an asset that is the core platform?

Abhishek Bansal: See, for the categories where I have these services transactions, I'm already monetizing search revenue also in these categories. Had I been a player who was just a vertical player who has built these platforms, yes, that particular question could have been relevant. But I already have a business where last year, I earned INR945 crores, 60%, 70% via services, yes, Xperts - oriented categories would be a subset of that, but the way I would look at it is that how can I increase my revenue and profitability from those categories. I cannot let my revenue get cannibalized just for the sake of newer transactions.

Moderator: Thank you. We have our next question from Rupesh Tatiya from Intelsense Capital. Please go ahead.

Rupesh Tatiya: Sir, this March booking bump-up and then in April, May, they coming down, this kind of

doesn't seem to have happened last year. When I'm looking at numbers, you were at 461K on March '22. And 484K on June '23, March '23 and June '23 -- sorry, '22. So, there was a 23,000 sequential addition from Q4 to Q1 last year. So, when I look at this trend versus this year, it looks like there is some sort of slowdown or some sort of loss of momentum. Can you, I mean, please talk about it?

Abhishek Bansal: Okay. Rupesh, the comparison that you are doing, we need to understand that last year, we were coming from a relatively much lower base of post-COVID impact. So last year, when we
Just Dial Limited
July 17, 2023

Page 11 of 16

collected INR945 crores, that was a 44% growth over previous year. So peak pre-COVID campaigns were at about 536,000 odd as I recall. So, the 460,000 to 480,000 increase that happened last year same quarter, we were coming out of that particular impact. Now this particular year, as I mentioned that April had little bit of weakness, which impacted sequential numbers. But June month, again, has been quite healthy. So, I think with the latest momentum that we are seeing, we should be achieving our particular planned targets for the rest of the year. Despite that particular weakness, ultimately 1Q collections at INR258 crores or so did have a 27%, 28% year-on-year jump.

So, it's not that I just have to see what is the campaign addition, as I mentioned, we would want to look at what is the overall revenue that materialized. When I take price hikes in certain geographies, that also tends to have a short-term impact. So, in this particular quarter, certain Tier 2, Tier 3 cities where we were at very low pricing, we consciously decided to increase prices, which would have resulted in subscriptions remaining flat for some time in those particular geographies. But once the new pricing gets absorbed by the market, it should again be a recovery path in coming quarters.

Rupesh Tatiya: Okay. So, can you maybe just give a broad view of seasonality in your business, in 12 months, which are kind of like strong months and which are kind of like weak months?

Abhishek Bansal: So traffic-wise, first quarter tends to be stronger because in summer months, we find several particular categories, for example, AC repairs, etcetera, drawing a lot of traffic. Then there is some bit of seasonality around possibly other events such as, say, wedding season, et cetera. Otherwise, there isn't much of a seasonality. On the monetization side, historically, the last

st

quarter has been strong for us. So as a result, since we sell annual subscriptions, a lot of our SME customers renew their subscriptions in the month of March. So that is the kind of seasonality that happens on the monetization side.

Rupesh Tatiya: Okay. And can you talk about JD Mart? How many paying customers we have as of quarter exit? And what is the realization?

Abhishek Bansal: So, JD Mart, which is, say, B2B side of business that had about, of the overall campaigns about 22% campaigns pertain to B2B. So that would translate to about 120,000, 125,000 campaigns.

Rupesh Tatiya: So, there was no growth sequentially? I have a number of 120,000 on Q4.

Abhishek Bansal: So overall, if you see, there is just, say, 10,000 sequential campaign addition against that, and B2B has 20%, 22% share. So B2B campaigns would have grown by about 4,000 to 5,000 sequentially.

Rupesh Tatiya: And how do you see this panning out through the year?

Just Dial Limited
July 17, 2023

Page 12 of 16

Abhishek Bansal: So, at this point of time, overall revenue-wise, B2C also is seeing healthy recovery along with B2B. In next 2 to 3 years, we expect that the B2B side of revenue should possibly have higher growth versus the B2C side?

Rupesh Tatiya: Okay. And how about realization growth in B2B?

Abhishek Bansal: The B2B realizations are about 10%, 15% better versus my non-B2B realizations. So, like those particular categories also see a price uptick as and when we take price hikes in a particular geography. So when I increase my prices in a certain geography, that, in most cases, impacts both B2B as well as B2C side of customers.

Rupesh Tatiya: So, for full year, you said overall company level, 12% realization growth. So that number would be similar for B2B as well.

Abhishek Bansal: No. Sorry, I didn't say 12% realization growth for the full year. What I mentioned was that in case there is a 20%, 25% growth, part of it would materialize from campaign addition growth, rest through realizations. So, realizations, again, could grow anywhere between, say, around mid-teens or so. So, it could be slightly higher or lower depending on a particular quarter or a

particular year.

Rupesh Tatiya: And B2B would be similar to that number or it would be higher?

Abhishek Bansal: B2B ideally should be higher, because in B2B, our particular ticket sizes are much lesser versus where the industry stands. So, since there is a lot of catch-up that B2B can possibly do, realization growth on the B2B side should be higher than B2C.

Moderator: Thank you. We have our next question from Mohit Motwani from Nuvama. Please go ahead.

Mohit Motwani: Abhishek, I had just had 1 question, right. You have voice out multiple times that you want to get the core business back on track, and that's the primary focus right now. Just wanted to understand, is there any target of quarterly 100 collections that you are looking at, which would indicate that it is -- it has now completely recovered and is completely on a very good growth trajectory. Because if your paid campaigns are of any indication, they are at all-time highs right now, have surpassed the pre-COVID levels. So just wanted to understand your targets for collections at paid campaigns.

Abhishek Bansal: So, as I mentioned that the target is to overall grow a business at a healthy 20%, 25% rate on a sustainable long-term basis, that would partly be a function of campaign additions and ticket size growth. So, there isn't any specific quarterly target. Obviously, the annual targets are broken down into quarters, months, geographies, etcetera. But it's not that there is a particular number, which we hit and say that, yes, now the core business is back on a steady track. We need to obviously consciously work towards growing traffic on the platform, traffic growth, which is already coming through in terms of 170 million plus quarterly

users. That

overall should help us achieve our planned monetization numbers as well.

Just Dial Limited

July 17, 2023

Page 13 of 16

Moderator: Thank you. We have a next question from Sarang Sanil from RW Investment Advisors. Please go ahead.

Sarang Sanil: Sir, my first question is how exactly were you able to ramp up the quarterly unique visitors count. I appreciate how mobile has turned organic versus pre-COVID. But was there any particular driver that played out suddenly this quarter? And was this something you expected? That was my first question. And second question is, I lost the line during the introduction.

What is the monthly subscription? Was that like 60% for the quarter? And the B2B split that you gave, 22%, is it the revenue split? Yes, those are my 3 questions.

Abhishek Bansal: So Sarang, on your second question, monthly subscriptions sold during the quarter were broadly about 68%. So, 68% of the sign-ups were done on a monthly basis. On your third question, revenue contribution of B2B, that was about 26% for the quarter. On your first question around what led to the significant sequential growth. So, I think 2 factors played a role. One, Q1 typically tends to be seasonally strong quarter for us driven by summer months, as I was mentioning.

Second, there has been a recent revamp in both our desktop and mobile platforms, which went live in the months of March, April or so. So, the results pages that you see, the details pages that you see on our platforms, they are very rich. There's a lot of content that is shown upfront. There are a lot of data points, which help in faster decision-making for the user.

For example, you get to see what is the number of inquiries, a particular merchant receives whether that particular merchant is top-rated, popular, there are a lot of tags that are given. So, some of these initiatives have increased traffic for us. So, I think revamping platforms, coupled with the summer months helped us get that sequential growth.

Sarang Sanil: Sir, one last question. Sir, any other initiatives that you could give us a color about like JD Homes or something of that sort?

Abhishek Bansal: See, most of the initiatives are centered around getting rich content in listings as much as possible. So, whenever you do any particular category search on the platform or even if you search for any specific business, we want to be able to showcase as rich information. For example, even in case of service-oriented business, we want to be able to showcase, this is the service catalog for this business, this particular business, renders, all these services at these particular price points. So, focusing on faster user experience, better content, these are the key initiatives that you will see on rolling as we go further into the year.

Moderator: Thank you. We have next question from Abhishek Banerjee from ICICI Securities. Please go ahead.

Abhishek Banerjee: Hi Abhishek, I dropped off then. So, regarding the new initiatives part, even if I look at the core business, right, there was a revenue -- margin guidance of around 25%, 26% by year-end.

Does that still hold?

Just Dial Limited

July 17, 2023

Abhishek Bansal: Abhishek, yes, so pre -COVID, this business used to generate about 25% plus EBITDA margins. We have been able to achieve our pre -COVID numbers or surpass those numbers for traffic and top line. So, margins is the key metric that we want to achieve ASAP.

Abhishek Banerjee: Understood. And in terms of the demand for your services, so I see a strong traction there. Now is there any pricing increase, which is likely to come in over the next few quarters?

Abhishek Bansal: So, Abhishek, we have 2 types of listings, the premium listings as well as non -premium listings. So premium listings typically get a price reset at regular intervals, which is completely software driven. That particular

price increase is basically linked to how much traffic growth is panning out for a particular category in a particular geography. And in case there is some degrowth in a particular category, we also pass on that benefit to our customers. Non-premium listings, wherein one can pay any amount above a certain floor price that we set, those are taken at, say, half yearly or whenever we assess that there could be price increases. For example, in this particular quarter, we had certain price increases in Tier 2, Tier 3 cities where we felt that pricing is very much on a lower side. Part of that particular price increase will flow through P&L as and when the deferred revenue starts getting accrued because what I collect in this particular quarter will get recognized as revenue over the tenure of the contract, which is typically 12 months.

Abhishek Banerjee: Understood. So, in terms of revenue trajectory for the core business, right, what do you think is a sustainable Q -o-Q number?

Abhishek Bansal: See from our perspective, we wouldn't look at a specific Q -o-Q number because there can be certain quarterly fluctuations. But as we mentioned that on a long -term basis, we would strive to grow this particular business on a 20%, 25% on a top line basis and generating, say, 25% plus EBITDA margins.

Abhishek Banerjee: Got it. So, if I consider that you grow, say, 25% in FY '24, and nothing substantial happens on the cost front. Will the 25% margin be met mathematically?

Abhishek Bansal: Yes. By the end of the year, it could definitely be met.

Moderator: Thank you. We have our next question from Hemal, an Individual Investor. Please go ahead.

Hemal : Just 2 quick questions. What is the tax rate we should assume for this year and for next year? If you can guide?

Abhishek Bansal: Yes. So, I can explain how tax provisioning happens for us. So, there are 2 components to, say, profit before taxes. One is materializing out of our profit from core operations. That gets taxed at almost full tax rate of, say, 25.2%. There are some deductions that we get, so broadly 24.5% to 25% tax rate. The treasury income at this point of time, majority of the treasury is in short -term bucket.

Just Dial Limited

July 17, 2023

So just before 31st of March, since the new tax guidelines were to kick in from 1st of April, what we decided was the part of the treasury, which had become long term in nature and where we could lock in higher yields by shifting to higher duration, we had done so. What that effectively means is that while I will likely not be selling any treasury to realize my MTM gains, my MTM gains will continue to get taxed at a corporate tax rate of 25.2%.

As and when 3 years down the line, when they become long term in nature, the tax rate will shift back to 20% with indexation, which will effectively be 12%, 13%, and there will be tax reversal at that point of time. So, the total INR22.5 crores tax that we see, only INR4.5 crores, INR5 crores is current in nature, rest all is deferred tax, which is just provisioning because of short -term tax rate applicable on MTM gains. In order to answer your question for the full year, the first quarter tax rate that you see 21.5% or so, that is what 21.5% to 22% is what we are expecting for full year at this point of time.

Hemal: Okay. And I missed this, maybe you already answered, so my apologies. On the employee cost, which has increased this quarter, do you -- is this a one-time quarter? Or is it going to continue next -- throughout the next 3 quarters also?

Abhishek Bansal: So, employee cost, the sequential increase in this particular quarter was a bit chunky, led partly by increments. And in coming quarters, we do not expect such continued sequential addition. Employee costs should moderate going forward.

Hemal: So, would it be fair to take this quarter's number and annualize it? Is that a ballpark estimate?

Abhishek Bansal: So, second half of the year, we could have certain headcount additions, especially in sales, keeping our next year numbers in mind. So, this quarter, annualized plus there will be some additional costs due to incentives, which are revenue linked. That is what I would forecast that

at this point of time for, say, half year. And as and when we go into Q3, Q4, we'll see whether we need to do any headcount additions.

Hemal: Okay. And my absolute final question. Any update from any integration with Reliance Retail, any conversation ongoing that you can share with us?

Abhishek Bansal: So, there is an integration that is likely to go live soon on MyJio app. So MyJio, -which has a vast user base and several Reliance Group companies are already integrated in that. So our integration is also in almost final stages. So that is one integration that is on going. There are other few integrations as well around integrating some of their transaction -led platforms with ours, but those are in pipeline. As I mentioned that the core focus is to get the core business on a sustainable and profitable growth path.

Moderator: Thank you. We have a next question from Srini Koganti, an Individual Investor. Please go ahead.

Srini Koganti: Hi Abhishek, given that we've got INR4,200 crores of cash and a healthy growth of sales as well as profits, wouldn't it -- can you share your thought process on about purchasing or doing

Just Dial Limited

July 17, 2023

Page 16 of 16

a share buyback so that your company itself is investing in a good business. What are some of your thoughts regarding that, please?

Abhishek Bansal: So, Srini, regarding the cash that sits on our books, whether we should possibly consider any buyback or distribution via any other alternative means, honestly, we haven't put any thoughts around that. So as and when we go into future quarters, we will possibly have a discussion with the Board on best utilization of this cash. I don't think it would be prudent on my behalf to right now comment on whether we think that is the right strategy to adopt.

Srini Koganti: Absolutely, sir. Yes, especially that we are getting almost 7% to 8% on the treasuries. And I honestly feel the stock is really undervalued at this stage given all the growth and the cash. So that was the reason I was trying to get your thought process.

Moderator: Thank you. We have a next question from Amol Pise. Please go ahead. There is no response from Mr. Amol Pise's line. I would now like to hand the conference over to Mr. Abhishek

Bansal for closing comments.

Abhishek Bansal: Thank you, everyone, for joining us. In case you have any further queries, please feel free to reach out to us. We will do our best to address. That's it from our side. Thank you so much.

Moderator: Thank you, sir. On behalf of Just Dial Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2023

October 26, 2023

To
BSE Limited
Department of Corporate
Services
Listing Department
P J Tower, Dalal Street,
Mumbai - 400001
Scrip Code: 535648 National Stock Exchange of
India Limited
Listing Department
Exchange Plaza, Plot no. C/1,
G Block, Bandra -Kurla Complex,
Bandra (East), Mumbai - 400051
Scrip Symbol: JUSTDIAL Metropolitan Stock Exchange
of India Limited
205(A), 2nd Floor,
Piramal Agastya Corporate Park,
L.B.S Road, Kurla (West),
Mumbai - 400070
Scrip Symbol: JUSTDIAL

Dear Sir/Madam,

Sub.: Transcript of Earnings Call on Unaudited Financial Results (Standalone and Consolidated) for the quarter and half year ended September 30, 2023
In continuation of our letters dated October 17, 2023 and October 23, 2023 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the Earnings Call held on Monday, October 23, 2023, at 6.00 p.m. for discussing operational and financial performance of the Company in the quarter and half year ended September 30, 2023 and the same is available on the Company's website at <https://www.justdial.com/cms/investor-relations/earnings-call-transcripts>

We request you to take the above on record.

Thanking You,

Yours truly,

For Just Dial Limited

Manan Udani
Company Secretary

Encl: as above

Page 1 of 18

Just Dial Limited
Q2 FY '24 Earnings Conference Call
October 23, 2023

MANAGEMENT : MR. V.S.S. MANI – MD & CEO

MR. ABHISHEK BANSAL – CFO

Just Dial Limited
October 23, 2023

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to the Just Dial Limited Q2 FY '24 Earnings Call. We have with us today Mr. VSS Mani, MD and CEO, and Mr. Abhishek Bansal, CFO of Just Dial Limited.

At this moment, all participants are in the listen-only mode. Later, we will conduct a question-and-answer session. At that time, you may click on the raise hand icon to ask a live question. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Bansal, CFO, of Just Dial Limited. Thank you, and over to you, Sir.

Abhishek Bansal: Thank you. Hi, everyone. Welcome to Just Dial's Earnings Call for Second Quarter of Fiscal '24. Our operating revenue for the quarter stood at INR260.6 crores, witnessing 27% year-on-year growth and 5.5% on a sequential basis. This growth is primarily driven by healthier collections, which we have witnessed during the past quarters.

Our last 12-month collections have grown about 38% year-on-year. EBITDA for the quarter stood at INR48.8 crores, representing a margin of 18.7%, which is an improvement of 10.4 percentage points on a year-on-year basis and 387 basis points on a sequential basis. In absolute terms, EBITDA had a very healthy 33% sequential growth.

As we have been highlighting earlier that our cost control measures should show up as margin expansion on a quarter-on-quarter basis, the same is playing out. Our employee headcount stayed flattish on a year-on-year basis, down about just 1% and declined 3% sequentially. Overall, employee count focuses on maximizing productivity and bringing in efficiencies across departments. Our other expenses witnessed a muted 2.8% Y-o-Y growth and were down 4.7% sequentially. Advertising spend stood at approximately INR5 crores for the quarter. Other income stood at INR57.9 crores. We expect approximately INR75 crores a quarter of other income. This is 7.2% yield to maturity that is embedded in our treasury portfolio. But it can have variations based on movement of bond yields during the respective quarter since yields went up about 15 basis points, 20 basis points for our treasury's tenure during last quarter. Our other income was a bit lower at INR57.9 crores.

Profit before taxes stood at INR92.1 crores, growing 43% year-on-year. Effective tax rate stood at about 22%, which is presently on higher side, since bulk of our treasury mark-to-market gains are currently short-term in nature. And hence, provisioning for those taxes happens at full tax rate currently. Once they will cross the three-year holding period, higher tax provisions will get reversed. PAT stood at INR71.8 crores, growing 37.5% on a year-on-year basis. Sequentially, due to drop in other income, there is a 13.9% drop.

Second quarter collections stood at a very healthy INR278 crores, growing about 21% year-on-year. Consequently, deferred revenue, which is advances received from customers has grown to INR468 crores now, and it grew about 23.6% on a year-on-year basis. Active paid campaigns at the end of the quarter stood at about 561,000, which was up 11.3% year-on-year.

Just Dial Limited
October 23, 2023

Page 3 of 18

Average realizations have grown about 14% year-on-year. So, growth is coming as a mix of both campaign additions and improvement in realizations. Overall, cash and investments stood at INR4,282 crores as on quarter end.

Coming to operational highlights; Total traffic stood at about 172 million unique users for the quarter, growing about 10% year-on-year. Mobile traffic, which now forms majority, 85%-plus of overall traffic at 148 million users grew about 12%

year -on-year. Organic traffic, what we call as free traffic , has been growing steadily, which has held in reasonable traffic despite very low advertising. Total listings have now crossed 40 million.

Overall, it has been a quarter panning out in line with expectations on most fronts, be it traffic revenue and even improving margins. Recent cost controls and healthy collections should help us see improving top line trends going forward and even margins continuing to expand as we have been discussing earlier.

With this brief update, we shall now open the floor for questions and further discussion. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have our first question from Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri : Yes. Congratulations on a great set of results. I just wanted to ask any guidance for FY '24 ? Will we be able to reach our 25% EBITDA? And how would you see sequential growth going forward? Can we continue on a run rate of maybe 20%, 25% growth for the next two years , three years?

Abhishek Bansal : So, Darshil, this is what the objective is on top line, grow this business, sustainability at a 20%-plus kind of run rate and margins of 25% -plus. In this particular quarter, on a reported basis already margins are very close to 19%. And most of our expenses for the quarter anyway hit our P&L during that particular quarter itself, apart from incentives, which tend to be revenue linked.

So, against my total INR211 crores of operating expenses for the quarter, while accrued revenue in P&L was INR260 crores, I actually collected INR278 crores. So, on a sort of cash margin basis, the business already is generating closer to 25% kind of margins. And as we move into future quarters, that obviously will start reflecting in P&L as well. And as can be seen in the last few quarters, there has been a continuous quarter -on-quarter margin expansion.

Darshil Jhaveri : Sir, that's great, sir. So just wanted to know, sir, if we have the seasonality for maybe the festive season of Q3 would be higher? Or how would we term seasonality in our business?

Like could we see more revenue coming up because it's a festive season , how would it work?

Abhishek Bansal : So, Darshil, in our case, our subscriptions tend to be mostly annual subscriptions. So, the seasonality is not there because of festive months as such. On the contrary, slightly the seasonality was on the downside because in these particular months, the certain businesses are busy in their specific festive season, et cetera.

Just Dial Limited

October 23, 2023

Page 4 of 18

Overall, on the traffic side, we do have a bit of seasonality in terms of summer months doing well because certain categories on, say, AC repairs and services or, say, tutorial related categories, et cetera, tend to do well in those summer months. And on monetization side, the last quarter, fourth quarter typically tends to be highest revenue -generating quarter for us. But that is more that historically since typically February , March or fourth quarter tends to have higher subscriptions. Those renewals end up getting done every year in fourth quarter. Otherwise, there isn't much of a seasonality factor.

Darshil Jhaveri : Okay. So just one last question. So, sir, we're probably going to reach INR1,000 crores revenue by this year. And so maybe next year onwards , on a reported business will we be able to see 25% because our leverage will kick in for sure by next year , is that fair to assume?

Abhishek Bansal : So broadly INR278 crores is what we collected this particular quarter. And whatever amount we collect typically gets recognized over next 12 months. So, basis that if current growth rates continue, then yes, there could be 20%-plus kind of top line growth as we have been targeting.

Moderator: Thank you. We have our next question

from Saumil Shah from Paras Investments . Please go ahead.

Saumil Shah: Sir, my question is on a broader perspective because what are we doing so special that Google is not doing? Because if say, someone wants to search for a restaurant or, say, any hardware shop, they will just go on Google and search for it. So, in that scenario, what are we doing so special that Google is not doing? Or maybe how do we take some market share from Google?

Abhishek Bansal : So Saumil, on Google being the platform for users. One thing we need to understand is that India typically is a 90%, 95% android smartphone market. And in android, the default browser is the Chrome browser. So as a user, my behaviour is typically to go into that chrome search part, type my search query. And that triggers that default search engine as Google. So not just in India globally also, there are platforms that draw a significant amount of traffic by Google itself.

Now the second part of this particular question would be that for local businesses to get searched, today, you can find in certain categories, those particular businesses listed on Google as well. But our experience has been that the strength of our business comes one, due to breadth of listings that we are able to offer in each particular category.

Second, in terms of depth as well. So, the kind of the quantum of information, the rich content that we are able to serve and the localized results. So, if you're searching for something in Malad West, we will definitely be able to cater to exact results from Malad West. Those kind of -- that kind of search experience probably is not replicable.

Plus, the global search engine also has a bit of restrictions in terms of their structure that their AdWords results come on top, followed by local listings, followed by organic SEO results. And in certain cases, SEO results come even ahead of the local listing part. So that way, a commercial intent-oriented search engine such as Just Dial in serves the key purpose of finding

Just Dial Limited

October 23, 2023

Page 5 of 18

SMEs and in a country like India, which is 70 million, 80 million search businesses there is a - our particular platform is able to deliver better depth and breadth of local search results.

Saumil Shah: Okay. And I mean, what would be our market share in India?

Abhishek Bansal : So, there aren't any specific studies or such data points that I am aware that get released regarding market share. And I believe it is very difficult to assess as well.

Saumil Shah: Okay. And sir, my second question is on the other income side. Because on a yearly basis, I mean, how much other income we can expect? Because on a full year basis, I mean quarterly, it is difficult to judge since there is a lot of fluctuation due to bond yields. So, say, on a yearly basis, how much other income can we expect?

Abhishek Bansal : So current invested treasury portfolio is about INR4,250 crores -odd. On that INR4,250 crores, the yield to maturity of our portfolio currently is about 7.2%. And the average duration or the modified duration of the portfolio is about three years. So, if bond yields or rates were to remain constant, then basis 7.2% on that INR4,200 crores, which comes to, say, around INR290 crores to INR300 crores is what should be the treasury income.

But again, for example, last year, throughout the year, bond yields kept going up. So last year, treasury MTM gains were muted. And when the cycle will possibly reverse anytime in future years, that particular year could have much higher gains as well versus the 7.2%. So, on a longer two years to three -year time frame, I would say that 7.2% per year is what we should be earning because that is the YTM of our portfolio.

Saumil Shah: Okay. So as per the current bond yield, even the current quarter would be lesser than 7.2% ?

Abhishek Bansal : So, this particular month, yes, again, bond

yields have hardened a bit. So, we'll have to see how these pan out. So MTM gains typically depend on where the quarter ends. So, we'll have to see how it goes. But again, these are sort of temporary fluctuations. They should be seen on a longer -term time frame.

Moderator: Thank you. We have a next question from Anupama Bhootra from Arihant Capital. Please go ahead.

Anupama Bhootra: So, I wanted to understand what kind of penetration do we have when it comes to Tier 3 and Tier 4 cities, very small towns in terms of mapping and usage ? This is my question one.

And what is the status when we talk about these new initiatives, which includes JD real estate experts and shopping ? So yes, these are my questions.

Abhishek Bansal : So, on Tier 3, Tier 4 versus others, typically, the way we look at is top 11 metros versus outside top 11 cities. So, in terms of count of customers, we have about 40% customers coming from top 11 metros and rest about 59%, 60% from Tier 2 and beyond. On the monetization side, about 59% comes from Tier 1 cities.

Just Dial Limited

October 23, 2023

Page 6 of 18

If we were to look at in terms of search patterns or the split of 40 million businesses that we have, that would possibly be again, say, around 50%, 55% coming from outside Tier 1, say, top 11 cities and rest about 45% from Tier 1 cities.

Regarding your second question around new initiatives. So, as we have discussed over the last couple of quarters, the new initiatives primarily aim at adding a transaction layer over the local search results that we already deliver, be it in services via JD experts or possibly on the product side via JD shopping, et cetera. So, these platforms are already ready. In services, we even delivered about 100,000 , we catered to 100,000 live transactions over the period of last 12 months to 15 months.

Now the key question in front of us is that at what point of time do we think that, okay, we should be spending money in order to incentivize both users and possibly merchants as well in order to boost transactions. At this point of time, the way we see it that it is for sure going to be negative unit economics business. Another key consideration for us is that in several of these

categories, we already have subscription revenue coming in, which will also get cannibalized. So, if we were a new entrant, new vertical player, then possibly the impact would have been only to consider the negative unit economics aspect. But for us, it is also about whether the INR50 crores that I am earning from some of these categories annually. Can I own similar kind of actual revenue generating positive EBITDA over these. So, I think we'll wait for a few more quarters before we decide to splurge money on these initiatives. From the product aspect, they are fully functional at this point of time itself.

Anupama Bhootra: Okay. And one more small question, just a data point. What was the B2B contribution in this quarter and monthly sign-ups?

Abhishek Bansal: So, about 25%, 25.5% revenue came from B2B segment customers. And in terms of monthly subscriptions, about 65% of businesses were signed up on monthly plans.

Moderator: Thank you. We have our next question from Niraj Kamtekar from ProsperoTree. Please go ahead.

Niraj Kamtekar: Sir, my question is related to the utilization of the cash balance lying with the company. Sir, before the Reliance was -- became the co-promoter of the company, Just Dial has conducted the 3x the buyback of the shares and rewarded the shareholders. As on FY '21, the cash balance was around INR1,600 crores, and Reliance has introduced another INR2,200 crores. That -- the sum of INR3,800 crores. And today, the cash balance is around INR4,300 crores against the market cap of INR6,300 crores.

Even the company is thinking of any acquisition or expansion, sir, I don't think that we require such a huge cash balance with us. Is it not

not proper to reward the shareholder either in the form of buyback or dividend? At least what we are earning on our treasury business. Can the -- company should distribute something with the shareholder?

Just Dial Limited
October 23, 2023

Page 7 of 18

Abhishek Bansal: See, regarding the buybacks that you mentioned, one point to note is that some of those particular buybacks were done at a time when the taxation rules pertaining to buyback were different. At this point of time, whether we -- even if we want to distribute cash to shareholders, the various mechanisms, be it dividends or buybacks, they attract a certain tax, be it at company level or in the hands of the recipient.

So, at this point of time, the Board has not taken a decision whether we want to distribute that particular cash, et cetera. So, this particular cash at this point of time is deployed in the safest and most efficient instruments available. And in future basis, how business plans pan out, we will take a call along with the board on the usage of this particular cash.

Niraj Kamtekar: But sir, when the dividend or buyback is done, the tax is applicable to the -- all the shareholders, whether it is a promoter or non-promoter. So, what stops you from distributing the cash? Because even the 7.2% yield you are earning at the company level, is it enough earning on the cash balance?

Abhishek Bansal: See, the tax ultimately is a particular -- while it is same for all the shareholders, but that particular tax will actually be paid out, right? So that 7.2% post-tax is what will shareholders earn. Though at company level, the effective tax rate will be 10%, 12% on our treasury gains. Having said that, the point is relevant that there is a significant amount of cash in the company. And at some point of time, there will need to be a decision on either utilization of this cash or distributing it back to shareholders in the most efficient manner at that point of time.

Niraj Kamtekar: But sir, I would like to share my view that the shareholder or investors are not putting or investing the money in the company, which are heavy on the cash and less on the business. Because we want the operating profit, not the treasury income, and we have enough cash and our business itself is generating a good amount of cash and profit. So, you must declare something or you must distribute some amount of the money which you earn every year to the shareholders, sir. It's my suggestion because otherwise, many investors are not happy with the company, sir.

Abhishek Bansal: So, point taken, we will take this up with the Board. So, a relevant point, we will take it up.

Niraj Kamtekar: Okay. Sir, and second last question, how we are different from the IndiaMART?

Abhishek Bansal: See, we earn only about 25%, 26% revenue from B2B categories. So, the majority turn, 3/4 of our revenue comes from B2C-oriented category. So, our strength from day one has been to get to a real estate agent, a packer and mover, whatever spa, salon doctor, dentist, all these B2C kind of categories.

In B2B categories as well, we have over last two years, three years worked extensively to create catalogues for businesses. At this point of time, we have about almost 1 million reasonably rich catalogues for businesses, which are getting augmented on a day-by-day basis, which is what is helping us with the incremental revenue growth as well.

Just Dial Limited

October 23, 2023

Page 8 of 18

Niraj Kamtekar : Sir, there is any plan, just like earlier the JD Mart was introduced once again, we will come with another app or refocus on the B2B segment.

Abhishek Bansal : So, for us, what we have observed is that our traffic gains for the core platform itself are much better versus creating a separate particular platform. So, at this point of time, we have both the stand-alone apps for the B2B segment as well as the core

JD App, which has all the content pertaining to the digital catalogues. And at this point of time, about 14%, 15% of the overall traffic comes for B2B-oriented categories, which was just about 7%, 8%, say, five quarters, six quarters back.

Moderator: Thank you. We have our next question from Rishabh Shah from Dalal & Broacha. Please go ahead.

Rishabh Shah : So, my question is, can you may be specify how many categories we are present in right now in total?

Abhishek Bansal : So, Rishabh, for us, for search purposes, every particular keyword is one search category. For example, 5-star hotels is one, chemists is one. So that way, we would have more than possibly 400,000 keywords. But broadly, I mean, any category, any commercial intent search-oriented category that you could think of? I'm sure you will find it on the platform.

And no single category contributes more than, say, around 3% to 4% of the revenue. So that way, revenue base is highly diversified.

Rishabh Shah : Okay. So, my question is that, that if we look at the vertically integrated platforms that are there like for food delivery business Zomato and for medical businesses, Practo. So, like now people are focusing more toward those -- people are getting attracted toward those kind of areas. So now where do we stand to compete these kind of companies? Like could you please elaborate on this?

Abhishek Bansal : So, Rishabh, this, we are a horizontal platform, right? So, there has been this particular discussions to debate about the horizontal versus vertical, whether users are gravitating toward vertical platforms, et cetera. My assessment is that as a user, you need both kind of platforms. There are times when I possibly go to a vertical platform to get my job done. And there are other times where there are so many categories where there isn't a critical mass of users in India to create a vertical platform that there is definitely a merit in coming to a horizontal platform.

And since I'm coming for all such categories, many of the times, even the vertical-oriented categories, users end up reaching out to the horizontal platform itself. The fact that we have 170 million-plus quarterly users coming in. In a country like India, you do need to search for SMEs, day in and day out.

So, I mean, verticals since a majority of them are sort of bleeding even today or are just sort of about to touch profitability, which we'll have to see how sustainable it will be in the light of whether past growth can be achieved or not. So, from our perspective, we are very clear that

Just Dial Limited
October 23, 2023

Page 9 of 18

core business should grow at a healthy 20%-plus top line level with a reasonably healthy 25% plus profitability.

Rishabh Shah : Okay. And I have another question, which is for the previous quarter, we announced a INR30 crores newer initiative. Now this particular amount is very unclear for where it is being used. Can you please specify in the usage of this amount?

Abhishek Bansal : So, the two platforms that we created, one for services, other for product-related transactions. Those two platforms over the last four quarters to five quarters, we built on a total capital outlay of about INR30 crores. Majority of it was spent last year, fiscal '23 in the middle of last quarter, since those particular platforms were ready, that particular amount moved from intangible assets under development or call it, CWIP to fixed assets. So, they have got capitalized now, and they will get depreciated over the useful life of the asset. There is no incremental capital expenditure that is happening specifically for those platforms. Those platforms are getting maintained, et cetera, but those particular expenses are being expensed in that particular quarter itself. They are not getting capitalized anymore.

Rishabh Shah : Okay. And sir, can you please tell me about JD Omni where there is

this data analytics part, which is entering into the segment? And how it can lead to a more stable earnings and higher profitability. Can you just specify on this about JD Omni? How are we -- and strategies are we

planning for?

Abhishek Bansal : So, JD Omni is essentially an end-to-end cloud-hosted business management solution. So, if you are an SME and you want to completely digitalize your business, including operations, you can use the entire JD Omni suite and actually run that particular business via JD Omni. At this point of time, basis customer feedback, the key component of JD Omni that we actually actively work on and that we actually sort of bundle with our core business subscriptions is the website component. So, businesses want their own website, which we sell to high-value customers as part of our JD listing subscriptions. So, our pitch to a particular SME is that in case you buy a higher value package, we also create a website for your business till the time you keep paying money to Just Dial, your particular website, et cetera, will continue. If you stop in, then these get discontinued. So that is what we are leveraging from JD Omni at this point of time.

Rishabh Shah : Okay. Okay, sir. And sir, can you please be -- can you be specific about employee cost as a percentage of your sales, which is approximately, if I take for FY '23, I may be wrong, please correct me, it may be 77.1% of it. So, are we keeping that number on a steady-state basis? Or are we -- we may increase that number? Or is there any addition to that or any changes?

Abhishek Bansal : So, within operating expenses, the two key line items are employee expenses and other expenses. Other expenses at about INR26 crores, INR27 crores a quarter are at sort of steady state. The key delta, which we possibly expect in other expenses comes out of advertising. In case we step up advertising that can possibly go up. On the employee expenses part, last year, Just Dial Limited
October 23, 2023

Page 10 of 18

77% was on a higher side because we had done significant bit of hiring and whatever revenue generation happened from that hiring that benefit is coming in now in this particular fiscal year.

So, we do not expect material increases in employee expenses. As you can see in the last 3, 4 quarters, headcount has largely sort of stayed flat. And employee expenses as a percentage of revenue should keep declining as we move into future quarters.

Rishabh Shah : But any steady-state number can you give?

Abhishek Bansal : So steady state number, I mean, if business is operating at a steady state of, say, 25% EBITDA margin and a 10% or 11% is going in other expenses. Then effectively, that implies, say, anywhere around 62%, 63% materializing from employee costs.

Rishabh Shah : Okay. Okay. And sir, can you tell me how much percentage of our buyers are repeating as in how many repeat buyers are there of our services and is it growing? Or is it steady?

Abhishek Bansal : I presume by buyers, you mean the merchants taking JD subscriptions?

Rishabh Shah : The paid campaigns -- yes, yes, but how many are repeating? Yes, repeat rate, yes.

Abhishek Bansal : So paid campaigns are typical, 1-year repeat rate is approximately around 55-odd percent. So, if 100 customers sign up today, 1 year down the line 55% go into year 2. But in our particular case, it's not the case that even if a customer has not gone into a year 2, 1 year down the line, they have churned out forever. They could come back into the paid ecosystem 1 quarter or even 6 months, 1 year later as well. Plus, there is some bit of natural attrition that happens because SMEs itself changed their business in that particular time duration. Most importantly, these trends have been similar for even last decade. So, they have held very much steady.

Rishabh Shah : Okay. Okay. And sir, in one of the con calls, you had mentioned that out of

80 million SMEs,

we are planning to go to the active paid campaign of, let's say, 1%, that is INR8 lakhs. So, any guidance over there? I mean, are we closing over there soon, pretty soon now?

Abhishek Bansal : See, so the way we look at it is that overall revenue should grow at, say, 20%, part of it or say, almost half of it should materialize via campaign additions and rest via increase in pricing or realizations. We are not that obsessed with that, okay, the volume component should grow at -- be it even at the expense of declining realizations.

So, a steady 10%, 12% volume growth from current levels is what we would sort of build in over the next 2, 3 years. But again, the key is that this is keeping in mind that the overall revenue growth should be 20% plus. There could be geographies where volume growth could be much higher and there could be geographies where we might have entered with much lesser pricing, say, INR999 a month, where there could be a 25% price hike itself that could be taken.

Rishabh Shah : Okay. Okay. And I have one more question. That is, since we are increasing our realization.

So, we know that we are becoming aggressive on that part, but are we going to be as much

Just Dial Limited

October 23, 2023

Page 11 of 18

aggressive in the coming years -- in the coming 2, 3 years or somewhere on the line? Can we -- can you share that?

Abhishek Bansal : Sorry, what do you exactly imply by being aggressive?

Rishabh Shah : I mean, since we are increasing our realizations. So, we -- I mean, are we going to be this much aggressive -- are we going to be keeping -- are you going to keep increasing our realization at the current level every year or every 2 years, 3 years, maybe so.

Abhishek Bansal : Okay. So, on an average blended basis, my current monthly realization comes to, say, around INR1,550 a month, okay? So, which translates into Rs. 18,500, say, INR19,000 per annum, which for SME is highly reasonable at this point of time. Secondly, we see 2 types of subscriptions. One is the premium subscriptions. The other is the non-premium listings. In premium listings, the price hikes are very much linked to the traffic growth.

So, if I'm able to deliver, say, 20% traffic growth in a particular category, I don't mind taking 10%, 12% price hike and the customer also does not mind paying me that kind of price hike. So, the endeavour will be how we can keep growing our traffic. And wherever we can take price increases, we will definitely try to take those.

Moderator: Thank you. We have a next question from the line of Vivekanand Subbaraman from Ambit. Please go ahead.

Vivekanand Subbaraman : Yes. Thank you for the opportunity. So, my first question is with respect to the collections trajectory that you reported recently. Now you made a statement that you are gunning for 20% sustainable growth. So, Abhishek, my questions here are. One is, what gives you the confidence that you can sustain the 20% plus collections growth for the business? And the related question is, how did you manage to achieve the traffic growth to say INR170 million without spending money on advertising. And then if you could also provide the advertising number this quarter, that would be helpful. So that's my first set of questions.

Abhishek Bansal : Okay. So, Vivek, on the first question around 20% growth. So, it's a mix of multiple levers that we are trying to work out. One in premium listings, where we think that the cost per output or the cost per inquiry is relatively cheaper. We could easily take price hikes. So, in those particular listings, we are working on those price hikes. Then in Tier 2, Tier 3 cities, as I mentioned, there are several geographies where we have entered with just INR750 to INR1,000 per month kind of subscriptions.

My Tier 2 realization is just 45% of my Tier 1 realizations. And over time, we believe that Tier 2 should keep converging toward Tier

Tier 1 and Tier 1 in itself should see high basis, whatever traffic growth trends are.

This brings me to your second question that on the traffic growth side, there is a significant amount of rich content that has been added to all the categories on our platform. So today, when you search for any particular category or even direct business, you see highly rich content in terms of be it ratings and reviews, photos, videos. We are working on even stitched

Just Dial Limited
October 23, 2023

Page 12 of 18

videos, which could be created from the content available in our listing, which we would want the business to directly use it for even sharing to their direct customers.

So as a result of these particular initiatives now organic traffic has been growing reasonably well, which is what has helped us come to this INR170 million number. And apart from that, for the top line, we are also working on a couple of initiatives such as the reseller model, wherein instead of having fixed costs, it would be obviously on a variable model basis. And we are working on online sign-ups as well. So, with SMEs also maturing, there could be a possibility that, say, a part of renewals could start coming in online. So, the idea is these particular revenue initiatives would not only aid my top line targets, but these would also be high margin revenue sources.

Vivekanand Subbaraman : Okay. That's very helpful, the detailed answer. The few follow-up questions that I have related to your answers are one is the advertising number during the current quarter. I think I missed that. Could you help us with that?

Abhishek Bansal : It was about INR5 crores. INR5 crores for last quarter.

Vivekanand Subbaraman : Okay, and was this online marketing spending? Or was it purely brand related?

Abhishek Bansal : Majority was online marketing spending.

Vivekanand Subbaraman : Okay. And historically, there used to be a thought process of wanting to spend a certain percentage of revenue, let's say, 5%, 6% revenue on advertising, if not more. Has that number now materially come down to 2%, 3% on a sustainable basis? Is that what we should infer based on the traffic trends and recent ad spends?

Abhishek Bansal : So, Vivek, the way we look at advertising is that our particular business requires a sustained calibrated level of advertising versus sort of one-shot or kind of blitz advertising. The user should recall our particular brand name. So that whenever they are doing searches online and

they see our particular rating or they directly coming to the platform, they should be doing those particular searches. So, 5%, 6% is what we would actually want to spend on advertising on a sustainable basis. But in current year, it has been on a lesser side.

Third quarter, fourth quarter could be a bit higher. But since organic traffic itself has been aiding our particular growth. We thought it is prudent to optimize these spends at this point of time by sending mostly on digital and possibly planning related initiatives could also be taken up in future quarters.

Vivekanand Subbaraman : Okay. Okay. My last set of questions are on the top 11 versus non-top 11. I know you commented quite a bit on how you are looking at monetizing the premium searches in the top 11 markets by taking price hikes. So just to understand better now in terms of your median pricing in top 11 markets versus pre-COVID versus now, where does it stand? Have you withdrawn all the discounts in the top 11 markets? And how would that trend be in the non-top 11 markets compared to pre-COVID, say, 2019 pricing?

Just Dial Limited

October 23, 2023

Page 13 of 18

Abhishek Bansal : So firstly, we have withdrawn all kinds of discounts that happened, in fact, somewhere in -- toward the end of fiscal '22 itself. So, for last, say, about 6, 7 quarters, we have been not giving out any of these particular discounts. In terms of where

pricing stands versus pre-COVID sort

of levels. On an overall revenue basis, we are, I think, about 6%, 7% higher versus where we used to be in around March '20 levels. And there, say, the non-top 11 there the delta is much higher. They are up about, say, 20% or so. But the top 11 as well are up about 5%, 5.5% or so.

Vivekanand Subbaraman : Okay. And your sense is that the key lever that enabled you to take the price hikes and withdrawn discounts is the traffic on the platform that has improved materially versus pre-COVID levels. Is that the only factor? Or is there any other factor here?

Abhishek Bansal : So, traffic is one of the most critical factors, and especially considering the organic traffic has been quite steadily growing. We are much, much higher versus where it used to be at pre-COVID levels. Apart from that, as I mentioned, in Tier 2 and beyond geographies, wherever the pricing was much lower, there the delta tends to be higher.

So even if I take INR1,000 a month to INR1,200 or INR1,250 a month, that translates into, say, a straight 20%, 25% hike. So that is what aids Tier 2 geographies. Even now, as I said, like against INR1,550 a month, Tier 1 average is only about INR2,250 a month, which, again, think of any particular SME in a city like Mumbai, Delhi, Bangalore, INR2,200, INR2,300 a month is very highly affordable.

Vivekanand Subbaraman : Okay. Very helpful. Last question from my side is, did the spending on inorganic traffic acquisition by, say, some of the focused vertical players have any bearing on the swing in that inorganic traffic acquisition by any of the vertical players have any bearing on the traffic coming back to Just Dial where some of these D2C companies, the vertical focus start-ups, they are now spending less and that benefiting you guys?

Abhishek Bansal : See, as I mentioned, our revenue is highly diversified. So for example, in this particular festive season, you see advertising right, left and centre in all product-centric categories, but that doesn't really impact us directly or other way would be that it is very difficult to assess that, okay, whether high or low spending by vertical players in certain category is affecting our traffic right away or not.

So, our particular results today, the 90% plus traffic that I'm generating today, is coming absolutely free of cost. And that free of cost traffic has no bearing from what others are doing. That is purely the strength of the platform that is making the global search engine rank us where we are.

Moderator: Thank you. We have our next question from Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain : Yes. So, I have just 1 question. In terms of unique visitors. If I look at over the last, let's say, 4 years, pre-COVID to now, there has been a growth of close to 2% CAGR. And I presume that in the last 4 years, the usage of Internet has or might have increased significantly. So, in that

Just Dial Limited

October 23, 2023

Page 14 of 18

context, if you can explain what are those missing links where the overall growth is not at par with how the Internet users are increasing. If you can explain that part? And what are we doing for the same?

Abhishek Bansal : Okay, Resham, the way we look at this particular metric is let us take the case of, say, around 4 years ago, say, I have ready stats for third quarter of fiscal '20. So, in third quarter of fiscal '20,

we had about 157 million unique users. But the split at that particular point of time was 108 million users came organically, which means I didn't pay anything for that traffic. And rest 48 million, 49 million originated YMI paid initiatives. At that point of time, our paid advertising used to be about INR15 crores, INR16 crores a quarter.

Today, or say, last quarter, that 108 million has gone to 160 million, 158 million, 160 million, free traffic, organic traffic. And the paid compone

nt of traffic is coming at just 1/3 the spend,

INR5 crores versus INR15 crores, INR16 crores. And within paid, we have optimized those spends to ward high revenue -generating categories, where I might be spending higher to generate 1 particular incremental lead or inquiry but my revenue also is proportionately much higher.

So, the way we look at it is that versus pre -COVID, at 1/3 the spend, I am getting even higher versus my -- what my pre -COVID levels were. One can step up advertising whenever there is a need. But as I mentioned in the past that this business requires a sustained kind of advertising and in order to see that how our top line and profitability goals get achieved, we would calibrate our spends accordingly.

Resham Jain : But let's say, if -- let's say, if you would have spent similar INR15 crores and now it's anyone's guess, but because the overall Internet users must have increased, would then the INR17 crores unique visitors would have looked much higher. So, the question is, over the last whatever quarters since you have stopped advertising, what gives you that confidence that without advertising, this growth is okay or with advertising, maybe a much higher growth could be much better. I hope I'm clear in my question.

Abhishek Bansal : Right. So, see, the question is more advertising versus less advertising. It's not that over the last few quarters, we have stopped advertising. We never stopped. We -- what we are saying is we have only optimized advertising. Now the question is that, okay, next quarter, if I were to spend, say, INR12 crores, INR13 crores higher and my INR17 crores translates into, say, INR18 crores, INR18.5 crores then would it immediately reflect into better monetization. That, as I have mentioned that our calibrated approach is much better.

Our intent is to grow traffic and monetization both. Our particular business, actually, the basic is that you grow traffic and monetization follows it with a lag. So, at this point of time, organic traffic has held up pretty well. Going forward, organic will be endeavoured to grow at sustainable rates plus wherever need be, we would obviously add to advertising. As we are seeing margin expansion, it's not that a 25% plus business will not see margins or incremental operating cash flows. Whatever are the incremental operating cash flows, there can be a

Just Dial Limited

October 23, 2023

Page 15 of 18

conscious call to deploy a good chunk of it in advertising to grow traffic and consequently grow revenue followed by profits.

Resham Jain : Okay. And 1 question just peeping into how the Board meeting happens at Just Dial, can you help us just to understand what kind of discussion happens? Or how much time do you spend on core business versus new initiatives because we are sitting with a huge pile of cash over the last few years. And this is in a way dilutive in the overall return ratios. So, from the discussion perspective, how does things operate is what I wanted to understand.

Abhishek Bansal : So, I think a relevant way to understand this would not just be that how much time solely the Boards spend but more how much time key strategic -- how much time is spend with a strategic holder -- stakeholder on these particular initiatives? So, the Board majority today obviously is RRVL representatives. And on an annual basis, we create our annual operating plan, which focuses both on core business as well as new initiatives. And then those particular initiatives are monitored not just on a quarterly basis, on a monthly as well as weekly basis.

Resham Jain : Okay. And any services being provided to RRVL from our tech platform.

Abhishek Bansal : Services, as in -- sorry?

Resham Jain : Any from our tech platform from tech input perspective? Are anything -- you did mention about JioMart kind of integration at some point of time, a couple of years back when it happened. So, I'm asking

from that perspective.

Abhishek Bansal : So, in RRVL/Jio, My Jio is one of their key platforms or app, which has significant traffic. So, our particular local search capabilities are getting linked to My Jio app, which should go live anywhere in the next couple of weeks. So that will be a significant integration. Apart from that, there could be sort of synergies that could be in progress working in terms of say either some cross bundling wherein our particular subscriptions could get bundled with some of their offerings or vice versa and so on.

Resham Jain : Any monetization, which one should expect or build in their model from this newer initiatives

like My Jio bundling of?

Abhishek Bansal : So, at this point of time, it's the core business, 20% top line target, which was sort of building these. We are not building in any sort of additional monetization at this point of time for non - core related initiatives.

Moderator: Thank you. We have a next question from Sarang Sanil from RW Investment Advisors. Please go ahead.

Sanil Sarang : Sir, I have a couple of questions. So internally, do you track campaigns per sales employee closely? And is there a target you'd like to achieve? The reason I'm asking is that though we are flattish on employee addition, cost per employee has gone up. also campaigns per sales employees around 48, 49 right now. And pre -COVID, we were well above 50, right? So, do we have a target here?

Just Dial Limited

October 23, 2023

Page 16 of 18

Abhishek Bansal : So Sarang, we do not explicitly focus on campaigns per sales employee, but rather we focus on revenue per sales employee because there could be geographies or there could be sales employees who might work differently in terms of one might focus on signing up more campaigns, be it relatively entry level or low-ticket size. The other would be focusing on signing up high value, lesser number of campaigns. So, from that particular perspective, what we focus on, what is the overall cost of sales and what EBITDA margins does that translate into. And at company level, broadly, the growth is targeted half to materialize from campaigns and rest from realizations.

Sanil Sarang : Sure, sir. My second question is, sir, why are we not gaining traction in Tier 1 cities. We had higher paid campaigns on an absolute basis and split on an overall basis pre -COVID. Now on an absolute basis, also, we've been growing at single digit for the last 3 quarters, though on an overall basis, total paid capital we are well above double digits. So, what has happened in Tier 1 cities? And is there anything that you're focusing right now so that we can incrementally increase the realization also from Tier 1 cities?

Abhishek Bansal : See, if I look at the split of revenue growth for this particular quarter alone, so this particular quarter, revenue had a 27% growth, okay? So, this 27% is split, I say, about 20% growth coming in top 11 or so to say, Tier 1 cities and rest about 38%, 39% coming from Tier 2. Now the next level would be breaking that 20% into volumes versus realization, etcetera, et cetera. But as I mentioned that from my perspective, the endeavour is that, okay, how can both set of geographies grow in terms of overall revenues. Tier 2 geographies have both levers quite open, both sign -ups as well as realizations, right?

Sanil Sarang : So, you're not worried about the paid campaign volume and Tier 1 at least for now?

Abhishek Bansal : Yes, having said that the target is 10% to 12% growth to 20% top line growth should come from, say, volumes, which would be a mix of contribution from Tier 2 as well as Tier 1.

Moderator: We've lost the connection. Ladies and gentlemen, due to time constraints, we take the last question for today from Hemal HS, an Investor. Please go ahead.

Hemal HS: I think a lot of my questions were answered. I just have a different take I wanted to ask you, since

you get so much traffic data, have you ever thought or have you ever focused on the data mining and analytics capability to their cross -sell differentiated services to your merchants, it could be as simple as underwriting scoring to potential, some hair salon opening in certain areas, neighbourhoods . Have you ever explored that? Is that the kind of data -- quality of data that you get?

Abhishek Bansal : So Hemal, definitely, we are sitting on a sort of gold mine of data pertaining to users or pertaining to vendors. So, we have been recently exploring the that how could we utilize this data, for example, a lot of competitor analytics could be generated, which could be even interesting for SMEs.

Just Dial Limited

October 23, 2023

Page 17 of 18

So, one particular hotel might be keen to know what are the kind of traffic trends for their specific category? What are the kind of traffic trends for competitors. But at the same time , we have to keep in mind data protection regulations as well as how we want to exactly go by it. So, some of these are underway. We will see how we can sort of put some of these thoughts into monetization.

Hemal HS: Excellent. And is this something that you expect with next year onwards as a test in the market? Or is it a little bit longer -term idea for you now?

Abhishek Bansal : I wouldn't call it a longer term. So far, we have always focused on making money from SMEs,

which is the subscription revenue or so-called advertising revenue. This particular possibility of a revenue stream exists, we obviously have been always aware. We will see at what point of time we would want to sort of exploit this. So, in the numbers that I have stated in my entire call, we have not built in any delta from this initiative per se.

Hemal HS: Okay. And my other question was -- see, we are at 170 million traffic. But let's say, if you had unlimited -- which we don't, but I just want to know what is the potential for traffic for you right now? Like what is the number that you guys track internally that what's the max potential today in India for traffic that you would say is 100%, I'm getting it all.

Abhishek Bansal : So max potential would be anyone holding a smartphone with internet connection and using it for anything pertaining to sort of commerce is what will be our target. At this point of time, we would focus to take this 170 million to 250 million users. And I think as -- by the time we reach that particular milestone, definitely, the market out there would have been north of 350 million, 400 million users as well.

Hemal HS: Okay, fantastic. And absolute finally, so has -- does your growth in the past because you've been doing this for a long time. Does it depend on how much has got impacted due to economic slowdown or economic growth. Is there a parallel to your revenue versus the economy like versus the GDP growth or anything like that, that you might have tracked.

Abhishek Bansal : So definitely, there is. Ultimately, if SME has money in their particular pocket and they are feeling confident about their business, future prospects, they would be willing to ultimately do advertising. During COVID 2 years, our business got impacted by 30%, 32% because B2C and within B2C also B2C services -oriented SMEs got severely impacted. Even today, on the ground, SMEs are actually facing macro challenges.

Having said that, our product offerings, et cetera, have been able to get us the kind of growth that we have been able to generate. And importantly, we are the only platform that directly advertises SMEs. So today, SMEs view several other alternatives as a platform where their -- particular name of their business does not get advertised.

Those are just transactional platforms for them to sell products. They might be selling today but tomorrow the volumes could quickly collapse as well. So, from that perspective, yes, the Just Dial Limited

d

October 23, 2023

Page 18 of 18

overall health of the economy does impact our business, but it's difficult to directly correlate and say that with the annual GDP, this could be the possible growth rate for the company.

Moderator: Thank you. I would now like to hand the conference over to Mr. Abhishek Bansal for closing comments. Over to you.

Abhishek Bansal : Thank you everyone for joining us. In case you have any further queries, please do reach out. We would do our best to address. That's it from our side, and we'll see you next quarter. Thank you.

Moderator: Thank you, sir. On behalf of Just Dial Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2024

January 17, 2024

To
BSE Limited
Department of Corporate
Services
Listing Department
P J Tower, Dalal Street,
Mumbai - 400001
Scrip Code: 535648 National Stock Exchange of
India Limited
Listing Department
Exchange Plaza, Plot no. C/1,
G Block, Bandra -Kurla Complex,
Bandra (East), Mumbai - 400051
Scrip Symbol: JUSTDIAL Metropolitan Stock Exchange
of India Limited
205(A), 2nd Floor,
Piramal Agastya Corporate Park,
L.B.S Road, Kurla (West),
Mumbai - 400070
Scrip Symbol: JUSTDIAL

Dear Sir/Madam,

Sub.: Transcript of Earnings Call on Financial Results (Standalone and Consolidated)
for the quarter and nine months ended December 31, 2023
In continuation of our letters dated January 9, 2024 and January 15, 2024 and pursuant to
Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, we are enclosing herewith the transcript of the Earnings Call held on
Monday, January 15, 2024, at 6.00 p.m. for discussing operational and financial
performance of the Company in the quarter and nine months ended December 31, 2023 and
the same is available on the Company's website at [https://www.justdial.com/cms/investor -
relations/earnings -call-transcripts](https://www.justdial.com/cms/investor-relations/earnings-call-transcripts)

We request you to take the above on record .

Thanking You,

Yours truly,

For Just Dial Limited

Manan Udani
Company Secretary

Encl: as above

Page 1 of 20

Just Dial Limited
Q3 FY '24 Earnings Conference Call
January 15, 2024

MANAGEMENT : MR. V.S.S. MANI – MD & CEO

MR. ABHISHEK BANSAL – CFO

Just Dial Limited
January 15, 2024

Page 2 of 20

Moderator: Ladies and gentlemen, good day, and welcome to the Just Dial Limited Q3 FY '24 Earnings Call. We are joined by Mr. VSS Mani, MD and CEO; and Mr. Abhishek Bansal, CFO from the management team of Just Dial Limited.

At this moment, all participants are in the listen-only mode. Later, we will conduct a question-and-answer session. At that time, you may click on the raise hand icon to ask a live question. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Bansal, CFO of Just Dial Limited. Thank you, and over to you.

Abhishek Bansal : Thank you, moderator. Hi, everyone. Welcome to Just Dial's Earnings Call for Third Quarter of Fiscal '24. Our operating revenue for the quarter stood at INR265 crores, witnessing 19.7% year-on-year growth. This growth is primarily driven by healthier collections, which we have witnessed during the past quarters.

Our last 12-month collections have grown by 25.7% year-on-year. As we have highlighted earlier that our cost control measures should result in margin expansion with each passing quarter, and the same is playing out as well. EBITDA stood at INR60.4 crores for the quarter, representing a margin of 22.8%, which is an improvement of 10.5 percentage points on a year-on-year basis and about 400 basis points on a sequential basis. Overall, EBITDA had about 123% year-on-year growth and 23.7% on sequential basis.

Our employee headcount declined 6.3% sequentially during the quarter, led by decline across both sales and non-sales functions. In certain cases, automation has allowed us to manage desired output with lesser headcount. And in sales, we have tried to rationalize some low productivity workforce. Overall, on employee count focus was on maximizing productivity and bringing in efficiencies across functions.

Our other expenses continue to be tightly controlled and witnessed 2.9% year-on-year decline led by 10% lesser advertising on year-on-year basis and optimization of our communication expenses. Advertising expenses stood at about INR5 crores for the quarter.

Other income stood at a normalized level of INR75 crores for the quarter, which is what we expect basis net yield to maturity of about 7.2% of our treasury portfolio. Bond yields during the last quarter were quite stable. Profit before taxes stood at INR120.9 crores, growing 38% year-on-year. Effective tax rate stood at 23.9%, which is presently on higher side since bulk of our treasury mark-to-market gains are currently short term in nature. And hence, provisioning for taxes happens at full tax rate. Once they cross 3-year holding period, higher tax provisions will get reversed.

Profit after taxes stood at INR92 crores, growing 22.3% year-on-year. Sequentially, PAT had a growth of 28.2%. Deferred revenue stands at a healthy level of INR472.7 crores, growing 17.5% year-on-year. Active paid campaigns at the end of the quarter stood at about 567,000, which was up 8.6% year-on-year. Average realizations have grown 10.2% year-on-year. So growth is coming as a mix of both campaign additions and increase in realizations. There

Just Dial Limited
January 15, 2024

Page 3 of 20

could be quarters where volume growth might be a bit on the lower side in pursuit of better ticket size, but on a longer-term basis, growth should materialize from both volumes as well as pricing improvement. Overall, cash and investments stood at INR4,405 crores as on quarter end, growing about 12% on a year-on-year basis.

In terms of traffic, total traffic stood at 166 million users for the quarter, growing about 6% year-on-year. Sequential decline is mainly due to lower traffic that we see during a few weeks of festive months. December onwards, traffic is back on its steady growth trajectory. Total listings now stand at 41.6 million. Overall, as we see,

it has been a very healthy quarter with

key highlight being substantial margin improvement on even sequential basis led by tight cost controls. Focus for the business remains on having the core local search business deliver healthy free cash flows, which would be growing steadily.

With this brief update, we shall now open the floor for further discussion.

Mod erator : Thank you very much. We have a first question from Vivekanand Subbaraman from Ambit. Please go ahead.

Vivekanand Subbaraman : I hope I am audible. My questions are related to certain housekeeping issues, like the split of campaigns across top 11 cities and rest of India, and also the revenue contribution in these markets. So that's question number one. The next question is, I want to understand now that collections growth seems to be very normalized after some quarters where the base was very benign, so growth was very rapid. How to think about the collections growth here on? And how much is coming from -- is there any thought that you would like to share in top 11 versus non-top 11 markets? Is there any other flavor that you want to provide on collections and how to think about it for fiscal -- the rest of fiscal '24 and '25? Thank you.

Abhishek Bansal : So Vivek, on your first query, top 11 cities or Tier 1 cities contributed about 40% to campaigns, and they had about 59% revenue share. Coming to your second query around the collections growth, so see, collections growth, again, should be looked at on a slightly longer - term time frame. Because on a specific quarter -on-quarter basis, there could be quarters where it could be a few percentage points on a lower side as well. As we have highlighted earlier that we are striving to have, say, overall top line grew at around 20% plus levels with about 25% margins.

The outcome of the same if we see at EBITDA level, the endeavor is to grow that at, at least 25% - 30% year -on-year basis. Now even if that realizes as a outcome of 20% top line growth or even as better cost controls, coupled with a couple of percentage points lesser collections growth, I think that is very much acceptable in current environment.

In terms of growth, definitely, remote cities or the non -top 11 cities are doing better even in terms of collections. That is why we see their revenue share going continuously higher. In Tier 2, 3 cities, we do have significant leeway in terms of growing our realizations. So Tier 2, Tier 3 cities, till some time back, used to contribute , -- their realizations were, say, 43%, 44% of where our Tier 1 used to be. Now they are at about 48% levels. So still a long way for them to

Just Dial Limited
January 15, 2024

Page 4 of 20

sort of ultimately do a catch up with Tier 1. But there are levers both on volumes and pricing that should help us achieve our top line and more importantly, our profitability targets.

Vivekanand Subbaraman : Okay. This is helpful. Just one follow -up. So Abhishek, you said that collections few percentage points here and there is fine, but your focus is more on growing profitability at -- or profits are 20%, 25% rate. Is that what you are implying? And in some quarters, it may come through cost optimization, improved utilization of your headcount. Is that what you're hinting at?

Abhishek Bansal : Yes, definitely. So as a business, ultimately, what matters is overall profits and free cash flows. And on a quarterly basis, yes, there could be quarters where it might be top line driving bulk of EBITDA growth. There could be other quarters where it could be both, I mean, top line growth coupled with cost controls.

Vivekanand Subbaraman : Okay. And in connection to your cost structure, you seem to have done a great job at that. So just to understand the numbers better, you said that ad expenses are down to around INR5 crores this quarter, right? So this was perhaps INR5.5 crores to INR6 crores previously. Is that

-- did I hear that correctly?

Abhishek Bansal : Yes, that is correct.

Vivekanand Subbaraman : Okay. And were there any ESOP provision write -offs or the write -backs this quarter or no change?

Abhishek Bansal : No, nothing. ESOP expenses were immaterial.

Vivekanand Subbaraman : Okay. And what about the -- any projects that you are doing that is long gestation and therefore, goes through the balance sheet for the operating expenses. Is that something you're doing now? Or you've just built those products and like you said in the past, you built those products, done some 100 K odd transactions, but perhaps you've set it aside, given that now is not the right time. Is that still the approach? Or has anything changed on that front?

Abhishek Bansal : Yes, broadly, that is still the approach. There is no onetime or any expenses that have been capitalized during this quarter or even -- I mean this entire year, there has hardly been any capitalization of expenses towards newer initiatives. Any maintenance -related expenses are directly expensed.

And in terms of strategy, you correctly mentioned it that at this point of time, we don't think there is a significant merit in putting money to just scale up transactions there. So the focus continues to be on the core business at this point of time.

Vivekanand Subbaraman : Okay. My last question is on the confidence that you have on the 20% growth target, whether it's revenue or cash profits, could you elaborate on that a little bit? I know you mentioned some levers like taking prices higher in non -top 11 markets where your realization is 48%. Is that the most substantial lever as far as your target growth of 20% on the revenue side or cash profit

side is concerned?
Just Dial Limited
January 15, 2024

Page 5 of 20

Abhishek Bansal : See, as you can clearly see that this particular quarter, there has been a 400 basis point sequential improvement in margins. And as we have maintained earlier that we would want to exit closer to 25% kind of levels by the end of the year, which seems realistic at this point of time. So on the top line front, there are levers in terms of improving realizations, growing volumes in both Tier 1 or Tier 2 cities. At the same time, we are doing optimization as well in terms of cutting wastages in any cost. For example, when we did significant amount of hiring last year, we tried to reassess at this point of time, what is the output at the bottom 10%, 20% is yielding whether we could optimize that. So some of those optimizations are helping us with much lesser cost and better margins. So a combination of these should help us achieve our set targets for next year.

Vivekanand Subbaraman : Okay. And Abhishek, can you confirm whether there was any benefit on the cost side or on the revenue side of your tie-ups with Reliance Retail Ventures and Jio. So I believe that now MyJio your app is live on that, right? So can you confirm if there is any change on that front?

Abhishek Bansal : No. So in terms of financial or operating metrics, no contribution from that end at this point in time.

Vivekanand Subbaraman : Okay. And do you have something up your sleeves right now on this front that you would like to discuss?

Abhishek Bansal : So we are working on a couple of initiatives with Jio teams as well. MyJio integration is one. Second is, even on Jio Ads as well, wherein whether SMEs could be brought on to JioAds platform. So some of these initiatives are underway. But at this point of time, as I mentioned that on our top line and profitability targets, they do not explicitly include any material contribution from these because we want to see these fructify and start meaningfully contribute before we talk about these.

Vivekanand Subbaraman: Okay thank you so much and all the best.

Abhishek Bansal: Thank you.

Moderator : Thank you. We have a next question from Swapnil Potdukhe from JM Finan

cial. Please go ahead.

Swapnil Potdukhe: Hi. Thanks for the opportunity. Two or three questions from my side. So first question is...

Moderator: Sir, could you speak a bit louder, please, Mr. Potdukhe?

Swapnil Potdukhe: Yes. So a few questions from my side. So starting with the first question on -- you mentioned that your target margins were around 25% the exit margins for this particular year. And you're close to 23% now, which means you are very close to what you had set the target for. So going forward, don't you think it will be a good strategy to reinvest some of the margin improvement that you're getting to accelerate growth? I mean is there any cost-benefit analysis that you have done and you would like to share some details on that?

Just Dial Limited
January 15, 2024

Page 6 of 20

Abhishek Bansal: So Swapnil, definitely, there is significant operating leverage in our business and margins could go north of 25% as well. For example, in fiscal '19, we had consecutive quarters of 28%, 29% EBITDA margin as well. Why we are specifically discussing at 25% because this year, we have kept advertising on a lower side.

So we would want to deploy incremental margins on getting additional traffic, which would in turn aid our long-term monetization as well. So once we achieve that particular 25% threshold, we will see that incremental margins, how much to sort of invest back into the business via advertising. And rest, as I said, there is scope of further margin expansion as well.

Swapnil Potdukhe: Right. And second question is with respect to your B2B campaign share in your overall revenues, can you give us a split as to what is the contribution now both in revenue as well as volume share?

Abhishek Bansal: So B2B business share at this point of time, revenue-wise it is similar to last few quarters, 25.5% or so, 25%, 26%. Since B2C has seen a good recovery this year, that is why this particular share has been at 25%, 26% for the last 3 to 4 quarters.

Swapnil Potdukhe: Got it. So you just mentioned about organic traffic that is something which you would want to -- you had been focusing on that for the last few quarters. And going ahead, you might want to reinvest. Any sense of how much spend do you envisage coming to drive the traffic? Any ballpark number or guidance on that?

Abhishek Bansal: So this year, probably, we would be at about INR23 crores, INR24 crores also for the full year. For next year, it could be, say, around 3% to 4% of our top line going towards advertising. What we spent this year could be similar towards digital ad spends for next year and rest could

be certain non -digital -related advertising initiatives.

Swapnil Potdukhe: Can you elaborate on the non -digital initiatives?

Abhishek Bansal: So, it could be a mix of, for example, we used to do multiplex advertising in the past, which worked well for us. So we could sort of revise that and could explore other non -digital avenues as well.

Swapnil Potdukhe: Got it. And just last question on the product side. Any announcements or anything that you are – anything fresh that you guys are working on or meaningful changes that you might have done in the last few quarters maybe?

Abhishek Bansal: So on the product side, we sort of segregate -- the core business side is segregated into two parts: one, initiatives to get more and more users. On that front, there are continuous improvements as you could possibly see our particular mobile platforms are going through a refresh almost every 3 to 4 months and there is a lot of rich content on the pages. One small example that I could cite for example is reviews and ratings. Incrementally, we find that for users they would want a summary of all the reviews for a particular business to help in their decision -making.

Just Dial Limited

January 15, 2024

Page 7 of 20

So we have gotten capabilities via which we are,

in an automated manner, able to serve what users liked about a particular business, what users did not like, because users no longer have the patience to possibly go through 10, 15 descriptive reviews and so on.

Second area where we sort of keep improving is how to make the platform easiest for our particular merchants. So they, obviously, get a dashboard which gives them performance of their campaigns.

We are working on how we can get them to do self -sign-ups as well. So the idea is if we can get merchants to sort of start campaigns at their own will, manage their particular campaigns actively, that obviously takes part of the burden away from the sales force -assisted monetization and these are some of the areas that we are actively working on.

Swapnil Potdukhe: Got it, Abhishek. Thanks for that.

Abhishek Bansal: Thank you.

Moderator: We have a next question from Nikhil Choudhary, from Nuvama. Please go ahead.

Nikhil Choudhary: Hi, Abhishek. My first question is regarding the sales headcount. We have seen sales headcount has continued to remain at a similar range or declining even on a quarter -on-quarter basis. It's been almost six quarters where we haven't seen much increase in sales headcount. That too on top of it reduction in advertisement expense. Just want to understand what's our strategy here? Why we are not investing on headcount as well as on advertisement? And how without investing, we would be able to achieve like 20% -plus growth? That's my first question. I have a follow -up.

Abhishek Bansal: So Nikhil, on sales headcount and advertising, so sales headcount, the primary reason it has been sort of flat is we don't want to blindly go after adding employees on the payroll simply because a particular manager is able to -- you can quickly hire frontline executives, but it takes time for managers to sort of ramp up.

Secondly, you want the entire sales force to be optimally productive before you consciously add on to incremental sales force. So despite that particular flat sales force, we have been able to do relatively well in terms of our overall optimization.

There is an avenue of possibly appointing resellers wherein the fixed cost does not hit us, but it could aid us get new customer acquisitions, and our in -house team, incrementally, we want to focus them on farming or upgrading existing customers.

On advertising, as I already mentioned that so far for last several quarters, our organic traffic has been growing pretty healthily. While we would want our organic traffic itself to continue growing in future quarters as well, with healthy margins, we are keeping scope for additional advertising as well.

Just Dial Limited

January 15, 2024

Page 8 of 20

So with incremental advertising that should feed into better traffic that automatically should help our sales force and otherwise to have better monetization. So broadly, that's the strategy on both fronts, headcount as well as advertising.

Nikhil Choudhary: Sure, Abhishek. Just want to have some more detail around using third -party sales assist basically. Have you already started doing it? And do you have any number around it?

Abhishek Bansal: So, we are working on a specific plan to start with a couple of cities. At this point of time, we're working out the details to ensure that there is no cannibalization from our existing revenue that comes from our own sales team. So, in next few months, we should be possibly

piloting the same.

Nikhil Choudhary: Sure, Abhishek. Second thing is regarding the collection. I just want to point out to the data. The collection has been more or less flattish, not just in this quarter but from last 4 quarters.

And in the last 3 quarters -- 2 quarters, we have seen Q-on-Q decline. So just want to understand what -- why for such a almost 12-month collection is largely stable?

Abhishek Bansal: So collections, overall, if we see

this particular year, say if I were to compare 4 quarters versus preceding 4 quarters, they have actually been up about 24%, 25%. Even last quarter on a year-on-year basis was up 10%. Yes, sequentially, it was flattish with a marginal decline, but that typically happens because either of the October, November months tend to see lesser monetization due to festive weeks.

And fourth quarter historically has been the strongest monetization quarter for us. So from that perspective, considering December has recovered well post the festive short-term impact, we should be back on our growth trajectory with monetization growth in coming months.

Nikhil Choudhary: Sure, Abhishek. The last one from my side. Some of the investment, what we have done on new application last year, which we have capitalized in our balance sheet, and we were expecting them to hit sometime mid of this year. Have we started recognizing those expense and basically depreciation, already? Or those are still part of the balance sheet. That's it from my side, Abhishek, very helpful.

Abhishek Bansal: Depreciation on those particular expenses has already started. So if you see for this particular quarter, our depreciation was about INR12 crores, which was up 43% year-on-year. And out of that INR12 crores, almost half of it pertained to depreciation on those particular new initiatives.

Nikhil Choudhary: Okay, Abhishek. Understood. Very helpful. Thank you and good luck for coming quarter.

Moderator: Thank you. We have our next question from Abhishek Banerjee. Please go ahead.

Abhishek Banerjee: Yes, hi Abhishek. One quick question on customer churn. What was the number for this quarter?

Abhishek Bansal: So customer churn, as we have mentioned in the past, we typically look at it on a longer time frame. So historically, it has been 1 year retention, which we measure as if 100 customers

Just Dial Limited

January 15, 2024

Page 9 of 20

signed up this particular month, how many go into year 2, 1 year down the line. That has historically been around 55% or so.

The good part basis latest stats that we just analyzed, this retention has improved by about 3 to 4 percentage points, simply because we have adopted a monthly plan strategy now for the last about almost 6 to 8 quarters. What happens in monthly plan strategy that at the end of each year, there is an auto renewal that happens for that particular monthly plan customer. And that is helping us with better retention of customers.

Abhishek Banerjee: Understood. So what proportion of your customers are now only monthly paying customers?

Abhishek Bansal: As on quarter end, about 58%, 59% of the overall campaigns are from monthly plan customers.

Abhishek Banerjee: Got it. Now Abhishek, obviously, you are doing some things very well, right? You are losing less customers. You are managing to get in new customers. Also, if I look at the quality of data, which you seem to have, I mean, total images in listings as well as listings with geo-codes, both of them have gone up. So how are you driving this given that the headcount overall is coming down?

Abhishek Bansal: See, the headcount if you see that decline is primarily on the sales front. In last few quarters what has happened is that a lot of rich content augmentation is happening via not just feet-on-street teams via in-house teams as well. So just as a small example, say, today, if you have a specific insurer, say, IFFCO Tokio, they might be updating on their website itself their particular say, 100 outlets pan India? Or there might be some particular brand, which might be listing out all their authorized dealers on their particular website itself.

This kind of information till a few years ago, we had to physically visit and get that information. But today, that particular information is very well available on official brand websites. So we have put in a lot of effort to ensure

that how quickly, we can get that particular information, which is what is helping us enrich our content without having to put physical manpower to get those.

Abhishek Banerjee: Understood. You also briefly mentioned how automation is helping you increase productivity. Could you give us some example?

Abhishek Bansal: So the example that I just cited, for example, till some time back, we used to even have data collectors, say, a team, which was tasked with just going from business to business to get their particular information. But that particular team has shrunk drastically because we are trying to

ensure that whatever information we can get online, we can collate that particular information sitting in our offices using technology. That is what is being prioritized.

Abhishek Banerjee: Perfect. Perfect. That ties up. But in terms of employee expenses as a proportion of revenue, right, or if I may put it as number of paid campaigns. So how many employees would you need for, say, 1,000 paid campaigns on a steady state level? Is there a number in mind? I'm just trying to understand how you are going to do this going forward.

Just Dial Limited
January 15, 2024

Page 10 of 20

Abhishek Bansal: See, when we do our particular manpower planning for any particular geography, rather than just thinking about campaigns per employee, we look at overall revenue, overall output from that territory and at what gross margin I'm able to get that particular revenue. So there are geographies where certain managers are more active in getting higher ticket revenue from certain top monetized categories. And there are geographies where we might be going after more number of campaigns.

So it is difficult to put a specific maths in terms of saying that, okay, how many paid campaigns per sales employee? And as I mentioned that we are working towards trying to get new customer acquisitions primarily via either resellers or possibly self-sign-ups and have our in-house teams focus on upgrading, etcetera. In such a scenario, obviously, the value per sales employee is what will ultimately matter.

Abhishek Banerjee: Understood. Now Abhishek, you also spoke about how realization improvements can drive revenue growth in the future. Recently, one of your competitors has tried to do something similar. And there has been a lot of pushback to price increases, especially in the monthly customers, right? So do you, I mean -- how would you look at that risk?

Abhishek Bansal: See, in our case, let us see, my average ticket size currently basis say revenue per campaign per month stands at only about INR1,560, which translates to INR18,500, INR19,000. In Tier 2, Tier 3 cities, it's just, on a blended basis, at about, say, INR1,050 to INR1,100 while it varies basis exact area and category, etcetera. This particular amount is highly affordable.

And INR1,000 going to INR1,200, it's a substantial 20% gain for me, but it doesn't pinch that particular customer at all. So our ticket size right now for any kind of business is at highly affordable levels, so we don't see that taking price increase to the extent required for our target at this point of time should be much difficult.

Abhishek Banerjee: Got it. And so the overall margin guidance would remain at 25% or slightly higher?

Abhishek Bansal: We would build in 25% at this point of time and basis how top line growth, etcetera, is panning out, we will see if that needs a revisit in coming quarters.

Abhishek Banerjee: So priority-wise, I am sure top line growth will be number 1, right?

Abhishek Bansal: See, when you are running a business, it's not specifically that, okay, this particular month or quarter, my priority is top line and this particular quarter, it is cost control. Obviously, the sales team works towards getting as much revenue as possible. At the same time, you try to ensure optimal margins by keeping cost controls, but

doesn't get in sight, etcetera.

So idea is to ensure that, okay, there should be a reasonable healthy top line growth because you just cannot have cost control solely driving margins because that will not be sustainable over the long term.

Abhishek Banerjee: Got it. Okay. Just one last question and -- so any clarity that you can provide on how the cash is going to be utilized given see, earlier, the thinking was probably some of it will be utilized in Jd Experts. But now -- this is now sitting in your balance sheet for quite some time, and it's

Just Dial Limited
January 15, 2024

Page 11 of 20

obviously a very rare sum, which is also ensuring that the stock performance is probably not in line with your operating performance. So I'm sure you must be thinking on this. So any clarity you can provide us will be really helpful.

Abhishek Bansal: So while this particular concern is acknowledged, having said that, we are trying to optimize treasury to the extent possible. Right now, no specific thoughts because as we have mentioned in the past, there is a tax burden either at company level or recipient level in mechanisms available for distribution at this point of time. And in terms of any inorganic opportunities, there aren't any available, I'd say, decent valuations, etcetera, etcetera. So sort of status quo on thought process on that. But yes, point definitely taken, which we are also thinking over coming months or quarters on how exactly to address that.

Abhishek Banerjee: Fair enough. That's very helpful, Abhishek. Thank you so much.

Abhishek Bansal: Thank you.

Moderator: Thank you. We have our next question from Lavanya Tottala from UBS. Please go ahead.

Lavanya Tottala: Yes. Hi, Abhishek. Congrats on good set of numbers. So I had two questions. So one, you

mentioned that a lot of information is getting updated using online sources now. Wouldn't that be a risk going ahead that more and more information is available online now, while, I mean, a few years back, which was only available through feet on street. So wouldn't that be a risk going ahead?

Abhishek Bansal: So, Lavanya, the strength of our platform is not just about having those 41 million listings. The strength is in properly categorizing those particular listings in their appropriate categories, serving relevant results when you specify a particular keyword and an area. So while there might be information hidden in some particular online website, but what I as a user want is, if I'm searching for pest control services in Malad West, I should be able to get a proper list along with possible rich content such as ratings, reviews, etcetera, which help in my decision-making.

So these particular online availability is only aiding our particular efforts of our local search engine. I don't think so there are any risk factor as such. The curation that we do on our end is what is the key value add that is there.

Lavanya Tottala: Right. Like at this point of time, that might be the case, but with increasing availability of online content, would that come up in a Google search directly?

Abhishek Bansal: So as I said that there are two types of searches that a consumer does. One is to search for a specific company. Other is to search for a specific category. Our value add to our advertisers is that whenever there is a category search happening on a platform, you get to rank higher. And those category search-related pages are solely available on our particular platform itself. And for non-popular businesses, anyway, people do not recall specific company names also. So even for those people ultimately will end up discovering those from a local search platform such as ours.

Just Dial Limited
January 15, 2024

Page 12 of 20

Lavanya Tottala: Got it. So on the second question, you were mentioning about B2C doing very well this year. So just wanted to understand your sense on B2B as well

as B2C over next one year. Like, how do you see the growth potential in these two segments, maybe B2B to begin with?

Abhishek Bansal: So the way we have approached this particular B2B versus B2C is that 75% to 80% of our revenue has been coming from B2C-oriented categories. We have not been obsessed with that, okay, we just want our B2B-related revenue to grow irrespective of how the B2C side fares. So ultimate objective is that the total revenue should grow. Our expectation too was that B2B side will grow possibly faster than B2C. But the way we are seeing that both set of categories are doing relatively well.

There is a dedicated B2B team as well, which continues to focus on monetizing only B2B, but in -- the other team, they do focus on monetizing both B2C as well as B2B listings. For example, if there is a feet-on-street in Kalbadevi, South Mumbai market, and they have a -- they see a shop of a wedding card wholesaler, they will approach that particular shop to try to convert them. So as a result, it's a blended approach and the growth is coming from both segments.

Lavanya Tottala: Okay. I mean, my question was, is it like B2B has been slightly slower this year likely to pick up next year because you were mentioning B2C grew at a faster pace this year.

Abhishek Bansal: So there, my point was that B2B share was fairly similar to previous quarters at 25%, 26% because both segments had not materially different growth. And we'll have to see how future quarters pan out in terms of growth differential.

Lavanya Tottala: Got it. So one last question. So there were questions around this earlier as well, the sales count. So how do you see it going ahead? Like, do you plan to further optimize the sales count from tier or it's likely to grow from this point of time?

Abhishek Bansal: So the approach that we have taken is that geographies where productivity is higher than our internal thresholds, they could very well increase headcount. And on the other hand, if any particular geography is lagging, they need to sort of rationalize workforce to ensure that they are meeting their particular gross margin targets as well.

So overall, for coming quarters, we are keeping both options open. One is to sort of get new customers from alternate channels such as resellers, self-sign-ups, etcetera. In that case, there could not -- there may not be significant addition to our existing headcount. On the other hand, the way things are panning out, margins are reasonably healthy, even if we need to add 5%, 6% headcount from current levels, we would be open to doing so as well.

Lavanya Tottala: Okay. And in terms of cost per employee, is it more or less stabilized now because last year or before that, we have seen significant jump there, but now it's stabilized I am sure it should grow at the normalized levels from here, right?

Abhishek Bansal: Yes, I think that should be on a -- I mean, it is at a normalized level and should grow in line with whatever average increments, etcetera, are going to be.

Just Dial Limited

January 15, 2024

Page 13 of 20

Lavanya Tottala: Got it. Thank you. All the best.

Abhishek Bansal: Thank you.

Moderator: Thank you. We'll take our next question from Saumil Shah from Paras Investments. Please go ahead.

Saumil Shah: Hi. Am I audible?

Abhishek Bansal: Yes. Please go ahead.

Saumil Shah: Yes. Abhishek, in the previous call, you mentioned that in a couple of weeks, Just Dial should be integrated with MyJio app. But I think till now we have not heard anything about that. So could you please give us an update on the same?

Abhishek Bansal: So Saumil, tech integration is already in place. There are certain nitty-gritties pertaining to a commercial aspect of it, which is what we are sorting out. But as I have mentioned earlier, at this point of time, as a local search traffic, we are not building in any material numbers from

next year's perspective from this particular platform at this point of time.

Saumil Shah: So, I mean, you mean to say it is still not live yet?

Abhishek Bansal: For end consumers, it is not live yet. We are doing beta testing with a close set of users.

Saumil Shah: Okay. And for end consumers, I mean, would it be possible next quarter? Or when are you planning?

Abhishek Bansal: Likely this particular ongoing quarter, that should be in place.

Saumil Shah: Okay. Okay. And my next question was our active paid campaigns is not growing that much. I mean, if we see Q-o-Q it has just grown about 1%. So, would you like to comment on that?

Since I mean, Q4 being a stronger quarter, can we expect active paid campaigns to grow at a healthy pace this quarter?

Abhishek Bansal: So Saumil, active paid campaigns Q4 definitely should see growth on a sequential basis simply because Q4 tends to be a strong quarter. And conversely, Q3 specifically saw lower sequential growth because the impact that we see during the festive weeks tends to sort of have some impact on monetization during Q3.

Overall, it should be looked at on a slightly longer time frame in terms of saying that, okay, if we are getting whatever X percentage top line growth, we -- our target is to get, say, half of the growth via campaign additions and rest half via realization improvement. On a specific quarter-to-quarter basis, there could be certain fluctuations.

Saumil Shah: Okay. So, I mean, in Q4, can we expect a higher single-digit growth if you compare Q-o-Q?

Abhishek Bansal: Yes, Q-o-Q, that is likely, that is very much possible.

Just Dial Limited

January 15, 2024

Page 14 of 20

Saumil Shah: Okay. Okay. And my last question is, in terms of B2B business, since we are targeting a 20% growth overall, so B2B also, you are targeting 20% or can it be higher?

Abhishek Bansal: So B2B, we are targeting a bit on the higher side versus B2C, but the way our last few quarters have panned out, B2C and B2B have been sort of similar growth range.

Saumil Shah: Okay. And B2B normally is a higher-margin business compared to B2C? Is it?

Abhishek Bansal: So, on our cost structure, ideally, it is not possible to sort of split all costs across B2B versus B2C since, as I explained during the initial part of the call that even the team which is not dedicated towards B2B, they can do some bit of B2B monetization as well. But what happens is since B2B categories on an average have higher ticket size, it is safe to assume that pro rata margins for B2B side of business should be a bit better versus the B2C side.

Saumil Shah: Okay. That's it from my side. Thank you and all the best.

Abhishek Bansal: Thank you.

Moderator: Thank you. We'll take our next question from Sonal Minhas from Prescient Capital. Please go ahead.

Sonal Minhas: This is Sonal Minhas. I hope I am audible. I have two questions. The first one was to just understand, like is there a forced churn in customers whose ratings are not up to the mark or whose ratings are below a threshold as to maintain the quality of the supply? That's the first question.

And just wanted to understand, somebody asked you about the loops on the content enrichment. And I just want to understand, like from a six months to a 12 months' perspective, what new initiatives or loops, basically, you plan to enable or execute for content enrichment or integration just to improve the quality of data? So, these are two questions from my side.

Thank you.

Abhishek Bansal: So Sonal, on the forced churn, there is -- we do, sort of, on a regular basis, try to flush out customers who are continuously rated poorly. The idea is to ensure that whenever a user is doing any particular search, the businesses that show up on top, they should have, ideally, I

mean, very good ratings, but the ratings of that advertiser should not be below a certain threshold. And we have seen

that typically low-rated customers ultimately don't end up getting the kind of business that their peers who are well rated get. So, they also sort of churn out automatically over time.

And to your second query around content enrichment. So, as I mentioned that using automation, there's a lot of rich content that is getting added up. And even for merchants, the tool that they have, and they are being equipped with easy tools so that they can upload content on their own.

For example, for service-oriented business, suppose there is a salon, there is now a capability to show services catalog upfront. So, a salon can easily upload that, okay, these are the charges

Just Dial Limited

January 15, 2024

Page 15 of 20

they charge for various kind of services that they provide. So as a result, whenever a user is visiting a specific listing, not only do they get to see the basic contact details, ratings, reviews, photos, videos, they can also see other details around the services.

A wedding photographer possibly can upload their particular photography catalog or their portfolio, so to say. So all those particular rich content related items will be visible very much upfront on a business page.

Sonal Minhas: Got it. And is there some journeys there, which can be improved with the integration, let's say, third-party social network? So that's pretty much done with. Just trying to understand that?

Abhishek Bansal: So, we are working on one initiative wherein a particular business owner can possibly manage their listing on any third-party platforms via single point of contact to being our particular platform. So, in certain cases, a particular merchant, if they do a onetime login via our particular platform, then if they upload any particular content on our platform or they edit any details, we can help those details get populated on multiple platforms.

So, the idea is can a universal business listing kind of concept to work, which can make life of SMEs easier. And if ours is the platform, which helps them maintain listing across platforms, it will obviously increase stickiness, engagement, etcetera. So that is also something that is in pipeline.

Sonal Minhas: Got it. So, for example, platforms like Insta and if let's say, there is a marriage photographer. He has an Insta or share the Instagram page. The link there is essentially to their website or to a Just Dial page, that's something that -- how does that happen as we speak right now? Just trying to take that as an example to understand.

Abhishek Bansal: So, for example, if I'm a wedding photographer, I have a page on Just Dial and I have a page on third parties such as Insta, and I upload a particular content about my business on Just Dial, that particular content also gets up do updated on the third-party platform without that particular merchant having to explicitly go toward to that particular platform. So, if I edit my address here, that address also gets updated in that particular third-party page.

Sonal Minhas: Understand that. But JD may not be the -- like a preferred or is it like a preferred landing page if somebody goes to Insta for a wedding photographer and they want to contact that photographer, then -- and click there, let's say, for a URL, would JD be like a preferred landing page for those people? Or the -- I'm talking about small merchandisers, the small service providers here essentially, yes.

Abhishek Bansal: So, as I mentioned, this particular initiative, we are exploring how possibly we can be a sort of go to destination. There are several nuances to this. This is still being worked upon by our tech and product teams. So, once they are able to sort of have a -- MVP or they commit to feasibility of the same that is when I think we'll be able to answer these technicalities better.

Sonal Minhas: Got it. No, I was asking more because I think the platforms you're talking about, they

are also

trying to get into the listing domain, maybe either through WhatsApp or, let's say, richer listing

Just Dial Limited

January 15, 2024

Page 16 of 20

catalog provider providing -- being provided through Instagram. So are you seeing like parallel data being provided by these platforms parallel to the data that you provide for, let's say, a wedding photographer or a salon provider or, let's say, an AC repair. Just trying to understand how things are evolving in terms of cataloguing being provided as a service by, let's say, two, three parallel platforms?

Abhishek Bansal: See, for us, we are an end-to-end local search platform, wherein the endeavour is any local business out there in India irrespective of the category should be available, and you should be able to search for any commercial intent-oriented search. So anything that you can think of,

you should be able to find on our platform.

Now there tends to be verticalization that happens either on the transaction side or niche search engine for certain categories, etcetera, etcetera, so we haven't seen any specific competition, so to say, simply because of the scale of listings that we have, the feet -on-street network that we already have, the traffic of 160, 170 million users that we have. So, yes, I mean, the ecosystem will keep evolving. But till the time we keep our particular content up to date and give users what they want, I think, we'll be fine.

Sonal Minhas: I understand that. I just have a small follow -up question. I don't know if you can share this data, but like what -- is the scale of the transaction happening or the financial transactions happening on the platform significant as we speak? Or anything which you can speak about that subjectively or numerically, that will be great.

Abhishek Bansal: No, that is not meaningful at this point of time. And as we have clearly outlined, the focus is to get core search business, which is basically the premium listings, nonpremium listings that we sell to our particular SMEs and at a healthy margin. So that is what is the focus for the business at this point of time.

Sonal Minhas: Okay. Great. Thanks a lot Abhishek. Thanks a lot. This is helpful. Thank you.

Abhishek Bansal: Thank you.

Moderator: Thank you. We have a next question from Majid Ahamed from Smart Sync Investment Advisory Services. Please go ahead.

Majid Ahamed: Good evening, sir. Very good set of numbers. So my question is now we are also planning to move through like stock market platforms and other platforms like in your investor presentation I have seen that as well as the movie ticket platform and so on. So many things are coming in, sir. How far the realization of these platforms, sir? How far it has been over there, sir?

Abhishek Bansal: So, several of these particular initiatives are to continuously engage users that are coming on the platform. In an Internet era, it's not that a user comes to just do one kind of, say, local search. The idea is if you can give them various reasons, either it could be sort of browsing through news articles or any such miscellaneous activities, then users sort of engage better with the platform. So that is what the thought process is behind all these initiatives.

Just Dial Limited

January 15, 2024

Page 17 of 20

Majid Ahamed: Okay, sir. how -- okay, sir, you have done that. But how has been the visits, on all these platforms, how has been the monetization over there? Has this been increasing? Or can you give any data regarding that?

Abhishek Bansal: So, there is no monetization per se that happens through these initiatives. And as far as traffic goes, we are putting out our quarterly users for us to be able to segregate whether a particular user had visited this particular service and also done local search, that segregation, etcetera, is not visible.

Majid Ahamed: Okay. Okay, sir. And last one final question

in that I have is, of course, you're able to do it through -- despite the sales channel has been reduced and you're focusing on building the business through reducing the advertising cost and so on. What are the other strategies that you're planning to increase your margins? Apart from that, you have said you are planning to do it through the campaign, through other things such as you have mentioned -- the two things that you mentioned regarding the reseller and others, apart from that, is there anything that you're planning to increase your margins?

Abhishek Bansal: So, as I have mentioned that on the monetization side, two initiatives, say, resellers as well as self-sign-ups, these two can be very high -margin revenue opportunities. So overall, optimizing existing sales force, some of these initiatives to result in better margin monetization and keeping our particular expense structure optimized. And within the expense structure, the key variable or the moving item is advertising which we will take a call as we move into future quarters on how much we want to spend for next fiscal year.

Majid Ahamed: Okay, sir. Thank you, sir. All the very best.

Abhishek Bansal: Thank you.

Moderator: Thank you. We have a next question from Rishabh Shah from Dalal & Broacha. Please go ahead.

Rishabh Shah: Hello, am I audible?

Moderator: Yes.

Rishabh Shah: Good afternoon, sir. Very good set of numbers. And congratulations on the results. Most of my questions have been answered. I just have one confusion in your investor presentation. I'm not able to understand one of your data enrichment on page number 19. Images in active listings, I'm not able to understand what does it signify or what it's trying to tell me -- I understand active paid campaigns, but I don't understand this. So can you please explain me?

Abhishek Bansal: So images, this particular content basically pertains to what is the total number of images that

we have in our active listings. As on date, we have about 150 million images for businesses in our listings. So the idea is to showcase that for listings, 40 million listings that we have, there are high -quality images that we have, the rich content, which helps in better decision -making of users.

Just Dial Limited

January 15, 2024

Page 18 of 20

Rishabh Shah: Okay. Okay, sir. And one of my other question would be, sir, can you tell me what part of our business is B2C?

Abhishek Bansal: So out of the total revenue, about three -fourth comes from B2C -oriented categories, one -fourth comes from B2B.

Rishabh Shah: And what was the growth rate compared to the last quarter for B2C?

Abhishek Bansal: I don't have that handy, but since the percentage share has been similar for last two, three quarters, overall growth -- revenue growth is what would have been for both these segments plus-minus a couple of percentage points.

Rishabh Shah: Okay, sir. And also, sir, as many of the verticals are getting into AI and Generative AI, are we on the track to get into the AI networking? And any such progressive way? I'm just -- I just wanted to know that are we going to log in the AI to our Just Dial vertical?

Abhishek Bansal: So I think irrespective of the term, whether we call it AI, the way we look at it is how can we use technology automation to do the same job in a much efficient manner versus what we were doing a few quarters or a few years ago. So one example that we shared was a lot of content enrichment today happens via use of technology. So for me, that is also a part of, as I said, call it, technology or AI initiative or something else. So, some of those initiatives are definitely underway.

Rishabh Shah: Okay, sir. And also one of my question was, we have all been hearing about the open credit enablement network. And for a fact, I know that we are pretty reasonable on our charges in MVS search, but this open, does it help our business as such?

Abhishek Bansal: Sorry, we have not evaluated this at this point of time.

Rishabh Shah: Okay, sir. Thank you very much sir. And congrats on the good result.

Abhishek Bansal: Thank you.

Moderator: Thank you. We'll take a last question from Amarnath Bhagat from Ministry of Finance of Oman.

Amarnath Bhagat: Am I audible?

Moderator: Yes, please go ahead.

Abhishek Bansal: Yes, please go ahead.

Amarnath Bhagat: Yes, hi. I have two set of questions. First of all, relating to this old question you might be getting bored to listen it is this relating to the cash. At the moment, 57% of your market capitalization is the cash. And every call this question is getting asked, and answer is, there could be some tax implication, either its buyback or it is the dividend. See, this tax implication

Just Dial Limited

January 15, 2024

Page 19 of 20

will be there, either you do it today, you do it tomorrow, unless we are thinking something that maybe the tax for the buyback or dividend will be changed in the future by the finance law.

So -- and every quarter, we are adding INR100 crores, INR200 crores into the cash. And the percentage over your market capital is going to keep on increasing. At the moment, it is very difficult to find a company of your cadre, 57% of market capital is sitting in cash and earning some 7% -8% here and there on the different kind of bonds and some other instruments here and there. So I'm just -- and we are sitting in the Board or the management where the Reliance people are also sitting.

I am just trying to understand what exactly in the mind, means we are not in the acquisition spree as well. We are not hearing something that you are very aggressive or actively looking into some acquisitions where this kind of huge cash can be used? And neither the cash distribution things are getting discussed. This answer to be very frank is not getting satisfactory in this tax element, so we just need to have certain more clarity about it.

Abhishek Bansal: So Amarnath, on this point, firstly, point very well taken. Secondly, to say that, okay, whether it is distributed today or tomorrow, there will definitely be a tax. That statement, I disagree because we have had times in the past when taxation on both the avenues, be it buyback or dividend, was different in the past. And secondly, it is in recent quarters that after doing a bit of experimentation that we have realized that it doesn't make sense to just keep -- to just put money after initiatives which might continue to bleed for a very long period of time.

Having said that, as we mentioned that point taken, and the Board and the company will -- I think, decide on what should be the future course of action as far as this cash balance is

concerned.

Amarnath Bhagat: Okay . And then my last question, probably, see when this Reliance Group has acquired Just Dial, the hope was quite big considering the size and different nature of this particular conglomerate. And now you see the Reliance is -- keep on adding their own apps, whether it is JioMart, whether it is Jio app or some different or it is Jio retail side of it. I'm just trying to understand, this is an major subsidiary acquired by paying the cash.

And till now, we are not getting any meaningful kind of an integration -related benefits being a part of the Reliance -- such a giant Reliance Group. Many things can be happened and especially these new initiatives which the Reliance are doing at their own platform. Just trying to understand, though it is not a direct question to you, but how this has not been connected to their own subsidiary like Just Dial?

Abhishek Bansal: So as you rightly said that it is indeed not a direct question to us. The parent company should be able to better mention or share their particular thought process on their initiatives. As far as Just Dial is concerned, the key discussion or the key bri

ef is definitely that the core business,

which holds immense value in terms of having 40 million listings, ready feet -on-street sales network spread across India, 160 million, 170 million users, how that particular business can be on a steady growth path.

Just Dial Limited

January 15, 2024

Page 20 of 20

The other initiatives, yes, they are being worked on in parallel, but we have to assess that in terms of generating real healthy free cash flows, what are the initiatives that will actually work out which is what we are working on at this point of time.

Amarnath Bhagat: Yes. And just last one small thing. How do you think that you have a competitive edge as a local search engine of India compared to your global MNCs like Google. Just give me one or two why the people will come to Just Dial, which is coming at the moment, and compared to the Google or any other search engine by that names?

Abhishek Bansal: So see, the very basic thing is that we are a specialist local search engine. Any other third -party platforms that you can think of, they are not just serving local search commercial intent - oriented results, they are also into several other kind of search patterns as well, which a user does. So if you are looking for local search results, the depth and breadth of results on my platform would always be much better.

So when you are searching for, say, laptop retail shops in Malad West, the number of choices that I will provide, the details about those choices that my platform will provide will always be superior or are superior compared to any other search engine out there, which is what is the key USP of the platform.

Amarnath Bhagat: Thank you, sir. Thank you very much. For your answer.

Abhishek Bansal: Thank you, so much.

Moderator: Thank you. I would now like to hand the conference over to Mr. Abhishek Bansal for closing comments. Over to you, sir.

Abhishek Bansal: Thanks, everyone, for joining us. In case you have any further queries, please do reach out to us. We will do our best to address. That's it from our side. Thank you.

Moderator: Thank you. On behalf of Just Dial Limited, that concludes this conference. Thank you for joining us. And you may now exit your meeting.

Call: Jan 2024

Page 1 of 20

Just Dial Limited
Q3 FY '24 Earnings Conference Call
January 15, 2024

MANAGEMENT : MR. V.S.S. MANI – MD & CEO

MR. ABHISHEK BANSAL – CFO

Just Dial Limited
January 15, 2024

Page 2 of 20

Moderator: Ladies and gentlemen, good day, and welcome to the Just Dial Limited Q3 FY '24 Earnings Call. We are joined by Mr. VSS Mani, MD and CEO; and Mr. Abhishek Bansal, CFO from the management team of Just Dial Limited.

At this moment, all participants are in the listen-only mode. Later, we will conduct a question-and-answer session. At that time, you may click on the raise hand icon to ask a live question. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Bansal, CFO of Just Dial Limited. Thank you, and over to you.

Abhishek Bansal : Thank you, moderator. Hi, everyone. Welcome to Just Dial's Earnings Call for Third Quarter of Fiscal '24. Our operating revenue for the quarter stood at INR265 crores, witnessing 19.7% year-on-year growth. This growth is primarily driven by healthier collections, which we have witnessed during the past quarters.

Our last 12-month collections have grown by 25.7% year-on-year. As we have highlighted earlier that our cost control measures should result in margin expansion with each passing quarter, and the same is playing out as well. EBITDA stood at INR60.4 crores for the quarter, representing a margin of 22.8%, which is an improvement of 10.5 percentage points on a year-on-year basis and about 400 basis points on a sequential basis. Overall, EBITDA had about 123% year-on-year growth and 23.7% on sequential basis.

Our employee headcount declined 6.3% sequentially during the quarter, led by decline across both sales and non-sales functions. In certain cases, automation has allowed us to manage desired output with lesser headcount. And in sales, we have tried to rationalize some low productivity workforce. Overall, on employee count focus was on maximizing productivity and bringing in efficiencies across functions.

Our other expenses continue to be tightly controlled and witnessed 2.9% year-on-year decline led by 10% lesser advertising on year-on-year basis and optimization of our communication expenses. Advertising expenses stood at about INR5 crores for the quarter.

Other income stood at a normalized level of INR75 crores for the quarter, which is what we expect basis net yield to maturity of about 7.2% of our treasury portfolio. Bond yields during the last quarter were quite stable. Profit before taxes stood at INR120.9 crores, growing 38% year-on-year. Effective tax rate stood at 23.9%, which is presently on higher side since bulk of our treasury mark-to-market gains are currently short term in nature. And hence, provisioning for taxes happens at full tax rate. Once they cross 3-year holding period, higher tax provisions will get reversed.

Profit after taxes stood at INR92 crores, growing 22.3% year-on-year. Sequentially, PAT had a growth of 28.2%. Deferred revenue stands at a healthy level of INR472.7 crores, growing 17.5% year-on-year. Active paid campaigns at the end of the quarter stood at about 567,000, which was up 8.6% year-on-year. Average realizations have grown 10.2% year-on-year. So growth is coming as a mix of both campaign additions and increase in realizations. There

Just Dial Limited
January 15, 2024

Page 3 of 20

could be quarters where volume growth might be a bit on the lower side in pursuit of better ticket size, but on a longer -term basis, growth should materialize from both volumes as well as pricing improvement. Overall, cash and investments stood at INR4,405 crores as on quarter end, growing about 12% on a year -on-year basis.

In terms of traffic, total traffic stood at 166 million users for the quarter, growing about 6% year-on-year. Sequential decline is mainly due to lower traffic that we see during a few weeks of festive months. December onwards, traffic is back on its steady growth trajectory. Total listings now stand at 41.6 million. Overall, as we see,

it has been a very healthy quarter with

key highlight being substantial margin improvement on even sequential basis led by tight cost controls. Focus for the business remains on having the core local search business deliver healthy free cash flows, which would be growing steadily.

With this brief update, we shall now open the floor for further discussion.

Moderator : Thank you very much. We have a first question from Vivekanand Subbaraman from Ambit.

Please go ahead.

Vivekanand Subbaraman : I hope I am audible. My questions are related to certain housekeeping issues, like the split of campaigns across top 11 cities and rest of India, and also the revenue contribution in these markets. So that's question number one. The next question is, I want to understand now that collections growth seems to be very normalized after some quarters where the base was very benign, so growth was very rapid. How to think about the collections growth here on? And how much is coming from -- is there any thought that you would like to share in top 11 versus non-top 11 markets? Is there any other flavor that you want to provide on collections and how to think about it for fiscal -- the rest of fiscal '24 and '25? Thank you.

Abhishek Bansal : So Vivek, on your first query, top 11 cities or Tier 1 cities contributed about 40% to campaigns, and they had about 59% revenue share. Coming to your second query around the collections growth, so see, collections growth, again, should be looked at on a slightly longer -term time frame. Because on a specific quarter -on-quarter basis, there could be quarters where it could be a few percentage points on a lower side as well. As we have highlighted earlier that we are striving to have, say, overall top line grew at around 20% plus levels with about 25% margins.

The outcome of the same if we see at EBITDA level, the endeavor is to grow that at, at least 25% - 30% year -on-year basis. Now even if that realizes as a outcome of 20% top line growth or even as better cost controls, coupled with a couple of percentage points lesser collections growth, I think that is very much acceptable in current environment.

In terms of growth, definitely, remote cities or the non -top 11 cities are doing better even in terms of collections. That is why we see their revenue share going continuously higher. In Tier 2, 3 cities, we do have significant leeway in terms of growing our realizations. So Tier 2, Tier 3 cities, till some time back, used to contribute , -- their realizations were, say, 43%, 44% of where our Tier 1 used to be. Now they are at about 48% levels. So still a long way for them to

Just Dial Limited

January 15, 2024

Page 4 of 20

sort of ultimately do a catch up with Tier 1. But there are levers both on volumes and pricing that should help us achieve our top line and more importantly, our profitability targets.

Vivekanand Subbaraman : Okay. This is helpful. Just one follow -up. So Abhishek, you said that collections few percentage points here and there is fine, but your focus is more on growing profitability at -- or profits are 20%, 25% rate. Is that what you are implying? And in some quarters, it may come through cost optimization, improved utilization of your headcount. Is that what you're hinting at?

Abhishek Bansal : Yes, definitely. So as a business, ultimately, what matters is overall profits and free cash flows. And on a quarterly basis, yes, there could be quarters where it might be top line driving bulk of EBITDA growth. There could be other quarters where it could be both, I mean, top line growth coupled with cost controls.

Vivekanand Subbaraman : Okay. And in connection to your cost structure, you seem to have done a great job at that. So just to understand the numbers better, you said that ad expenses are down to around INR5 crores this quarter, right? So this was perhaps INR5.5 crores to INR6 crores previously. Is that

it

-- did I hear that correctly?

Abhishek Bansal : Yes, that is correct.

Vivekanand Subbaraman : Okay. And were there any ESOP provision write -offs or the write -backs this quarter or no change?

Abhishek Bansal : No, nothing. ESOP expenses were immaterial.

Vivekanand Subbaraman : Okay. And what about the -- any projects that you are doing that is long gestation and therefore, goes through the balance sheet for the operating expenses. Is that something you're doing now? Or you've just built those products and like you said in the past, you built those products, done some 100 K odd transactions, but perhaps you've set it aside, given that now is not the right time. Is that still the approach? Or has anything changed on that front?

Abhishek Bansal : Yes, broadly, that is still the approach. There is no onetime or any expenses that have been capitalized during this quarter or even -- I mean this entire year, there has hardly been any capitalization of expenses towards newer initiatives. Any maintenance -related expenses are directly expensed.

And in terms of strategy, you correctly mentioned it that at this point of time, we don't think there is a significant merit in putting money to just scale up transactions there. So the focus continues to be on the core business at this point of time.

Vivekanand Subbaraman : Okay. My last question is on the confidence that you have on the 20% growth target, whether it's revenue or cash profits, could you elaborate on that a little bit? I know you mentioned some levers like taking prices higher in non -top 11 markets where your realization is 48%. Is that the most substantial lever as far as your target growth of 20% on the revenue side or cash profit side is concerned?

Just Dial Limited
January 15, 2024

Page 5 of 20

Abhishek Bansal : See, as you can clearly see that this particular quarter, there has been a 400 basis point sequential improvement in margins. And as we have maintained earlier that we would want to exit closer to 25% kind of levels by the end of the year, which seems realistic at this point of time. So on the top line front, there are levers in terms of improving realizations, growing volumes in both Tier 1 or Tier 2 cities. At the same time, we are doing optimization as well in terms of cutting wastages in any cost. For example, when we did significant amount of hiring last year, we tried to reassess at this point of time, what is the output at the bottom 10%, 20% is yielding whether we could optimize that. So some of those optimizations are helping us with much lesser cost and better margins. So a combination of these should help us achieve our set targets for next year.

Vivekanand Subbaraman : Okay. And Abhishek, can you confirm whether there was any benefit on the cost side or on the revenue side of your tie -ups with Reliance Retail Ventures and Jio. So I believe that now MyJio your app is live on that, right? So can you confirm if there is any change on that front?

Abhishek Bansal : No. So in terms of financial or operating metrics, no contribution from that end at this point in time.

Vivekanand Subbaraman : Okay. And do you have something up your sleeves right now on this front that you would like to discuss?

Abhishek Bansal : So we are working on a couple of initiatives with Jio teams as well. MyJio integration is one. Second is, even on Jio Ads as well, wherein whether SMEs could be brought on to JioAds platform. So some of these initiatives are underway. But at this point of time, as I mentioned that on our top line and profitability targets, they do not explicitly include any material contribution from these because we want to see these fructify and start meaningfully contribute before we talk about these.

Vivekanand Subbaraman: Okay thank you so much and all the best.

Abhishek Bansal: Thank you.

Moderator : Thank you. We have a next question from Swapnil Potdukhe from JM Finan

cial. Please go ahead.

Swapnil Potdukhe: Hi. Thanks for the opportunity. Two or three questions from my side. So first question is...

Moderator: Sir, could you speak a bit louder, please, Mr. Potdukhe?

Swapnil Potdukhe: Yes. So a few questions from my side. So starting with the first question on -- you mentioned that your target margins were around 25% the exit margins for this particular year. And you're close to 23% now, which means you are very close to what you had set the target for. So going forward, don't you think it will be a good strategy to reinvest some of the margin improvement that you're getting to accelerate growth? I mean is there any cost -benefit analysis that you have done and you would like to share some details on that?

Just Dial Limited
January 15, 2024

Page 6 of 20

Abhishek Bansal: So Swapnil, definitely, there is significant operating leverage in our business and margins could go north of 25% as well. For example, in fiscal '19, we had consecutive quarters of 28%, 29% EBITDA margin as well. Why we are specifically discussing at 25% because this year, we have kept advertising on a lower side.

So we would want to deploy incremental margins on getting additional traffic, which would in

turn aid our long -term monetization as well. So once we achieve that particular 25% threshold, we will see that incremental margins, how much to sort of invest back into the business via advertising. And rest, as I said, there is scope of further margin expansion as well.

Swapnil Potdukhe: Right. And second question is with respect to your B2B campaign share in your overall revenues, can you give us a split as to what is the contribution now both in revenue as well as volume share?

Abhishek Bansal: So B2B business share at this point of time, revenue -wise it is similar to last few quarters, 25.5% or so, 25%, 26%. Since B2C has seen a good recovery this year, that is why this particular share has been at 25%, 26% for the last 3 to 4 quarters.

Swapnil Potdukhe: Got it. So you just mentioned about organic traffic that is something which you would want to -- you had been focusing on that for the last few quarters. And going ahead, you might want to reinvest. Any sense of how much spend do you envisage coming to drive the traffic? Any ballpark number or guidance on that?

Abhishek Bansal: So this year, probably, we would be at about INR23 crores, INR24 crores also for the full year. For next year, it could be, say, around 3% to 4% of our top line going towards advertising. What we spent this year could be similar towards digital ad spends for next year and rest could be certain non -digital -related advertising initiatives.

Swapnil Potdukhe: Can you elaborate on the non -digital initiatives?

Abhishek Bansal: So, it could be a mix of, for example, we used to do multiplex advertising in the past, which worked well for us. So we could sort of revise that and could explore other non -digital avenues as well.

Swapnil Potdukhe: Got it. And just last question on the product side. Any announcements or anything that you are -- anything fresh that you guys are working on or meaningful changes that you might have done in the last few quarters maybe?

Abhishek Bansal: So on the product side, we sort of segregate -- the core business side is segregated into two parts: one, initiatives to get more and more users. On that front, there are continuous improvements as you could possibly see our particular mobile platforms are going through a refresh almost every 3 to 4 months and there is a lot of rich content on the pages. One small example that I could cite for example is reviews and ratings. Incrementally, we find that for users they would want a summary of all the reviews for a particular business to help in their decision -making.

Just Dial Limited
January 15, 2024

Page 7 of 20

So we have gotten capabilities via which we are,

in an automated manner, able to serve what users liked about a particular business, what users did not like, because users no longer have the patience to possibly go through 10, 15 descriptive reviews and so on.

Second area where we sort of keep improving is how to make the platform easiest for our particular merchants. So they, obviously, get a dashboard which gives them performance of their campaigns.

We are working on how we can get them to do self -sign-ups as well. So the idea is if we can get merchants to sort of start campaigns at their own will, manage their particular campaigns actively, that obviously takes part of the burden away from the sales force -assisted monetization and these are some of the areas that we are actively working on.

Swapnil Potdukhe: Got it, Abhishek. Thanks for that.

Abhishek Bansal: Thank you.

Moderator: We have a next question from Nikhil Choudhary, from Nuvama. Please go ahead.

Nikhil Choudhary: Hi, Abhishek. My first question is regarding the sales headcount. We have seen sales headcount has continued to remain at a similar range or declining even on a quarter -on-quarter basis. It's been almost six quarters where we haven't seen much increase in sales headcount. That too on top of it reduction in advertisement expense. Just want to understand what's our strategy here? Why we are not investing on headcount as well as on advertisement? And how without investing, we would be able to achieve like 20% -plus growth? That's my first question. I have a follow -up.

Abhishek Bansal: So Nikhil, on sales headcount and advertising, so sales headcount, the primary reason it has been sort of flattish is we don't want to blindly go after adding employees on the payroll simply because a particular manager is able to -- you can quickly hire frontline executives, but it takes time for managers to sort of ramp up.

Secondly, you want the entire sales force to be optimally productive before you consciously add on to incremental sales force. So despite that particular flattish sales force, we have been able to do relatively well in terms of our overall optimization.

There is an avenue of possibly appointing resellers wherein the fixed cost does not hit us, but it could aid us get new customer acquisitions, and our in -house team, incrementally, we want to focus them on farming or upgrading existing customers.

On advertising, as I already mentioned that so far for last several quarters, our organic traffic has been growing pretty healthily. While we would want our organic traffic itself to continue growing in future quarters as well, with healthy margins, we are keeping scope for additional advertising as well.

Just Dial Limited

January 15, 2024

Page 8 of 20

So with incremental advertising that should feed into better traffic that automatically should help our sales force and otherwise to have better monetization. So broadly, that's the strategy on both fronts, headcount as well as advertising.

Nikhil Choudhary: Sure, Abhishek. Just want to have some more detail around using third-party sales assist basically. Have you already started doing it? And do you have any number around it?

Abhishek Bansal: So, we are working on a specific plan to start with a couple of cities. At this point of time, we're working out the details to ensure that there is no cannibalization from our existing revenue that comes from our own sales team. So, in next few months, we should be possibly piloting the same.

Nikhil Choudhary: Sure, Abhishek. Second thing is regarding the collection. I just want to point out to the data. The collection has been more or less flattish, not just in this quarter but from last 4 quarters.

And in the last 3 quarters -- 2 quarters, we have seen Q-on-Q decline. So just want to understand what -- why for such a almost 12-month collection is largely stable?

Abhishek Bansal: So collections, overall, if we see

this particular year, say if I were to compare 4 quarters versus preceding 4 quarters, they have actually been up about 24%, 25%. Even last quarter on a year-on-year basis was up 10%. Yes, sequentially, it was flattish with a marginal decline, but that typically happens because either of the October, November months tend to see lesser monetization due to festive weeks.

And fourth quarter historically has been the strongest monetization quarter for us. So from that perspective, considering December has recovered well post the festive short-term impact, we should be back on our growth trajectory with monetization growth in coming months.

Nikhil Choudhary: Sure, Abhishek. The last one from my side. Some of the investment, what we have done on new application last year, which we have capitalized in our balance sheet, and we were expecting them to hit sometime mid of this year. Have we started recognizing those expense and basically depreciation, already? Or those are still part of the balance sheet. That's it from my side, Abhishek, very helpful.

Abhishek Bansal: Depreciation on those particular expenses has already started. So if you see for this particular quarter, our depreciation was about INR12 crores, which was up 43% year-on-year. And out of that INR12 crores, almost half of it pertained to depreciation on those particular new initiatives.

Nikhil Choudhary: Okay, Abhishek. Understood. Very helpful. Thank you and good luck for coming quarter.

Moderator: Thank you. We have our next question from Abhishek Banerjee. Please go ahead.

Abhishek Banerjee: Yes, hi Abhishek. One quick question on customer churn. What was the number for this quarter?

Abhishek Bansal: So customer churn, as we have mentioned in the past, we typically look at it on a longer time frame. So historically, it has been 1 year retention, which we measure as if 100 customers

Just Dial Limited

January 15, 2024

Page 9 of 20

signed up this particular month, how many go into year 2, 1 year down the line. That has historically been around 55% or so.

The good part basis latest stats that we just analyzed, this retention has improved by about 3 to 4 percentage points, simply because we have adopted a monthly plan strategy now for the last about almost 6 to 8 quarters. What happens in monthly plan strategy that at the end of each year, there is an auto renewal that happens for that particular monthly plan customer. And that is helping us with better retention of customers.

Abhishek Banerjee: Understood. So what proportion of your customers are now only monthly paying customers?

Abhishek Bansal: As on quarter end, about 58%, 59% of the overall campaigns are from monthly plan customers.

Abhishek Banerjee: Got it. Now Abhishek, obviously, you are doing some things very well, right? You are losing less customers. You are managing to get in new customers. Also, if I look at the quality of data, which you seem to have, I mean, total images in listings as well as listings with geo-codes, both of them have gone up. So how are you driving this given that the headcount overall is coming down?

Abhishek Bansal: See, the headcount if you see that decline is primarily on the sales front. In last few quarters what has happened is that a lot of rich content augmentation is happening via not just feet-on-

street teams via in-house teams as well. So just as a small example, say, today, if you have a specific insurer, say, IFFCO Tokio, they might be updating on their website itself their particular say, 100 outlets pan India? Or there might be some particular brand, which might be listing out all their authorized dealers on their particular website itself.

This kind of information till a few years ago, we had to physically visit and get that information. But today, that particular information is very well available on official brand websites. So we have put in a lot of effort to ensure

that how quickly, we can get that particular information, which is what is helping us enrich our content without having to put physical manpower to get those.

Abhishek Banerjee: Understood. You also briefly mentioned how automation is helping you increase productivity. Could you give us some example?

Abhishek Bansal: So the example that I just cited, for example, till some time back, we used to even have data collectors, say, a team, which was tasked with just going from business to business to get their particular information. But that particular team has shrunk drastically because we are trying to ensure that whatever information we can get online, we can collate that particular information sitting in our offices using technology. That is what is being prioritized.

Abhishek Banerjee: Perfect. Perfect. That ties up. But in terms of employee expenses as a proportion of revenue, right, or if I may put it as number of paid campaigns. So how many employees would you need for, say, 1,000 paid campaigns on a steady state level? Is there a number in mind? I'm just trying to understand how you are going to do this going forward.

Just Dial Limited

January 15, 2024

Page 10 of 20

Abhishek Bansal: See, when we do our particular manpower planning for any particular geography, rather than just thinking about campaigns per employee, we look at overall revenue, overall output from that territory and at what gross margin I'm able to get that particular revenue. So there are geographies where certain managers are more active in getting higher ticket revenue from certain top monetized categories. And there are geographies where we might be going after more number of campaigns.

So it is difficult to put a specific maths in terms of saying that, okay, how many paid campaigns per sales employee? And as I mentioned that we are working towards trying to get new customer acquisitions primarily via either resellers or possibly self-sign-ups and have our in-house teams focus on upgrading, etcetera. In such a scenario, obviously, the value per sales employee is what will ultimately matter.

Abhishek Banerjee: Understood. Now Abhishek, you also spoke about how realization improvements can drive revenue growth in the future. Recently, one of your competitors has tried to do something similar. And there has been a lot of pushback to price increases, especially in the monthly customers, right? So do you, I mean -- how would you look at that risk?

Abhishek Bansal: See, in our case, let us see, my average ticket size currently basis say revenue per campaign per month stands at only about INR1,560, which translates to INR18,500, INR19,000. In Tier 2, Tier 3 cities, it's just, on a blended basis, at about, say, INR1,050 to INR1,100 while it varies basis exact area and category, etcetera. This particular amount is highly affordable.

And INR1,000 going to INR1,200, it's a substantial 20% gain for me, but it doesn't pinch that particular customer at all. So our ticket size right now for any kind of business is at highly affordable levels, so we don't see that taking price increase to the extent required for our target at this point of time should be much difficult.

Abhishek Banerjee: Got it. And so the overall margin guidance would remain at 25% or slightly higher?

Abhishek Bansal: We would build in 25% at this point of time and basis how top line growth, etcetera, is panning out, we will see if that needs a revisit in coming quarters.

Abhishek Banerjee: So priority-wise, I am sure top line growth will be number 1, right?

Abhishek Bansal: See, when you are running a business, it's not specifically that, okay, this particular month or quarter, my priority is top line and this particular quarter, it is cost control. Obviously, the sales team works towards getting as much revenue as possible. At the same time, you try to ensure optimal margins by keeping cost controls, but

gets in sight, etcetera.

So idea is to ensure that, okay, there should be a reasonable healthy top line growth because you just cannot have cost control solely driving margins because that will not be sustainable over the long term.

Abhishek Banerjee: Got it. Okay. Just one last question and -- so any clarity that you can provide on how the cash is going to be utilized given see, earlier, the thinking was probably some of it will be utilized in Jd Experts. But now -- this is now sitting in your balance sheet for quite some time, and it's

Just Dial Limited

January 15, 2024

Page 11 of 20

obviously a very rare sum, which is also ensuring that the stock performance is probably not in line with your operating performance. So I'm sure you must be thinking on this. So any clarity you can provide us will be really helpful.

Abhishek Bansal: So while this particular concern is acknowledged, having said that, we are trying to optimize treasury to the extent possible. Right now, no specific thoughts because as we have mentioned in the past, there is a tax burden either at company level or recipient level in mechanisms available for distribution at this point of time. And in terms of any inorganic opportunities, there aren't any available, I'd say, decent valuations, etcetera, etcetera. So sort of status quo on thought process on that. But yes, point definitely taken, which we are also thinking over coming months or quarters on how exactly to address that.

Abhishek Banerjee: Fair enough. That's very helpful, Abhishek. Thank you so much.

Abhishek Bansal: Thank you.

Moderator: Thank you. We have our next question from Lavanya Tottala from UBS. Please go ahead.

Lavanya Tottala: Yes. Hi, Abhishek. Congrats on good set of numbers. So I had two questions. So one, you mentioned that a lot of information is getting updated using online sources now. Wouldn't that be a risk going ahead that more and more information is available online now, while, I mean, a few years back, which was only available through feet on street. So wouldn't that be a risk going ahead?

Abhishek Bansal: So, Lavanya, the strength of our platform is not just about having those 41 million listings. The strength is in properly categorizing those particular listings in their appropriate categories, serving relevant results when you specify a particular keyword and an area. So while there might be information hidden in some particular online website, but what I as a user want is, if I'm searching for pest control services in Malad West, I should be able to get a proper list along with possible rich content such as ratings, reviews, etcetera, which help in my decision-making.

So these particular online availability is only aiding our particular efforts of our local search engine. I don't think so there are any risk factor as such. The curation that we do on our end is what is the key value add that is there.

Lavanya Tottala: Right. Like at this point of time, that might be the case, but with increasing availability of online content, would that come up in a Google search directly?

Abhishek Bansal: So as I said that there are two types of searches that a consumer does. One is to search for a specific company. Other is to search for a specific category. Our value add to our advertisers is that whenever there is a category search happening on a platform, you get to rank higher. And those category search-related pages are solely available on our particular platform itself. And for non-popular businesses, anyway, people do not recall specific company names also. So even for those people ultimately will end up discovering those from a local search platform such as ours.

Just Dial Limited

January 15, 2024

Page 12 of 20

Lavanya Tottala: Got it. So on the second question, you were mentioning about B2C doing very well this year. So just wanted to understand your sense on B2B as well

as B2C over next one year. Like, how

do you see the growth potential in these two segments, maybe B2B to begin with?

Abhishek Bansal: So the way we have approached this particular B2B versus B2C is that 75% to 80% of our revenue has been coming from B2C-oriented categories. We have not been obsessed with that, okay, we just want our B2B-related revenue to grow irrespective of how the B2C side fares. So ultimate objective is that the total revenue should grow. Our expectation too was that B2B side will grow possibly faster than B2C. But the way we are seeing that both set of categories are doing relatively well.

There is a dedicated B2B team as well, which continues to focus on monetizing only B2B, but in -- the other team, they do focus on monetizing both B2C as well as B2B listings. For example, if there is a feet-on-street in Kalbadevi, South Mumbai market, and they have a -- they see a shop of a wedding card wholesaler, they will approach that particular shop to try to convert them. So as a result, it's a blended approach and the growth is coming from both segments.

Lavanya Tottala: Okay. I mean, my question was, is it like B2B has been slightly slower this year likely to pick up next year because you were mentioning B2C grew at a faster pace this year.

Abhishek Bansal: So there, my point was that B2B share was fairly similar to previous quarters at 25%, 26% because both segments had not materially different growth. And we'll have to see how future quarters pan out in terms of growth differential.

Lavanya Tottala: Got it. So one last question. So there were questions around this earlier as well, the sales count. So how do you see it going ahead? Like, do you plan to further optimize the sales count from

tier or it's likely to grow from this point of time?

Abhishek Bansal: So the approach that we have taken is that geographies where productivity is higher than our internal thresholds, they could very well increase headcount. And on the other hand, if any particular geography is lagging, they need to sort of rationalize workforce to ensure that they are meeting their particular gross margin targets as well.

So overall, for coming quarters, we are keeping both options open. One is to sort of get new customers from alternate channels such as resellers, self-sign-ups, etcetera. In that case, there could not -- there may not be significant addition to our existing headcount. On the other hand, the way things are panning out, margins are reasonably healthy, even if we need to add 5%, 6% headcount from current levels, we would be open to doing so as well.

Lavanya Tottala: Okay. And in terms of cost per employee, is it more or less stabilized now because last year or before that, we have seen significant jump there, but now it's stabilized I am sure it should grow at the normalized levels from here, right?

Abhishek Bansal: Yes, I think that should be on a -- I mean, it is at a normalized level and should grow in line with whatever average increments, etcetera, are going to be.

Just Dial Limited

January 15, 2024

Page 13 of 20

Lavanya Tottala: Got it. Thank you. All the best.

Abhishek Bansal: Thank you.

Moderator: Thank you. We'll take our next question from Saumil Shah from Paras Investments. Please go ahead.

Saumil Shah: Hi. Am I audible?

Abhishek Bansal: Yes. Please go ahead.

Saumil Shah: Yes. Abhishek, in the previous call, you mentioned that in a couple of weeks, Just Dial should be integrated with MyJio app. But I think till now we have not heard anything about that. So could you please give us an update on the same?

Abhishek Bansal: So Saumil, tech integration is already in place. There are certain nitty-gritties pertaining to a commercial aspect of it, which is what we are sorting it out. But as I have mentioned earlier, at this point of time, as a local search traffic, we are not building in any material numbers from

next year's perspective from this particular platform at this point of time.

Saumil Shah: So, I mean, you mean to say it is still not live yet?

Abhishek Bansal: For end consumers, it is not live yet. We are doing beta testing with a close set of users.

Saumil Shah: Okay. And for end consumers, I mean, would it be possible next quarter? Or when are you planning?

Abhishek Bansal: Likely this particular ongoing quarter, that should be in place.

Saumil Shah: Okay. Okay. And my next question was our active paid campaigns is not growing that much. I mean, if we see Q-o-Q it has just grown about 1%. So, would you like to comment on that?

Since I mean, Q4 being a stronger quarter, can we expect active paid campaigns to grow at a healthy pace this quarter?

Abhishek Bansal: So Saumil, active paid campaigns Q4 definitely should see growth on a sequential basis simply because Q4 tends to be a strong quarter. And conversely, Q3 specifically saw lower sequential growth because the impact that we see during the festive weeks tends to sort of have some impact on monetization during Q3.

Overall, it should be looked at on a slightly longer time frame in terms of saying that, okay, if we are getting whatever X percentage top line growth, we -- our target is to get, say, half of the growth via campaign additions and rest half via realization improvement. On a specific quarter-to-quarter basis, there could be certain fluctuations.

Saumil Shah: Okay. So, I mean, in Q4, can we expect a higher single-digit growth if you compare Q-o-Q?

Abhishek Bansal: Yes, Q-o-Q, that is likely, that is very much possible.

Just Dial Limited

January 15, 2024

Page 14 of 20

Saumil Shah: Okay. Okay. And my last question is, in terms of B2B business, since we are targeting a 20% growth overall, so B2B also, you are targeting 20% or can it be higher?

Abhishek Bansal: So B2B, we are targeting a bit on the higher side versus B2C, but the way our last few quarters have panned out, B2C and B2B have been sort of similar growth range.

Saumil Shah: Okay. And B2B normally is a higher-margin business compared to B2C? Is it?

Abhishek Bansal: So, on our cost structure, ideally, it is not possible to sort of split all costs across B2B versus B2C since, as I explained during the initial part of the call that even the team which is not dedicated towards B2B, they can do some bit of B2B monetization as well. But what happens is since B2B categories on an average have higher ticket size, it is safe to assume that pro rata margins for B2B side of business should be a bit better versus the B2C side.

Saumil Shah: Okay. That's it from my side. Thank you and all the best.

Abhishek Bansal: Thank you.

Moderator: Thank you. We'll take our next question from Sonal Minhas from Prescient Capital. Please go ahead.

Sonal Minhas: This is Sonal Minhas. I hope I am audible. I have two questions. The first one was to just understand, like is there a forced churn in customers whose ratings are not up to the mark or whose ratings are below a threshold as to maintain the quality of the supply? That's the first question.

And just wanted to understand, somebody asked you about the loops on the content enrichment. And I just want to understand, like from a six months to a 12 months' perspective, what new initiatives or loops, basically, you plan to enable or execute for content enrichment or integration just to improve the quality of data? So, these are two questions from my side. Thank you.

Abhishek Bansal: So Sonal, on the forced churn, there is -- we do, sort of, on a regular basis, try to flush out customers who are continuously rated poorly. The idea is to ensure that whenever a user is doing any particular search, the businesses that show up on top, they should have, ideally, I mean, very good ratings, but the ratings of that advertiser should not be below a certain threshold. And we have seen

that typically low-rated customers ultimately don't end up getting the kind of business that their peers who are well rated get. So, they also sort of churn out automatically over time.

And to your second query around content enrichment. So, as I mentioned that using automation, there's a lot of rich content that is getting added up. And even for merchants, the tool that they have, and they are being equipped with easy tools so that they can upload content on their own.

For example, for service-oriented business, suppose there is a salon, there is now a capability to show services catalog upfront. So, a salon can easily upload that, okay, these are the charges

Just Dial Limited

January 15, 2024

Page 15 of 20

they charge for various kind of services that they provide. So as a result, whenever a user is visiting a specific listing, not only do they get to see the basic contact details, ratings, reviews, photos, videos, they can also see other details around the services.

A wedding photographer possibly can upload their particular photography catalog or their portfolio, so to say. So all those particular rich content related items will be visible very much upfront on a business page.

Sonal Minhas: Got it. And is there some journeys there, which can be improved with the integration, let's say, third-party social network? So that's pretty much done with. Just trying to understand that?

Abhishek Bansal: So, we are working on one initiative wherein a particular business owner can possibly manage their listing on any third-party platforms via single point of contact to being our particular platform. So, in certain cases, a particular merchant, if they do a onetime login via our particular platform, then if they upload any particular content on our platform or they edit any details, we can help those details get populated on multiple platforms.

So, the idea is can a universal business listing kind of concept to work, which can make life of SMEs easier. And if ours is the platform, which helps them maintain listing across platforms, it will obviously increase stickiness, engagement, etcetera. So that is also something that is in pipeline.

Sonal Minhas: Got it. So, for example, platforms like Insta and if let's say, there is a marriage photographer. He has an Insta or share the Instagram page. The link there is essentially to their website or to a Just Dial page, that's something that -- how does that happen as we speak right now? Just trying to take that as an example to understand.

Abhishek Bansal: So, for example, if I'm a wedding photographer, I have a page on Just Dial and I have a page on third parties such as Insta, and I upload a particular content about my business on Just Dial, that particular content also gets updated on the third-party platform without that particular merchant having to explicitly go toward to that particular platform. So, if I edit my address here, that address also gets updated in that particular third-party page.

Sonal Minhas: Understand that. But JD may not be the -- like a preferred or is it like a preferred landing page if somebody goes to Insta for a wedding photographer and they want to contact that photographer, then -- and click there, let's say, for a URL, would JD be like a preferred landing page for those people? Or the -- I'm talking about small merchandisers, the small service providers here essentially, yes.

Abhishek Bansal: So, as I mentioned, this particular initiative, we are exploring how possibly we can be a sort of go-to destination. There are several nuances to this. This is still being worked upon by our tech and product teams. So, once they are able to sort of have a -- MVP or they commit to feasibility of the same that is when I think we'll be able to answer these technicalities better.

Sonal Minhas: Got it. No, I was asking more because I think the platforms you're talking about, they are also trying to get into the listing domain, maybe either through WhatsApp or, let's say, richer listing

Just Dial Limited
January 15, 2024

Page 16 of 20

catalog provider providing -- being provided through Instagram. So are you seeing like parallel data being provided by these platforms parallel to the data that you provide for, let's say, a wedding photographer or a salon provider or, let's say, an AC repair. Just trying to understand how things are evolving in terms of cataloguing being provided as a service by, let's say, two, three parallel platforms?

Abhishek Bansal: See, for us, we are an end-to-end local search platform, wherein the endeavour is any local business out there in India irrespective of the category should be available, and you should be able to search for any commercial intent-oriented search. So anything that you can think of, you should be able to find on our platform.

Now there tends to be verticalization that happens either on the transaction side or niche search engine for certain categories, etcetera, etcetera, so we haven't seen any specific competition, so to say, simply because of the scale of listings that we have, the feet-on-street network that we already have, the traffic of 160, 170 million users that we have. So, yes, I mean, the ecosystem will keep evolving. But till the time we keep our particular content up to date and give users what they want, I think, we'll be fine.

Sonal Minhas: I understand that. I just have a small follow-up question. I don't know if you can share this data, but like what -- is the scale of the transaction happening or the financial transactions happening on the platform significant as we speak? Or anything which you can speak about that subjectively or numerically, that will be great.

Abhishek Bansal: No, that is not meaningful at this point of time. And as we have clearly outlined, the focus is to get core search business, which is basically the premium listings, nonpremium listings that we sell to our particular SMEs and at a healthy margin. So that is what is the focus for the business at this point of time.

Sonal Minhas: Okay. Great. Thanks a lot Abhishek. Thanks a lot. This is helpful. Thank you.

Abhishek Bansal: Thank you.

Moderator: Thank you. We have a next question from Majid Ahamed from Smart Sync Investment Advisory Services. Please go ahead.

Majid Ahamed: Good evening, sir. Very good set of numbers. So my question is now we are also planning to move through like stock market platforms and other platforms like in your investor presentation I have seen that as well as the movie ticket platform and so on. So many things are coming in, sir. How far the realization of these platforms, sir? How far it has been over there, sir?

Abhishek Bansal: So, several of these particular initiatives are to continuously engage users that are coming on the platform. In an Internet era, it's not that a user comes to just do one kind of, say, local search. The idea is if you can give them various reasons, either it could be sort of browsing through news articles or any such miscellaneous activities, then users sort of engage better with the platform. So that is what the thought process is behind all these initiatives.

Just Dial Limited
January 15, 2024

Page 17 of 20

Majid Ahamed: Okay, sir. How -- okay, sir, you have done that. But how has been the visits, on all these platforms, how has been the monetization over there? Has this been increasing? Or can you give any data regarding that?

Abhishek Bansal: So, there is no monetization per se that happens through these initiatives. And as far as traffic goes, we are putting out our quarterly users for us to be able to segregate whether a particular user had visited this particular service and also done local search, that segregation, etcetera, is not visible.

Majid Ahamed: Okay. Okay, sir. And last one final question

that I have is, of course, you're able to do it through -- despite the sales channel has been reduced and you're focusing on building the business through reducing the advertising cost and so on. What are the other strategies that you're planning to increase your margins? Apart from that, you have said you are planning to do it through the campaign, through other things such as you have mentioned -- the two things that you mentioned regarding the reseller and others, apart from that, is there anything that you're planning to increase your margins?

Abhishek Bansal: So, as I have mentioned that on the monetization side, two initiatives, say, resellers as well as self-sign-ups, these two can be very high-margin revenue opportunities. So overall, optimizing

existing sales force, some of these initiatives to result in better margin monetization and keeping our particular expense structure optimized. And within the expense structure, the key variable or the moving item is advertising which we will take a call as we move into future quarters on how much we want to spend for next fiscal year.

Majid Ahamed: Okay, sir. Thank you, sir. All the very best.

Abhishek Bansal: Thank you.

Moderator: Thank you. We have a next question from Rishabh Shah from Dalal & Broacha. Please go ahead.

Rishabh Shah: Hello, am I audible?

Moderator: Yes.

Rishabh Shah: Good afternoon, sir. Very good set of numbers. And congratulations on the results. Most of my questions have been answered. I just have one confusion in your investor presentation. I'm not able to understand one of your data enrichment on page number 19. Images in active listings, I'm not able to understand what does it signify or what it's trying to tell me -- I understand active paid campaigns, but I don't understand this. So can you please explain me?

Abhishek Bansal: So images, this particular content basically pertains to what is the total number of images that we have in our active listings. As on date, we have about 150 million images for businesses in our listings. So the idea is to showcase that for listings, 40 million listings that we have, there are high-quality images that we have, the rich content, which helps in better decision-making of users.

Just Dial Limited

January 15, 2024

Page 18 of 20

Rishabh Shah: Okay. Okay, sir. And one of my other question would be, sir, can you tell me what part of our business is B2C?

Abhishek Bansal: So out of the total revenue, about three-fourth comes from B2C-oriented categories, one-fourth comes from B2B.

Rishabh Shah: And what was the growth rate compared to the last quarter for B2C?

Abhishek Bansal: I don't have that handy, but since the percentage share has been similar for last two, three quarters, overall growth -- revenue growth is what would have been for both these segments plus-minus a couple of percentage points.

Rishabh Shah: Okay, sir. And also, sir, as many of the verticals are getting into AI and Generative AI, are we on the track to get into the AI networking? And any such progressive way? I'm just -- I just wanted to know that are we going to log in the AI to our Just Dial vertical?

Abhishek Bansal: So I think irrespective of the term, whether we call it AI, the way we look at it is how can we use technology automation to do the same job in a much efficient manner versus what we were doing a few quarters or a few years ago. So one example that we shared was a lot of content enrichment today happens via use of technology. So for me, that is also a part of, as I said, call it, technology or AI initiative or something else. So, some of those initiatives are definitely underway.

Rishabh Shah: Okay, sir. And also one of my question was, we have all been hearing about the open credit enablement network. And for a fact, I know that we are pretty reasonable on our charges in MVS search, but this open, does it help our business as such?

ness as such?

Abhishek Bansal: Sorry, we have not evaluated this at this point of time.

Rishabh Shah: Okay, sir. Thank you very much sir. And congrats on the good result.

Abhishek Bansal: Thank you.

Moderator: Thank you. We'll take a last question from Amarnath Bhagat from Ministry of Finance of Oman.

Amarnath Bhagat: Am I audible?

Moderator: Yes, please go ahead.

Abhishek Bansal: Yes, please go ahead.

Amarnath Bhagat: Yes, hi. I have two set of questions. First of all, relating to this old question you might be getting bored to listen it is this relating to the cash. At the moment, 57% of your market capitalization is the cash. And every call this question is getting asked, and answer is, there could be some tax implication, either its buyback or it is the dividend. See, this tax implication

Just Dial Limited

January 15, 2024

Page 19 of 20

will be there, either you do it today, you do it tomorrow, unless we are thinking something that maybe the tax for the buyback or dividend will be changed in the future by the finance law.

So -- and every quarter, we are adding INR100 crores, INR200 crores into the cash. And the percentage over your market capital is going to keep on increasing. At the moment, it is very difficult to find a company of your cadre, 57% of market capital is sitting in cash and earning

some 7% -8% here and there on the different kind of bonds and some other instruments here and there. So I'm just -- and we are sitting in the Board or the management where the Reliance people are also sitting.

I am just trying to understand what exactly in the mind, means we are not in the acquisition spree as well. We are not hearing something that you are very aggressive or actively looking into some acquisitions where this kind of huge cash can be used? And neither the cash distribution things are getting discussed. This answer to be very frank is not getting satisfactory in this tax element, so we just need to have certain more clarity about it.

Abhishek Bansal: So Amarnath, on this point, firstly, point very well taken. Secondly, to say that, okay, whether it is distributed today or tomorrow, there will definitely be a tax. That statement, I disagree because we have had times in the past when taxation on both the avenues, be it buyback or dividend, was different in the past. And secondly, it is in recent quarters that after doing a bit of experimentation that we have realized that it doesn't make sense to just keep -- to just put money after initiatives which might continue to bleed for a very long period of time.

Having said that, as we mentioned that point taken, and the Board and the company will -- I think, decide on what should be the future course of action as far as this cash balance is concerned.

Amarnath Bhagat: Okay. And then my last question, probably, see when this Reliance Group has acquired Just Dial, the hope was quite big considering the size and different nature of this particular conglomerate. And now you see the Reliance is -- keep on adding their own apps, whether it is JioMart, whether it is Jio app or some different or it is Jio retail side of it. I'm just trying to understand, this is a major subsidiary acquired by paying the cash.

And till now, we are not getting any meaningful kind of an integration-related benefits being a part of the Reliance -- such a giant Reliance Group. Many things can be happened and especially these new initiatives which the Reliance are doing at their own platform. Just trying to understand, though it is not a direct question to you, but how this has not been connected to their own subsidiary like Just Dial?

Abhishek Bansal: So as you rightly said that it is indeed not a direct question to us. The parent company should be able to better mention or share their particular thought process on their initiatives. As far as Just Dial is concerned, the key discussion or the key bri

ef is definitely that the core business,

which holds immense value in terms of having 40 million listings, ready feet-on-street sales network spread across India, 160 million, 170 million users, how that particular business can be on a steady growth path.

Just Dial Limited

January 15, 2024

Page 20 of 20

The other initiatives, yes, they are being worked on in parallel, but we have to assess that in terms of generating real healthy free cash flows, what are the initiatives that will actually work out which is what we are working on at this point of time.

Amarnath Bhagat: Yes. And just last one small thing. How do you think that you have a competitive edge as a local search engine of India compared to your global MNCs like Google. Just give me one or two why the people will come to Just Dial, which is coming at the moment, and compared to the Google or any other search engine by that names?

Abhishek Bansal: So see, the very basic thing is that we are a specialist local search engine. Any other third-party platforms that you can think of, they are not just serving local search commercial intent-oriented results, they are also into several other kind of search patterns as well, which a user does. So if you are looking for local search results, the depth and breadth of results on my platform would always be much better.

So when you are searching for, say, laptop retail shops in Malad West, the number of choices that I will provide, the details about those choices that my platform will provide will always be superior or are superior compared to any other search engine out there, which is what is the key USP of the platform.

Amarnath Bhagat: Thank you, sir. Thank you very much. For your answer.

Abhishek Bansal: Thank you, so much.

Moderator: Thank you. I would now like to hand the conference over to Mr. Abhishek Bansal for closing comments. Over to you, sir.

Abhishek Bansal: Thanks, everyone, for joining us. In case you have any further queries, please do reach out to us. We will do our best to address. That's it from our side. Thank you.

Moderator: Thank you. On behalf of Just Dial Limited, that concludes this conference. Thank you for joining us. And you may now exit your meeting.

Call: Apr 2024

April 22, 2024

To
BSE Limited
Department of Corporate
Services
Listing Department
P J Tower, Dalal Street,
Mumbai - 400001
Scrip Code: 535648 National Stock Exchange of
India Limited
Listing Department
Exchange Plaza, Plot no. C/1,
G Block, Bandra -Kurla Complex,
Bandra (East), Mumbai - 400051
Scrip Symbol: JUSTDIAL Metropolitan Stock Exchange
of India Limited
205(A), 2nd Floor,
Piramal Agastya Corporate Park,
L.B.S Road, Kurla (West),
Mumbai - 400070
Scrip Symbol: JUSTDIAL

Dear Sir/Madam,

Sub.: Transcript of Earnings Call on Financial Results (Consolidated and Standalone)
for the quarter and year ended March 31, 2024

In continuation of our letters dated April 12, 2024 and April 18, 2024 and pursuant to
Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, we are enclosing herewith the transcript of the Earnings Call held on
Thursday, April 18, 2024, at 6:00 p.m. for discussing operational and financial performance
of the Company in the quarter and year ended March 31, 2024 and the same is available on
the Company's website at <https://www.justdial.com/cms/investor-relations/earnings-call-transcripts>

We request you to take the above on record .

Thanking You,

Yours truly,

For Just Dial Limited

Manan Udani
Company Secretary

Encl: as above

Page 1 of 17

Just Dial Limited
Q4 FY'24 Earnings Conference Call
April 18, 2024

MANAGEMENT : MR. VSS MANI – MD & CEO

MR. ABHISHEK BANSAL – CFO

Just Dial Limited
April 18, 2024

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to the Just Dial Limited Q4 FY'24 Earnings Call. We are joined by Mr. V.S.S. Mani, MD and CEO; and Mr. Abhishek Bansal, CFO from the management team of Just Dial Limited.

At this moment, all participants are in the listen-only mode. Later, we will conduct a question-and-answer session. At that time, you may click on the raise hand icon to ask a live question. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Bansal, CFO, Just Dial Limited. Thank you, and over to you, Mr. Bansal.

Abhishek Bansal : Thank you, moderator. Hi, everyone. Welcome to Just Dial's Earnings Call for Fourth Quarter of Fiscal '24. Our operating revenue for the quarter stood at INR270.3 crores, witnessing 16.2% year-on-year growth. This growth is primarily driven by healthier collections, which we have witnessed during the past quarters. Our FY'24 collections have grown by about 17.7% on a year-on-year basis.

Fourth quarter collections stood at a healthy INR305 crores, growing 13.8% year-on-year. In terms of margins, we had robust 26.1% EBITDA margin for the quarter, which represented 334 basis points sequential improvement and about 11.8 percentage points on a year-on-year basis. Absolute EBITDA at INR70.6 crores for the quarter more than doubled year-on-year and grew about 17% sequentially.

Our total employee headcount now stands at about 12,800 employees, and the decline witnessed this year is a result of optimization across both sales and non-sales functions. In non-sales, automation and use of tech has allowed us to reduce manpower dependency for certain tasks. And in sales, we have tried to rationalize some low productivity workforce, and there is focus on better monetization from higher revenue-generating categories and geographies.

Our other expenses have been tightly controlled and witnessed 2% year-on-year decline led by about 12% lesser advertising on a year-on-year basis, and there was optimization of our communication expenses as well. Advertising spend stood at about INR5.6 crores for the quarter. For full year, FY'24 revenue had about 23.5% year-on-year growth, and EBITDA margins have improved to 20.8% from 10.2% the previous year.

Other income stood at INR91.3 crores for the quarter, which was about 22% higher sequentially due to MTM benefits that we had as a result of about 10 basis point decline in bond yields during the quarter. Profit before taxes stood at INR147.3 crores, growing 53% year-on-year and 22% on a sequential basis.

Effective tax rate stood at 21.5%, which is presently on higher side as bulk of our treasury, mark-to-market gains are currently short term in nature. And hence, provisioning for taxes happens at full tax rate. In current year FY'25, part of the treasury approximately INR2,800 crores will shift from short-term bucket. This is a three-year holding, and hence there will be some reversal in tax provisions done so far. So overall tax rate is likely to be lower for FY'25.

Just Dial Limited
April 18, 2024

Page 3 of 17

Profit after taxes for fiscal '24 stood at -- for fourth quarter stood at INR115.6 crores, growing about 38% year-on-year. Sequentially, it had about 25.6% growth. Deferred revenue was also healthy at INR508 crores, growing about 16% year-on-year.

Active paid campaigns at the end of the quarter stood at about 584,000 campaigns, which was up about 8.4% year-on-year, witnessing the addition of about 16,700 campaigns during the quarter. Average realizations have grown 7.2% year-on-year. So growth is coming as a mix of both campaign additions as well as increase in realizations. Overall, cash and investments stood at INR4,625 crores as on quarter end, growing about 13.7% year-on-year.

In terms of our traffic, total traffic stood at about 171 million unique

users for the quarter,

growing 7.5% year-on-year. Total listings now stand at 43.6 million, growing 19%. Overall, I would term FY'24 as a year of efficiency for us and the business has been able to deliver on almost all key operating metrics in a cost-efficient manner.

We have managed to grow top line this year largely via productivity increase and which is what is reflecting in healthy margins as we exit the year. Focus remains on having core business deliver top line and profitability growth in a steady manner.

With this quick update, we shall now open the floor for questions and further discussions.

Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Vivekanand Subbaraman from Ambit Private Limited. Please go ahead.

Vivekanand Subbaraman : Abhishek, first of all, just starting off on the housekeeping questions with respect to the split of traffic across markets, split of paid campaigns and revenue. That's question number one. If you can answer that, then I'll move to the other ones.

Abhishek Bansal : So Vivek, top 11 cities contributed about 58% to our revenues. And campaign -wise, they contributed about 40%, 41%. As far as traffic goes, while I don't have the number handy, but I think Tier 2, Tier 3 cities would have contributed about 55% to our traffic.

Vivekanand Subbaraman : Okay. And as a follow -up, you are now growing your collections on a fairly normalized pace because all this while there was a favorable base as well till maybe most very recently, but now the base is also higher than pre -COVID levels. You had a couple of quarters ago or rather maybe a year ago, you had highlighted the realizable value of collections.

Can you help us with the equivalent number for this quarter, the INR305 crores that has been reported. What is the equivalent number, if I want to compare it versus pre -COVID times when you had lesser number of monthly campaigns?

Abhishek Bansal : So in terms of realizable value and the total collections that we had during the quarter, they were quite similar to each other. And like as you mentioned, while the base definitely has gone up, but in fourth quarter, we still had 14% year -on-year growth in overall collections of INR305 crores. And even for a full year basis, there was about 18% growth to INR1,112

Just Dial Limited

April 18, 2024

Page 4 of 17

crores. So yes, there is a -- the base is now normalized, but obviously, endeavor is to grow business sustainably on a sort of 15% plus run rate going forward.

Vivekanand Subbaraman : Right. Okay. So last year, as you collected -- you collected around INR945 crores and you ended the year with revenue of around INR1,043 crores, right? So there was still some growth compared to the collections during the year, I mean around 11% while you reported numbers. So this time, when we think about the FY'25 number, what are the variables that we should think about in looking at forecasting the FY'24 -- FY'25 revenue number based on the '24 collections and also your aspirations, if you would like to discuss that in terms of growth that would be great.

Abhishek Bansal : Okay. So couple of aspects on this. Firstly, the deferred revenue that we had at the end of the year was about INR508 crores, out of which almost 90% would be sort of a current component, which will get accrued as revenue during the year as services are rendered .

Apart from this, there is a component of monthly collections that we receive from customers where we have already signed them up and direct debits happen. So that particular money gets recognized as revenue as and when it comes. And then obviously, there will be the fresh sales that will happen during the year.

So as we stand today, difficult to forecast, just basis today's deferred revenue and my monthly sales, what would be the revenue? But as I mentioned, endeavor is that

overall year should

have about 15% plus growth in top line, and that is what we are aspiring for.

Vivekanand Subbaraman : Okay. And pressing a bit further on the revenue growth, I see that the contribution of non -top 11 markets have just been going up and up and up, how big is the market, the horizontal classifieds market in these Tier 2 and 3 cities? Can you tell us a bit more about the success that you had in markets outside top 11 cities with some examples because the numbers tell a good story, but it would be nice to hear your narrative on this front.

Abhishek Bansal : See, by and large, overall, our assessment is that India has about 65 million, 70 million SMEs and another, say, 10 million to 15 million are freelancers, such as gym instructor, yoga teacher, tennis coach, who are also potential listings for us, so which means 80 million, 85 million overall universe, against which my database currently is only, say, half of it at about 43 million listings.

Out of 43 million listings, about 60% of the businesses are in Tier 2, Tier 3 cities. So -- and against 43 million listings, if we see the unique number of customers in my paid campaigns that are only about 490,000. So that's why there is significant room for business to grow in Tier 1 as well as outside Tier 1 cities. Outside Tier 1 cities, my realizations are less than half of what I have in Tier 1. So that way, in these particular cities, I have both levers to sign up more customers and be able to take price hikes as well.

Moderator: Thank you. The next question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Page 5 of 17

Priyank Chheda : Hi, Abhishek. Just to continue on the previous aspect and the data which you shed, while the growth from the non-top 11 cities has been strong, while -- and as we accelerate that addition, our ARPU has been maintained at around INR18,500. How do we read this when -- I mean, is there a higher bundle packages, which are getting sold in Tier 2, 3? Or is there a simultaneous upscaling and upgradation happening in Tier 1 also?

Abhishek Bansal : So on ARPU, what we see it on a blended basis. So blended basis, you are right, that INR1,540 a month or INR18,500 annually has been sort of at the similar level if we compare it, say, 2, 3 years back. But there, the primary reason is that the share of Tier 2, Tier 3 cities by volume is going up. And in Tier 2, Tier 3 cities, whenever we enter a particular geography, we enter at a very entry level based pricing.

So against INR 1,540 a month of my blended realization, my Tier 2, Tier 3 is only at about INR1,100, which is what lends this tailwind that there can be significant price increases in these cities as well because several of these particular cities such as Surat, Baroda, Agra, Lucknow, Kanpur, these are no longer cities where an SME cannot afford a listing of INR1,500 crores, INR2,000 a month.

Priyank Chheda : Right. So in that case, the current ARPU by design and mix should attract at the lower side, while it's been maintained. So just trying to understand what is driving that maintenance of that INR18,500 even at this level.

Abhishek Bansal : So ARPU has actually grown. So if you see for last quarter, our monthly revenue per campaign has increased 7.2% on a year-on-year basis. And that increase was there in both Tier 2, Tier 3 cities as well as party in Tier 1 as well. And that is led by price increases that we take in these particular geographies.

Priyank Chheda : Got it. So what I was actually coming from the -- is that we were supposed to take price hikes from this year from starting April. So, okay, I stand corrected over there. So that's mainly because of the price increases. Am I correct?

Abhishek Bansal : Yes.

Priyank Chheda : Okay, got it. And Abhishek, can you help me on the growth in B2B business, which we were targeting to increase, is that

also helping us in terms of growing volumes and ARPU. If you can just share some data points around what is the total percentage volume that we get from B2B business and revenue.

Abhishek Bansal : So, for the full year, we had about 23.5% growth in our overall revenues. Against this, both B2B and B2C segment had very similar growth rates, just a difference of probably 100 basis points or so. So while we had initially been thinking that B2B will grow much faster than B2C, but B2C growth also has materialized fairly well, which augurs well for the business because that anyway is 3/4 of the overall business.

In terms of ticket size, B2B tends to have about 10% to 15% higher ticket size versus B2C. So volume-wise, campaign-wise contribution of B2B would be around 22-odd percent or so.

Just Dial Limited
April 18, 2024

Page 6 of 17

Priyank Chheda : Got it. Just a last question on the workforce addition and you rightly mentioned '24 has been the year of productivity increase. So what are the key strategic interventions that are actually playing out as well as if you can help us some data points on to how much of the listings are being done by using tech, and there was a concept of JD self-serve, what is kind of a revenue that we are accruing from that also will be helpful.

Abhishek Bansal : Sure. So on workforce optimization, so to say, across sales and non-sales, I come to non-sales first. So in non-sales, a lot of work is being done with the use of tech. For example, in case of listings as well as their products and services, we no longer have to rely solely on our manpower to get us that particular content. A lot of content gets generated by a use of technology. For example, images for products or particular merchant might have simply given me a name of a product as a coffee machine. But via AI-generated content, I am able to directly generate those particular images and not relying on any manual task.

So similarly, we sell add-on products such as banners to our customers. So earlier, there was a team that used to coordinate with that particular customer to actually create those particular banners. But now part of the banner creation is automated using just the information we have about that business, we are able to create those banners in an automated manner. So several of these initiatives on non-sales front have enabled us to get better productivity with lesser workforce.

On the sales front, while we did significant hiring in last year and previous year, what we tried to do this year was that the bottom 10%, 20% of the workforce, if they were not yielding

desired output, we have tried to replace them with better leading talent, which is what is resulting us in this particular headcount reduction. And overall, my salary expenses also, for example, for last quarter were down about 3%, 4% on a year-on-year basis. So that is what has enabled us to be able to deliver top line growth with relatively lesser manpower. Having said that, we are keeping options open of adding, say, 4%, 5% workforce in the coming year because the fact is that in our country, SMEs still need a great amount of handholding. On your query around the self-serve model. So what we have done is that we have taken this particular self-serve model live wherein a customer can come and directly sign up for their particular campaign online itself. In the first phase, what this company is enabling us is, it is generating a lot of hot leads for our sales team to prospect. So the team that used to earlier do cold calling, versus that, they are now working on this particular hot leads data. And over time, this self-serve model will graduate into some percentage of customers converting online and so on. So while there is handholding that is still happening, but the good part is that all these initiatives of enabling self-serve, etcetera, are reducing my manpower dependency. Vivekanand

Subbaraman : Got it. Just on -- for my clarification. So we don't expect any significant price hikes coming up in FY'25 given the base where we are and given the mix that we will evolve going ahead, Am I correct?

Just Dial Limited
April 18, 2024

Page 7 of 17

Abhishek Bansal : No. So price hikes are a continuous process for us. Within price hikes also, there are two types of listings that we sell. One is the premium listings. In premium listings, price hikes are automatically taken on every monthly and quarterly basis, depending on how traffic is panning out in each of the key word geography combinations. So if a customer has signed up with me today, and I see that I'm delivering 15% higher inquiries to this customer, I pass on part of that 15% as price hike when the renewal is due.

The second is non-premium listings, where customer can pay whatever they want, subject to a certain floor price. That floor price, again, we take price hikes at a regular interval depending on how that particular geography is performing. So it's not that on a particular date, we take price hikes pan India, and we don't take subsequently for the rest of the year. That is not how it is. Overall target is that out of my 15%, 16% or whatever revenue growth materializes, half of it should materialize from volume growth and rest half of it from pricing increase.

Moderator: The next question is from the line of Swapnil Potdukhe from JM Financial. Please go ahead.

Swapnil Potdukhe : So I'd like to start with understanding which particular categories have you seen the additions are doing well, and if you can call out some categories, both in B2C as well as B2B.

Abhishek Bansal : So, Swapnil, category-wise, our revenue base is highly diversified. So no single category contributes more than 3% to 4% of the revenues. And in fact, if I just exclude the top 4, 5 broad categories, then it drops to category contribution being even less than 1%. So when there is this particular recovery, it is across the board. Two-thirds of the revenue is service-oriented revenue, categories such as pest-control services, spa salons, the entire healthcare pack, doctors, dentists, chemists, pathology labs, wedding-related categories such as caterers, banquet halls, and photographers.

So there is a broad growth across the spectrum. In a particular quarter, there could be seasonality for a certain category, et cetera, which might impact. But by and large, since revenue, as I said, is highly diversified. It's across categories.

Swapnil Potdukhe : Got it. And any particular reason that we are seeing good growth in the B2C businesses because what I understand is like prior to COVID, leave out the COVID period, but prior COVID, we used to see some pressures over there. But now we are seeing some bounce back over there. Is it just the fact that we are not seeing significant traction over the last 2, 3 years, during COVID and now some bit of it is coming back? Or is it like a sustainable thing you see the volume growth sustaining at a decent rate, especially in the B2C businesses.

Abhishek Bansal : So Swapnil, our assessment is that post COVID, SMEs have a far greater realization that they need to be present on an online platform such as Just Dial so that they can get discovered and they can get new comers. Every business needs new customers.

Second, the subscription fee that we charge is highly affordable. So the average ticket size of INR1,500 per month is, I mean, equivalent to probably a WiFi connection that, that SME might be opting to run their particular business. So I think the combination of these factors are

Just Dial Limited
April 18, 2024

Page 8 of 17

helping us have this particular growth. And hopefully, it will be sustained as we keep moving forward.

Swapnil Potdukhe : Okay. And in terms of employee rationalization that you did mention about rationalization happening in -- both in sal

es as well as in non-sales. But, how much more can we expect from here on? I mean -- or the current level is the bottom and here on you instead would have to increase your workforce?

Abhishek Bansal : So as I mentioned earlier, on a continuous basis, endeavor is to automate as many functions as possible, automate as many processes as possible, so that might continue to help us deliver with lesser workforce, but the important part is that in this entire process, I might be reducing my headcount, but I might still be hiring good quality talent.

So the key is not absolute number of headcount, but overall employee expenses. And as I mentioned, on sales, etcetera, we are keeping our options open to add some bit of manpower. That also is subject to productivity increases. So my geographies which are operating at a high productivity level could still be allowed to expand more workforce, but other locations will be expected to sort of improve their efficiencies first.

Swapnil Potdukhe : Got it. And last question is on your margins. So this quarter, we exited at 26% plus, which is very close to our pre-COVID levels of around 28 -point something, right? So how much more expansion should we factor in to the model wherein you will be okay with giving up on incremental margins and rather invest on growth. I mean how do you see from an expansion -- margin expansion perspective from the current levels vis-à-vis growth?

Abhishek Bansal : Okay. So the way we look at it is that versus top line growing anything above 7% to 8%, there is operating leverage that kicks in, in the system. My gross margin, which is my revenue less direct sales related costs, is about 54%, 55% or so. And my other expenses, I have been able to control them even flat on absolute terms.

So there is definitely scope for margins to expand further. But at the same time, we would take a cautious call that in case we need to step up our advertising, we would not be averse to do so because higher advertising will result in getting higher traffic, which will aid my monetization in subsequent quarters. So our first target was to hit a 25% kind of level. Now that we are above that particular level, we will see what portion of incremental margins should be deployed in advertising, which again would be in a calibrated manner and rest should flow in through P&L.

Swapnil Potdukhe : Is there any timeline in mind like when will you start your A&P spends or as of now, you're still yet to figure out?

Abhishek Bansal : So there is -- as I said, there isn't a specific time line on which we determine that, okay, now I need to deploy incremental margin on advertising, etcetera. For example, I would want my traffic to grow at least 12% to 15% on a year-on-year basis. If I organically see my traffic growing healthily, then which means that anyway, my customers are getting incremental

Just Dial Limited

April 18, 2024

Page 9 of 17

benefits. And I might continue at my current advertising levels, but if I think that I need to step it up, then we would do it at that point of time.

Majority of the advertising spend anyway is digital in nature at this point of time, which can be sort of -- you can start, stop, pause those particular spends at any point of time?

Swapnil Potdukhe : So just extrapolating that point, you mentioned that you would ideally want your traffic to grow 12%, 13% kind of number. But now if you see you're growing 7 -odd percent. Isn't it the right time to start investing? I mean, I'm just thinking aloud given that you mentioned those figures.

Abhishek Bansal : Yes, definitely. So internally, we are already looking at it. As we enter into summer months, traffic tends to have organic pickup itself. So we are very consciously evaluating what kind of advertising that we should do.

Moderator: The next question is from the line of Hemal, who is an investor. Please go ahead.

Hemal : Congratulat

ions for a good set of numbers. I just wanted to clarify 2 things. One, you said you're moving your investments of INR2,800 crores from short to long. Does that mean your duration which you guided like 3 years, is that going to go further higher up to 4 or 5 years?

Abhishek Bansal : Okay. Let me clarify on this. The INR2,800 crores that I mentioned in my opening remarks, that will automatically shift from short-term bucket to long-term bucket because that amount was deployed sometime in September 2021. So as we go into September, October 2024, it would have crossed a 3-year holding period.

We will not redeem those particular investments. just that accounting wise, as you crossed that particular 3-year holding period, you have to recognize cumulative taxes on long-term tax slabs, which are lesser than short-term tax slabs. So as a result, there will be a reversal of past tax provisions that have been done.

Hemal : So the effective tax rate in the ballpark would be less than 20% this time around FY'25 ?

Abhishek Bansal : FY'25 could be even close to or less than 10% overall.

Hemal : The effective tax rate.

Abhishek Bansal : Effective tax rate, so just to give some understanding there. So my deferred tax liability is about INR110 crores as on year-end. And against those INR110 crores deferred tax liabilities, there will be a reversal of about INR45 crores, INR50 crores for next year. So there will be INR50 crores negative tax provisioning in next year, which is what will bring down my overall effective tax rate.

Hemal : My second question is any update on what's happening with Jio or Reliance, any integration news that you can share?

Just Dial Limited

April 18, 2024

Page 10 of 17

Abhishek Bansal : So there are works in progress. So if you see on our app, some of their platforms are already integrated. The vice versa integrations wherein our particular platforms are listed on MyJio, etcetera. They are also work in progress. Having said that, at this point of time, one might say that this progress has been relatively slower, but that is because that we don't expect or we are not building in meaningful traffic contribution from these sources at this point of time because anyway, a good chunk of 3/4 of the traffic originates from third-party search platform.

Hemal : No. Why I was asking is that what is the strategic like -- I'm sure you've thought of it is when you're integrating or doing these activities, what is the opportunity size for you as Just Dial doing these activities? Is there a potential revenue 2, 3 year when 1 year out? Is there any thought that you can share? Or is it just figuring it out and testing the waters?

Abhishek Bansal : There is a concrete thought process. I'll give one particular example where we are working. For example, we are working closely with the JioAds team. So, the idea is that for our properties such as IPL, where advertising is mostly by corporates and can we actually make that advertising become hyper local in nature? Because a lot of users are consuming content on their mobile devices. And on mobile devices, you exactly know the location of that particular user.

So if a particular business wants to advertise in areas such as Malad West and Gorgon West, they can possibly do it. And since Just Dial has existing relationships with these SMEs, Just Dial can be the platform, which can actually get these particular SMEs to advertise on these channels. And obviously, there will be revenue sharing, etcetera, on these initiatives.

So there are thoughts in pipeline, but our endeavor has been to get our core business back on a steady state path and at the same time, explore these adjacencies.

Hemal : My absolute final question is that you -- we keep on mentioning that like -- so we spent INR25 crores in advertising, I guess, approximately around that this year, in this financial year. What is the -- like so when you increase

that advertising budget, from your past experiences, is that a linear relationship to how much it can contribute in the future to your active listings and then to your campaigns? Is that -- any linear models out there or is it just a hypothesis?

Abhishek Bansal : So good question. I would say that there tends to be a benefit with the lag. For example, when I advertise today, I end up getting more traffic. When I get more traffic, my existing customers benefit. When their renewals are due, they are more amenable to giving me price hikes. At the same time, better word of mouth enables me to sign up newer customers. So it is difficult to say that if I step up my advertising 20%, 50%, then 6 months down the line, I will have x percent extra revenue or listings, etcetera. But by and large, the business is that you get more traffic, which will result into better monetization, which will obviously result into better profitability in future.

Moderator: The next question is from the line of Sudharsan Nachimuthu from Prosperity Wealth Management. Please go ahead.

Just Dial Limited

April 18, 2024

Page 11 of 17

Sudharsan Nachimuthu : So my question is on your churn rate actually. So can you give a breakup of churn rate between B2C and B2B?

Abhishek Bansal : So Sudharsan, we do not specifically segregate churn rate between B2B and B2C. Having said that, in the past over a longer time period, our 1-year retention rates have been typically about 55-odd percent or so. And there are obviously reasons for the rest 45%. One, there is part churn due to natural attrition or natural shutdown of businesses.

Second, in our case, if a customer has decided to stop their campaign, doesn't mean that they have churned out for life, they might come back into the paid ecosystem 1 quarter, 2 quarters, 1 year later as well.

The good thing that we have done now over the last couple of years is we are selling more campaigns on monthly plan basis. What happens in a monthly plan basis, the campaign is

highly affordable. The person is not evaluating on a day -to-day basis that for the INR 20,000, INR25,000 investment that they have done, what is the outcome they are getting. Whereas if they are spending just INR2,000 a month, that is helping us retain customers much better. So current retention rates versus our long -term history are 3 to 4 percentage points better. Sudharsan Nachimuthu : And coming to my next question, so during your pre -COVID levels on a base of 29.5 million listings, you had a revenue of INR950 crores and paid campaign of 530,000 paid campaigns. Compared to the current rate that 43 million listing, your revenue, is that your pre -COVID levels and your paid campaigns are a bit better than your pre -COVID levels? So you've increased your listings, but you haven't ramped up your advertising spends to take in the inorganic traffic to match those listings. So could you please guide on what is going to be the future trajectory of your ad expenses? And will this revenue to your listings ratio go up in coming quarters?

Abhishek Bansal : See, on listing additions, yes, we have had very strong listings additions over last couple of years, and that has been aided by a use of a lot of technology and online data availability from various platforms plus we have also done certain tie -ups with certain governments. All that is enabling us to augment our listing database in a very fast and efficient manner.

Having said that, on advertising, long term, we would think that this business definitely needs 5% to 6% of top line going into advertising on a sustainable basis? And as I mentioned earlier, that this is how traffic growth is panning out, we would accordingly calibrate our advertising.

Sudharsan Nachimuthu : Okay, sir. And during your previous calls, you mentioned once you hit the 25% margins mark, you might consider deploy in the incremental margins into advertisement. So, I believe you

have increased that target to 26%, 27%, if I'm not wrong, as of this morning. And what was the reason for it?

Abhishek Bansal : Okay. So couple of quarters back, we were communicating that we are targeting to end the year or exit the year with, say, 25% kind of margin levels. Now definitely, we have done better both on top line as well as cost controls, which has enabled us to deliver 26% EBITDA

Just Dial Limited

April 18, 2024

Page 12 of 17

margins. Now this 26% EBITDA margin is coming with only about INR 21 crores of annual advertising. I have optimized a lot on my advertising as well.

So for fiscal '25, while there is ample room for margins to grow solely because there is good operating leverage that exists in a business, part of that incremental margins can be deployed in advertising. So there could be a scenario where advertising has stepped up, still there is margin expansion taking place.

Moderator: The next question is from the line of Lavanya Tottala from UBS. Please go ahead.

Lavanya Tottala : Abhishek, congratulations on a good set of numbers. So I just joined a bit late. I just wanted to check if you have commented on existing cash and plan on how to use it?

Abhishek Bansal : So Lavanya, the cash balance of INR4,625 crores, so right now, and is yielding 7.2% pre -tax for us. And at this point of time, there is no concrete decision on either deployment or distribution of this cash. So as and when we have clarity, we will accordingly communicate.

Lavanya Tottala : Got it. Just overall the valuations are also more or less back to the levels the money has been raised. So that was the reason I was checking if you would look at planning any utilization of this cash in the near term.

Abhishek Bansal : Yes. So as I've said, either deployment or distribution, both options are open. So far, focus has been to get the core business back on a steady state growth part. So sooner than later, we would be sort of -- once we hear from the Board on this, then accordingly, we will communicate.

Lavanya Tottala : Got it. So just on the tax thing, which you have commented earlier, for FY'25, it will be over at 10%, but FY'26, we should be back to the normalized levels, right?

Abhishek Bansal : Yes, we should be back to normalized level, and that normalized level should be determined basis my core operating income getting taxed at almost full tax rate of about 25 -odd percent and majority of my treasury income getting taxed at 11%, 12% tax rate that gets taxed at 20% with indexation. But the incremental cash flows that we are getting and which we are deploying, there it is, again, our corporate tax rate. So our assessment just as a ballpark number, it could be around 18%, 19% beyond FY '25.

Lavanya Tottala : Got it. So just one more question, if I may. So on B2B, which you mentioned that the growth has been slower than expected. Any specific reasons why it was slower than expected?

Abhishek Bansal : No. I mentioned that B2C has been stronger than expected. So not that B2B has been lower. But while we're thinking that B2B itself will become one-third of our revenues by now or in another one year or so, but since B2C has seen strong recovery, that is the reason that the B2B share is still about 26%.

Lavanya Tottala : Okay. Do you see this now that we have almost the base is normalized, do you see the B2B contribution increasing in the upcoming year FY'25?

Page 13 of 17

Abhishek Bansal : B2B contribution could possibly increase going forward. But now the B2B monetization happens via 2 teams. One, there is a dedicated team that solely works on B2B. Second, my existing feet on street, which works on B2C data primarily. They also tend to monetize some of the B2B listings. For example, if I have a feet on street in Kalbadevi, that person might actually walk into a wholesale store and convert them because the prin

ciple of monetization

remains the same. So from that particular perspective, yes, B2B should have higher, but we are not that obsessed with how much growth from B2B versus B2C. The bigger objective is that the overall revenue growth target should be achieved.

Moderator: The next question is from the line of Sonal Minhas from Prescient Capital. Please go ahead.

Sonal Minhas : Sir, I was looking at the active paid campaigns have shown a healthy growth in this quarter. But when we compare this to last 2 to 3 quarters, the trend was kind of flattish. So just trying to understand subjectively that if I were to understand this from an outside perspective, is there just being in the last quarter of the year, is there overbooking? Is there some targets which basically need to be made because of which this is -- there is a bump up here. And the subsequent quarters thereafter, basically, the numbers would be kind of lesser in terms of growth compared to what we see now. So just trying to understand this .

Abhishek Bansal : Sure. On paid campaigns, the way we look at it is that we target a certain growth rate on a full year basis and there could be quarterly fluctuations. For example, last quarter, we had only 6,000, 7,000 net paid campaign additions, which we had explained that partly it was due to impact of festival weeks and the fourth quarter tends to be a seasonally strong quarter. So there could be a possibility that the subsequent quarter may or may not have the exact same level of campaign additions. So it should be looked at, at least on an annual basis rather than just on a sequential trajectory?

Sonal Minhas : Got it. Okay. My second question, more subjective inputs in terms of KPIs you have as a company, as a team for FY'25 on the operational side, one which you mentioned was traffic growth, but are there like some 2, 3 operating parameters which you want to work on, which are nonfinancial, but more on the operational side, whether it is traffic, whether it is the amount of data enrichment on the app , if you could share that, that will just help to add some color to the numbers.

Abhishek Bansal : So definitely, the -- apart from monetization, the 2 key functions, 1 is product tech, second content traffic. Every single function has their specific KPIs. For example, on the content side, one is addition of listings. Second is content in those listings in terms of products and services.

So we are in the process of creating service catalogs for categories such as spas, gyms, coaching institutes, et cetera, then similarly, on the traffic side, we segregate it into organic growth versus inorganic growth. And that is how KPIs are defined, nonfinancial ones.

Sonal Minhas : So, are there some big product launches or something feature launches which you are planning in FY'25 just on top of what you have?

Abhishek Bansal : So on the core business, there are continuous improvements on the content side. As I said, that service catalogs are key that we are working on, two-thirds revenue comes from service -

Page 14 of 17

oriented categories, so if I can actually tell you that in a particular gym, what are the various membership lines out there that will enrich my data much more.

At the same time, we are working on enhancing tools for SMEs as well. So while there is a lead management system that we have, we are enhancing its capabilities such that a merchant can even manage their third-party or any other platform leads through our particular module itself. They could sort of do all that at one place. So the idea is for the core business, improve features that will get better user engagement, at the same time, improve our customer experience on our platform.

Moderator: The next question is from the line of Abhishek Banerjee from ICICI. Please go ahead.

Abhishek Banerjee : Congratulations on a great set of numbers. Abhishek, just a cou

ple of questions. First, have

you shared the proportion of annual vis-à-vis monthly subscriptions in this quarter?

Abhishek Bansal : So, in this particular quarter, it was about 40% monthly in nature and about 60% -- sorry, 40% upfront in nature and 60% monthly in nature.

Abhishek Banerjee : Okay. So if -- on an annualized basis, what would be the right kind of number to think about?

Abhishek Bansal : So one way to look at it is my overall active paid campaigns that I'm having at this point of time, out of those, so 56%, 57% are on monthly plans right now.

Abhisek Banerjee : Okay. Got it. And you were saying that your churn has come down to about 40% levels, right?

Abhishek Bansal : Yes. It has reduced by 3 to 4 percentage points.

Abhisek Banerjee : But isn't that a little counterintuitive as you're giving your customers more opportunities to exit, right? Given it's a monthly subscription. And yet you are seeing the churn numbers actually go down. I mean how are you reconciling that bit?

Abhishek Bansal : So the monthly plans are perpetual in nature. So they auto renew at the end of the year. So it's like SIP. Once we have set it, that keeps continuing.

Abhisek Banerjee : Got it. So basically, it is a proper subscription model for maybe an iTunes or something where people might not be as focused on.

Abhishek Bansal : Yes. So you have taken our Netflix subscription. There might be months you might not have watched even a single content. But till the time, broadly, you think that, yes, this particular subscription adds value to me, you let your INR2,000 a month continue.

Abhisek Banerjee : That's interesting. Second question is with regards to your churn in employees. So correct me if I'm wrong, Abhishek, but what -- from whatever I've understood is that there is a learning curve involved when you hire new people, right? So given that you are already talking about maybe 5% kind of additions next year, what was the rationale in allowing so many people to churn out, wouldn't be cheaper to maybe retain these people given they were trained and all. So if you could give some clarity on that.

Just Dial Limited

April 18, 2024

Page 15 of 17

Abhishek Bansal : Okay. So the point that you mentioned that there is a time factor involved in actually training the employee, making it productive, part of the reason there is also the quality of data that -- or the assignments that the salesperson works on. So earlier, there was a team that used to work on cold calling SMEs and trying to convince them to become paid subscribers. But now through various sources, I get much more hot data or hot leads. So I get those particular leads where customer has shown some inclination to be associated with Just Dial.

As a result, the time taken to ramp up has come down substantially for this entry level team.

Long term, the idea is that in-house sales team should work as much as possible on upgrading existing customers, doing renewals, et cetera. And for fresh acquisitions, it should happen via hot data or any self-serve model, et cetera.

Abhisek Banerjee : Got it. But in terms of new acquisitions, I understand that signing them up is one thing, getting the go-ahead is one thing. But there is also a process of KYC and all of that involved in it. Some paperwork has to be involved. So would you not really need more people to do that part of the business?

Abhishek Bansal : Okay. So a lot of KYC again, has been automated. There are e-KYC mediums that are being adopted today. So once a customer has come into the ecosystem, we send them a link where they have an option of uploading their particular various KYC-related documents. There is definitely a need of handholding to be done for SMEs. And that is why I mentioned earlier that if there is an appropriate need, we are okay adding more manpower. It's not that we don't want to add at all.

The idea is that, that particular manpower should

become productive as soon as possible. And

we should do additions only in geographies which are above our certain benchmark of productivity level.

Abhisek Banerjee : Got it. So that point, I didn't note. And in terms of the growth rates that one should be kind of building out here on, right? So there has been some lowering of the revenue trajectory. Do you think that probably a 15% to 16% kind of a revenue growth rate is a more -- it's a better benchmark to judge you against vis-à-vis our 20% kind of a revenue growth trajectory? Or should we think maybe probably 12% to 15% would be a better benchmark?

Abhishek Bansal : So Abhisek, beyond a certain point, right? It is very difficult for even us to be able to forecast whether I can do 12% to 15% or can it be 18% to 20%. We assess it on a quarter-by-quarter basis, basis. This is how ecosystem is currently for SMEs. We think that 15% plus is what if we are able to do in a very cost-effective manner, it could still enable me to grow my EBITDA by 30% plus.

So the idea is that rather than just chasing top line, decent or healthy top line growth with even healthier growth in profits is what the aim is.

Abhisek Banerjee : Got it. But you mentioned -- you actually mentioned that unless and until you are growing at 8% or 9% revenue, there is some leverage efficiencies of scale, which will help you expand margins, right? Now from what I understand about 34%, 35% is kind of the max in terms of

Just Dial Limited

April 18, 2024

Page 16 of 17

EBITDA margin that your business is willing to show -- I mean, companies in your business is

willing to show. So does that mean that from here on, maybe 20 bps will go into advertising because there also, there seems to be some need of bringing back more traffic into your platform ?

Abhishek Bansal : See, today, we are standing at 26.1%, right? And my last full year margin was 20.8%. So if I do 25% theoretically for full year, I would still have on a full year basis, 400 basis point annual margin accretion. So we would take it quarter-by-quarter. Let us see how things pan out. Once I cross 30% or the numbers that you mentioned, 34%, 35%, we will assess what to do with the incremental margins there?

Moderator: Ladies and gentlemen, due to time constraints, the last question is from the line of Saumil Shah from Paris Investments. Please go ahead.

Saumil Shah : Congrats on a very good set of numbers. My question is on our active paid campaigns. I mean how much can we grow for the coming quarter or the coming financial year? Because -- I mean March quarter is always a stronger quarter. So can we see a dip in June quarter and again, we can grow in the next quarters or it would be a linear growth?

Abhishek Bansal : So Saumil, as I mentioned earlier also, it will definitely not be a linear growth. Our endeavor is to grow campaigns by 8% to 9% on overall annual basis. Now that increase could materialize partly in first half, rest again in second half. So that variation -- quarter wise variations could be there.

Saumil Shah : Okay. And Abhishek, in last conference call, you mentioned that if we compare with global peers like Google, our debt and breadth of our results on Just Dial will be much superior. So for example, if we search a laptop retail shop in Malad, this is the example of what you gave, the number of choices we have will be much superior, but now when I search -- then the first 2 options come is Lamington Road and then Borivali, then Vashi and then Malad.

So I just wanted to understand that if I'm searching something in Malad West, first option should be Malad and later other locations, so how does this work? Is it that the paid advertisers come first, irrespective of nearby locations? I mean, I just wanted to understand.

Abhishek Bansal : Okay. So the way it works is that in case of categories where merchant is willing to come to your doorstep to render the services, there

might be a far off merchant also that might show up.

Ultimately, if you are searching for, say, packers and movers, you don't care whether the merchant is located 10 kilometers away or 1 kilometer away.

So the merchants have an option to specify which geographies they want to advertise and that is how they actually show up. So if you call one of those particular merchants, likely they will agree to come to your doorstep and render the desired service.

Saumil Shah : Okay. So basically, the paid advertisers come first, if my understanding is correct.

Abhishek Bansal : Yes. Definitely, paid advertisers come first, but not compromising user experience. So if you're searching for a category such as chemists or restaurants, there is -- we will definitely show the Just Dial Limited

April 18, 2024

Page 17 of 17

nearby paid customers. In case I don't have them, then I might show even the non-paid results from that particular area.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the question-and-answer session. I would now like to hand the conference over to Mr. Abhishek Bansal for closing comments.

Abhishek Bansal : Thank you, everyone, for joining us. In case you have any further queries, please do reach out to us. We would do our best to address. That's it from our side. Thank you.

Moderator: Thank you. On behalf of Just Dial Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2024

July 22, 2024

To
BSE Limited
Department of Corporate
Services
Listing Department
P J Tower, Dalal Street,
Mumbai - 400001
Scrip Code: 535648 National Stock Exchange of
India Limited
Listing Department
Exchange Plaza, Plot no. C/1,
G Block, Bandra -Kurla Complex,
Bandra (East), Mumbai - 400051
Scrip Symbol: JUSTDIAL Metropolitan Stock Exchange
of India Limited
205(A), 2nd Floor,
Piramal Agastya Corporate Park,
L.B.S Road, Kurla (West),
Mumbai - 400070
Scrip Symbol: JUSTDIAL

Dear Sir/Madam,

Sub.: Transcript of Earnings Call on Financial Results for the quarter ended
June 30, 2024

In continuation of our letters dated July 10, 2024 and July 17, 2024 and pursuant to
Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, we are enclosing herewith the transcript of the Earnings Call held on
Wednesday, July 17, 2024, at 6:00 p.m. for discussing operational and financial performance
of the Company in the quarter ended June 30, 2024 and the same is available on the
Company's website at <https://www.justdial.com/cms/investor-relations/earnings-call-transcripts>

The earnings call concluded at 7:02 p.m. on July 17, 2024.

We request you to take the above on record.

Thanking You,

Yours truly,

For Just Dial Limited

Manan Udani
Company Secretary

Encl: as above

Page 1 of 17

"Just Dial Limited
Q1 FY '25 Earnings Conference Call"
July 17, 2024

MANAGEMENT : MR. VSS MANI – MD & CEO

MR. ABHISHEK BANSAL – CFO

Just Dial Limited
July 17, 2024

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to the Just Dial Limited Q1 FY '25 Earnings Call. At this moment, all participants are in the listen-only mode. Later, we will conduct the question-and-answer session. At that time, you may click on the raise hand icon to ask a live question. Please note that this conference is being recorded

We are joined by Mr. V. S. S. Mani, MD and CEO and Mr. Abhishek Bansal, CFO, from the management of Just Dial Limited. I now hand the conference over to Mr. Abhishek Bansal, CFO, Just Dial Limited. Thank you, and over to you.

Abhishek Bansal: Thank you, moderator. Hi, everyone. Welcome to Just Dial's Earnings Call for First Quarter of Fiscal '25. Our operating revenue for the quarter stood at INR280.6 crores, witnessing 13.6% year-on-year growth and 3.8% on sequential basis. In terms of margins, we had a very healthy 28.7% EBITDA margin for the quarter, which represented 260 basis point sequential improvement and about 13.9 percentage points on year-on-year basis. Absolute EBITDA at INR80.6 crores more than doubled year-on-year and grew 14.2% on a sequential basis. Our total employee head count now stands at about 13,112 employees, with a 2.2% sequential increase. Overall, in last few quarters, we have focused on improving employee productivity across both sales and non-sales functions, which has helped us reduce our employee expenses by 5.3% on year-on-year basis, from about INR183 crores in June quarter last year to INR173 crores this quarter.

Our other expenses continue to be tightly controlled with about 2.5% year-on-year decline, led by optimization in our communication expenses. Advertising spends stood at about INR5.8 crores for the quarter. Overall benefits of operating leverage which inherently exists in our business, coupled with cost controls, has helped in sequential margin improvement now for last several quarters.

Operating PBT stood at INR67 crores, growing 171.4% year-on-year since last year same time. Margins were relatively suppressed and were recovering. Notably, operating PBT grew 19.6% on even sequential basis.

Other income stood at a normalized level of INR86.9 crores for the quarter. There can be some fluctuations quarter-wise basis how bond yields move in that respective quarter. But broadly, our treasuries embedded yield to maturity is around 7.2%.

Profit before taxes stood at INR153.9 crores, growing 45% year-on-year. Effective tax rate stood at 8.2%, which is lower in this fiscal due to reversal of deferred tax on part of our treasury, which is moving from short-term to long-term bucket in fiscal '25. So about INR2,900 crores is completing 3-year plus holding period in FY '25, which is resulting in this reversal.

Profit after taxes stood at INR141.2 crores, growing 69.3% year-on-year. Deferred revenue stood at about INR500 crores, growing 11.1% year-on-year. Active Paid Campaigns at the end of the quarter stood at 591,600 -odd, which was up about 8% year-on-year. Average

Just Dial Limited
July 17, 2024

Page 3 of 17

realizations have grown about 5.7% on a year-on-year basis. Overall, cash and investments stand at about INR4,755 crores as on quarter end, growing 14.3% year-on-year.

Coming to traffic trends - Traffic trends have been quite healthy. We had about 10 million unique users addition during the quarter, resulting in overall 181.3 million quarterly unique visitors. Even for current ongoing quarter as well, our traffic growth is holding up well so far, though it usually tends to moderate a bit post stronger summer months. So that's an encouraging trend overall.

Total listings now stand at 44.9 million, growing 18% plus year-on-year. Overall, as we look at the quarter, it was a very healthy quarter with topline growth coupled with good margins. Our productivity enhancement initiatives have been helping u

s massively. Traffic is now 180 million-plus users. So as we have been highlighting for some time now, focus continues to be

on core business delivering steady growth in both top line as well as bottom line.

With this brief update, we shall now open the floor for questions and other discussions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from Vivekanand Subbaraman from Ambit Private Limited. Please go ahead.

Vivekanand S.: A couple of questions. So first of all, can you talk to us about the revenue and campaign split in top 11 cities versus rest of India? That's one. Secondly, I see that the collections growth trajectory has been moderating for the last several quarters. Abhishek, any thoughts here on why collections growth was only 5.4% year-on-year this quarter?

And how to think about collections growth in subsequent years? Do you also maintain a split of collections across top 11 and non-top 11? If that is the case, then do give some thoughts there as well? Thank you.

Abhishek Bansal: Hi, Vivek. So on your first query around the revenue and campaign split. So Tier 1 cities, the top 11, contributed about 58% to our revenues and about 40% to Campaigns. This split has not materially changed compared to last quarter. So that's the revenue and Campaign split.

Coming to your query around collections. So you are right that this particular quarter, a couple of things, one, our April, May months were a bit slower, which is what led to some impact on collections. It partly also had some bit of impact due to prolonged elections period that we had. But the good part is that June month has seen very strong recovery. So June collections were about INR97-INR98 crores for the month alone. So that, if you look at on a quarterly basis, comes to about, whatever, INR290 crores, INR295 crores odd.

So overall, the way we look at it, is that, collection should be looked at overall 3, 4-quarter trend. There can be certain quarterly fluctuations. So I think with the sequential recovery that we have seen in recent months and how traffic trends are shaping up, which is sequentially 10 million user addition. Ultimately, traffic tends to lead our monetization.

Just Dial Limited

July 17, 2024

Page 4 of 17

So with that, I think collections should also catch up. And as we are seeing deferred anyway has about 11% plus growth. So I'm not that worried about just one quarter specific collection growth numbers, it should be looked at a more relatively longer period.

Vivekanand S.: Okay. Understood. And Abhishek, extending this point a bit further, top 11 versus rest of the country. Even now your top 11 rather markets, other than the top 11 cities, they are growing at a much faster pace than top 11 markets. Is that trend visible in collections also, the divergence in revenue growth that you see right now between top 11 and rest of India? Is that trend similar in collections also or is there any sort of convergence?

And second related point, you have been highlighting that Campaign realizations in rest of India should catch up to top 11 realizations. And it's now almost at around 50%, right? So will this number go up even further in the quarters to come? Thank you.

Abhishek Bansal: So Vivek, what we accrue as revenue in this quarter is largely coming from what we collected from our customers in the past few quarters, right? So ultimately, my revenue trends are a reflection of what my collection trends in the past have been. So the way our particular Campaigns and revenue split is, it would be something similar for collections as well. Just that due to time lag between accrual and collecting money, there could be minor variations.

Coming to your query on non-top 11 realizations as percentage of top 11, the good part is, yes, they are now at about 48%-49% of my Tier 1 realization.

And

this number just one year ago was 45%. And if I go 2-3 years back, it was just 40%-42%.

So, Tier 2-3 cities, as I have mentioned that even now, I am only at about INR1,100 odd per campaign per month, which is very cheap. And even in Tier 1, my realizations, I'd say INR2,200-INR2,300 a month. We do think that definitely Tier 2-3 can over long run catch up with Tier 1. And Tier 1 obviously should grow basis how traffic trends pan out in those geographies.

Vivekanand S.: Okay, understood. Thank you and all the best.

Moderator: Thank you. We have a next question from Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Hello. Hi, Abhishek. Just a question. I just have one question with a very broader thought, if you can answer? What would be the Board of Directors thought process when it comes to

A. utilization of cash on the balance sheet, which is diluting the return ratios. Now, it has been more than 10-15 quarters minority shareholders keep asking you on this call for a better utilization of this huge cash pile that we have.

B. apart from the cash pile that we have generated organically, the promoters did infuse INR2,000 crores during 2021, which also remains unutilized. So any thought process, what was the broader thoughts while infusing this cash capital and what has not played out? And

C. given the annuity model, what should we think when it comes to redeployment or reinvestment of this INR250 crores cash flow that we are generating every year?

Just Dial Limited

July 17, 2024

Page 5 of 17

So sort of broader three aspects, which is first on the cash that we have organically generated, a utilization of that, the promoter infusion utilization of that and the reinvestment of the forward cash flows that we would be doing it. Thank you.

Abhishek Bansal: So Priyank, your query is primarily on deployment and distribution of existing cash. So as you rightly mentioned, we are in a situation where we have about INR4,750 crores cash on our books. And the core business itself is in a healthy state to generate another, including our treasury gains, say 500-550 or even higher profits on a year-on-year basis.

So, at this point of time, we are having internal discussions on possibly having a healthy dividend policy. We are already discussing internally along with the Board as well. So as soon as we have crystallized our capital distribution policy, we would adequately communicate. So our endeavor would be that at least 100% of the annual profits should be sort of distributed or even higher amount in a manner which is tax-efficient for all shareholders combined.

Priyank Chheda: Perfect. And a second question is again to the follow-up on the previous participant on the pricing part. You did mention Tier 2 is yet to catch up. Any thoughts on what has been the pricing mixed growth within the Tier plans in the top 11 cities, top 11 towns? And what should be the optimal price structures that we should think on a blended basis, of course, not on Tier 1 and Tier 2 on a separate, but on a blended basis, what should be the steady state pricing structure that we should think in the near term or maybe in a year or two that Just Dial would be operating at? Thank you.

Abhishek Bansal: See, so currently my monthly revenue per campaign on a blended basis is about INR1580 per campaign per month. So as I stated in the past as well, this particular price point is very much similar to a healthy Wi-Fi connection that any particular business owner would possibly take to run their particular business. So from that perspective, I find that this particular amount is very affordable.

So I don't think we would be able to define any particular specific level of pricing which would be steady state. The high affordability helps us to possibly be able to justify a particular SME coming in at various entry level price points. And in Tier 2, Tier

3, also it is just INR1,100 on

a monthly blended basis and definitely it should keep going up to INR1,500, INR1,600 or even higher ultimately coming closer to Tier 1 levels. In terms of growth in Tier 2, Tier 3, pricing growth in Tier 2, Tier 3 obviously has been higher. So versus blended 5.7%, Tier 2, Tier 3 are at 10% plus year on year.

Priyank Chheda: Perfect. And if you can broadly elaborate on the new initiatives which are the core focus ones, we have been into multiple new initiatives, be it experts or be it other B2B campaigns. Any specific area which we have been piloting and which we think requires now a clear sharp attention focus which becomes also a growth driver. And broadly if you can also elaborate on the integration benefits or maybe anything that we have to share on the business development part of the Jio site?

Abhishek Bansal: Sure. So firstly coming to all our new initiatives are through core business growth initiatives.

So we are very clear that ultimately what matters is healthy growth and free cash flows for the

Just Dial Limited

July 17, 2024

Page 6 of 17

business which will come via more value delivery to our particular SMEs, as well as users.

So 2-3 key areas where we are focusing on right now is on the core business side, clearly is content enrichment, new features to sort of showcase that content. Just as an example, catalogs for service oriented businesses. So 2/3 of our revenue comes from service oriented categories.

So for example, for wedding photographer, I want to be able to showcase that photographer's portfolio on my particular platform so that it aids the user's decision making.

Second key focus is on SME side as well. Now on SME side, for me to be able to get that particular SME to pay a higher ticket size, one is quantity of leads, second is also quality of leads.

So we are doing everything possible to be able to give them user friendly tools so that they can manage their campaigns better, they can use their time well in managing the leads that they get through our platforms.

And apart from this, to aid our sales team in monetization, we are working on several avenues to generate hot leads for them. So till sometime back we had a huge sales team which used to do cold calling in tele-sales. Now at this point of time we have almost sort of eliminated that cold calling team and the same team is now working on hot leads or data of those SMEs which

have shown some interest to engage in our particular paid subscriptions. So these particular measures are the ones which are enabling us to operate in a cost effective manner and grow our monetization as well.

Coming to your query around integration, so we are working closely with Jio teams especially on telecom services. So for example, we have significant usage of messaging services to cater to both users as well as SMEs. So with Jio, we are already sort of having a good chunk of messaging services being routed via them.

Then we are working for our internet connectivity related initiatives as well. So overall through their telecom services, that helps us a lot in much better service, dealing with one service provider instead of multiple and even lower costs. And apart from that, wherever within the group we can have opportunities of cross-selling where either cross-selling directly or lead generation happens for our products or their products that are being worked upon.

Priyank Chheda: Perfect. Thank you for answering all the questions. Thank you.

Moderator: Thank you. We have our next question from Vijit Jain from Citigroup. Please go ahead.

Vijit Jain : Abhishek , a couple of questions. Just on your response to the previous question, and I know earlier in your commentary, you also mentioned that controlled communication costs were part of the lower Y-o-Y costs and other expenses. So is that the same thing where you're talking about your partnering with

with Jio on telecom services, there are some efficiencies in services you're reeling from them? Is that what it was alluding to? That is my first question.

Just Dial Limited

July 17, 2024

Page 7 of 17

Abhishek Bansal : Yes. So part of our communication costs have been brought down by our better pricing that we have been able to engage with our telecom service providers. So yes, part of the savings are due to group-related synergies as well.

Vijit Jain : Got it. Thanks, Abhishek . And could you give a sense of -- in the unique visitors growth number, which is about 6% Y-o-Y this year and plus 10 million Q-o-Q, could we get a sense of what the traffic growth trend is in the top 11 cities versus outside those 11 cities?

Abhishek Bansal : So Vijit, honestly, I don't have the growth number handy that way. But broadly, about 60%, 61% of the traffic comes in Tier 2, Tier 3 cities, about 40% of the traffic comes in Tier 1 cities.

And I presume growth rates should not be that materially different in both.

Vijit Jain : Okay. And my next question is, you've obviously kept the ad spend pretty reined in for some time now , materially lower than where it used to be earlier. I know earlier there used to be spends on TV ads and those kinds of things as well. I'm just wondering, are there areas -- are there search words or other areas where you could probably spend on CPAs to kind of see good -quality traffic coming to your platform? Or do you think traffic growth will not necessarily come from buying ads on Google or any other such platforms?

Abhishek Bansal : So Vijit, as far as our advertising spend or traffic strategy is concerned, what we have found is that digital works best for us. And apart from traffic -- buying traffic via, say, digital ads, a lot of work goes towards SEO as well. So in the last couple of years, one content enrichment has helped us significantly. Second, optimization of the platform in terms of site speed, user experience, etcetera, has helped us greatly to grow our traffic.

So our current healthy levels of margins give us adequate cushions to advertise both to ramp up our advertising on digital front and even to do brand advertising. So we have recently been working on certain advertisements to cater to both users and merchants. So whatever advertising is needed, one, to grow our 180 million user base number, second, to assist our sales teams for their monetization, those will be adequately done.

Vijit Jain : Got it. Abhishek, I guess my question is, I'm sure there are categories in micro markets, micro -geographies, etcetera, where you probably can see that more of the traffic goes to -- not your website, but someone else , and do you compete for that kind of traffic with these performance marketing initiatives? Is that what you're saying? Or do you think that all the content enrichment activity already gives you decent enough traffic boost through SEO and stuff like that? Is that interpretation right? I guess my question -- the broader question is, in the kind of traffic that you want, do you have a measure or a sense of whether you are losing some traffic to websites which are perhaps paying for it?

Abhishek Bansal : Right. So actually, it's a very relevant question. Just to give you some flavor, see, two years back, the INR5 crores , INR6 crores or whatever crores that I was spending on a quarterly basis, the flavor of that is very different from what I have today, simply because in advertising, you can simply run a cost per click or cost per impression -based campaign. You will end up getting a lot of traffic. But how much of that traffic is adding value to your customers, no one knows.

Just Dial Limited

July 17, 2024

What we have done in last four to six quarters is whatever spends that we are doing, those are highly optimized towards our top revenue -generating categories. At the same time, we do not insanely

go after traffic to buy it at any cost if we find that my monetization is not adequate, then I don't obviously splurge on acquiring that traffic. So this 181 million user number, if I were running similar campaigns what I was running two years ago, would have been even 185, 190 plus as well. But consciously, our advertising spends are channelized towards more quality of traffic rather than quantity of traffic.

Vijit Jain : Got it. And so in conjunction with that, one should expect -- I know last time you mentioned that you believe growth over time should come from -- almost equally from both campaign growth and realization growth. So I suppose the quality of traffic improving should mean your realization growth should continue to improve, even if you start to get a little bit more growth from the Tier 2, Tier 3 towns?

Abhishek Bansal : Right. So we do maintain -- internally, our endeavor is that half of the growth should come via volumes and half from pricing, because that particular balance is quite necessary. So ad campaigns are not specifically targeted that, okay, we want monetization growth to come from this aspect, because it's difficult to correlate one-on-one. I advertise -- I optimize my SEO efforts, I get more traffic. Over time, people realize that they get better value for the money that they invest with us. And that makes them pay more, and that also makes more advertisers come to the platform. So a combination of both volumes and pricing is what is ideal for growth.

Vijit Jain : Got it. I guess my last way of -- I guess understanding this better for me, you feel that the amount of advertising you're currently doing is the right level of advertising for the ROAs you want to get from those advertising spends, and it probably cannot go up further without hurting your ROAs. Is that how I should look at it that if you could spend more, but it wouldn't give you the good quality traffic in any case, and so you wouldn't spend more?

Abhishek Bansal : No, it will definitely. So I think what we are saying is that our particular business needs are sustained level of advertising. If I were to suddenly pump in a huge amount of advertising in a particular quarter, not that it will result in commensurate monetization growth immediately. So to build the brand to deliver sustained value, that is how our advertising spends are optimized. At the same time, for the full year, I am actually budgeting a bit of higher advertising spend itself. So very long term, 5% to 6% of the top line is what we would be comfortable. At present, we are at about, whatever, 2%, 2.5% or so. So as I said, like right now it's working well for us. We will recalibrate as and when there is a need. And our margins currently give us that adequate cushion.

Vijit Jain : Yes. This is why I asked, Abhishek, I guess because you already at your target of 28% to 30% EBITDA margins, which I believe you've been talking about for a few quarters -- from about a couple of quarters back, I guess. So yes, thank you so much, Abhishek, and congratulations on a good set of numbers.

Moderator: We have our next question from Darshil Jhaveri from Crown Capital. Please go ahead.

Just Dial Limited

July 17, 2024

Darshil Jhaveri : So sir, a lot of my questions have already been answered. So I just would like to be able to ask that current margins that we are doing right now, I think those are majorly sustainable, right? Like we don't see any one-offs in terms of productivity or something, right? Or is it a seasonal effect?

Abhishek Bansal : So Darshil, there are no one-offs, etcetera, so margins should be sustainable. And inherently, our business anyway has high operating leverage, so our gross margins tend to be around 55% or so. So for every INR100 revenue, the direct sales related costs that I pay are around 45. So that way, I think margins can be sustainable subject to reasonable top

line growth coming in.

Darshil Jhaveri : Okay. Fair enough sir. And for the top line growth for this year we are targeting how much sir?

Abhishek Bansal: So there is no specific explicit guidance so to say we give, but at the same time what we have been communicating that internally we target a sort of mid-teens plus kind of top line growth coupled with 25% plus EBITDA margins. And there could be quarters that particular metric might be overshadowing the other, but broadly ballpark that is the strategy that we are working at.

Darshil Jhaveri : Okay. Fair enough sir. Yes that's it from my side. All the best sir. Thank you.

Abhishek Bansal: Thank you.

Moderator: Thank you. We have our next question from Aditya Sen from Robo capital. Please go ahead.

Aditya Sen: Hi thank you for the opportunity. Hope I'm audible.

Moderator: Yes.

Aditya Sen: So I was asking we shared some EBITDA growth number in the last con call it was around 30%. So is it supposed to come from the improvement in the realization in the Tier 2 cities because there's a gap of approximately INR400. So will that gap plus the operating leverage that we will have will help us get that EBITDA growth?

Abhishek Bansal: So Aditya I'm not clear which 30% are you specifically referring to?

Aditya Sen: I'm referring to 30% EBITDA growth that we saw in the last con call if I'm not wrong.

Abhishek Bansal: So in last con-call as I recall we mentioned that EBITDA margin on a percentage basis should be 25% plus. And last quarter we were at 26%. Last full year was 20.8% or so. In terms of absolute margin, I mean, our EBITDA at INR80.6 crores has a year-over-year more than doubled year-on-year.

Aditya Sen: Okay, so going forward what would be the components of increase in EBITDA? Will it be the improvement in realization in the Tier 2 cities or is it something else also?

Abhishek Bansal: So by and large I think EBITDA growth going forward should be sort of top line driven. At the same time expenses should continue to stay controlled. This particular quarter we had some

Just Dial Limited

July 17, 2024

Page 10 of 17

increase in employee count as well. So while we are working on maximizing employee productivity especially in sales if there is a 3%, 4% increase in sales headcount that we need to do we would do at an appropriate time.

Aditya Sen: Okay, all right. Yes got my answers. Thank you.

Abhishek Bansal : Thank you.

Moderator: Thank you. Next question is from Swapnil Potdukhe from JM Financial. Please go ahead.

Swapnil Potdukhe: Hi Abhishek I have two questions. First one is with respect to your B2B, B2C campaigns bit. If you can give some understanding on how that has changed or has remained like it was in the previous quarters both in terms of revenue as well as paid campaigns terms?

Abhishek Bansal: So Swapnil I have the revenue contribution handy. So B2B contributed around 25.5% of our revenues and this particular B2B contribution has been sort of similar for now last four quarters, five quarters simply because the B2C side also has been seeing healthy growth. So as of now B2B, B2C both are going hand-in-hand with each other.

Swapnil Potdukhe: And in terms of paid campaigns that will be 22% which was I think in the previous quarter as well?

Abhishek Bansal: Yes should be around that because my realizations on B2B side are 10%, 15% higher. So campaign-wise contribution should be around 21%, 22%.

Swapnil Potdukhe: Got it. And the second question is more of a clarification. Earlier you mentioned that you intend to return back the entire profit that you make in a year to the shareholders. Were you talking about the net profit, you are talking about the EBITDA I mean because if I were to just look at your annualized number this year you would do around INR550 crores of net profit. I am just analyzing 1Q FY25 and on a per share basis that comes in around INR63, INR 65

which is like 6% yield on the current market price. So just wanted to get a clarification on that?

Moderator: I am sorry, Mr. Potdukhe we are unable to hear you.

Swapnil Potdukhe: I was asking with respect to the point that Abhishek made in the beginning wherein he mentioned that they intend to return back the profit that they make during the year to the shareholders. And if I were to just analyze those numbers the current profit that they made in terms of PAT INR140 crores that is like INR550 crores plus on a per share basis that becomes a 6% yield at current market price. So I am just trying to triangulate those numbers and see if the understanding is correct and Abhishek is tending to mention those numbers?

Abhishek Bansal: So Swapnil I think the broader message that I was trying to communicate is that our intent is not to accumulate this particular cash that we have on a sort of perpetual basis. I was sharing that what are the possible avenues of distribution, our thought process internally of capital distribution against which one of the avenues is possibly putting a healthy dividend or any other policy in place so that at least 100% of incremental profits or incremental cash accretion at least gets shared out.

Just Dial Limited

July 17, 2024

Page 11 of 17

Now what would be the exact tools that the board will think are appropriate etc, we will be able to communicate as and when we have more clarity. As you would know that in the past also we have done several buybacks also to return money back to shareholders. So we will see what is the best avenue and accordingly take a decision.

Swapnil Potdukhe: Got it Abhishek, very clear. Thanks a lot.

Abhishek Bansal: Thank you.

Moderator: Thank you. We will take our next question from Hemal S, an individual investor. Please go

ahead.

Hemal S: Thank you for the opportunity. I just want to reconfirm a couple of things. So last year you had mentioned that your long-term vision is to grow the revenue between 15 % to 20% in one of the earnings call. Is that vision still intact with purely our current business model because we rarely speak about our initiatives or investments we have done in the past as to how they're going to contribute whether it's geo-integration or last time we were talking about some advertisements that you were trying to do with the SMEs or even earlier where you were trying to do data analytics usage of that with the SMEs to support them.

But we never know what are the plans and where are they going and how are they going to contribute to the bottom line or these 15 % to 20% aspirational long-term growth vision is purely from an ad and only ad campaigns.

Abhishek Bansal: So Hemal as you rightly pointed out all our communication around say 15% plus top line growth etc they are primarily keeping growth of the core local search business itself in mind. Now whatever tools that we roll out for either users or SMEs ultimately they contribute to our particular traffic in terms of quality and quantity both which in turn basically aids our core local search business.

Now on the new initiatives where we have done expenditure in last couple of years those are primarily transaction led platforms. While those platforms are ready, but at this point of time as we have communicated we do not think that it is prudent for us to simply advertise because we don't see adequate positive unit economics there at this point of time.

So the idea is to grow core business on a steady state at this point of time and at an appropriate point of time when we think that certain categories should definitely go in a sort of transactional mode we would optimize those categories accordingly at that point of time.

Hemal S: So in the last couple of calls you had mentioned on the Jio, SME advertising support the analytics that you are supporting. Are they -- those initiatives work -- any proje

cts in that

direction happening? I mean if you can share some of them, if there are any valuable insights that you are figuring out or if they are valuable to Just Dial as a business model?

Abhishek Bansal : Right. So as I mentioned, our last quarter, we discussed about the possibility of Jio, IPL ads.

So, one discussion that we internally had was that, since Just Dial has ready connect with a lot

Just Dial Limited

July 17, 2024

Page 12 of 17

of SMEs and while SMEs so far do not advertise on big portals or big properties such as cricket or IPL with mobile data connectivity, it is now possible to do local advertising there.

So if users are consuming cricket on their mobile devices, we can actually run our campaign or possibly say Viacom can possibly run a campaign where a particular ad can be shown to a subset of users in a particular geography. So there, we have been discussing that how can possibly we work together in terms of getting those SMEs on board.

And for the recently concluded IPL, we could not sort of take it up because we started planning it a bit later. But for next season or any other such properties, we could possibly explore what all synergies can be in place. Just to clarify there also unit economics matters for us. For example, my feet on street or my salesperson, I have to see what is the ultimate revenue and profit contribution that I get on a per-day basis from them. We would not do anything that would jeopardize that particular output via any initiative be it ones that we take on our own or with the group.

Hemal S: Okay. And then on the revenue because you say Q1 is always your strongest, so going forward in Q2, Q3 being the weakest, do we still expect a similar level of mid-teen, meaning 15% plus, kind of revenue growth for the full year? Should that be our expectation? And since you mentioned earlier to somebody else that this EBITDA margin is maintainable for the remaining of the year or do we expect more much better and go towards aspirational 30%, 31% EBITDA margin by the end of the year? What should we expect as we go throughout the year?

Abhishek Bansal : Okay. So just to clarify, when I mentioned that Q1 is seasonally strong that I mentioned primarily from a traffic perspective. Because in summer months there tend to be several categories, for example, AC repairs and related categories, which tend to see strong traffic growth, which is what explains our sequential traffic jump. There tends to be some seasonality in our collections wherein fourth quarter tends to be the strongest. And that also primarily is driven by historically we have had fourth quarter as strong. So a good bunch of renewals come up in that particular quarter.

Revenue-wise there tends to be no seasonality because whatever money that we collect gets recognized as revenue over the period of the contract. And aspiration-wise definitely, we would want to keep growing our top line better than where we are and even having better margins. But at appropriate time, we'll see whether it is -- it makes sense to deploy incremental margins back into advertising or maybe expanding or any specific things that we'll see.

Hemal S: So at this point would it be fair to say then that EBITDA margins can be slightly volatile quarter-to-quarter going forward?

Abhishek Bansal : But volatility will not be so severe that a particular quarter should see some 300 and 400 basis point fluctuation. Volatility could be probably if I say, advertise for few crores higher then there could be 1 or 2 percentage points fluctuation in EBITDA level. But at the same time since my gross margin itself is quite healthy, I can afford to do higher advertising with even no impact on margins.

Just Dial Limited

July 17, 2024

Page 13 of 17

Hemal S: Correct. All right. And the tax absolutely the final -- thank you for answering the question. The tax rate which we had this quarter

because I don't know the rollout for INR2,900 crores how it's coming, do we expect this tax rate to be very similar for the remaining one, two or all the three quarters?

Abhishek Bansal : So yes, the way we provision for taxes is that we estimate our particular taxes for the full year bases our assumptions and that is what gets applied on a quarterly basis. So second quarter or subsequent quarters tax rate could still change depending on our estimates for full year. But yes, you are right that currently 8.2 % is what our estimate for full year as well is.

Hemal S: Thank you for answering my question. Appreciate it.

Moderator: Thank you. I now invite Mr. Nirmam Mehta from Unique PMS to go ahead with this question. Give me a moment, please.

Nirmam Mehta: So Abhishek, could you share some data on the renewals? So how many customers say, would be with Just Dial for more than say, one year, two years? Do you have some sense on that?

Abhishek Bansal : So, Nirmam, on the retention rates currently for every 100 customers that are signing in approximately 60% of them are going into year two. And this particular number till about 1.5 years ago also was at 55% levels. So our strategy of signing up more customers on monthly payment plans has helped us reduce this particular attrition by 400, 500 basis points.

And as I have highlighted in the past as well in case of Just Dial since we are dealing with SMEs there tends to be this particular thought process by an SME that okay, let me pause this campaign right now and see if there is any negative effect on my business. They might come back into the paid ecosystem on one quarter, two quarters. One year down the line they might want to take premium listings versus non-premium. So in our case it's not that our customer -- if they have not renewed they have not renewed for life. Having said that as I mentioned, there is an improvement in retention rates due to shift towards monthly plans.

Nirmam Mehta: And any other initiatives apart from the monthly plans that you're doing to increase these retentions? So like you said you're providing other services also. But any more insights here?

Abhishek Bansal : So one thing that we find is helping is that in last about four to six quarters the campaign management tools that we have given to SMEs that I think are helping us. They are able to much better appreciate the complete performance of their campaign. They are able to manage their leads much better. So earlier, what used to happen was if a merchant is getting five leads in a day then they would possibly just keep calling one after them. But now we also share them what are the various sources from which leads are coming in.

So they are able to identify that, okay, these sources are having a bit higher quality. So a merchant short on time might want to just call up lesser number of leads but that of high quality. So those particular that the internal dashboard that we provide them I think also helps in better retention.

Nirmam Mehta: Thank you for answering.

Just Dial Limited

July 17, 2024

Page 14 of 17

Abhishek Bansal: Thank you.

Moderator: We have a next question from Abhishek Banerjee from ICICI Securities. Please go ahead.

Abhishek Banerjee : Yes. Abhishek, yes, congratulations on a good set of numbers. Again, going back to the margins that we have shown this quarter. If I analyze your employee expenses it seems that you haven't even built in any year-on-year increments. So isn't that due, what is the thought on that?

Abhishek Bansal : Okay. So Abhishek, on employee cost two things. One, our increments currently are fairly spread out the year. So certain departments are on a January to December cycle certain are on April to March. So that way, one particular quarter doesn't significantly impact one-time sort of increase.

Secondly, there were certain increments, obviously that were rolled out for

m this particular

April month. However, we had certain few INR2 crores, INR3 crores of excess employee costs which are provisioned in previous quarter. So those sort of got offset against those particular increments that happened.

Abhishek Banerjee : Got it. In terms of your -- this thing, in terms of your revenue growth, we are talking about 15% odd kind of a growth. So do you really think that I mean, the B2C segment will continue to grow at that pace given you already have a pretty high base that we have to now contend with? Or do you think that B2B will kind of step in and drive the growth higher by 100 bps or 200 bps?

Abhishek Bansal : So Abhishek, that is possible that B2B, where there is a bigger leverage of pricing increase that is possible, might actually aid the monetization better going forward. But having said that, for our particular sales teams, their particular target is ultimately to grow the overall revenue. And as we have discussed in the past, while the base is quite high, opportunity why is it just only possibly, say, 1.5% of the population is currently paying us, or even lesser. So I think both B2C, B2B have growth potential, but B2B definitely has more levers than the B2C side.

Abhishek Banerjee : So, see, this same thing with regards to monetization potential, does not really pan out as easily as we think, right? So is there a scenario where you will consider probably creating another category which is probably below your existing categories where you can bring in some new customers? Or is the current pricing minimal where you will continue to operate at?

Abhishek Bansal : So see, one reason, obviously, has been that our particular monetization has been sales force assisted. Indian SMEs do require that hyper-service handholding, and a particular feet on street, obviously, can do a certain number of presentations or meetings in a particular day. And to your question on whether any incremental products are possible, definitely.

You can have a listing which primarily just gives a sort of verified status, but does not come with any specific leads, etc. In certain categories where you know the number of merchants are very high in the country, but we don't monetize that much, there even a lower ticket size plan versus my current entry-level plan would be useful. So it will be a sort of approach to monetize

Just Dial Limited

July 17, 2024

Page 15 of 17

both B2C, B2B. And within those also, possibly monetizing with lower ticket size where there is merit in it.

Abhishek Banerjee : Now again, going back to the question with regards to the investments that you made in things like Jd Xperts or the new platforms, right? So see, digital investments, from what I understand, would require constant updation, right? Now given you are not really monetizing those, so would it make sense for you to now mark them as losses? How do you kind of take the hit on that?

Abhishek Bansal : See, any particular business has to keep its future ready at any point of time. While some particular initiative might not be, say, it might not make sense to monetize it right away, but to not even think of undertaking that initiative would not be prudent. So the expenses, which is a very small amount at this point of time, which goes in up-keeping and keeping those particular platforms up to date, those investments we are anyway making.

And at some point of time in future, we might want to have certain categories shift to that particular model. And we -- net, we are trying to ensure that those platforms are ready, and we switch to them at adequate time without cannibalizing my existing revenue and profits from those same categories.

Abhishek Banerjee : Do you have your tech teams intact or have you let go of them?

Abhishek Bansal : Yes, tech teams are very much intact. See, the key effort while building a software essentially goes in the initial phase while you

are building it from scratch. Once you have that particular platform ready, you can keep it operational and up-to-date with relatively lesser spends. The next leg of spends possibly will come in, in next phase when you decide that, okay, we need to add these particular features, etc. Which we have stated we will undertake at a time when we have visibility that we want to actually start using these particular platforms for even monetization.

Abhishek Banerjee : That was very helpful. And just one last comment. I think the idea of giving back to the shareholders is going to be very well appreciated. But let's try to implement or clarify on that as soon as possible. There is obviously, given that has the potential to unlock a lot of value for a lot of investors.

Abhishek Bansal : Right. Point is very well noted.

Abhishek Banerjee : Thanks, Abhishek.

Moderator: Thank you. We'll take our last question from Shyam Garg from Ladderup Finance Limited.

Please go ahead.

Shyam Garg: My question is with respect to customer retention ratio. As you have mentioned in the call, that few customers take a pause for 2 quarters, 3 quarters or years, then come back. So can you share the number of customers who come in year 1 and wait in it till years 3, so we have a

better picture of it?
Just Dial Limited
July 17, 2024

Page 16 of 17

Abhishek Bansal : So Shyam right now, as I mentioned that the way we evaluate is that, if 100 customers signed up in current month s, then how many go into year s 2 in, say, 13th month, that stands at around 60% or so. Within that particular segment, how many go into year s 3 etc. That we'll have to possibly evaluate.

Shyam Garg: What is the number for customer retention ratio top 11 cities, then non 11 cities?

Abhishek Bansal : So, I will have to again check back on that. But I think top 11 should be slightly lower versus non-top 11 simply because, non -top 11, the ticket size is much lower, half of top 11. So it is natural to expect that Tier 2, Tier 3 should have bit better compared to the overall blended retention number.

Shyam Garg: And also can you please put a little cut on tax rate? I'm not able to understand why we have 2% of tax rate estimated to be 2%?

Abhishek Bansal : So I will explain this. So , our particular regular operating profits from the core business, they get taxed at almost full tax rate of 25.2%. There are certain small deductions that are available. Effectively, that tax rate tends to be 24.5% to 25% or so. Now the second stream of income that we have is the treasury mark -to-market gain s that we record every quarter.

Now within treasury, the way it works is that, if I'm holding a treasury for less than 3 years, that treasury falls in short -term capital gains bucket, and those mark -to-market gains have to be provisioned for taxes at full corporate tax rate of 25.2%. The moment that treasury crosses 3 years holding period, then long -term capital gains tax comes into picture.

And the long -term capital gains tax was 20% with indexation benefit. So in September 2021, we had deployed about INR 2,200 crores as part of primary infusion. That particular part of treasury, along with certain other past investments as well, about INR 2,800 crores, INR 2,900 crores will cross from short -term bucket to long -term bucket in September.

Now when that event happens, if I have provisioned taxes at a higher rate in the past, then there is a reversal that happens to align with the long -term capital gains tax, because now that treasury, whenever it will be sold, the long -term capital gains tax will be applicable, not the short term.

Having said that, since 31st March 2023, tax particular provisions for debt mutual funds have changed. Now whatever incremental money that I'm deploying, those will get taxed at full corporate tax rate. So this particular year s, fiscal 2025, is a bit of aberration where the bl

ended

tax rate is likely to be lower.

Next year onwards, it will again be a combination of older treasury getting taxed at long -term rates, regular operating profits at full tax rate, and so on. But our estimate is that effective tax rate in long term should be 18% to 20%, though it depends on the mix, which we will have to see at that point of time. Hope that clarifies.

Shyam Garg: Yes, that clarifies. Thank you so much for answering my question.

Just Dial Limited
July 17, 2024

Page 17 of 17

Moderator: Thank you. I would now like to hand the conference over to Mr. Abhishek Bansal for closing comments. Over to you, sir.

Abhishek Bansal : Thank you, everyone, for joining us. In case you have any further queries, please do reach out. We will do our best to address. That's it from our side. Thank you.

Moderator: Thank you. On behalf of Just Dial Limited , that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2025

April 23, 2025

To

BSE Limited

PJ Towers,

Dalal Street,

Mumbai - 400001

Scrip Code: 535648 National Stock Exchange of India Limited

Exchange Plaza, Plot no. C/1,

G Block, Bandra- Kurla Complex,

Bandra (East), Mumbai - 400051

Trading Symbol: JUSTDIAL Metropolitan Stock Exchange of India Limited

205(A), 2nd Floor,

Piramal Agastya Corporate Park,

L.B.S Road, Kurla (West), Mumbai - 400070

Scrip Symbol: JUSTDIAL

Dear Sir/Madam,

Sub.: Transcript of Earnings Call on Financial Results for the quarter and year ended March 31, 2025

In continuation of our letter s dated April 15, 2025 and April 21, 2025 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the Earnings Call held on Monday , April 21 , 2025 , at 6:00 p.m. for discussing operational and financial performance of the Company in the quarter and year ended March 31, 2025 and the same is available on the Company's website at <https://www.justdial.com/cms/investor -relations/earnings -call-transcripts>

The earnings call concluded at 7:03 p.m. on April 21, 2025.

We request you to take the above on record.

Thanking you,

Yours truly,

For Just Dial Limited

M

anan Udani

Company Secretary

Page 1 of 18

"Just Dial Limited

Q4 FY '25 Earnings Conference Call"

April 21, 202 5

MANAGEMENT : MR. VSS MANI – MD & CEO

MR. ABHISHEK BANSAL – CFO

Just Dial Limited

April 21, 202 5

Moderator: Ladies and gentlemen, good day, and welcome to the Just Dial Limited Q4 FY '25 Earnings Call. At this moment, all participants are in the listen -only mode. Later, we will conduct the question -and-answer session. At that time, you may click on the raise hand icon tab to ask a live question. Please note that this conference is being recorded.

We are joined by Mr. V. S. S. Mani, MD and CEO; and Mr. Abhishek Bansal, CFO from the management of Just Dial Limited. I now hand the conference over to Mr. Abhishek Bansal, CFO, Just Dial Limited. Thank you, and over to you.

Abhishek Bansal: Thank you, moderator. Hi, everyone. Welcome to Just Dial's earnings call for fourth quarter of fiscal '25. Our operating revenue for the quarter stood at INR289.2 crores, witnessing 7% year -on-year growth. Operating expenses were well controlled and grew only 1.7 % year -on-year. Employee expenses were only marginally up 0.9% Y -o-Y and other expenses were up about 7.5% year -on-year. Consequently, we had a very healthy 29.8% EBITDA margin for the quarter with absolute EBITDA at INR86.1 crores, growing 21.9 % year -on-year.

Operating PBT stood at INR70.9 crores, growing 26.5% year -on-year. Advertising spend for the quarter stood at about INR7.2 crores. Other income stood at INR108.7 crores, which was up 19% year -on-year; one, due to decline in yields during this particular year; and second, higher levels of treasury.

Effective tax rate for the quarter stood at 12.2%, which is lower in this fiscal at overall 12% due to reversal of deferred tax on part of our treasury, moving from short -term bucket to long -term bucket, basis 2 -year holding period in current fiscal year. Profit after taxes for the quarter stood at INR157.6 crores, growing 36.3% year -on-year.

For full year FY '25, our revenue witnessed 9.5% year -on-year growth and EBITDA grew about 55% year -on-year. EBITDA margin stood at 29.4%. Operating PBT at INR277.6 crores had about 72% year -on-year growth. And at PAT level, we delivered INR584.2 crores, growing 6 1% year -on-year.

While effective tax rate was lower at 12% in fiscal '25, as I just explained, it should go back to 20%, 21% levels in current fiscal, fiscal '26. After witnessing lower growth in first 3 quarters, collection had a decent 11.3% Y -o-Y jump to INR340 crores in March quarter, which is seasonally strong quarter for us. Consequently, deferred revenue stood at INR558 crores as on March '25 and was up about 10% year -on-year.

Active paid campaigns at the end of the quarter stood at about 613,290 campaigns, which was up 5.1% year -on-year. Overall, cash and investments stood at INR5,279 crores as on 31st March, growing about 14% year -on-year.

Coming to traffic. Traffic trends have been healthy. We had 191.3 million quarterly unique visitors, growing 11.8% year -on-year. Mobile traffic, which forms 87% of our traffic witnessed about 15% year -on-year growth. Total listings now stand at 48.8 million, growing 11.9% year -on-year.

Just Dial Limited

April 21, 2025

Overall, as we evaluate the year, we had started the year with aspirations of growing our top line in mid -teens kind of number and EBITDA margins of 25% plus for full year. Our performance shows that while top line growth could have been better, it was still decent in current macro environment, and we have comfortably overshoot on our margin targets.

Our focus last year was to ensure that we grow our operating profits healthily, which shows in our 72% operating PBT growth. In terms of our monetization strategy, we have tried to optimize on our sales team by reducing the team that works on cold calling merchants and replacing the same with team that works on qualified leads of interested customers. As a result, productivity is much better.

For current year, focus shall be to stay efficient and work

towards accelerating top line growth,

which we believe is very much achievable via initiatives such as; one, advertising both for users as well as merchants, which will result in more traffic, higher user engagement and better prospects for our sales teams; and secondly, also via adequate price increases in underpriced categories and geographies.

With this brief update, we shall now open the floor for questions and further discussion. Over to you.

Moderator: We will take our first question from Vivekanand Subbaraman from Ambit . Please go ahead.

Vivekanand Subbaraman: Abhishek, my question is on the collections growth. So, the trajectory of collections as we saw through the year has improved materially in the fourth quarter. And you said that you have taken several initiatives to enable this. Could you elaborate a bit more and help us understand your goals for fiscal '26? And what is achievable in terms of collections trajectory with the current cost structure? That's question one.

Secondly, do you have any specific targets set for headcount addition now that you seem to be back in the hiring market to get more feet on street and sales staff? Last question is, 6 months ago or about 9 months back when you had done an earnings call, you had given some guidance on potential cash return. Is there any update on that? Thank you.

Abhishek Bansal: So, Vivek, coming to your first query around collection growth in 4Q. So, yes, collection growth has picked up from 6%, 7% kind of levels to 11% plus in fourth quarter. So fiscal '25 when we started the year, so first 2, 3 months, we felt that collections were probably not keeping pace partly due to maybe impact of elections etcetera. And then, by the time we came into third quarter expecting a material pickup, we entered into festive season, which again tends to be a bit weak period for us.

So, the desired pickup due to all the initiatives that we were taking in terms of having more of our telesales working on qualified data rather than cold calling customers, the productivity of a telesales person working on a qualified data is almost 2.5x, 3x of someone working simply on a cold calling basis. So, some of those initiatives bore fruit in 4Q and which is what resulted in this better growth.

Just Dial Limited

April 21, 2025

Page 4 of 18

Coming to our goals for fiscal '26, the way we are looking at it is that, as I mentioned in my opening remarks, like last year, we had kept targets of growing our top line by sort of mid-teens and 25% plus margins. On one parameter, we fell a bit short and margins comfortably, we were at 29% plus versus 25%. So for fiscal '26, our endeavor will be that even at similar level of margins, we would want to accelerate our top line growth.

Having said that, there is a significant operating leverage that we have in our business. My gross margins are about 55%. So, even by deploying additional money in advertising or maybe even manpower, if need be, I can still maintain my margins, at the same time, try to accelerate my top line growth.

Coming to your query around targets for headcount. So one thing that we have realized over last 6 to 8 quarters is that instead of simply thinking that, okay, more number of people could fetch us better revenue, the way we are operating is that keeping our sales team optimized. So, few quarters back, as we had mentioned that the bottom 10%, 20% of the sales team where the productivity was much lower, we had tried to rationalize the same. And in recent quarters, we have almost eliminated our cold calling telesales team.

So, the same set of merchants, we are reaching firstly via advertising, trying to generate leads of those merchants who are interested and then working on that particular data. So that gives us much particular output without the increase of operating expenses.

Regarding your third question on guidance on cash return. So, at this

point of time, this

particular agenda on returning cash via, say, dividend has not been taken up. We expect the same to be taken up sooner, most likely by next quarter, hopefully, we should be freezing on a proper capital allocation policy via most likely by dividend because that is a more tax-efficient way rather than buyback at this point of time.

Vivekanand Subbaraman: Just a couple of small follow-ups. So, you have guided for maintaining margins while accelerating top line growth. Do you still believe that you can go back to your original mid-teens aspiration, let's say 12%, 13% billing growth or rather collections growth, therefore, top line growth? That is one. And second one is book keeping, which is the mix of campaigns by top 11 and revenue mix.

Abhishek Bansal: So, Vivek, on the question around whether mid-teens is possible or not, definitely, it is possible. There are multiple levers that I can use either via higher manpower or simply via higher advertising. But from day 1, we are very clear that growth not just in top line, but at operating profitability level and sustainable basis kind of growth. So, I don't want to be in a situation that, okay, I'm growing my top line at 15%, but my operating profits are growing at 5%, 10%.

So, from that perspective, we want to be clear like this year, as you can see in all the quarters, our EBITDA levels have grown by a very healthy 50% plus levels. So, for next year also, the thought process is that margins are very much in our comfort zone. Incremental margins should be deployed to accelerate top line growth in an efficient manner.

Just Dial Limited

April 21, 2025

Page 5 of 18

And to your query around split of campaigns and revenue, so top 11 cities contributed about 56.5% to revenue. And by volumes, their share was about 40%.

Vivekanand Subbaraman: Okay. This is for the full year, is it or fourth quarter?

Abhishek Bansal: This is for fourth quarter.

Vivekanand Subbaraman: Okay. Would you have the number handy for the full year?

Abhishek Bansal: So, I have the number for same quarter last year. So, 56.5% contribution was about 58%. And by volume, it was, say, 50 basis points higher at about 40.5%. So in last 4 to 6 quarters, revenue share of top 11 has been coming down a bit, but volume-wise, there hasn't been that much material change.

Moderator: We'll take our next question from Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: Yes. Hi, Abhishek. Sir, couple of questions. One, this levers that we speak about, the feet on street or ad spends, I mean you'll have in your assessment, I mean, is it a direct correlation between increasing one to seeing a better collection or more ad campaign? So, is it that people are not aware of the benefits of this, which we kind of put out via ad spends and hence this better collection? And if yes, I mean, why didn't we do this for this year?

Abhishek Bansal: So Pratik, when I mentioned that there are levers, what I meant to say was that growing the top line just via brute force in terms of either increasing operating expenses or employee expenses or advertising can be a short-term strategy.

But for our kind of business, it's a sustained level of advertising that tends to help in the sense that once I advertise more, my merchants realize that they get more number of inquiries, more visibility from the platform, that helps me get more customers and even better pricing from the same customer next time. So, from that particular perspective, these particular levers have to be sort of looked at in a calibrated manner.

Pratik Kothari: Correct. And just to clarify, you mentioned that we want to benchmark our margins at this current 29%, 30% -odd levels and incrementally what we make, because of operating leverage, will go back in spending here.

Abhishek Bansal: So, as I mentioned, see, for us, whether margin is honestly 28%, 29% or even

31%, 32%, it

doesn't matter that much because the idea is that overall EBITDA should grow on a sustainable basis. And as all of us know that costs can drive my EBITDA only to a certain extent. So, if need be, advertising anyway is a very small proportion of my spend, say, 2.2%. If need be, I will step it up to 3.5%, 4%. Prior to fiscal '20, we were even at 6%, 7% kind of levels.

So, there is no specific thought process around maintaining margins at a particular level. Yes, 25% plus, I definitely want to be. 29%, 30% is what I have achieved in the past as well and in recent years. So this margin level is very much in the comfort zone. The next thought process is to accelerate top line growth.

Just Dial Limited

April 21, 2025

Page 6 of 18

Pratik Kothari: Correct. And then, we have not ramped up the sales team, which we had expected at the start of the year. We intended to take it up to 10,500 employees, add about 700, 800 employees this year, which we have not. So this would be -- what would you ascribe this to?

Abhishek Bansal: Okay. So, within our sales teams, there are broadly 2 teams. One is the telesales team, other is the feet on street team. And within these two teams also, there are two teams. One is the hunting team which gets me new customers. Other is the farming team, which works on upgrading existing customers, renewing customers and so on. Now, within the hunting team, there is a way to either do cold calling to merchants the way some of us or many of us receive calls for, say, loans or credit cards, etcetera.

The effectiveness of that particular prospecting is much lower, whereas if a merchant has shown interest that they want to know more about Just Dial's plans, because I reached out to them via other digital advertising platforms, then the productivity is 2.5x, 3x higher, so via this we have reduced our dependency on cold calling teams and increased manpower in teams that work on qualified data. As a result, we were able to manage current output without the increase of a sales force.

Pratik Kothari: Correct. And on the dividend, again, it's been -- I mean, I take your point that we should have one by next quarter, but 9, 10 months is, I mean, long time. So I mean, where is this getting stuck? Just to understand.

Abhishek Bansal: So, firstly, honestly, it's not that I have mentioned that by next quarter, we will definitely have it. The point is that we have put this up to the Board as well as our parent. Yes, I acknowledge that there has been time to crystallize this particular policy. But as soon as it is done, we will keep everyone posted. And we expect the same to happen sooner than later.

Pratik Kothari: Correct. And on similar lines, anything further you would like to share in terms of strategic guidance per se from Reliance, how do they see us as part of the larger picture? Anything further from the last time we spoke?

Abhishek Bansal: So, basis our discussions with the parent, they see that operating core business is high free cash flow generating. There are options possible. But as things have panned out, not just in India, even globally in last 12 to 18 months, people, in general, are focusing on businesses with positive unit economics, businesses with high returns on their core investments, etcetera. So, for us, the objective is to grow our top line as well as profitability for core business on a

sustainable basis.

And lastly, once there is a proper capital allocation policy in place, the, so to say, concern around the excess cash on balance sheet also should stand addressed sooner.

Pratik Kothari: And then, lastly on this con call, I mean, how should we expect the frequency going forward?

Abhishek Bansal: Okay. So, I was expecting this particular question as well. So last 2 quarters, no specific reason for not doing the con call. It was simply that we were focusing on plans that we had mentioned at the end of

Q1, and there was no material shift in our strategy.

Just Dial Limited

April 21, 2025

Page 7 of 18

Secondly, most of our data and numbers anyway were released as part of our presentation, and we are anyway very much accessible. Having said that, this is the feedback that we have received in this particular time. We will keep these con calls as a regular affair going forward.

Pratik Kothari: So quarterly?

Abhishek Bansal: Yes, quarterly.

Moderator: We'll take our next question from Swapnil Potdukhe from JM Financial. Please go ahead.

Swapnil Potdukhe: So, the first question is on your capital allocation policy. So, you mentioned that there could be some movement sooner than later. My question is pertaining to -- will you stick to the earlier thought process of sharing 100% of whatever PAT you generate in a year? Or there could be some changes on that thought process also?

Abhishek Bansal: So, Swapnil, until the policy is actually crystallized, difficult to say that. Having said that, as we have mentioned in the past, that is our proposal even at this point of time.

Swapnil Potdukhe: Okay. And will it be fair to say that we can expect something around your AGM? Or should we -- or it will take some time for you to crystallize the final format?

Abhishek Bansal: So, we are expecting that probably in next quarter or around that time, this could get finalized in discussion with our parent. So, as I mentioned, as soon as we have clarity on the same, we will provide. Difficult for me to pinpoint and say that we have already decided that at this point of time, we'll decide this. So that's not the case currently.

Swapnil Potdukhe: Got it. So coming to the operational part. So, any change in your contribution from B2B businesses? I mean it used to be around 26 -odd percent to your total revenue. Has there been any improvement on that side, roughly?

Abhishek Bansal: So, the B2B revenue contribution for last quarter stood at about 26.5%, so not material change. Having said that, B2B traffic definitely is gaining share. It was about 15%, 16% of our overall traffic till say, about 3, 4 quarters away. That stands closer to 20% at this point of time.

Swapnil Potdukhe: Okay. And apart from -- so what I noticed is like your collection per campaign, if you try to do that math, it seems to have increased materially in this particular quarter. And that was partly - that along with your volume growth partly led to your double -digit growth in this particular quarter, and that was a challenge in the previous 3 quarters. Will that be a fair assessment? And a related question to that, like how -- will that be sustainable if that is the case?

Abhishek Bansal: So, see, from our perspective, the way we look at collections, honestly, is that I sell both upfront payment listings as well as monthly payment plan listings, though the composition has not materially changed. But if it were to change, then it can temporarily affect collections, though it does not affect accrued revenue, whether INR2,000 per month is paid in 12 installments or it is paid in 1 shot, the accrual remains the same.

Just Dial Limited

April 21, 2025

Page 8 of 18

So, in case we adopt an aggressive monthly plan strategy, which is what our assessment is that has worked well for us in the past because it helps in better realization per customer, better retention, then even if collection grows maybe few hundred basis points lesser, it will still result in more number of customers and better accruals.

Swapnil Potdukhe: Okay. But any particular measures that you would have taken to increase your realizations, overall realizations per se and that would be working for you and -- in next 1 or 2 years?

Abhishek Bansal: So, one thing that we have done is, and we are in the process of doing as we speak. So, we have two types of listings; one is the premium listings, other is the non -premium list

ings. In

premium listings, you basically get the top fixed positions in any search. Those were always priced customized to the keyword and geographies that the merchant was opting for. So a spa in Malad West has a different pricing versus a spa in Mira Road and so on.

In non -premium listings, pricing was mostly customized at geography level. A price in Mumbai, the entry level would differ from a price in Hyderabad, but that entry level used to be same across keywords. We have now made that as well dynamic, because we realize it's not

fair to charge same INR2,000 per month to a grocery store versus INR2,000 per month to, say, a real estate agent.

So that customization is going to, I think, help us overall itself because non -premium revenue contributes about 50% of our revenues. So the dynamic pricing there should help us in this and future years.

Swapnil Potdukhe: Okay. And just one last one on your traffic growth. Now for the last 3 quarters, it has been around 12%, 15%. Would it be fair to say that you might want to increase some A&P spends to support this growth in the foreseeable future so that you stay at this current run rate, which ultimately helps your business from a volume growth perspective?

Abhishek Bansal: So, traffic growth, if you see the headline number, comes to around say 11.8%, but the most relevant component is obviously the mobile traffic, the 87% component. The 87% mobile traffic is growing at about 14.5%, 15% level with, say, around INR6 crores, INR6.5 crores ad spend on user -related campaigns. So, it's in a comfort zone. If need be, yes, definitely, A&P spends can be stepped up to support our traffic growth.

Swapnil Potdukhe: And where would this A&P spends be? I mean, what would be the nature of these spends, just to get an idea?

Abhishek Bansal: So, largely, we have been doing digital spends. But, if need be, this year, we could do certain branding related or non -digital spends as well as we have done in the past, say, opting for multiplex advertising or any such similar mediums.

Moderator: We'll take our next question from Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: Firstly, congratulations on a great set of results, sir. I think focusing on more -- a better margins has really helped us. So, just wanted to now know that we are speaking a bit about price hikes that -- in the underpriced category. So, what kind of price rise that we can see for Just Dial Limited

April 21, 2025

Page 9 of 18

our services, and how much will that contribute for a top line growth, sir? Is it fair to say that we could have kind of a low -teen, mid -teen type of growth in revenue?

Abhishek Bansal: So, Darshil, as I mentioned earlier as well, our aspiration is to accelerate our revenue growth from current levels to mid -teens kind of number. And in the past also, we have always wanted to have half of our growth materialized from volume additions and rest half from price increase. And a 12% to 15% traffic growth also supports that 7% to 8% kind of overall blended price increase. Obviously, price increases vary by geography, by categories, but that's the endeavor that half of the desired top line growth to materialize from the realization increase component.

Darshil Jhaveri: Okay sir. That's great to know, sir. And sir, just wanted to know like any kind of another -- additional services that or new vector that we are planning. A lot of these customers can, you know, maybe have a use of AI or something else -- something on those lines are we thinking about, sir?

V.S.S. Mani: Yes. We are thinking of online shopping for which probably next quarter, you'll get a flavor of it, which is pure online shopping site.

Darshil Jhaveri: Okay. So on the terms of, it will be similar to Amazon Flipkart, right? On those terms, right?

V.S.S. Mani: No. Amazon /Flipkart, so basically the, here the traffic directs to

-- there are about thousands of

Internet -enabled businesses, which have a robust online presence. So, we are trying to marry with those sites and give you a wow experience. The experience could be slightly better than what you see in Amazon and all in terms of cataloging and all that. But in terms of your buying pattern is you have to go and buy on the third -party website. Something like what you see on Facebook Insta and...

Moderator: We'll take our next question from Vijit Jain from Citi. Please go ahead.

Vijit Jain: I have two questions. So, one, Abhishek, your earlier comment where you said the revenue spread between tier -- top 11 cities and others. So if I look at that data, so essentially, outside the top 11 cities, your revenue grew 11% this quarter and your traffic growth overall is 12% to 15%.

So in general, is the A&P spend in FY '26 going to focus more on Tier 1 cities outside the brand spending that you aim to do? Because there, obviously, it seems like the revenue growth in the quarter was about 4% Y -o-Y. So that's my question number one. Will that be the place where your A&P spending will go?

Abhishek Bansal: So, Vijit, in terms of our A&P spend, see our revenue base is highly diversified both in terms of geographies as well as categories. For example, top 1,000 keywords that I have covers say about 65% of my revenue. Now when I'm doing digital advertising, that advertising tends to be customized at each keyword level.

Just Dial Limited

April 21, 2025

Page 10 of 18

Then again, even in terms of geography, we are present in 200 -plus cities. So all the Tier 2, Tier 3 cities put together contribute about whatever, 43%, 44% of my revenues. So, our A&P spends tend to be spread out both in terms of geographies as well as in terms of categories. Vijit Jain: Right. So, it's -- you're not necessarily looking at shoring up or diverting more of those spends towards the top 11 cities necessarily then?

Abhishek Bansal: So, see Tier 2, even at this point of time, it's not that my -- I will have to check what is the split of our A&P spends between Tier 1 versus Tier 2, Tier 3. But broadly, in our overall traffic, 45% of our traffic broadly comes from Tier 1 cities and about 55% from Tier 2, Tier 3 cities. So we do adequate advertising in Tier 1 cities as well. Just that Tier 2, Tier 3 cities, in terms of realization, they are half of Tier 1. And so there is significant room for Tier 2, Tier 3 to catch up to Tier 1 levels.

Vijit Jain: Got it. And my second question, Abhishek, was -- so when you earlier said that B2B contribution was last quarter at 26.5%, roughly same as earlier, but the traffic has grown. So, in terms of where you would add headcount in FY '26 to add more paid campaigns, would it be more directed towards this B2B side where obviously you're getting the traffic and possibly headcount could help with the campaign's growth, given the traffic is improving quite materially?

V.S.S. Mani: So, improvement of traffic should help us in the first step as better realizations for our B2B campaigns. So, our B2B campaigns are, say, around 15% higher realization versus our B2C campaigns. But ideally, they can be much higher. So, in the first step, our idea will be to get better realizations for B2B side of revenue growth.

Vijit Jain: Got it. And in general, on the B2B from a sales fleet side, right, both tele -calling and feet on street, do you need any different skill sets, any different trainings for them to get better results? Or is it pretty much same as on the B2C side?

Abhishek Bansal: There tends to be some difference because B2C -related categories are the ones which any entry -level salesperson can easily relate to; your dentists, real estate agents, packers and movers, etcetera . But when it comes to B2B, say, hydraulic crane or industrial equipment, etcetera , you do need some bit of knowledge that needs to

be imparted, which we do as part of onboarding that we do.

So there is a dedicated B2B team also that exists. And for employees who are, say, already 1 year into the system, they have met customers across categories that they broadly become aware. At the same time, the software that they use, we ensure that all that required information is very much fed into the software itself so that even if there is some particular business that they come across which they are not fully aware of, the software guides them through that.

Moderator: We'll take our next question from Vedant Sarda from Nirmal Bang Securities. Please go ahead.

Just Dial Limited

April 21, 2025

Page 11 of 18

Vedant Sarda : Abhishek, in the last con call, it was communicated about data regarding retention of customers who discontinues our services for 1 to 2 quarters or a year and then they come back again to avail services. So, any percentage numbers of those customers?

Abhishek Bansal: So, Vedant, on a 1 -year basis, meaning if 100 customers sign up today, then how many go into year 2, say, 1 year down the line? Broadly, that number stands at about 60% -odd, which historically used to be closer to about 55% and the improvement has been because of higher focus on monthly payment plan campaigns. So since there hasn't been much of a shift in this particular composition over last 2, 3 quarters, I believe retention rate should be similar.

Vedant Sarda : Okay. Like the 40% who have left, so how many of them again avail services? Percentage of that figure.

Abhishek Bansal: So, the way it usually works is that out of 40%, a certain percentage is due to business mortality itself. And secondly, in case of our subscriptions, it's not that if a customer has not renewed immediately after 1 year, they have churned out for life.

So in several cases, they might pause their campaign or not renew for a quarter, then they might come back again. There are certain customers who may not have done advertising for 1 or 2 years, they come back again into the paid ecosystem. So, that is how typical SME behavior is.

Vedant Sarda : Exactly. So like you said, they have paused their services for 1 year or 6 months. So the percentage of that customers who are continuing again for a long time, any -- that data?

Abhishek Bansal: We will have to check that. I don't have that handy at this point of time.

Vedant Sarda : Okay. And actually in the last con call the same was asked.

Abhishek Bansal: So, you could connect with us, separately, and we will definitely provide.

Vedant Sarda : Okay sir.

Abhishek Bansal: Yes, Mani, please go ahead.

V.S.S. Mani: No, I mean this is something which keeps happening in any kind of advertising platform, people come in and get out and then come in. There is no such thing as a final goodbye, never again types.

So, our platform is no different. So -- otherwise, in so many years, we wouldn't have grown our number of paying customers from paltry 1,000 to -- now to 500,000 and above. So, this is not a -- truly a churn. Like Abhishek said, mortality of companies is not in our hands and that definitely if the business is shut, then it's shut forever.

The other thing is the people who get in and get out, that is the nature of behavior. Some people are very smart in playing the season. Their business is seasonal, so they'll try to spend more money during the season and lie low during off-season. So these are there.

Just Dial Limited

April 21, 2025

Page 12 of 18

Moderator: We'll take our next question from Keshav Garg from Counter Cyclical PMS. Please go ahead.

Keshav Garg: Sir, first, I wanted to share some feedback, sir, what I have understood and what I've heard from others who are using Just Dial. Sir, many of the search numbers are defunct that the number either has changed or no longer exists and the search results are also very inaccurate. So if I'm searching

for a gardener in Ranchi, it is showing me Gardner in Kolkata and so on.

So basically, it is imprecise and the customer gets frustrated, whereas if the same customer goes on Google or even on your competitor, IndiaMART, the results are far more precise and the numbers which do not exist are far fewer as compared to -- Just Dial. Sir, so what is your reflection on this?

Abhishek Bansal: So, Keshav, basis, so on a quarterly basis, we do our sort of user satisfaction as well as customer satisfaction audits. And our findings have been much different. In fact, in several cases, if you are unable to find a proper number at any other platform, users many times find that they are able to find it on our particular platform. As far as search results, the one specific example you mentioned, I'm not sure whether that was because you were sitting here and searching in a different city, even then that should ideally not be the case.

We segregate our categories basis the type of business it is. So, if you are looking for, say, a restaurant or a general physician doctor, the search results are typically in a shorter radius because as a user, you wouldn't want to go 10 kilometers away.

But in case there is a category such as, say, pest control services, where the merchant has to come to your doorstep to render the services, then in search results, sometimes you could see a relatively far off service provider who would very well be happy to come to your doorstep to render the service.

So, that's the nature of business. In case there are any specific search queries where results were not to your satisfaction, please do let us know, and we will definitely check the gaps and fill them.

V.S.S. Mani: And in case of B2B categories, we do have intercity advertisers because their ability to cater to other cities is high. So that is possible. But if you are referring to a category like gardener, it's an error, we will look into it. And if you're looking for gardeners in Ranchi, you should be getting only gardeners from Ranchi.

Keshav Garg: Sir, in fact, for this search result, I was very much in Ranchi and I could find a gardener in IndiaMART. In fact, a couple of them I could find over there. So just feedback I'm sharing.

And sir, second, I understand that the key to success in this business is to get even the tiny, tiny businesses registered with us so that if somebody searches, he can find a more relevant and nearby, an exact source of the service or good or product he is looking for. So sir, what are we doing? On one hand, we are cutting the field force and basically the whole expenditure. Sir, so then, how do we enroll more and more people on our platform?

Just Dial Limited

April 21, 2025

Page 13 of 18

Abhishek Bansal: So, Keshav, at this point of time, we have 49 million businesses already listed on the platform, okay? In today's world, getting a merchant on the platform does not require that much field force and manual labor versus there are several automated or tech-enabled ways to get same information. For example, earlier, probably in a hospital, if there are 50 doctors practicing, we had to go to get that information.

Today, all hospitals put out a particular document, which tells the OPD timings of all the doctors. And via use of tech, I am able to update that information, which probably required 20 - man hours earlier. Similarly, insurance companies might be updating the list of garages where they are offering cashless service. Now, all that information is data for me, which enables me to keep my data enriched.

Keshav Garg: Right. Sir, so what are we doing different from the competition? Like now even Google Maps

has started giving, if you search something, it will directly give you the phone number and so on. Sir, so, I mean, one doesn't even need to go to Google search, just in Google Maps, he is able to get that. Sir, so then what is our edge? How are we

scoring above them?

Abhishek Bansal: See, in today's era of disruption, people have been questioning that, okay, just like you talked about Google, people are talking about whether AI-related platforms can replace even the requirement of a search, etcetera, etcetera. Our USP comes from the fact that in a diverse country like India, you need a dedicated platform, which lists all the small, medium, micro large merchants out there and provides information for any category that you can think under the sun.

Secondly, for those merchants from just the basic information, we have graduated to providing rich information pertaining to the products and services that they provide. For example, in case of a wedding photographer, no longer it is sufficient to just give their contact details, but I should be able to showcase their portfolio of services. In fact, as we speak, we are working on using their particular portfolios to automatically create short videos or reels that will show up on their particular listing.

So the idea is that for anything pertaining to local search, you should be quickly be able to find a merchant on the platform. And for any other platform that you mentioned, their focus on commercial intent searches will just be a certain percentage of their overall business, whereas for us, that is the only bread and butter.

Keshav Garg: Sure sir, I hope to hear something about the dividend that you have been talking since a long time.

Moderator: We'll take our next question from Devang Patel from Sameeksha Capital. Please go ahead.

Devang Patel: Hi sir. Q-o-Q, we've seen a pickup in collections growth and in the number of campaigns added. But if we strip out seasonality from the quarter, how has been the trend in gross additions and in the churn rate? And basically, whatever slowdown we were seeing earlier in the revenues is the worst of that slowdown behind us?

Just Dial Limited

April 21, 2025

Page 14 of 18

Abhishek Bansal: So, Devang, the best way to strip out seasonality is to look at numbers on a Y-o-Y basis. So, collections sequentially might be showing 20% plus growth, but year-on-year basis, it's about 11.5%, 12%, 11.3%. So that's the proper number.

Devang Patel: Broadly, we can sustain the growth numbers that we've seen in Q4 Y-o-Y.

Abhishek Bansal: So, as I mentioned, my priority is to ensure that my top line accelerates, which is my accrued revenue. Now collections, in case I start selling more to upfront client customers, it might artificially show that my collections could be higher or if I start selling more to monthly plan customers, for a short period, it might show some impact on collections, but there will not be any commensurate impact on accrued revenue. So, while 4Q has seen a pickup, hopefully, for the entire fiscal '26, our revenue growth will also accelerate up to catch up to collections growth.

Devang Patel: Okay. Secondly, my question was on AI. You mentioned use of AI earlier to improve the quality of listings. Are there any other use cases where we are using AI? The sales team strength is up 3%. You mentioned we are reducing or switching from cold calling to feet on street. But if I look at the productivity, for the sales team, it's at INR12 lakhs versus, let's say, INR10 lakhs pre-COVID. What is the scope to improve employee productivity further from these levels?

Abhishek Bansal: So, to your first query on use of AI, there are several use cases that we are already deploying AI for. So firstly, on the user engagement side, reviews. So, today, when you go to any particular listing, earlier user had to skim through tens of reviews to understand what is positive or negative about a business. Today, that summary generation is completely automated.

There are prompts via AI, which aid a user to give quality reviews on the platform. We use AI for merchants while creating content in their listings. So where

ver a merchant is actually

uploading a catalog via use of AI, it helps them probably give descriptions to their particular products and services or enhance images that they are uploading.

Then even we are using AI to give better data to our sales team. What I mean by that is that when I give a particular merchant as hot data to my sales team, there is a scoring system that we do, which tells my salesperson that how -- what is the expected nature of this particular business to convert into a paid listing, whether it's a high intent or a medium intent or a low intent based on how that merchant has been engaging with the platform.

So if a merchant is regularly coming to my portal to update their particular listing, there is a specific score assigned. So use of all these particular, ultimately, use of technology enables us

to give better content, improve experience for our users as well as for our merchants.

Moderator: We take our next question from Nilesh Doshi from Prospero Tree AMC. Since there is no response, we will move on to the next question from Saumil Shah from Paras Investments .

Please go ahead.

Just Dial Limited

April 21, 2025

Page 15 of 18

Saumil Shah: Abhishek, few quarters back, I think 3.4 quarters back, you just -- you mentioned that we are working closely with Jio Ads team for IPL advertising for small enterprises. So, want to know any positive development on the same? Because last year, I remember you said we were a bit late on that front. And so by next season, we could possibly explore synergies. So any positive development?

Abhishek Bansal: No, for this particular IPL, we have not engaged on monetization efforts for Jio any subscriptions.

Saumil Shah: Okay. And so have they started or the small SME advertising has not started?

Abhishek Bansal: So, honestly, we are not aware of that whether there is SME advertising happening on IPL - related matches or not.

Saumil Shah: Okay, okay. And similarly, I think we were going to integrate Just Dial on MyJio platform. So anything on that front?

Abhishek Bansal: So, on that particular initiative, what we have realized is that in terms of our traffic, some of these initiatives may not actually move the needle that much in terms of, say, I already have 190 million users and a good chunk of usage originates from searches that happen on Google. So, for a local search, any traffic that were to come to us via MyJio that would anyway have been listened. So the scheme has been deprioritized at this point of time.

Saumil Shah: And I think one of the previous participants, we just answered that some online shopping or something by next quarter. So could you please just give a flavor? I couldn't understand that.

Abhishek Bansal: Mr. Mani, you would take the question please?

V.S.S. Mani: Sorry?

Abhishek Bansal: So, the query around online shopping initiative.

V.S.S. Mani: Yes, yes, online shopping initiative, we are just working on a beta. You will see it -- will hear more from next quarter. Probably you'll see a product. Basically, it is that Just Dial traditionally supports offline establishments. And the online share of the market is not there right now with us. So we're launching a new product like a complete A to Z online shopping site that will give us the opportunity to tap online people who are selling their products online.

Saumil Shah: Okay. So, is it something similar to JioMart or it is only for B2B businesses who are selling online?

V.S.S. Mani: No, B2C also. It is B2C businesses, B2B businesses, whosoever has an online buying capability, online shopping capability, all of them will be included in this.

Saumil Shah: Okay. So, all of them would be integrated...

Just Dial Limited

April 21, 2025

Page 16 of 18

V.S.S. Mani: Initially, all of them will be listed for free and the sponsored ones will be listed on priority basis. Then as the traction gathers, the

we will start a commission on sales or referral.

Saumil Shah: Okay. And sir, what would be our taxation rate for this year?

Abhishek Bansal: So, for current year, it should go to around 20%, 21% or so. So our operating profits, they get taxed at a complete 25.2% tax rate. Within our treasury, there is a part of treasury deployed from fiscal '24 onwards, which gets taxed at full tax rate. And the one which we had deployed earlier, since that has crossed 2-year holding period, that will get taxed at whatever long-term capital gains tax of around 14% or so, 14%, 14.3%, including surcharge and Cess.

Saumil Shah: So, on an average, we can assume 20% tax rate?

Abhishek Bansal: Around blended, we expect it to be in the range of 20%, 21%. The mix of how much is operating income versus treasury income will determine the final outcome.

Saumil Shah: Okay. Okay. Sir, my final question, sir, as we are guiding for a mid-teen kinds of a growth, so can we assume our EBITDA margins can go north of 30%, maybe 30% to 33%?

Abhishek Bansal: So as I mentioned earlier, my last year performance has been that margins, which we were targeting at 25% at year beginning, we ended at 29% plus. Top line of mid-teens, we ended at close to 9.5%, 10%. For this year, in terms of margins, we are comfortable at where we are, but endeavor will be to accelerate top line growth.

Moderator: We'll take our next question from Sanjay Mahajan from Wealthwise Capital. Since there is no response, we'll take our next last question from Amit Agrawal, a Private Investor . Please go ahead.

Amit Agrawal: My question is related to an item on your balance sheet, on bank balances. I see an unusually

high number of INR300 crores, which has not been the case in the past 2 financial years. Could you throw a color on that?

Abhishek Bansal: So Amit, all -- our entire treasury is invested in debt mutual funds, fixed deposits and tax-free bonds. Simple cash in terms of, say, cash in current account is very miniscule, not more than INR3 crores, INR4 crores. Overall cash on the balance sheet, including investment stands at INR5,280 crores.

Moderator: We'll take our last question from the line of Sudharsan Nachimuthu from Prosperity Wealth Management. Please go ahead.

Sudharsan Nachimuthu: My question is on your top line growth actually. When we mentioned we're comfortable at this current margin levels and aspire for mid-teens kind of growth, does this 5% -more growth comes from the cost of your EBITDA? Let's say, last year, we did 10% top line and 30% margin. Now we aspire for 15% top line, does it come from 5% EBITDA?

Abhishek Bansal: I mean, not really. So, as I mentioned, my gross margins are about 55% or so. And even if I consider escalation in my other expenses, non-sales-related expenses, still about comfortably

Just Dial Limited

April 21, 2025

Page 17 of 18

40%, 45% or even slightly higher percentage of incremental top line will flow to my EBITDA level. So, while I might deploy part of it to advertising or whatever initiatives, still it should be margin accretive.

Sudharsan Nachimuthu: Okay. And what is our target ad spend for this year? Will it reach the pre-COVID 5%, 6% of top line levels?

Abhishek Bansal: At this point of time, we don't think that we would need to advertise that much because currently, we are primarily focusing on digital advertising. So, I would budget, say, around 2.5% to 3% of the top line at this point of time.

Sudharsan Nachimuthu: And on your shopping website part, is there any addressable market size which you guys have finalized? Or is it too at a nascent stages to comment on it?

Abhishek Bansal: I think once we actually have -- Yes, Mr. Mani, please go ahead.

V.S.S. Mani: Yes, the beta has to be ready. Addressable market is, as I said, people who are trying to sell their products online, having their own website is an addressable market for us,

that's

constantly growing. And there are people -- there are two ways to sell online. One is through platforms like -- e-commerce platforms like just Amazon or Flipkart and all that. Other is stand-alone websites of these companies, and they advertise on social media and in search engines to get the traffic.

So, we are trying to have a dedicated online shopping site, which will have a catalog of all the products that you see as ads or as whatever it is in different platforms, all aggregated in one place. And so it's easy to search by keywords, colors. If you want to buy a brown colored T-shirt, you can say, brown colored T-shirt, and we'll get you all those sites that are selling brown colored T-shirt. You say I want bamboo fabric T-shirt, whatever it is.

Sudharsan Nachimuthu: Understood. Understood. And on the content part, I think as per our last conversation, we are trying to integrate the content of those listed entities, which go into, say, other platforms into Just Dial, like your completed works, a catalog of works done by the particular SME, promotional videos. So, is there any sort of update on that? Or is it still in working stage?

Abhishek Bansal: Yes. So, there, in B2B listings, we already have catalogs for over 1 billion listings. And even on B2C listings, we are in the process of expanding our service catalogs to as many businesses as possible. Apart from that, wherever, even in service catalogs, we can have rich short videos, reels, to showcase that particular merchant's products and services that we'll keep adding. So total listing base of 48 million, 49 million, the idea is to make content rich in as many listings as possible.

Moderator: Ladies and gentlemen, we'll take that as the last question for today. I would now like to hand the conference over to Mr. Abhishek Bansal for closing comments. Over to you.

Abhishek Bansal: Just one clarification on a query around INR300 crores showing as one of the line items on the balance sheet. So this year, since part of the cash we have started deploying in fixed deposits with banks, since there is no tax advantage in mutual funds, there is INR300 crores deployed

Just Dial Limited

April 21, 2025

Page 18 of 18

in fixed deposits, which is what is showing as a separate line item under current assets on our balance sheet. Apart from that, cash in current accounts is very minimal. So I thought I'll just clarify.

Thank you, everyone, for joining us. In case you have any further queries, please do reach out. We would do our best to address, and that's it from our side. Thank you.

V.S.S. Mani: Thank you.

Moderator: Thank you. On behalf of Just Dial Limited, that concludes this conference. Thank you for joining us, and you may now exit the meeting.